m) Registered Office and Plant / Unit Locations

Registered Office	Generation
"Samanvay", 600 Tapovan, Ambawadi, Ahmedabad-380015 (Gujarat)	i. SUGEN, UNOSUGEN and GENSU, Off National Highway No. 8, Taluka: Kamrej, District: Surat-394155 (Gujarat) ii. AMGEN, Ahmedabad-380005 (Gujarat) iii. DGEN, Plot no Z-9, Dahej SEZ, Taluka Vagra, Dist. Bharuch–392130 (Gujarat) iv. Renewable generation projects located at Kutch, Jamnagar, Bhavnagar, Surendranagar, Rajkot and Patan in Gujarat
	Distribution
	i. AEC cross roads, Sola Road, Naranpura, Ahmedabad–380013 (Gujarat) ii. Torrent House, Station Road, Surat-395003 (Gujarat) iii. Plot No. Z/21, Dahej SEZ, Part I, Taluka Vagra, Dist. Bharuch–392130 (Gujarat) iv. 400/200 kV – 4A Sub Station, On G7 Road, Dholera SIR, Taluka : Dholera, Dist. Ahmedabad-382455 (Gujarat) v. Near Narpoli Police Station, Opposite Kashinath Patil Hospital, Building A Wing, Type 3, Ground to 3rd Floor, Aadeshwar Tower, Old Agra Road, Kamat Ghar, Bhiwandi, Thane-421302 (Maharashtra) vi. 3rd and 4th Floor, "Fortune Plaza" Plot No E-4, Taj Nagri Phase-2, Sector-E, Near Hotel Courtyard Marriott, Fatehabad Road, Agra-282001 (Uttar Pradesh) vii. Shop No S1, S2, Office No 101, 201, Building- E, Ground to 2nd Floor, Mayurs Nature Glory, Parsik Nagar, Kalwa, Thane-400605 (Maharashtra)

n) Address for Correspondence

Company Secretary

Torrent Power Limited
"Samanvay",
600 Tapovan, Ambawadi,
Ahmedabad-380015 (Gujarat)
CIN: L31200GJ2004PLC044068
Telephone : + 91 79 26628300
Fax : +91 79 26764159
E-mail : cs@torrentpower.com
Website : www.torrentpower.com

o) Debenture Trustees

IDBI Trusteeship Services Ltd.,

Asian Building, Ground Floor,
17, R. Kamani Marg,
Ballard Estate,
Mumbai-400001 (Maharashtra)
Telephone : (022) 4080 7005

p) Credit Rating

During the year, CRISIL reaffirmed Companies' long-term rating and short-term credit rating at AA+ / Stable and A1+ respectively. India Ratings has also reaffirmed short term rating at IND A1+ to the Commercial Paper Programme of the Company.

12. OTHER DISCLOSURES

a) Related Party Transactions

The Company has formulated Related Party Transaction Policy, which is in compliance with provisions of the Act and the Listing Regulations. The policy can be accessed on the website of the Company at the web link https://www.torrentpower.com/pdf/investors/RPTPolicy002_20220617151631.pdf

During the year, the Company did not enter into any transaction with related parties which were material in nature as defined in the Listing Regulations. All the related party contracts / arrangements and transactions entered into by the Company were put forth for the prior approval of the Audit Committee and the Board, as applicable, in compliance with the said policy. The Company has not entered into any transactions, which requires approval of the Members.

Statement of related party transactions was presented to the Audit Committee for its review on quarterly basis, specifying the nature, value and terms and conditions of the transactions.

The particulars of contracts / arrangements and transactions entered into by the Company with related parties are set out in the Notes to the Financial Statements forming part of this Integrated Annual Report.

Report on Corporate Governance (Contd.)

b) Legal Compliances

The Company has formalised a system to track, monitor and document legal compliances applicable to the Company. The Board periodically reviews compliance reports (of all the laws applicable to the Company), prepared by the management. There were no instances of material non-compliances during the year under review. No strictures were passed or penalties imposed on the Company by SEBI, Stock Exchanges or any statutory authority on any matter related to capital markets during the last three years.

c) Vigil Mechanism / Whistle Blower Policy

The Board has adopted Vigil Mechanism / Whistle Blower Policy for the Company, under which the Company has institutionalised a mechanism for the stakeholders to disclose their concerns and grievances on unethical behaviour and improper / illegal practices and wrongful conduct and instances of leak or suspected leak of Unpublished Price Sensitive Information ("UPSI") taking place in the Company for appropriate action.

The policy was amended by the Board on May 20, 2021 and amended policy is available on the website of the Company at https://www.torrentpower.com/pdf/investors/WhistleBlowerPolicy.pdf

During the year, functioning of the Vigil Mechanism was reviewed by the Audit Committee on quarterly basis. No employee intending to report under Vigil Mechanism was denied access to the Audit Committee.

d) Compliance with all the mandatory requirements of Corporate Governance

The Company has complied with all the mandatory requirements of Corporate Governance applicable to the Company.

e) Material Subsidiary Policy

The Company has formulated a Policy for determining "Material Subsidiary" and same is available on Company's website at https://www.torrentpower.com/pdf/investors/19-01-2019_2vueh_policy_materialsubsidiaries2.pdf

f) Utilization of funds raised through Preferential Allotment or Qualified Institutions Placement

During the year under review, the Company did not raise any funds through preferential allotment or qualified institutions placement as specified under Regulation 32(7A) of the Listing Regulations. However, during the year under review, the Company has issued NCDs on private placement basis, listed on debt market segment of National Stock Exchange Limited. The Company affirms that there has been no deviation or variation in utilisation of proceeds of the listed NCDs of the Company.

g) Certificate of Practicing Company Secretary

The Company has obtained a certificate from M/s Rajesh Parekh & Co., Practicing Company Secretary, Ahmedabad stating that none of the Directors on the Board of the Company have been debarred / disqualified from being appointed / continuing as Directors of any company, by the SEBI and the Ministry of Corporate Affairs or any such Statutory authority.

h) Fees paid to Statutory Auditors

During the year, total fees, for all services (including out of pocket expenses and taxes), paid by the Company and its subsidiaries, on a consolidated basis, to the Statutory Auditors - Price Waterhouse Chartered Accountants LLP (012754N/N500016) and to all entities in the network of which Auditor is a part are as under:

	(₹ in Crore)
Audit Fees	2.03
Other Services certificates etc.	0.59
Reimbursement of expenses	0.12
Total	**2.74**

i) Protection of Women against Sexual Harassment at Workplace

Pursuant to the provisions of The Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 and rules made thereunder, the Company has adopted a "Policy on Protection of Women against Sexual Harassment at Workplace". Pursuant to the said Policy, the Company has formed Internal Complaints Committee with majority women members at each of the Unit/ Administrative Office. During the year, 1 complaint was filed with the Internal Complaints Committee and the same was resolved on April 19, 2023.

j) Compliance with Corporate Governance

The Company has complied with the Corporate Governance requirements specified in Regulation 17 to 27 and clauses (b) to (i) of sub-regulation (2) of Regulation 46 of the Listing Regulations.

For and on behalf of the Board of Directors

Jinal Mehta
Managing Director
DIN: 02685284

Ahmedabad
May 29, 2023

CERTIFICATE OF COMPLIANCE WITH THE CODE OF BUSINESS CONDUCT

To,
The Members,
Torrent Power Limited

Torrent Power Limited has in place a Code of Business Conduct (the "Code") for its Board of Directors, Senior Management Personnel and other employees of the Company. I report that the Board of Directors have received affirmation on compliance with the Code from the Members of the Board and Senior Management of the Company for the year under review.

For and on behalf of the Board of Directors

Jinal Mehta
Managing Director
DIN: 02685284

Ahmedabad
May 29, 2023

Independent Auditor's Report

To the Members of Torrent Power Limited

Report on the Audit of the Standalone Financial Statements

Opinion

1. We have audited the accompanying standalone financial statements of Torrent Power Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2023, and the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year then ended, and notes to the standalone financial statements, including a summary of significant accounting policies and other explanatory information.

2. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2023, and total comprehensive income (comprising of profit and other comprehensive income), changes in equity and its cash flows for the year then ended.

Basis for Opinion

3. We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the "Auditor's Responsibilities for the Audit of the Standalone Financial Statements" section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

4. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the standalone financial statements of the current period. These matters were addressed in the context of our audit of the standalone financial statements as a whole and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
i. Impairment assessment for Power Plant located at Dahej (Refer to note 41(1) to the standalone financial statements):	
The carrying amount of Property, Plant & Equipment ("PPE") and Right-of-use assets ("ROU") includes an amount of ₹ 1,315.05 crore pertaining to 1,200 MW DGEN Mega Power Project located at Dahej, India ("DGEN"). DGEN started its commercial operations from November 2014 ("COD") and thereafter has operated only intermittently. As a result of the above, and given the current economic environment, management has carried out an impairment assessment of DGEN in accordance with Ind AS 36 'Impairment of Assets' and with the help of an external valuer, has measured the recoverable amount based on 'value in use' which requires estimating the discounted cash flow projections over the estimated useful life of the DGEN. Such assessment involved several key assumptions including expected demand of electricity, future prices of fuel, foreign exchange rate, expected tariff rates of electricity and discount rate, which are considered by management based on past trends and current and likely future state of the industry. Based on such assessment, the value in use arrived at by the management is higher than the carrying amount of PPE and ROU pertaining to DGEN and accordingly, no additional impairment is considered necessary as at March 31, 2023. We considered this to be a key audit matter as the carrying value of DGEN at March 31, 2023 is significant to the Company's balance sheet and there is significant judgement and estimation involved in the discounted cash flow (DCF) model used by the management to assess the value in use of DGEN.	Our procedures in relation to management's impairment assessment of DGEN included the following: • Assessed and tested the design and operating effectiveness of the Company's controls over impairment assessment. • Perused the report issued by the external valuer engaged by the management and conducted enquiries with them to understand the assumptions considered by them. • Evaluated independence, competence, capability and objectivity of the external valuer. • Evaluated the reasonableness of cash flow projections used by the Company and the key assumptions underlying the same. • With the involvement of auditor's experts, assessed the reasonableness of the assumptions considered in the discounted cash flow projections for determining value in use. • Enquired with senior management personnel, the justification for the key assumptions underlying the cashflow projections and performed sensitivity analysis on the same, within a reasonably foreseeable range. • Checked the arithmetic accuracy of the computations included in the discounted cash flow projections. • Assessed the adequacy of disclosure in the standalone financial statements. Based on the above procedures performed, we considered management's assessment of impairment of DGEN to be reasonable.
ii. Assessment of recoverability of Deferred tax assets on unutilised tax credits (Refer to note 42 to the standalone financial statements)	
The Company has recognised deferred tax assets on the unutilised tax credits amounting to ₹ 1,347.59 crore as at March 31, 2023, representing Minimum Alternate Tax (MAT) paid on the accounting profit in the earlier years in which the Company did not have normal taxable profit due to availment of tax holiday. The deferred tax asset has been recognised on the basis of Company's assessment of availability of future taxable profits to offset the accumulated deferred tax assets on the unutilised tax credits. The future taxable profit projections involve several key assumptions including expected demand of electricity, future prices of fuel and expected tariff rates of electricity, covering the period over which MAT Credit can be claimed as per the Income-tax Act, 1961. In preparing the profit projections, management has considered past trends, applicable tariff regulations/ agreements and current and likely future state of the industry. We considered this a key audit matter as the amount of deferred tax assets on unutilised tax credits is material to the standalone financial statements and significant management judgement is required in assessing the recoverability of accumulated deferred tax assets on unutilised tax credits based on significant assumptions underlying the forecast of future taxable profits. Further, recoverability of deferred tax assets depends on the achievement of Company's future business plans.	Our audit procedures in relation to management's assessment of recoverability of Deferred tax assets on unutilised tax credits included the following: • Assessed and tested the design and operating effectiveness of the Company's controls over recognition and assessment of recoverability of deferred tax assets on unutilised tax credits. • Assessed the Company's accounting policy in respect of recognizing deferred tax assets on unutilised tax credits. • Enquired with senior management personnel, the justification for the key assumptions underlying the projections and assessed the reasonableness of the assumptions underlying profit projections made by management, by verifying the past trends, available tariff orders and relevant economic and industry indicators. Further, performed sensitivity analysis over the assumptions used in determining the projected taxable profits, within a reasonable range. • Evaluated whether the tax credit entitlements are legally available to the Company for the forecast recoupment period, considering the provisions of Income-tax Act, 1961. • Checked the arithmetic accuracy of the underlying calculations of the profit projections. • Assessed the adequacy of disclosures made in the standalone financial statements with regard to deferred taxes. Based on the above procedures performed by us, we considered the management's assessment of recoverability of deferred tax assets in respect of accumulated deferred tax assets on unutilised tax credits to be reasonable.

Independent Auditor's Report (Contd.)

Other Information

5. The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Board's Report, Management Discussion and Analysis, Business Responsibility and Sustainability Report, Report on Corporate Governance, but does not include the standalone financial statements and our auditor's report thereon.

   Our opinion on the standalone financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

   In connection with our audit of the standalone financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the standalone financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

   We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the standalone financial statements

6. The Company's Board of Directors is responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

7. In preparing the standalone financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so. Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the standalone financial statements

8. Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

9. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

   - Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

   - Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to standalone financial statements in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

10. We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

11. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

12. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the standalone financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

13. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we give in the Annexure B a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

14. As required by Section 143(3) of the Act, we report that:

    (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

    (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.

    (c) The Balance Sheet, the Statement of Profit and Loss (including other comprehensive income), the Statement of Changes in Equity and the Statement of Cash Flows dealt with by this Report are in agreement with the books of account.

    (d) In our opinion, the aforesaid standalone financial statements comply with the Accounting Standards specified under Section 133 of the Act.

    (e) On the basis of the written representations received from the directors as on March 31, 2023, taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2023, from being appointed as a director in terms of Section 164(2) of the Act.

    (f) With respect to the adequacy of the internal financial controls with reference to standalone financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A".

Independent Auditor's Report (Contd.)

(g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014 (as amended), in our opinion and to the best of our information and according to the explanations given to us:

i. The Company has disclosed the impact of pending litigations on its financial position in its standalone financial statements – Refer Note 44 to the standalone financial statements.

ii. The Company has made provision as at March 31, 2023, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts - Refer Note 33. The Company did not have any derivative contracts as at March 31, 2023.

iii. There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company during the year.

iv. (a) The management has represented that, to the best of its knowledge and belief, as disclosed in the notes to the accounts, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other persons or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries (Refer Note 45(c) to the standalone financial statements);

(b) The management has represented that, to the best of its knowledge and belief, as disclosed in the notes to the accounts, no funds have been received by the Company from any persons or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries (Refer Note 45 (c) to the standalone financial statements); and

(c) Based on such audit procedures that we considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (a) and (b) contain any material misstatement.

v. The dividend declared and paid during the year by the Company is in compliance with Section 123 of the Act.

vi. As proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 (as amended), which provides for books of account to have the feature of audit trail, edit log and related matters in the accounting software used by the Company, is applicable to the Company only with effect from financial year beginning April 1, 2023, the reporting under clause (g) of Rule 11 of the Companies (Audit and Auditors) Rules, 2014 (as amended), is currently not applicable.

15. The Company has paid/ provided for managerial remuneration in accordance with the requisite approvals mandated by the provisions of Section 197 read with Schedule V to the Act.

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number: 012754N / N500016

Priyanshu Gundana
Partner
Membership Number: 109553
UDIN: 23109553BGWNNK7657

Place: Ahmedabad
Date: May 29, 2023

Annexure A to Independent Auditor's Report

Referred to in paragraph 14(f) of the Independent Auditor's Report of even date to the members of Torrent Power Limited on the standalone financial statements for the year ended March 31, 2023

Report on the Internal Financial Controls with reference to Financial Statements under clause (i) of sub-section 3 of Section 143 of the Act

1. We have audited the internal financial controls with reference to financial statements of Torrent Power Limited ("the Company") as of March 31, 2023 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

2. The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting ("the Guidance Note") issued by the Institute of Chartered Accountants of India ("ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

3. Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing deemed to be prescribed under Section 143(10) of the Act to the extent applicable to an audit of internal financial controls, both applicable to an audit of internal financial controls and both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements was established and maintained and if such controls operated effectively in all material respects.

4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

5. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system with reference to financial statements.

Meaning of Internal Financial Controls with reference to financial statements

6. A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of standalone financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of standalone financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the standalone financial statements.

Annexure A to Independent Auditor's Report (Contd.)

Referred to in paragraph 14(f) of the Independent Auditor's Report of even date to the members of Torrent Power Limited on the standalone financial statements for the year ended March 31, 2023

Inherent Limitations of Internal Financial Controls with reference to financial statements

7. Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion, the Company has, in all material respects, an adequate internal financial controls system with reference to financial statements and such internal financial controls with reference to financial statements were operating effectively as at March 31, 2023, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note issued by ICAI.

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number: 012754N / N500016

Priyanshu Gundana
Partner
Membership Number: 109553
UDIN: 23109553BGWNNK7657

Place: Ahmedabad
Date: May 29, 2023

Annexure B to Independent Auditors' Report

Referred to in paragraph 13 of the Independent Auditors' Report of even date to the members of Torrent Power Limited on the standalone financial statements as of and for the year ended March 31, 2023

i. (a) (A) The Company is maintaining proper records showing full particulars, including quantitative details and situation, of Property, Plant and Equipment.

(B) The Company is maintaining proper records showing full particulars of Intangible Assets.

(b) The Property, Plant and Equipment are physically verified by the Management according to a phased programme designed to cover all the items over a period of three years which, in our opinion, is reasonable having regard to the size of the Company and the nature of its assets. Pursuant to the programme, a portion of the Property, Plant and Equipment has been physically verified by the Management during the year and no material discrepancies have been noticed on such verification. As regards underground distribution systems, we have been informed that the same are not physically verifiable.

(c) The title deeds of all the immovable properties (other than properties where the Company is the lessee and the lease agreements are duly executed in favour of the lessee), as disclosed in Note 4 on Property Plant and Equipment, Note 5 on Right-of-use assets and Note 7 on Investment Property to the standalone financial statements, are held in the name of the Company, except for the following:

Description of item of property	Gross carrying value (₹ in crore)	Held in the name of	Whether promoter, director or their relative or employee	Period held	Reason for not being held in the name of the Company
Freehold Land	3.39	SEC Limited	No	18 years	Amalgamated due to various court orders. Appeal filed against rate valuation.
Freehold Land	2.00	AEC Limited	No	18 years	
Freehold Land	1.30	SEC Limited	No	18 years	Amalgamated due to various court orders. Applications filed and under process of name change.
Freehold Land	0.06	AEC Limited	No	18 years	
Freehold Land	0.14	Torrent Power AEC Limited	No	18 years	
Freehold Land	0.03	Torrent Power SEC Limited	No	16 years	
Building	0.05	SEC Limited	No	18 years	
Leasehold Land	4.10	AEC Limited	No	18 years	
Leasehold Land	0.34	Torrent Power AEC Limited	No	18 years	
Leasehold Land	5.94	SEC Limited	No	18 years	
Leasehold Land	1.47	Torrent Power SEC Limited	No	18 years	

(d) The Company has chosen cost model for its Property, Plant and Equipment (including Right of Use assets) and intangible assets. Consequently, the question of our commenting on whether the revaluation is based on the valuation by a Registered Valuer, or specifying the amount of change, if the change is 10% or more in the aggregate of the net carrying value of each class of Property, Plant and Equipment (including Right of Use assets) or intangible assets does not arise.

(e) Based on the information and explanations furnished to us, no proceedings have been initiated on or are pending against the Company for holding benami property under the Prohibition of Benami Property Transactions Act, 1988 (as amended in 2016) (formerly the Benami Transactions (Prohibition) Act, 1988 (45 of 1988)) and Rules made thereunder, and therefore the question of our commenting on whether the Company has appropriately disclosed the details in its standalone financial statements does not arise.

ii. (a) The physical verification of inventory excluding stocks with third parties has been conducted at reasonable intervals by the Management during the year and, in our opinion, the coverage and procedure of such verification by Management is appropriate. In respect of inventory lying with third parties, these have substantially been confirmed by them. The discrepancies noticed on physical verification of inventory as compared to book records were not 10% or more in aggregate for each class of inventory.

Annexure B to Independent Auditors' Report (Contd.)

Referred to in paragraph 13 of the Independent Auditors' Report of even date to the members of Torrent Power Limited on the standalone financial statements as of and for the year ended March 31, 2023

(b) During the year, the Company has been sanctioned working capital limits in excess of ₹ 5 crore, in aggregate, from banks on the basis of security of current assets. The Company has filed quarterly returns or statements with such banks, which are in agreement with the unaudited books of account (Also refer Note 29 to the Standalone financial statements)

iii. (a) The Company has made investments in three companies and thirteen mutual fund schemes, granted unsecured loans to eleven companies and to one other party, and stood guarantee to two companies, or provided security to a company. The aggregate amount during the year, and balance outstanding at the balance sheet date with respect to such loans and guarantees to subsidiaries and associate and to parties other than subsidiaries and associate are as per the table given below:

(₹ in crore)

	Guarantees	Security	Loans
Aggregate amount granted/ provided during the year			
- Subsidiaries	503.91	17.52	5,166.64
- Associate*	-	-	3.50
- Others	-	-	0.01
Balance outstanding as a balance sheet date in respect of the above case			
- Subsidiaries	504.64	17.52	935.80
- Others	-	-	0.01

(Also refer Note 55(b) to the standalone financial statements)

* During the year one associate converted to wholly owned subsidiary w.e.f. July 30, 2022 (Also refer Note 9(5) to the standalone financial statements)

(b) In respect of the aforesaid investments/guarantees/security/loans, the terms and conditions under which such loans were granted/investments were made/guarantees provided/security are not prejudicial to the Company's interest. (Also refer note 55(e) to the standalone financial statements)

(c) In respect of the aforesaid loan aggregating to ₹ 283.45 Crore the schedule of repayment of principal and payment of interest has been stipulated, and the party is repaying the principal amounts, as stipulated, and is also regular in payment of interest as applicable. In respect of the aforesaid loans aggregating to ₹ 1,289.32 Crore, no schedule for repayment of principal and payment of interest has been stipulated by the Company. Therefore, in the absence of stipulation of repayment terms we are unable to comment on the regularity of repayment of principal and payment of interest.

(d) In respect of the aforesaid loans, there is no amount which is overdue for more than ninety days.

(e) There were no loans /advances in nature of loans which fell due during the year and were renewed/extended. Further, no fresh loans were granted to settle the overdue loans.

(f) Following loans were granted during the year, including to promoters/related parties under Section 2(76), which are repayable on demand or where no schedule for repayment of principal and payment of interest has been stipulated by the Company.

(₹ in crore)

	All Parties	Promoters	Related Parties
Aggregate of loans			
Repayable on demand	4,515.53	-	4,515.53
Agreement does not specify any terms or period of repayment	486.61	-	486.61
Percentage of loans to the total loans	96.75%	-	96.75%

(Also refer Note 55(b) to the standalone financial statements)

Referred to in paragraph 13 of the Independent Auditors' Report of even date to the members of Torrent Power Limited on the standalone financial statements as of and for the year ended March 31, 2023

iv. The Company is engaged in providing infrastructural facilities as specified in Schedule VI to the Act and accordingly, the provisions of Section 186, except sub section (1), of the Act are not applicable to the Company. In our opinion, and according to the information and explanations given to us, the Company has complied with the provisions of Sections 185 and 186(1) of the Act in respect of the loans and investments made and guarantees and security provided by it.

v. The Company has not accepted any deposits or amounts which are deemed to be deposits referred in Sections 73, 74, 75 and 76 of the Act and the Rules framed there under to the extent notified.

vi. Pursuant to the rules made by the Central Government of India, the Company is required to maintain cost records as specified under Section 148(1) of the Act in respect of its products. We have broadly reviewed the same and are of the opinion that, prima facie, the prescribed accounts and records have been made and maintained. We have not, however, made a detailed examination of the records with a view to determine whether they are accurate or complete.

vii. (a) According to the information and explanations given to us and the records of the Company examined by us, in our opinion, the Company is generally regular in depositing undisputed statutory dues in respect of income tax and is regular in depositing undisputed statutory dues, including provident fund, employees' state insurance, sales tax, service tax, goods and services tax, duty of customs, duty of excise, value added tax, cess and other material statutory dues, as applicable, with the appropriate authorities. [Also, refer note 44(a) to the financial statements regarding management's assessment on certain matters relating to provident fund].

(b) According to the information and explanations given to us and the records of the Company examined by us, there are no statutory dues of provident fund, employees' state insurance and cess which have not been deposited on account of any dispute. The particulars of other statutory dues referred to in sub-clause (a) as at March 31, 2023 which have not been deposited on account of a dispute, are as follows:

Name of Statute	Nature of dues	Amount involved (₹ in crore)	Amount unpaid (₹ in crore)	Period to which the amount relates (Financial Year)	Forum where the dispute is pending
Customs Act, 1962	Custom duty	37.00	18.50	2012-13	Central Excise and Service Tax Appellate Tribunal
Central Excise Act, 1944	Excise duty	0.18	0.18	1989-90	Central Excise and Service Tax Appellate Tribunal
Kerala General, Sales Tax Act, 1963	Sales Tax on Works Contracts	0.20	0.20	2001-02	Sales Tax Appellate Tribunal
Andhra Pradesh General Sales Tax, Act, 1957	Sales Tax on Works Contracts	0.29	0.29	1993-94 & 1994-95	High Court for the State of Telangana
Tamil Nadu General Sales Tax Act, 1959	Sales Tax on Works Contracts	0.47	0.47	1989-90 & 1990-91	Asst. Commissioner of Commercial Tax
Gujarat Value Added Tax Act, 2004	Value Added Tax	6.99	2.41	2007-8 to 2010-11	Gujarat Value Added Tax Tribunal
Gujarat Stamp Act, 1958	Stamp Duty	35.10	35.10	2009-10	High Court of Gujarat
Maharashtra Stamp Act, 1958	Stamp Duty	1.01	0.76	2006 and 2016	High Court Bombay
Gujarat Stamp Act, 1958	Stamp Duty	0.26	0.26	2006-07	Deputy Collector, Stamp Duty Valuation Department, Surat
Finance Act, 1994	Service tax	0.49	0.49	2014-15 & 2016-17	Central Excise and Service Tax Appellate Tribunal
CGST Act, 2017	Goods and Services Tax	11.59	0.32	Jul 2017 to Dec 2019	Jt. Commissioner (CGST)
Income Tax Act, 1961	Income Tax	2.75	0.17	2018-19	Commissioner of Income-tax (Appeals)

The above table does not include matters which have been decided in favour of the Company although the department have preferred appeal at higher level.

Annexure B to Independent Auditors' Report (Contd.)

Referred to in paragraph 13 of the Independent Auditors' Report of even date to the members of Torrent Power Limited on the standalone financial statements as of and for the year ended March 31, 2023

viii. According to the information and explanations given to us and the records of the Company examined by us, there are no transactions in the books of account that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961, that has not been recorded in the books of account.

ix. (a) According to the records of the Company examined by us and the information and explanation given to us, the Company has not defaulted in repayment of loans or other borrowings or in the payment of interest to any lender during the year.

(b) According to the information and explanations given to us and on the basis of our audit procedures, we report that the Company has not been declared Wilful Defaulter by any bank or financial institution or government or any government authority.

(c) In our opinion, and according to the information and explanations given to us, the term loans and debt instruments have been applied for the purposes for which they were obtained. (Also refer Note 25 to the standalone financial statements)

(d) According to the information and explanations given to us, and the procedures performed by us, and on an overall examination of the standalone financial statements of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.

(e) According to the information and explanations given to us and on an overall examination of the standalone financial statements of the Company, we report that the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiary companies.

(f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiary companies.

x. (a) The Company has not raised any money by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, the reporting under clause 3(x)(a) of the Order is not applicable to the Company.

(b) The Company has not made any preferential allotment or private placement of shares or fully or partially or optionally convertible debentures during the year. Accordingly, the reporting under clause 3(x)(b) of the Order is not applicable to the Company.

xi. (a) During the course of our examination of the books and records of the Company, carried out in accordance with the generally accepted auditing practices in India, and according to the information and explanations given to us, we have neither come across any instance of material fraud by the Company or on the Company, noticed or reported during the year, nor have we been informed of any such case by the Management.

(b) During the course of our examination of the books and records of the Company, carried out in accordance with the generally accepted auditing practices in India, and according to the information and explanations given to us, a report under Section 143(12) of the Act, in Form ADT-4, as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 was not required to be filed with the Central Government. Accordingly, the reporting under clause 3(xi)(b) of the Order is not applicable to the Company.

(c) During the course of our examination of the books and records of the Company carried out in accordance with the generally accepted auditing practices in India, and according to the information and explanations given to us, the Company has received whistle-blower complaints during the year, which have been considered by us for any bearing on our audit and reporting under this clause.

xii. As the Company is not a Nidhi Company and the Nidhi Rules, 2014 are not applicable to it, the reporting under clause 3(xii) of the Order is not applicable to the Company.

xiii. The Company has entered into transactions with related parties in compliance with the provisions of Sections 177 and 188 of the Act. The details of such related party transactions have been disclosed in the standalone financial statements as required under Indian Accounting Standard 24 "Related Party Disclosures" specified under Section 133 of the Act.

Referred to in paragraph 13 of the Independent Auditors' Report of even date to the members of Torrent Power Limited on the standalone financial statements as of and for the year ended March 31, 2023

xiv. (a) In our opinion and according to the information and explanation given to us, the Company has an internal audit system commensurate with the size and nature of its business.

(b) The reports of the Internal Auditor for the period under audit have been considered by us.

xv. The Company has not entered into any non-cash transactions with its directors or persons connected with him. Accordingly, the reporting on compliance with the provisions of Section 192 of the Act under clause 3(xv) of the Order is not applicable to the Company.

xvi. (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, the reporting under clause 3(xvi)(a) of the Order is not applicable to the Company.

(b) The Company has not conducted non-banking financial / housing finance activities during the year. Accordingly, the reporting under clause 3(xvi)(b) of the Order is not applicable to the Company.

(c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, the reporting under clause 3(xvi)(c) of the Order is not applicable to the Company.

(d) Based on the information and explanations provided by the management of the Company, the Group has one CICs as part of the Group. We have not, however, separately evaluated whether the information provided by the management is accurate and complete.

xvii. The Company has not incurred any cash losses in the financial year or in the immediately preceding financial year.

xviii. There has been no resignation of the statutory auditors during the year and accordingly the reporting under clause (xviii) of the Order is not applicable to the Company.

xix. According to the information and explanations given to us and on the basis of the standalone financial ratios (Also refer Note 64 to the standalone financial statements), ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the standalone financial statements, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date will get discharged by the Company as and when they fall due.

xx. (a) In respect of other than ongoing projects, as at balance sheet date, the Company does not have any amount remaining unspent under Section 135(5) of the Act. Accordingly, reporting under clause 3(xx)(a) of the Order is not applicable to the Company.

(b) The Company has transferred the amount of Corporate Social Responsibility remaining unspent under sub-section (5) of Section 135 of the Act pursuant to ongoing project to a special account in compliance with the provision of sub-section (6) of Section 135 of the Act. (Also refer Note 50 to the standalone financial statements)

xxi. The reporting under clause 3(xxi) of the Order is not applicable in respect of audit of Standalone Financial Statements. Accordingly, no comment in respect of the said clause has been included in this report.

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number: 012754N / N500016

Priyanshu Gundana
Partner
Membership Number: 109553
UDIN: 23109553BGWNNK7657

Place: Ahmedabad
Date: May 29, 2023

Standalone Balance Sheet

as at March 31, 2023

(₹ in Crore)

	Notes	As at March 31, 2023	As at March 31, 2022
Assets			
Non-current assets			
Property, plant and equipment	4	14,578.77	14,096.46
Right-of-use assets	5	165.72	178.47
Capital work-in-progress	6	1,608.99	1,186.07
Investment property	7	9.76	13.27
Intangible assets	8	11.65	18.99
Financial assets			
Investments in subsidiaries	9	1,795.29	1,028.17
Other investments	10	15.94	132.82
Loans	11	1,507.56	349.32
Other financial assets	12	21.02	652.81
Non-current tax assets (net)	13	8.09	8.64
Other non-current assets	14	281.20	331.12
		20,003.99	**17,996.14**
Current assets			
Inventories	15	645.71	437.96
Financial assets			
Investments	16	682.31	253.27
Trade receivables	17	1,516.04	1,363.63
Cash and cash equivalents	18	138.08	161.79
Bank balances other than cash and cash equivalents	19	143.50	45.14
Loans	20	105.16	1,031.53
Other financial assets	21	2,632.43	2,193.63
Other current assets	22	120.28	121.52
		5,983.51	**5,608.47**
		25,987.50	**23,604.61**
Equity and liabilities			
Equity			
Equity share capital	23	480.62	480.62
Other equity	24	10,539.05	9,485.40
		11,019.67	**9,966.02**
Liabilities			
Non-current liabilities			
Financial liabilities			
Borrowings	25	7,044.53	6,119.99
Lease liabilities	47	35.30	37.27
Trade payables	26		
Total outstanding dues of micro and small enterprises		-	-
Total outstanding dues other than micro and small enterprises		210.61	150.46
Other financial liabilities	27	9.54	10.68
Deferred tax liabilities (net)	42	643.46	317.79
Other non-current liabilities	28	1,369.89	1,259.13
		9,313.33	**7,895.32**
Current liabilities			
Financial liabilities			
Borrowings	29	1,345.09	1,745.93
Lease liabilities	47	5.33	4.95
Trade payables	30		
Total outstanding dues of micro and small enterprises		60.67	50.27
Total outstanding dues other than micro and small enterprises		1,020.67	1,057.34
Other financial liabilities	31	2,172.47	1,892.49
Other current liabilities	32	646.60	601.36
Provisions	33	242.90	269.55
Current tax liabilities (net)	34	160.77	121.38
		5,654.50	**5,743.27**
		25,987.50	**23,604.61**

See accompanying notes forming part of the standalone financial statements

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N/N500016

Priyanshu Gundana
Partner
Membership No.: 109553

Ahmedabad, May 29, 2023

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 29, 2023

Standalone Statement of Profit and Loss

for the year ended March 31, 2023

(₹ in Crore)

	Notes	Year ended March 31, 2023	Year ended March 31, 2022
Income			
Revenue from operations	35	18,836.22	13,715.74
Other income	36	434.64	296.09
Total income		**19,270.86**	**14,011.83**
Expenses			
Electrical energy purchased		8,660.97	5,116.39
Fuel cost		2,508.23	3,403.40
Purchase of stock-in-trade		1,879.26	305.99
Employee benefits expense	37	513.85	514.07
Finance costs	38	668.34	581.56
Depreciation and amortisation expense	39	1,058.88	1,233.79
Other expenses	40	1,050.04	1,042.25
Total expenses		**16,339.57**	**12,197.45**
Profit before exceptional items and tax		2,931.29	1,814.38
Exceptional items	41	-	1,300.00
Profit before tax		**2,931.29**	**514.38**
Tax expense			
Current tax	42	634.45	367.45
Deferred tax	42	193.12	(262.78)
		827.57	**104.67**
Profit for the year		**2,103.72**	**409.71**
Other comprehensive income			
Items that will not be reclassified to profit or loss			
Remeasurement of the defined benefit plans	48	11.21	3.03
Tax relating to remeasurement of the defined benefit plans	42	3.92	1.06
Other comprehensive income for the year, net of tax		**7.29**	**1.97**
Total comprehensive income for the year		**2,111.01**	**411.68**
Basic and diluted earnings per share of face value of ₹10 each (in ₹)	52	43.77	8.52

See accompanying notes forming part of the standalone financial statements

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N/N500016

Priyanshu Gundana
Partner
Membership No.: 109553

Ahmedabad, May 29, 2023

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 29, 2023

Standalone Statement of Cash Flows

for the year ended March 31, 2023

(₹ in Crore)

	Notes	Year ended March 31, 2023	Year ended March 31, 2022
Cash flow from operating activities			
Profit before tax		2,931.29	514.38
Adjustments for :			
Depreciation and amortisation expense	39	1,058.88	1,233.79
Amortisation of deferred revenue	35	(99.69)	(89.86)
Provision of earlier years written back	35	(0.60)	(1.04)
Loss on sale / discarding of property, plant and equipment and capital work-in-progress	40	29.90	25.73
Gain on disposal of property, plant and equipment / investment property	36	(44.83)	(30.04)
Bad debts written off (net of recovery)	40	3.89	47.00
Reversal of provision for onerous contracts	40	(10.82)	(27.57)
Provision for onerous contracts	40	-	0.53
Allowance for doubtful debts (net)	40	(21.04)	(40.90)
Exceptional items	41	-	1,300.00
Finance costs	38	668.34	581.56
Interest income from financial assets measured at amortised cost	36	(163.51)	(144.30)
Dividend income from non-current investments carried at cost	36	(30.98)	(14.65)
Rent income from investment property	36	(1.16)	(1.16)
Impairment for non-current investments	40	0.80	1.60
Gain on sale of current investments in mutual funds	36	(53.28)	(24.22)
Net (gain) / loss arising on current investments in mutual funds measured at fair value through profit or loss	36	(3.84)	0.47
Net gain arising on financial assets / liabilities measured at amortised cost	36	(23.74)	(28.93)
Financial guarantee commission (amortised)	36	(6.52)	(5.00)
Net unrealised loss / (gain) on foreign currency transactions		10.71	(5.20)
Operating profit before working capital changes		**4,243.80**	**3,292.19**
Movement in working capital:			
Adjustments for decrease / (increase) in operating assets:			
Inventories		(207.75)	(51.80)
Trade receivables		(135.26)	(94.21)
Other financial assets		(624.53)	(280.88)
Other assets		11.63	(31.35)
Adjustments for increase / (decrease) in operating liabilities:			
Trade payables		39.63	197.87
Other financial liabilities		221.79	126.78
Provisions		(4.62)	(3.58)
Other liabilities		38.76	55.26
Cash generated from operations		**3,583.45**	**3,210.28**
Taxes paid (net)		(465.86)	(229.48)
Net cash flow generated from operating activities		**3,117.59**	**2,980.80**
Cash flow from investing activities			
Payments for property, plant and equipment, intangible assets & investment property		(1,908.51)	(1,540.64)
Proceeds from sale of property, plant and equipment, intangible assets & investment property		65.73	47.24
Non-current Investment in subsidiaries		(175.13)	(606.26)
Advance against equity investment		(3.00)	(555.00)
Proceeds from redemption of debentures		99.09	-
Purchase of non-current investments		(1.94)	(1.91)
Loans to related parties		(5,170.14)	(469.40)
Repayment of loans from related parties		4,955.46	276.64

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
(Investments) / redemption in bank deposits (net) (original maturity more than three months)	(97.94)	51.16
Redemption in inter corporate deposits	266.84	113.39
Interest received	145.65	144.62
(Purchase of) / proceeds from current investments (net)	(345.64)	12.11
Dividend received from non-current investments	30.98	14.65
Rent income from investment property	1.16	1.16
Net cash generated from / (used in) investing activities	**(2,137.39)**	**(2,512.24)**
Cash flow from financing activities		
Proceeds from long-term borrowings	2,300.00	1,100.00
Proceeds from short-term borrowings	400.00	702.74
Repayment of long-term borrowings	(902.30)	(860.34)
Prepayment of long-term borrowings	(168.23)	(235.49)
Repayment of short-term borrowings	(1,102.74)	-
Repayment of Accelerated Power Development and Reform Programme (APDRP) loan	(3.82)	(3.82)
Receipt of contribution from consumers	216.93	200.41
Dividend paid	(1,057.36)	(696.89)
Principal elements of lease payments	(7.78)	(9.38)
Finance costs paid	(678.61)	(599.55)
Net cash generated from / (used in) financing activities	**(1,003.91)**	**(402.32)**
Net (decrease) / increase in cash and cash equivalents	(23.71)	66.24
Cash and cash equivalents as at beginning of the year	161.79	95.55
Cash and cash equivalents as at end of the year	**138.08**	**161.79**
Footnotes:		
1 Cash and cash equivalents as at end of the year:		
Balances with banks		
Balance in current accounts	137.18	160.55
Cheques on hand	0.60	0.78
Cash on hand	0.30	0.46
	138.08	**161.79**
2 Non-cash investing activities:		
Acquisition of Right-of-use assets	4.17	10.74
Increase in investment in equity instruments due to fair valuation of corporate guarantees	6.74	8.79
	10.91	**19.53**

3 The statement of cash flow has been prepared under the 'Indirect Method' set out in Indian Accounting Standards (Ind AS) - 7 "Statement of Cash Flows" .

See accompanying notes forming part of the standalone financial statements

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N/N500016

Priyanshu Gundana
Partner
Membership No.: 109553

Ahmedabad, May 29, 2023

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 29, 2023

Standalone Statement of Changes in Equity

for the year ended March 31, 2023

A. Equity Share Capital [Refer note 23]

(₹ in Crore)

Balance as at April 1, 2021	**480.62**
Changes in equity share capital during the year	-
Balance as at March 31, 2022	**480.62**
Changes in equity share capital during the year	-
Balance as at March 31, 2023	**480.62**

B. Other Equity [Refer note 24]

(₹ in Crore)

	Reserves and surplus						Total
	Securities premium	Debenture redemption reserve	Contingency reserve	Special reserve	General reserve	Retained earnings	
Balance as at April 1, 2021	0.03	187.26	13.46	78.07	3,583.89	5,907.90	9,770.61
Profit for the year	-	-	-	-	-	409.71	409.71
Other comprehensive income for the year, net of tax	-	-	-	-	-	1.97	1.97
Total comprehensive income for the year	**-**	**-**	**-**	**-**	**-**	**411.68**	**411.68**
Transfer to / (from) debenture redemption reserve	-	(78.96)	-	-	-	78.96	-
Transfer to contingency reserve	-	-	1.91	-	-	(1.91)	-
Transaction with owners in their capacity as owners:							
Dividend (including interim dividend) paid	-	-	-	-	-	(696.89)	(696.89)
Balance as at March 31, 2022	**0.03**	**108.30**	**15.37**	**78.07**	**3,583.89**	**5,699.74**	**9,485.40**
Profit for the year	-	-	-	-	-	2,103.72	2,103.72
Other comprehensive income for the year, net of tax	-	-	-	-	-	7.29	7.29
Total comprehensive income for the year	**-**	**-**	**-**	**-**	**-**	**2,111.01**	**2,111.01**
Transfer to / (from) debenture redemption reserve	-	(86.72)	-	-	86.72	-	-
Transfer to contingency reserve	-	-	1.92	-	-	(1.92)	-
Transaction with owners in their capacity as owners:							
Dividend (including interim dividend) paid	-	-	-	-	-	(1,057.36)	(1,057.36)
Balance as at March 31, 2023	**0.03**	**21.58**	**17.29**	**78.07**	**3,670.61**	**6,751.47**	**10,539.05**

Footnote:

1 Retained earning includes (₹ 22.44) Crore [March 31, 2022 (₹ 29.73) Crore] related to re-measurement of defined benefit plans.

See accompanying notes forming part of the standalone financial statements

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N/N500016

Priyanshu Gundana
Partner
Membership No.: 109553

Ahmedabad, May 29, 2023

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 29, 2023

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 1a: General information

Torrent Power Limited ("the Company") is a public company domiciled in India and is incorporated under the provisions of the Companies Act, applicable in India. Its equity shares are listed on BSE Ltd. and National Stock Exchange Ltd. in India. The registered office of the Company is located at "Samanvay", 600, Tapovan, Ambawadi, Ahmedabad – 380 015.

The Company is engaged in the business of generation, transmission and distribution of Electricity.

Note 1b: New standards or interpretations adopted by the Company

The Ministry of Corporate Affairs had vide notification dated March 23, 2022 notified Companies (Indian Accounting Standards) Amendment Rules, 2022 which amended certain accounting standards, and are effective April 1, 2022. These amendments did not have any impact on the amounts recognised in prior periods and are not expected to significantly affect the current or future periods.

Note 1c: New standards or interpretations issued but not yet effective

The Ministry of Corporate Affairs has vide notification dated March 31, 2023 notified Companies (Indian Accounting Standards) Amendment Rules, 2023 (the 'Rules') which amends certain accounting standards, and are effective April 1, 2023.

The Rules predominantly amend Ind AS 12, Income taxes, and Ind AS 1, Presentation of financial statements. The other amendments to Ind AS notified by these rules are primarily in the nature of clarifications.

These amendments are not expected to have a material impact on the Company in the current or future reporting periods and on foreseeable future transactions.

Note 2: Significant accounting policies

2.1 Basis of preparation:

Compliance with Ind AS

The financial statements are in compliance, in all material aspects, with Indian Accounting Standards (Ind AS) notified under Section 133 of the Companies Act, 2013 (the Act) read with the [Companies (Indian Accounting Standards) Rules, 2015] and other relevant provisions of the Act and rules made thereunder.

Historical cost convention

The financial statements have been prepared on an accrual basis under the historical cost convention except for following which have been measured at fair value;

- Defined benefit plan assets

All assets and liabilities have been classified as current or non-current as set out in the Schedule III (Division II) to the Companies Act, 2013.

2.2 Business combinations and Goodwill:

Business combination - acquisition

Acquisitions of businesses are accounted for using the acquisition method. In determining whether a particular set of activities and assets is a business, the Company assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the assets transferred, liabilities incurred to the former owners of the acquiree and the equity interests issued by the Company in exchange for control of the acquiree.

Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are, with limited exceptions, measured initially at their fair values at the acquisition date.

Acquisition-related costs are expensed as incurred.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 2: Significant accounting policies (Contd.)

The excess of the

- consideration transferred; and
- acquisition-date fair value of any previous equity interest in the acquired entity

over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognised in other comprehensive income and accumulated in equity as capital reserve provided there is clear evidence of the underlying reasons for classifying the business combination as a bargain purchase. In other cases, the bargain purchase gain is recognised directly in equity as capital reserve.

Business combination – common control transaction

Business combinations involving entities that are controlled by the Company are accounted for using the pooling of interests method as follows:

- The assets and liabilities of the combining entities are reflected at their carrying amounts.
- No adjustments are made to reflect fair values, or recognise any new assets or liabilities. Adjustments are only made to harmonise accounting policies.
- The financial information in the financial statements in respect of prior periods is restated as if the business combination had occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination. However, where the business combination had occurred after that date, the prior period information is restated only from that date.
- The balance of the retained earnings appearing in the financial statements of the transferor is aggregated with the corresponding balance appearing in the financial statements of the transferee or is adjusted against general reserve.
- The identity of the reserves is preserved and the reserves of the transferor become the reserves of the transferee.
- The difference, if any, between the amounts recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor is transferred to capital reserve and is presented separately from other capital reserves.

Business combination-related costs are generally recognised in statement of profit and loss as incurred.

Acquisition of an asset or a group of assets

In case of acquisition of an asset or a group of assets that does not constitute a business, the Company identifies and recognises individual identifiable assets acquired (including those assets that meet the definition of, and recognition criteria for, intangible assets under Ind AS 38, Intangible Assets) and liabilities assumed. The Purchase Consideration shall be allocated to the individual identifiable assets and liabilities on the basis of their relative fair values at the date of purchase. Such a transaction or event does not give rise to goodwill or gain on bargain purchase.

Goodwill

Goodwill on acquisitions of subsidiaries is included in intangible assets. Goodwill is not amortised but is tested for impairment annually, or more frequently if events or changes in circumstances indicate that it might be impaired, and is carried at cost less accumulated impairment losses. Gains and losses on the disposal of a business include the carrying amount of goodwill relating to such business.

Goodwill is allocated to cash-generating units for the purpose of impairment testing. The allocation is made to those cash-generating units that are expected to benefit from the business combination in which the goodwill arose.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 2: Significant accounting policies (Contd.)

2.3 Investments in subsidiaries, joint ventures and associates:

Investments in associates, joint ventures and subsidiaries are measured at cost less provision for impairment, if any.

2.4 Government grants:

Grants from the government are recognised at their fair value where there is a reasonable assurance that the grant will be received and the Company will comply with all the attached conditions.

Government grants relating to income are recognised in profit or loss on a systematic basis over the periods in which the Company recognises as expenses the related costs for which the grants are intended to compensate. Government grants relating to purchase of property, plant and equipment whose primary condition is that the Company should purchase, construct or otherwise acquire property, plant and equipment are recognised as deferred revenue in the balance sheet and transferred to profit or loss on a systematic and rational basis over the useful lives of the related assets.

2.5 Property, plant and equipment:

Freehold land is carried at historical cost. All other items of property, plant and equipment held for use in the production or supply of goods or services, or for administrative purposes, are stated in the balance sheet at cost less accumulated depreciation and accumulated impairment losses, except that on adoption of Ind AS, property, plant and equipment had been measured at deemed cost, using the net carrying value as per previous GAAP as at April 1, 2015.

Capital work in progress in the course of construction for production, supply or administrative purposes is carried at cost, less any recognised impairment loss. Cost includes purchase price, taxes and duties, labour cost and other directly attributable costs incurred upto the date the asset is ready for its intended use. Such property, plant and equipment are classified to the appropriate categories when completed and ready for intended use.

Subsequent cost are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. Subsequent costs relating to day to day servicing of the item are not recognised in the carrying amount of an item of property, plant and equipment; rather, these costs are recognised in profit or loss as incurred.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Depreciation methods, estimated useful lives and residual value

Depreciation commences when the assets are ready for their intended use. Depreciation for the year is provided on additions / deductions of the assets during the period from / up to the month in which the asset is added / deducted. Depreciation on property, plant and equipment which are governed as per the provisions of Part B of Schedule II of the Companies Act, 2013 is provided on straight line basis using the depreciation rates, the methodology and residual value as notified by the respective regulatory bodies in accordance with the Electricity Act, 2003. For other property, plant and equipment in non-regulated business, depreciation is provided on a straight line basis over the estimated useful lives.

The estimated useful life, residual values and depreciation method are reviewed at the end of each reporting period in respect of property, plant and equipment of non-regulated business. The effect of any such change in estimate in this regard is accounted for on a prospective basis.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 2: Significant accounting policies (Contd.)

The range of depreciation rates of property, plant and equipment are as follows:

Class of assets	Rate of depreciation		
	Regulated business $	Franchisee business @	Other business
Buildings	1.26% to 6.73%	3.34%	3.34%
Railway siding	1.80% to 5.28%	-	-
Leasehold improvement	-	16.86% to 23.08%	-
Plant and machinery	0.92% to 19.00%	5.28%	3.60%
Electrical fittings and apparatus	0.64% to 19.00%	6.33%	6.33%
Furniture and fixtures	0.91% to 15.00%	6.33%	6.33%
Vehicles	9.50% to 18.00%	9.50%	9.50%
Office equipment	0.91% to 31.67%	5.28% to 15.00%	6.33% to 15.00%

@ governed by the applicable regulations of Uttar Pradesh Electricity Regulatory Commission (UPERC) / Maharashtra Electricity Regulatory Commission (MERC) for this purpose.

$ For assets acquired on or after April 1, 2009 in case of Regulated generation and distribution business, remaining depreciable value as on 31st March of the year closing after a period of 12 years from date on which assets are ready for their intended use, shall be spread over the balance useful life of the assets as defined in GERC / CERC Multi Year Tariff (MYT) regulations.

2.6 Investment properties:

Property that is held for long-term rental yields or for capital appreciation or both, and that is not occupied by the Company, is classified as investment property. Investment property is measured initially at its cost, including related transaction costs and where applicable borrowing costs. Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the Company and the cost of the item can be measured reliably.

An investment property is derecognised upon disposal or when the investment property is permanently withdrawn from its current use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period in which the property is derecognised.

Investment properties, other than free hold land, are depreciated using straight line method over their estimated useful lives.

2.7 Intangible assets – acquired:

Computer software is carried at cost less accumulated amortisation and accumulated impairment losses, if any. Amortisation is recognised on a straight-line basis over its estimated useful life of 3 years. The estimated useful life and amortisation method are reviewed at the end of each reporting period and the effect of any changes in such estimate is accounted for on a prospective basis.

Expenditure incurred on acquisition of intangible assets which are not ready to use at the reporting date is disclosed under "Intangible assets under development".

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from its use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

2.8 Impairment of assets:

Property, plant and equipment and intangible assets are reviewed for impairment losses whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognized for the amount by which the carrying amount of the assets exceeds its recoverable amount, which is the higher of an asset's fair value less costs of disposal and value in use. Value in use is the present value of the future cash flows expected to be derived from an asset or cash-generating unit. An impairment loss is recognised immediately in profit or loss.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 2: Significant accounting policies (Contd.)

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

2.9 Borrowing costs:

Borrowing costs that are directly attributable to the acquisition and construction of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use, such as new projects and / or specific assets created in the existing business, are capitalized up to the date of completion and ready for their intended use.

Income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

Other borrowing costs are charged to the statement of profit and loss in the period of their accrual.

2.10 Cash and cash equivalents:

For the purpose of presentation in the statement of cash flows, cash and cash equivalents include cash on hand, cheques / drafts on hand, current account balances with banks and other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Bank overdrafts are shown within borrowings in current liabilities in the balance sheet.

2.11 Inventories:

Raw materials, fuel, stores and spares, packing materials, loose tools, work in progress, traded and finished goods are stated at the lower of cost and net realisable value. Cost of inventories includes purchase price and all other costs incurred in bringing the inventories to their present location and condition. Costs are assigned to individual items of inventory on the weighted average basis except for inventory of Regasified Liquefied Natural Gas (RLNG) which is valued using specific identification method considering its procurement for beneficiary usage or others. Costs of purchased inventory are determined after deducting rebates and discounts.

Net realisable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

2.12 Revenue recognition:

Revenue towards satisfaction of a performance obligation is measured and recognized at transaction price, when the control of the goods or services has been transferred to consumers net of discounts and other similar allowances.

(i) Revenue from power supply is accounted for in accordance with the rates, terms and conditions laid down under the relevant Tariff Regulations / Tariff Orders notified by the Electricity Regulators / agreements entered with the customers / power exchange rates, as applicable. Revenue recognised includes amounts billed to consumers on the basis of recording of consumption of energy by installed meters based on the applicable tariff and adjustments in respect of unbilled amounts towards revenue gaps / unapproved Fuel and Power Purchase Price Adjustment (FPPPA) which are recognised considering applicable tariff regulations / tariff orders, past trends of approval, management's probability estimate and when no significant uncertainty exists in such determination. Revenue from power supply exclude taxes and duties.

These adjustments / accruals are carried forward as 'Unbilled revenue' under "Other current financial assets" in Note 21, which would be adjusted through future billing based on tariff determination by the regulator in accordance with the electricity regulations.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 2: Significant accounting policies (Contd.)

(ii) Trading of RLNG are recognised, net of returns and rebates, on transfer of control of ownership to the buyer. Sales exclude Goods and Services Tax.

(iii) Income from Generation Based Incentive is accounted on accrual basis considering eligibility of project for availing incentive.

(iv) Contributions by consumers towards items of property, plant and equipment, which require an obligation to provide electricity connectivity to the consumers, are recognised as a credit to deferred revenue. Such revenue is recognised over the useful life of the property, plant and equipment.

2.13 Foreign currency translation:

Functional and presentation currency

The financial statements are prepared in Indian rupee (₹) which is functional as well as presentation currency of the Company.

Transactions and balances

In preparing the financial statements of the Company, transactions in currencies other than the entity's functional currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Foreign exchange differences arising on foreign currency borrowings are presented in the Statement of profit and loss, within finance costs. All other foreign exchange differences arising on settlement of monetary items or on reporting the Company's monetary items at rates different from those at which they were initially recorded during the financial year are recognized as income or expense in the financial year in which they arise.

2.14 Employee benefits:

Defined contribution plans

Contributions to retirement benefit plans in the form of provident fund, employee state insurance scheme, pension scheme and superannuation schemes as per regulations are charged as an expense on an accrual basis when employees have rendered the service. The Company has no further payment obligations once the contributions have been paid.

Defined benefits plans

The liability or asset recognised in the balance sheet in respect of the retirement benefit plan i.e. gratuity plan is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated by an actuary using projected unit credit method.

The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows by reference to market yields at the end of the reporting period on government bonds that have terms approximating to the terms of the related obligations.

The net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of the plan assets. This cost is included in the employee benefit expense in the statement of profit and loss.

Remeasurements, comprising actuarial gains and losses and the effect of the changes to the asset ceiling (if applicable), is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur and consequently recognised in retained earnings and is not reclassified to profit or loss.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 2: Significant accounting policies (Contd.)

The retirement benefit recognised in the balance sheet represents the actual deficit or surplus in the Company's defined benefit plans. Any surplus resulting from this calculation is limited to the present value of any economic benefits available in the form of reductions in future contributions to the plans.

Other long-term employee benefit obligations

The liabilities for earned leave and sick leave are not expected to be settled wholly within 12 months after the end of the period in which the employees render the related service. They are therefore measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. The benefits are discounted using the market yields at the end of the reporting period that have terms approximating to the terms of the related obligation. Remeasurements as a result of experience adjustments and changes in actuarial assumptions are recognised in profit or loss.

The said obligations are presented as current liabilities in the balance sheet if the entity does not have an unconditional right to defer settlement for at least twelve months after the reporting period, regardless of when the actual settlement is expected to occur.

2.15 Taxation:

Income tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on estimated taxable income for the year in accordance with the provisions of the Income Tax Act, 1961. Taxable profit differs from 'profit before tax' as reported in the statement of profit and loss because of items of income or expenses that are taxable or deductible in other years and items that are never taxable or deductible. Management periodically evaluates positions taken in the tax returns with respect to situations for which applicable tax regulations are subject to interpretation and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Company measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Advance taxes and provisions for current income taxes are offset with each other when there is a legally enforceable right to offset and balances arise with the same tax authority.

Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences.

Deferred tax assets are generally recognised for all deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 2: Significant accounting policies (Contd.)

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority.

Deferred tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity.

2.16 Earnings per share:

Basic earnings per share is computed by dividing the profit / (loss) by the weighted average number of equity shares outstanding during the year.

Diluted earnings per share is computed by adjusting the figures used in the determination of basic EPS to take into account:

- After tax effect of interest and other financing costs associated with dilutive potential equity shares.
- The weighted average number of additional equity shares that would have been outstanding assuming the conversion of all dilutive potential equity shares.

2.17 Provisions, contingent liabilities and contingent assets:

Provisions

A provision is recognized when the Company has a present obligation as a result of past events and it is probable that an outflow of resources will be required to settle the obligation in respect of which a reliable estimate can be made.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

Contingent liability

A possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise are disclosed as contingent liability and not provided for. Such liability is not disclosed if the possibility of outflow of resources is remote.

Contingent assets

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

Contingent assets are not recognised but disclosed only when an inflow of economic benefits is probable.

2.18 Financial instruments:

Financial assets

i) Classification of financial assets (including debt instruments)

The Company classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value (either through other comprehensive income, or through profit or loss), and
- those measured at amortised cost.

The classification depends on the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 2: Significant accounting policies (Contd.)

ii) Initial measurement

Financial assets (excluding trade receivables) are initially measured at fair value. Transaction costs that are directly attributable to the acquisition (other than financial assets at fair value through profit or loss) are added to the fair value of the financial assets, as appropriate, on initial recognition. Transaction costs that are directly attributable to the acquisition or issue of financial assets at fair value through profit or loss are recognised immediately in profit or loss. Trade receivables which do not contain a significant financing component are measured at transaction price.

iii) Subsequent measurement

There are three measurement categories into which the debt instruments can be classified:

- **Amortised cost**

  Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/(losses). Impairment losses are presented as separate line item in the statement of profit and loss.

- **Fair value through other comprehensive income (FVOCI)**

  Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income (FVOCI). Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses which are recognised in profit and loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains / (losses). Interest income from these financial assets is included in other income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains and losses and impairment expenses in other expenses. The Company currently does not have any debt instruments which are measured at FVOCI.

- **Fair value through profit or loss (FVTPL)**

  Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss is recognised in profit or loss and presented net in the statement of profit and loss within other gains / (losses) in the period in which it arises. Net gains / (losses) from these financial assets is included in other income.

iv) Impairment of financial assets

The Company assesses on a forward looking basis the expected credit losses associated with its financial assets carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

For trade receivables or any contractual right to receive cash or another financial asset that result from transactions that are within the scope of Ind AS 115, the Company follows 'simplified approach' for recognition of impairment loss and always measures the loss allowance at an amount equal to lifetime expected credit losses to measure the expected credit losses, trade receivables have been grouped based on days past due. The policy of the Company is to provide for credit loss takes into consideration of factors such as type of Consumers i.e. Government Consumers / Non Government consumers, Status of Consumers i.e. Live consumers / Disconnected consumers and Security deposits provided by the Consumer.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 2: Significant accounting policies (Contd.)

v) Derecognition of financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e. removed from the Company's balance sheet) when:

- The rights to receive cash flows from the asset have expired, or
- The Company has transferred its rights to receive cash flows from the asset

When the entity has transferred an asset, the Company evaluates whether it has transferred substantially all risks and rewards of ownership of the financial asset. In such cases, the financial asset is derecognised. Where the entity has not transferred substantially all risks and rewards of ownership of the financial asset, the financial asset is not derecognised.

Where the entity has neither transferred a financial asset nor retains substantially all risks and rewards of ownership of financial asset, the financial asset is derecognised if the Company has not retained control over the financial asset. Where the Company retains control of the financial asset, the asset is continued to be recognised to the extent of continuing involvement in the financial asset.

vi) Income recognition

Dividend is accounted when the right to receive payment is established.

Interest income on financial assets at amortised cost is calculated using the effective interest method is recognised in the statement of profit and loss as part of other income.

Interest on overdue receivables of energy bills and claims including insurance claims, coal cost variation and other claims etc. are accounted when there is a certainty of recovery.

Financial liabilities

i) Classification

All the Company's financial liabilities are measured at amortized cost.

ii) Initial measurement

Financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the issue of financial liabilities are deducted from the fair value of the financial liabilities, as appropriate, on initial recognition.

iii) Subsequent measurement

Financial liabilities are subsequently measured at amortised cost using the Effective Interest Rate Method.

The Effective Interest Rate Method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including transaction costs and other premiums or discounts) through the expected life of the financial liability.

iv) Derecognition of financial liabilities

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or waived off or have expired. An exchange between the Company and the lender of debt instruments with substantially different terms is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 2: Significant accounting policies (Contd.)

v) **Financial guarantee contracts**

Financial guarantee contracts issued by the Company are those contracts that require a payment to be made to reimburse the holder for a loss it incurs because the specified debtor fails to make a payment when due in accordance with the terms of a debt instrument. Financial guarantee contracts are recognised initially as a liability at fair value. Subsequently, the liability is measured at the higher of the amount of loss allowance determined as per impairment requirements of Ind AS 109 and the amount recognised less cumulative amortisation.

2.19 Contributed equity:

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Transaction costs of an equity transaction shall be accounted for in other equity.

2.20 Leases:

Company as a lessee:

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Company. Contracts may contain both lease and non-lease components.

Lease liabilities:

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the lease payments.

The lease payments include fixed payments (including in substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses in the period in which the event or condition that triggers the payment occurs. Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

The lease payments are discounted using the lessee's incremental borrowing rate. Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Right-of-use assets:

Right-of-use assets are measured at cost comprising the amount of the initial measurement of lease liability and lease payments made before the commencement date.

Right-of-use assets are depreciated over the lease term on a straight-line basis. Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, and lease payments made at or before the commencement date less any lease incentives received.

Right-of-use assets are depreciated over the asset's lease term on a straight-line basis.

Short term leases and leases of low value assets:

Payments associated with short-term leases of equipment and all leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprise small items of office equipment including IT equipment.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 2: Significant accounting policies (Contd.)

2.21 Exceptional Items:

When items of income or expense are of such nature, size and incidence that their disclosure is necessary to explain the performance of the Company for the year, the company makes a disclosure of the nature and amount of such items separately under the head “Exceptional items.”

2.22 Amount presented and rounding off:

All amounts in the financial statements and notes have been presented in ₹ Crore (except for share data) rounded to two decimals as per the requirement of Schedule III of the Companies Act, 2013, unless otherwise stated. Figures below ₹ 50,000 are denoted by ‘*’.

Note 3: Critical accounting judgements and key sources of estimation uncertainty

In the course of applying the policies outlined in all notes under note 2 above, the management of the Company is required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

Such estimates and associated assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future period, if the revision affects current and future periods.

3.1 Revenue recognition:

The Company has recognised revenue (including the adjustment in respect of unapproved FPPPA claims and other true up adjustment claims) as per the applicable tariff regulations / tariff orders, management’s probability estimate and the past trends of approval. The company has not recognized those truing up adjustment claims which are disputed and for which the company is in appeal with regulatory authorities. These are recognised on receipt of final orders of respective regulatory authorities. [Refer note 35 & 43]

3.2 Property, plant and equipment:

(i) Service concession arrangements

The Company has assessed applicability of Appendix D of Ind AS 115 “Service Concession Arrangements” with respect to its Property, plant and equipment. In assessing the applicability, the Company has exercised judgment in relation to the provisions of the Electricity Act, 2003, conditions provided under transmission and distribution license and / or agreements. Further, the Company has ability to pledged the assets pursuant to which it has control and ability to direct the use of assets. Based on such assessment, it has concluded that Appendix D of Ind AS 115 is not applicable.

(ii) Impairment of property, plant and equipment

Determining whether property, plant and equipment are impaired requires an estimation of the value in use of the relevant cash generating units. The value in use calculation is based on a Discounted Cash Flow model over the estimated useful life of the property, plant and equipment. Further, the cash flow projections are based on estimates and assumptions relating to expected demand, future price of fuel, expected tariff rates for electricity, discount rate, exchange rate and electricity market scenario, based on past trends and the current and likely future state of the industry etc. which are considered reasonable by the Management. Any reasonable possible change in the underlying assumptions would not lead to a material change to the amount of impairment. [Refer note 41(1)].

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 3: Critical accounting judgements and key sources of estimation uncertainty (Contd.)

3.3 Impairment of investments in subsidiaries

At the end of each reporting period, the Company reviews the carrying amounts of its investments in subsidiaries when there is an indication for impairment. If the recoverable amount is less than its carrying amount, the impairment loss is accounted for. [Refer note 41(2)]

Impairment of loans

The Company applies the Ind AS 109 simplified approach to measure expected credit losses which uses a lifetime expected loss allowance for loans granted by the Company to its subsidiaries.

3.4 Taxes:

Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies, including estimates of temporary differences reversing on account of available benefits from the Income Tax Act, 1961.

Deferred tax assets are recognised for unused tax credits to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Management judgement is required to determine the amount of deferred tax assets for unused tax credits that can be recognised, based upon the likely timing and the level of future taxable profits [Refer note 42(d)]

3.5 Contingencies:

Contingent liabilities

In the normal course of business, contingent liabilities may arise from litigation and other claims against the Company. Potential liabilities that are possible but not probable of crystallising or are very difficult to quantify reliably are treated as contingent liabilities. Such liabilities are disclosed in the notes but are not recognised. Potential liabilities that are remote are neither recognized nor disclosed as contingent liability. The management judgement is involved in classification under ‘remote’, ‘possible’ or ‘probable’ which is carried out based on expert advice, past judgements, experiences etc. [Refer note 44(a)]

3.6 Employee benefit plans:

Defined benefit plans and other long-term employee benefits

The present value of obligations under defined benefit plan and other long term employment benefits is determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual development in the future. These include the determination of the discount rate, future salary escalations, attrition rate and mortality rates. Due to the complexities involved in the valuation and its longterm nature, these obligations are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Information about the various estimates and assumptions made in determining present value of defined benefit obligation are disclosed in note 48.2.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 4 : Property, Plant and Equipment

As at March 31, 2023

(₹ in Crore)

Particulars	Gross carrying amount					Accumulated depreciation and impairment loss					Net carrying amount
	As at April 1, 2022	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at April 1, 2022	For the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at March 31, 2023
Freehold land	404.87	75.69	-	7.24	487.80	-	-	-	-	-	487.80
Buildings	1,776.06	246.43	1.12	15.03	2,036.40	356.73	65.54	0.21	2.82	424.88	1,611.52
Leasehold improvement	4.05	0.52	-	-	4.57	0.67	0.68	-	-	1.35	3.22
Railway siding	1.86	-	-	-	1.86	0.35	0.05	-	-	0.40	1.46
Plant and machinery	21,490.01	1,142.38	56.24	5.00	22,581.15	9,435.01	945.31	30.01	(2.82)	10,347.49	12,233.66
Electrical fittings and apparatus	54.52	12.52	0.15	0.05	66.94	20.82	3.24	0.09	-	23.97	42.97
Furniture and fixtures	63.69	13.21	0.16	-	76.74	20.60	4.15	0.11	-	24.64	52.10
Vehicles	30.01	6.06	2.09	-	33.98	11.32	3.11	1.22	-	13.21	20.77
Office equipment	188.45	25.82	4.47	0.29	210.09	71.56	16.44	3.18	-	84.82	125.27
Total	**24,013.52**	**1,522.63**	**64.23**	**27.61**	**25,499.53**	**9,917.06**	**1,038.52**	**34.82**	**-**	**10,920.76**	**14,578.77**

As at March 31, 2022

(₹ in Crore)

Particulars	Gross carrying amount					Accumulated depreciation and impairment loss					Net carrying amount
	As at April 1, 2021	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2022	As at April 1, 2021	For the year		Deductions during the year	As at March 31, 2022	As at March 31, 2022
							Depreciation	Impairment			
Freehold land	422.62	-	4.85	(12.90)	404.87	-	-	-	-	-	404.87
Buildings	1,668.68	112.79	6.41	1.00	1,776.06	298.18	59.83	-	1.28	356.73	1,419.33
Leasehold improvement	-	0.58	-	3.47	4.05	-	0.67	-	-	0.67	3.38
Railway siding	1.86	-	-	-	1.86	0.30	0.05	-	-	0.35	1.51
Plant and machinery	20,429.17	1,117.42	58.85	2.27	21,490.01	7,035.82	1,126.75	1,300.00	27.56	9,435.01	12,055.00
Electrical fittings and apparatus	51.02	6.39	0.13	(2.76)	54.52	17.91	2.99	-	0.08	20.82	33.70
Furniture and fixtures	56.59	7.63	0.53	-	63.69	17.14	3.79	-	0.33	20.60	43.09
Vehicles	28.14	5.06	3.32	0.13	30.01	10.84	2.84	-	2.36	11.32	18.69
Office equipment	163.84	22.88	1.33	3.06	188.45	56.95	15.51	-	0.90	71.56	116.89
Total	**22,821.92**	**1,272.75**	**75.42**	**(5.73)**	**24,013.52**	**7,437.14**	**1,212.43**	**1,300.00**	**32.51**	**9,917.06**	**14,096.46**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 4 : Property, Plant and Equipment (Contd.)

Footnotes:

1 The above property, plant and equipment have been mortgaged and hypothecated to secure borrowings of the Company [Refer note 25].

2 Capital commitment:

Refer note 44(c) for disclosure of contractual commitments for the acquisition of property, plant and equipment.

3 Adjustments during the year include capitalisation of borrowing costs of ₹ 27.61 Crore (Previous year - ₹ 7.17 Crore), which are directly attributable to purchase / construction of qualifying assets in accordance with Ind AS - 23 "Borrowing Costs".

4 Adjustments during the previous year include change in nature of freehold land from Property, plant and equipment to Investment property of ₹ 12.90 Crore.

5 The weighted average rate for capitalisation of borrowing cost relating to general borrowing is in the range of 7.62% p.a. to 7.67% p.a. (Previous year 7.27% p.a. to 7.30% p.a.).

6 Additions to plant and machinery includes capitalisation of directly attributable costs incurred by the Company under various headings.

7 Refer note 41(1) for impairment loss in respect of DGEN power plant.

8 The closing balance of accumulated depreciation and impairment consist impairment loss of ₹ 2,314.07 Crore (March 31, 2022 - ₹ 2,314.07 Crore).

9 The Company has not revalued its property, plant and equipment during the current or previous year.

10 Refer note 60 for title deeds of immovable property not held in the name of the Company.

11 Pro-rata cost of assets owned jointly with Torrent Pharmaceuticals Limited, a fellow subsidiary are as under:

(₹ in Crore)

Particulars	Proportion of holding	As at March 31, 2023	As at March 31, 2022
Freehold land	50%	23.58	23.58
Freehold land	70%	83.16	83.16
Building	70%	3.04	3.04

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 5 : Right-of-use Assets

As at March 31, 2023

(₹ in Crore)

Particulars	Gross carrying amount					Accumulated depreciation					Net carrying amount
	As at April 1, 2022	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at April 1, 2022	For the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at March 31, 2023
Land	173.28	1.18	-	(4.65)	169.81	20.74	7.01	-	(0.54)	27.21	142.60
Buildings	36.04	2.99	2.73	-	36.30	10.36	4.18	1.18	-	13.36	22.94
Plant and machinery	0.38	-	-	-	0.38	0.15	0.05	-	-	0.20	0.18
Office equipment	0.14	-	-	-	0.14	0.12	0.02	-	-	0.14	-
Total	**209.84**	**4.17**	**2.73**	**(4.65)**	**206.63**	**31.37**	**11.26**	**1.18**	**(0.54)**	**40.91**	**165.72**

As at March 31, 2022

(₹ in Crore)

Particulars	Gross carrying amount				Accumulated depreciation				Net carrying amount
	As at April 1, 2021	Additions during the year	Deductions during the year	As at March 31, 2022	As at April 1, 2021	For the year	Deductions during the year	As at March 31, 2022	As at March 31, 2022
Land	171.94	1.34	-	173.28	13.79	6.95	-	20.74	152.54
Buildings	27.70	10.77	2.43	36.04	7.84	4.40	1.88	10.36	25.68
Plant and machinery	0.38	-	-	0.38	0.10	0.05	-	0.15	0.23
Office equipment	0.14	-	-	0.14	0.08	0.04	-	0.12	0.02
Total	**200.16**	**12.11**	**2.43**	**209.84**	**21.81**	**11.44**	**1.88**	**31.37**	**178.47**

Footnotes:

1 The above right-of-use assets have been mortgaged and hypothecated to secure borrowings of the Company [Refer note 25].

2 Adjustments during the year include change in nature of land from Right-of-use assets to Investment property of ₹ 4.11 Crore (net).

3 Refer note 47 for disclosure relating to right-of-use asset.

4 Refer note 60 for title deeds of right-of-use assets not held in the name of the Company.

5 The Company has not revalued its right-of-use assets during the current or previous year.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 6 : Capital Work-in-Progress

As at March 31, 2023

(₹ in Crore)

Particulars	As at April 1, 2022	Additions during the year	Capitalised during the year	Adjustment during the year	As at March 31, 2023
Capital work-in-progress	1,186.07	1,867.40	1,432.91	(11.57)	1,608.99
Total	**1,186.07**	**1,867.40**	**1,432.91**	**(11.57)**	**1,608.99**

As at March 31, 2022

(₹ in Crore)

Particulars	As at April 1, 2021	Additions during the year	Capitalised during the year	Adjustment during the year	As at March 31, 2022
Capital work-in-progress	837.73	1,528.70	1,179.93	(0.43)	1,186.07
Total	**837.73**	**1,528.70**	**1,179.93**	**(0.43)**	**1,186.07**

Footnotes:

1 The above capital work-in-progress have been mortgaged and hypothecated to secure borrowings of the Company [Refer note: 25].

2 Capital work-in-progress include borrowing costs of ₹ 47.62 Crore (March 31, 2022 - ₹ 30.94 Crore), which are directly attributable to purchase / construction of qualifying assets in accordance with Ind AS - 23 “Borrowing Costs”.

3 Adjustment during the year includes ₹ 11.57 Crore (including ₹ 1.49 Crore related to borrowing cost) (previous year - ₹ 0.43 Crore) write off.

4 Capital work-in-progress mainly comprises Plant and machinery, Buildings and Freehold land.

5 Refer note 59 for ageing schedule of the capital work-in-progress.

Note 7 : Investment Property

As at March 31, 2023

(₹ in Crore)

Particulars	Gross carrying amount					Accumulated depreciation				Net carrying amount
	As at April 1, 2022	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at April 1, 2022	For the year	Deductions during the year	As at March 31, 2023	As at March 31, 2023
Freehold land	13.27	2.17	9.79	4.11	9.76	-	-	-	-	9.76
Total	**13.27**	**2.17**	**9.79**	**4.11**	**9.76**	**-**	**-**	**-**	**-**	**9.76**

As at March 31, 2022

(₹ in Crore)

Particulars	Gross carrying amount					Accumulated depreciation				Net carrying amount
	As at April 1, 2021	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2022	As at April 1, 2021	For the year	Deductions during the year	As at March 31, 2022	As at March 31, 2022
Freehold land	0.37	-	-	12.90	13.27	-	-	-	-	13.27
Total	**0.37**	**-**	**-**	**12.90**	**13.27**	**-**	**-**	**-**	**-**	**13.27**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 7 : Investment Property (Contd.)

Footnotes:

1 The above investment property have been mortgaged and hypothecated to secure borrowings of the company [Refer Note - 25].

2 The Company had leased the part of freehold land with effect from January 15, 2021 as disclosed above to TCL Cables Private Limited for the lease term of 10 years.

3 Adjustments during the year is due to change in nature of leasehold land from Right-of-use assets of ₹ 4.11 Crore (Previous year : freehold land from property plant and equipment of ₹ 12.90 Crore) to Investment property.

4 Details of the Company's investment property and information about the fair value hierarchy are as follows:

Particulars	As at March 31, 2023	As at March 31, 2022
Fair value of investment property (₹ in Crore)	159.10	179.39
Fair value hierarchy	Level 2 [Refer note 56]	Level 2 [Refer note 56]

The fair value of the Company's investment property has been arrived based on a valuation report by external independent valuer. Valuation is based on government rates, market research, market trend and comparable values as considered appropriate.

5 The company has no restrictions on the realisability of its investment properties and no contractual obligations to purchase, construct or develop such investment properties or for repairs, maintenance and enhancements thereof.

6 The company has not revalued its investment property during the current or previous year.

7 The title deeds of investment property are held in the name of the Company as at March 31, 2023 and March 31,2022.

8 Amount recognised in statement of profit and loss for investment property :

(₹ in Crore)

Particulars	Year ended March 31, 2023	Year ended March 31, 2022
Rental income derived from investment property [Refer note 36]	1.16	1.16
Direct operating expenses arising from investment property that generated rental income	-	-
Direct operating expenses arising from investment property that did not generate rental income	-	-

9 Minimum undiscounted lease payments receivable (excluding tax) on leases of investment property are as follows:

(₹ in Crore)

Particulars	As at March 31, 2023	As at March 31, 2022
Within 1 Year	1.16	1.16
After one year but not more than five years	5.25	5.01
More than 5 years	4.05	5.45
	10.46	**11.62**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 8 : Intangible Assets

As at March 31, 2023

(₹ in Crore)

Particulars	Gross carrying amount				Accumulated amortisation				Net carrying amount
	As at April 1, 2022	Additions during the year	Deductions during the year	As at March 31, 2023	As at April 1, 2022	For the year	Deductions during the year	As at March 31, 2023	As at March 31, 2023
Computer software	66.18	1.99	0.34	67.83	47.19	9.30	0.31	56.18	11.65
Total	**66.18**	**1.99**	**0.34**	**67.83**	**47.19**	**9.30**	**0.31**	**56.18**	**11.65**

As at March 31, 2022

(₹ in Crore)

Particulars	Gross carrying amount				Accumulated amortisation				Net carrying amount
	As at April 1, 2021	Additions during the year	Deductions during the year	As at March 31, 2022	As at April 1, 2021	For the year	Deductions during the year	As at March 31, 2022	As at March 31, 2022
Computer software	55.69	10.64	0.15	66.18	37.30	10.02	0.13	47.19	18.99
Total	**55.69**	**10.64**	**0.15**	**66.18**	**37.30**	**10.02**	**0.13**	**47.19**	**18.99**

Footnotes:

1 The above computer software has been mortgaged and hypothecated to secure borrowings of the Company [Refer note 25].

2 The Company has not revalued its intangible assets during the current or previous year.

Note 9 : Investments in Subsidiaries

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Investment in equity instruments (unquoted) (at cost)		
Torrent Power Grid Limited Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 6,66,00,000, March 31, 2022: 6,66,00,000) [2,70,00,000 (March 31, 2022 - 2,70,00,000) equity shares pledged as security in respect of the term loan availed by Torrent Power Grid Limited]	66.60	66.60
Torrent Pipavav Generation Limited [Refer note 41(2)] Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 4,75,00,000, March 31, 2022: 4,75,00,000)	47.50	47.50
Less: Impairment in value of investment	(18.35)	(17.55)
Torrent Solargen Limited [Refer footnote 2] Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 8,00,50,000, March 31, 2022: 8,00,50,000)	88.86	88.86
Jodhpur Wind Farms Private Limited Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 11,10,00,000, March 31, 2022: 11,10,00,000)	117.68	117.68
Latur Renewable Private Limited Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 11,00,00,000, March 31, 2022: 11,00,00,000)	116.68	116.68
TCL Cables Private Limited Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 4,20,00,000 , March 31, 2022: 4,20,00,000)	42.00	42.00

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 9 : Investments in Subsidiaries (Contd.)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Torrent Solar Power Private Limited Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 50,000, March 31, 2022: 50,000)	0.05	0.05
Torrent Saurya Urja 2 Private Limited Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 50,000, March 31, 2022: 50,000)	0.05	0.05
Torrent Saurya Urja 3 Private Limited Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 50,000, March 31, 2022: 50,000)	0.05	0.05
Torrent Saurya Urja 4 Private Limited Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 50,000, March 31, 2022: 50,000)	0.05	0.05
Torrent Saurya Urja 5 Private Limited Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 50,000, March 31, 2022: 50,000)	0.05	0.05
Visual Percept Solar Projects Private Limited [Refer footnote 6] Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 1,74,50,000, March 31, 2022: 1,74,50,000)	162.62	162.62
Surya Vidyut Limited [Refer footnote 1 & 7] Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 25,19,05,800 March 31, 2022: 25,19,05,800) [1,41,70,740 (March 31,2022 - NIL) equity shares pledged as security in respect of the term loan availed by Surya Vidyut Limited.]	311.47	304.73
Torrent Saurya Urja 6 Private Limited [Refer footnote 8 & 9] (Formerly known as LREHL Renewables India SPV 1 Private Limited) Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 2,34,30,901, March 31, 2022: 1,37,25,573) [Nil (March 31, 2022 - 1,37,25,572) equity shares pledged as security in respect of the term loan availed by Torrent Saurya Urja 6 Private Limited]	98.79	46.96
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited [Refer footnote 3] Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 51,000 , March 31, 2022: Nil)	586.06	-
SunShakti Solar Power Projects Private Limited [Refer footnote 4 & 10] Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 61,250, March 31, 2022: Nil)	142.62	-
Wind Two Renergy Private Limited [Refer footnote 5] Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 3,25,10,000, March 31, 2022: Nil)	32.51	-
	1,795.29	**976.33**
Investment in compulsorily convertible debentures (unquoted) (at cost)		
Torrent Saurya Urja 6 Private Limited [Refer footnote 8 & 9] (Formerly known as LREHL Renewables India SPV 1 Private Limited) Compulsorily Convertible Debentures (CCDs) of ₹ 10 each fully paid up (No. of debentures - March 31, 2023: Nil, March 31, 2022: 5,18,36,156) [Nil (March 31, 2022 - 5,18,36,156) CCDs are pledged as security in respect of the term loan availed by Torrent Saurya Urja 6 Private Limited.]	-	51.84
	-	**51.84**
	1,795.29	**1,028.17**
Aggregate amount of quoted investments	-	-
Aggregate amount of unquoted investments	1,795.29	1,028.17
	1,795.29	**1,028.17**
Aggregate amount of impairment in value of investments	18.35	17.55
Aggregate amount of market value of quoted investments	-	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 9 : Investments in Subsidiaries (Contd.)

Footnotes:

1 During the year, Company has given corporate guarantees in favour of lender of subsidiary company and has recognised fair value of corporate guarantee as equity investment in Surya Vidyut Limited.

2 During the previous year, Company has given corporate guarantees in favour of Lender of subsidiary company and has recognised fair value of corporate guarantee as equity investment in Torrent Solargen Limited.

3 On March 15, 2022, the Company had entered into a Share Purchase Agreement (SPA) and Shareholders Agreement (SHA) with 'The Hon'ble Administrator of the Union Territory of Dadra and Nagar Haveli and Daman and Diu' (the 'Holding Entity') and 'Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited' (the 'DNHDDPDCL') for purchase of 51% shares of the DNHDDPDCL from the Holding Entity for a consideration of ₹ 555.00 Crore plus consideration adjustment of ₹ 31.06 Crore as per terms of SPA, on account of notified balance sheet of the DNHDDPDCL as at April 01 ,2022 i.e. total consideration of ₹ 586.06 Crore.

Basis the SPA and SHA read with The Dadra and Nagar Haveli and Daman and Diu Electricity (Reorganisation and Reforms) Transfer Scheme, 2022 (the "transfer scheme"), the effective date of transfer has been notified by the UT Administrator, Union Territory of Dadra and Nagar Haveli and Daman and Diu as April 1, 2022 ('Acquisition date') for the purpose of implementing the transfer scheme.

DNHDDPDCL is the licensee to carry out the function of distribution and retail supply of electricity in the Dadra and Nagar Haveli District of the Union Territory of Dadra and Nagar Haveli and Daman and Diu for a period of 25 years effective from the acquisition date.

The Company has taken formal takeover of power distribution operations in the Union Territory of Dadra & Nagar Haveli and Daman & Diu from April 1, 2022.

Accordingly, the amount of purchase consideration paid for acquiring the shares of the distribution company has been shown as "Advance against equity investment" under Other financial assets as at March 31, 2022 in the standalone financial results, which has been transferred to Investments in subsidiaries as on Acquisition date.

Consideration adjustment of ₹ 31.06 Crore, included under "Other current financial liabilities", has been paid subsequent to year end on April 29, 2023.

4 On April 23, 2022, the Company had entered into a Securities Purchase Agreement (SPA) with SkyPower Southeast Asia III Investments Limited, SkyPower Southeast Asia Holdings 2 Limited (the Sellers) for the acquisition of 100% of the share capital and all securities of Sunshakti Solar Power Projects Private Limited (SSPPPL), which operates 50 MW solar power plant, situated in the state of Telangana. On completion of the conditions precedent to SPA, SSPPPL had become wholly owned subsidiary of the Company w.e.f. June 13, 2022.

5 On July 30, 2022, the Company had acquired 100% of paid-up capital of Wind Two Renergy Private Limited (WTRPL) from Inox Green Energy Services Limited (formerly known as Inox Wind Infrastructure Services Limited). WTRPL operates 50 MW Wind power plant, situated in the state of Gujarat. On acquisition of shares, WTRPL had become wholly owned subsidiary of the Company w.e.f. July 30, 2022 which was Associate of the Company till July 29, 2022.

6 On February 10, 2022, the Company had entered into a Share Purchase Agreement (SPA) with Blue Daimond Properties Private Limited and Balarampur Chini Mills Limited, for acquisition of 100% of Shares of Visual Percept Solar Projects Private Limited (VPSPPL), which operates a 25 MW solar power plant, situated in the state of Gujarat. On completion of the conditions precedent to SPA, VPSPPL had become wholly owned subsidiary of the Company w.e.f. February 15, 2022.

7 On September 20, 2021, the Company had entered into a Share Purchase Agreement (SPA) with CESC Limited, Haldia Energy Limited and other Nominal Shareholders for the acquisition of 100% of the share capital of Surya Vidyut Limited (SVL), which operates a 156 MW wind power plants, situated in the states of Gujarat, Maharashtra and Madhya Pradesh. On completion of the conditions precedent to SPA, SVL had become wholly owned subsidiary of the Company w.e.f. March 11, 2022.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 9 : Investments in Subsidiaries (Contd.)

8 On July 30, 2021, the Company had entered into a Securities Purchase Agreement (SPA) with Lightsource India Limited and Lightsource Renewable Energy (India) Limited for the acquisition of 100% of the share capital and all securities of Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited) (TSU6), which operates a 50 MW solar power plant, situated in the state of Maharashtra. On completion of the conditions precedent to SPA, TSU6 had become wholly owned subsidiary of the Company w.e.f. March 25, 2022.

9 The Company has exercised option for conversion of compulsorily convertible debentures (CCD) into Equity shares as per the terms of CCD subscription agreement in March 2023. Subsequent to the year end, Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited) is under process of allotting 97,05,328 equity shares to the Company; based on fair value of equity shares valued by independent valuer.

10 The Company has exercised option for conversion of compulsorily convertible debentures (CCD) into Equity shares as per the terms of CCD subscription agreement in March 2023. Subsequent to the year end, on May 26, 2023, 15,756 equity shares of SunShakti Solar Power Projects Private Limited have been alloted to the Company; based on fair value of equity shares valued by independent valuer at the time of issue of CCD.

Note 10 : Non-Current Other Investments

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Investment in non-convertible debentures (unquoted) (at amortised cost)		
Wind Two Renergy Private Limited^ Zero coupon secured, redeemable with premium, non-convertible debentures of ₹ 1,00,000 each (No. of debentures - March 31, 2023: Nil, March 31, 2022: 9,070)	-	116.89
	-	**116.89**
Investment in equity instruments (unquoted) (at fair value through profit or loss)		
AEC Cements & Constructions Limited Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 9,61,500, March 31, 2022: 9,61,500) [As at March 31, 2023 & March 31, 2022 Gross investment - ₹ 0.61 Cr, Impairment in value of investment - ₹ 0.61 Cr]	-	-
Tidong Hydro Power Limited Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 24,500, March 31, 2022: 24,500) [As at March 31, 2023 & March 31, 2022 Gross investment - ₹ 0.02 Cr, Impairment in value of investment - ₹ 0.02 Cr]	-	-
UNM Foundation (Formerly known as Tornascent Care Institute) @ Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 50,000, March 31, 2022: 50,000)	0.05	0.05
	0.05	**0.05**
Contingency reserve investments - statutory (quoted) (at amortised cost) $	15.89	15.88
	15.89	**15.88**
	15.94	**132.82**
Aggregate amount of quoted investments	15.89	15.88
Aggregate amount of unquoted investments	0.05	116.94
	15.94	**132.82**
Aggregate amount of impairment in value of investments	0.63	0.63
Aggregate amount of market value of quoted investments	15.70	16.30

^ During the year 7,276 nos. of non-convertible debentures(NCDs) have been reedemed with premium.

@ The Company has, jointly with Torrent Pharmaceuticals Limited, promoted section 8 company, i.e UNM Foundation (formerly known as Tornascent Care Institute), under the Companies Act, 2013 for the purpose of carrying out charitable activities.

$ Investment in Government of India bonds have been made in terms of Gujarat Electricity Regulatory Commission (GERC) Multi-Year Tariff (MYT) Regulations, which can be utilised only for the purposes mentioned therein. [Refer note 24 - Contingency reserve]

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 11 : Non-Current Loans

Unsecured (considered good)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Loans to related parties (including interest accrued) [Refer note 55(d)]	1,507.56	349.32
	1,507.56	**349.32**

Note 12 : Other Non-Current Financial Assets

Unsecured (considered good)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Security deposits	16.99	16.64
Inter-corporate deposits #	-	80.00
Advance against equity investment [Refer footnote 1 & footnote 3 of Note 9]	3.00	555.00
Bank fixed deposits	0.94	1.02
Other advances	0.09	0.15
	21.02	**652.81**

a lien has been created in favour of lenders.

Footnote:

1 On February 08 ,2023, the Company had entered into a Binding term sheet with Powerica Limited and Vestas Wind Technology India Private Limited (the Sellers) for the acquisition of 100% share capital of Airpower Windfarms Private Limited, which holds leasehold revenue land situated in the state of Gujarat for the purpose of development of wind power project. Enterprise value estimated for this acquisition is approx ₹ 21.74 Crore The acquisition is subject to Share Purchase Agreement and/or other allied agreements and customary conditions for transaction closure.

Accordingly, advance amount of ₹ 3.00 Crore given to the sellers as per binding term sheet is shown as “Advance against equity investment” as at March 31, 2023 in standalone financial statement.

Note 13 : Non-Current Tax Assets

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Advance income tax (net)	8.09	8.64
	8.09	**8.64**

Note 14 : Other Non-Current Assets

Unsecured (considered good)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Capital advances	80.54	120.06
Advances for goods and services	118.32	133.59
Balances with government authorities	65.13	58.70
Prepaid expenses	17.21	18.77
	281.20	**331.12**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 15 : Inventories

(valued at lower of cost and net realizable value)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Stores and spares	302.66	268.71
Fuel	340.10	166.48
Loose tools	2.95	2.77
	645.71	**437.96**

Footnotes:

1 The cost of stores and spares inventories recognised as an expense includes ₹ 3.66 Crore (Previous year - ₹ 1.36 Crore) in respect of write-downs of inventory to net realisable value determined based on evaluation of slow and non-moving inventories.

2 The above carrying amount of inventories has been mortgaged and hypothecated to secure borrowings of the Company. [Refer note 25]

3 The above carrying amount includes goods in transit as under:

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Fuel	9.35	8.93
	9.35	**8.93**

Note 16 : Current Investments

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Investment in non-convertible debentures (unquoted) (at amortised cost)		
Wind Two Renergy Private Limited Zero coupon secured, redeemable with premium, non-convertible debentures of ₹ 1,00,000 each (No. of debentures - March 31, 2023: 1,794, March 31, 2022: Nil)	24.35	-
	24.35	**-**
Investment in mutual funds (unquoted) (at fair value through profit or loss)	656.03	253.27
Contingency reserve investments - statutory (quoted) (at amortised cost) $	1.93	-
	682.31	**253.27**
Aggregate amount of quoted investments	1.93	-
Aggregate amount of unquoted investments	680.38	253.27
	682.31	**253.27**
Aggregate amount of market value of quoted investments	1.98	-

$ Investment in Government of India bonds have been made in terms of Gujarat Electricity Regulatory Commission (GERC) Multi-Year-Tariff (MYT) Regulations, which can be utilised only for the purposes mentioned therein. [Refer note 24 - Contingency reserve]

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 17 : Trade Receivables

(₹ in Crore)

			As at March 31, 2023	As at March 31, 2022
Trade receivables				
Secured	-	Considered good #	661.16	575.68
Unsecured	-	Considered good	854.88	787.95
	-	Credit impaired	187.13	208.17
			1,703.17	**1,571.80**
Less: Allowance for bad and doubtful debts			187.13	208.17
			1,516.04	**1,363.63**

Company holds security deposits in respect of electricity receivables.

Footnotes:

1 Refer note 25 for charge on current assets including trade receivables.

2 Refer note 56 for credit risk related disclosures.

3 Refer note 61 for ageing schedule of trade receivables.

Note 18 : Cash and Cash Equivalents

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Balances with banks		
Balance in current accounts	137.18	160.55
Cheques on hand	0.60	0.78
Cash on hand	0.30	0.46
	138.08	**161.79**

Note 19 : Bank Balances Other Than Cash and Cash Equivalents

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Unpaid dividend accounts	11.21	10.52
Unpaid fractional coupon accounts	*	0.35
Balance in fixed deposit accounts # (maturity of more than three months but less than twelve months)	132.29	34.27
	143.50	**45.14**

include ₹ 31.49 Crore (March 31, 2022 - ₹ 33.62 Crore) on which a lien has been created in favour of lenders.

Note 20 : Current Loans

Unsecured (considered good)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Loans to related parties (including interest accrued) [Refer note 55(d)]	105.16	1,031.53
	105.16	**1,031.53**

Corporate Overview | Governance | Sustainable Value Creation | Statutory Reports | Financial Statements

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 21 : Other Current Financial Assets

Unsecured (considered good unless stated otherwise)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Security deposits	41.21	55.40
Inter-corporate deposits #	-	186.84
Interest accrued on non-current investments	5.39	0.24
Interest accrued on deposits	2.93	6.68
Unbilled revenue (including revenue gap / surplus) [Refer note 43(a)(2)]	2,572.31	1,914.64
	2,621.84	**2,163.80**
Other advances / receivables		
Considered good [Refer note 48.2(d)]	10.59	29.83
Considered credit impaired	6.06	6.06
	16.65	**35.89**
Less : Allowance for doubtful advances	6.06	6.06
	10.59	**29.83**
	2,632.43	**2,193.63**

₹ 86.84 Crore as at March 31, 2022 on which a lien has been created in favour of lenders.

Note 22 : Other Current Assets

Unsecured (considered good)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Advances for goods and services	82.39	85.02
Balances with government authorities	0.74	0.73
Prepaid expenses	37.15	35.77
	120.28	**121.52**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 23 : Equity Share Capital

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Authorised		
4,37,00,00,000 (4,37,00,00,000 as at March 31, 2022) equity shares of ₹ 10 each	4,370.00	4,370.00
	4,370.00	**4,370.00**
Issued, subscribed and paid up		
48,06,16,784 (48,06,16,784 as at March 31, 2022) equity shares of ₹ 10 each	480.62	480.62
	480.62	**480.62**

Footnotes:

1 Reconciliation of the shares outstanding at the beginning and at the end of the reporting year :

	No. of shares As at March 31, 2023	No. of shares As at March 31, 2022
At the beginning of the year	48,06,16,784	48,06,16,784
Issued during the year	-	-
Outstanding at the end of the year	**48,06,16,784**	**48,06,16,784**

2 25,74,22,311 equity shares (25,74,22,311 equity shares as at March 31, 2022) of ₹ 10 each fully paid up are held by the Parent Company - Torrent Investments Private Limited.

3 Terms / Rights attached to equity shares :

The Company has only one class of equity shares having par value of ₹ 10 per share. Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividends in Indian rupees. The dividend, if any, proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

4 Details of shareholders holding more than 5% shares in the Company :

Name of the Shareholder	As at March 31, 2023		As at March 31, 2022	
	No. of shares	% holding	No. of shares	% holding
Torrent Investments Private Limited	25,74,22,311	53.56%	25,74,22,311	53.56%
Gujarat State Financial Services Limited	4,68,71,621	9.75%	4,68,71,621	9.75%
Axis Mutual Fund Trustee Limited	4,16,57,977	8.67%	4,08,34,428	8.50%
SBI Focused Equity Fund	2,52,86,083	5.26%	1,73,90,291	@

@ less than 5%

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 23 : Equity Share Capital (Contd.)

5 Details of shareholding of Promoters in the Company :

Promoter name	As at March 31, 2023			As at March 31, 2022		
	No. of shares	% of total shares	% changes during the year	No. of shares	% of total shares	% changes during the year
Torrent Investments Private Limited	25,74,22,311	53.56%	-	25,74,22,311	53.56%	-
Sudhir Mehta	6,882	0.00%	-	6,882	0.00%	-
Samir Mehta	6,125	0.00%	-	6,125	0.00%	-
Jinal Mehta	8,000	0.00%	-	8,000	0.00%	-

6 Distributions made:

Interim dividend for FY 2022-23 of ₹ 22.00 per equity share (including ₹ 13.00 per equity share as a special dividend) [Previous year - ₹ 9.00 per equity share] aggregating to ₹ 1,057.36 Crore [Previous year - ₹ 432.56 Crore] was paid in the month of March 2023.

The Board of Directors at its meeting held on May 29, 2023 has recommended a final dividend of 40% (₹ 4.00 per equity share of par value ₹ 10 each). The proposal is subject to the approval of shareholders at the ensuing Annual General Meeting and if approved, would result in a cash outflow of ₹ 192.25 Crore.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 24 : Other Equity

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Reserves and surplus		
Securities premium	0.03	0.03
Debenture redemption reserve	21.58	108.30
Contingency reserve	17.29	15.37
Special reserve	78.07	78.07
General reserve	3,670.61	3,583.89
Retained earnings	6,751.47	5,699.74
	10,539.05	**9,485.40**

Refer “Statement of Changes in Equity” for movement in each reserve.

Footnotes:

1 Securities premium :

Securities premium reflects issuance of the shares by the Company at a premium, whether for cash or otherwise i.e. a sum equal to the aggregate amount of the premium received on shares is transferred to a “securities premium account” as per the provisions of the Companies Act, 2013. The reserve can be utilised in accordance with the provisions of the Act.

2 Debenture redemption reserve:

The Company was required to create a Debenture Redemption Reserve (DRR) out of the profits which are available for payment of dividend for the purpose of redemption of debentures. Pursuant to Companies (Share Capital and Debentures) Amendment Rules, 2019 dated August 16, 2019, the Company is not required to create DRR. Accordingly, the Company has not created DRR during the year and DRR created till previous years will be transferred to general reserve on redemption of debentures.

3 Contingency reserve:

As per the provisions of GERC MYT Regulations read with Tariff orders passed by GERC, the Company being a Distribution Licensee makes an appropriation to the contingency reserve to meet with certain exigencies. Investments in Bonds issued by Government of India have been made against such reserve.

4 Special reserve:

As per MYT Regulations (2007), the Company has created a reserve in FY 2011-12 and FY 2012-13, which represents one third amount of controllable gain shall be retained in a special reserve by the Generating Company or Licensee for the purpose of absorbing the impact of any future losses on account of controllable factors.

5 General reserve:

General reserve is used from time to time to transfer profits from retained earnings for appropriation purposes. The general reserve is created by a transfer from one component of equity to another and is not an item of other comprehensive income.

6 Retained earnings:

The retained earnings reflect the profit of the company earned till date net of appropriations. The amount that can be distributed by the Company as dividends to its equity shareholders is determined based on the balance in this reserve, after considering the requirements of the Companies Act, 2013.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 25 : Non-Current Borrowings

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Non-current borrowings		
Secured loans - at amortised cost		
Non convertible debentures &		
8.95% Series 3A, 3B & 3C	-	80.00
7.30% Series 6	-	300.00
6.50%,6.90%,7.25% Series 7A, 7B & 7C	248.54	248.05
6.20%,6.70%,7.10%,7.45% Series 8A, 8B, 8C & 8D	450.00	-
7.45%, 8.05% Series 9A & 9B	599.36	-
8.30%,8.35%,8.55%,8.65% Series 10A, 10B, 10C & 10D	200.00	-
	1,497.90	**628.05**
Term loans @		
From banks	5,451.29	5,302.84
	5,451.29	**5,302.84**
	6,949.19	**5,930.89**
Unsecured loans - at amortised cost		
Non convertible debentures #		
10.25% Series 4A, 4B & 4C	89.99	179.93
	89.99	**179.93**
Term loans		
From Government of India under Accelerated Power Development and Reform Programme (APDRP)	5.35	9.17
	5.35	**9.17**
	95.34	**189.10**
	7,044.53	**6,119.99**

@ After considering unamortised expense of ₹ 17.78 Crore as at March 31, 2023 and ₹ 18.91 Crore as at March 31, 2022.
& After considering unamortised expense of ₹ 2.10 Crore as at March 31, 2023 and ₹ 1.95 Crore as at March 31, 2022.
# After considering unamortised expense of ₹ 0.01 Crore as at March 31, 2023 and ₹ 0.07 Crore as at March 31, 2022.

	As at March 31, 2023	As at March 31, 2022
Current maturities		
Secured loans - at amortised cost		
Non convertible debentures		
10.35% Series 1	-	183.37
10.35% Series 2A, 2B & 2C	-	100.00
8.95% Series 3A, 3B & 3C	80.00	85.00
7.65% Series 5	-	100.00
7.30% Series 6	300.00	-
6.20%,6.70%,7.10%,7.45% Series 8A, 8B, 8C & 8D	150.00	-
	530.00	**468.37**
Term loans $		
From banks	721.33	481.12
	721.33	**481.12**
Unsecured loans - at amortised cost		
Non convertible debentures ^		
10.25% Series 4A, 4B & 4C	89.94	89.88
	89.94	**89.88**
Term loans		
From Government of India under Accelerated Power Development and Reform Programme (APDRP)	3.82	3.82
	3.82	**3.82**
	1,345.09	**1,043.19**
Amount disclosed under the head 'Current borrowings' [Refer note 29]	(1,345.09)	(1,043.19)
	-	**-**

$ After considering unamortised expense of ₹ 4.35 Crore as at March 31, 2023 and ₹ 4.04 Crore as at March 31, 2022.
^ After considering unamortised expense of ₹ 0.06 Crore as at March 31, 2023 and ₹ 0.12 Crore as at March 31, 2022.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 25 : Non-Current Borrowings (Contd.)

Footnotes:

As at March 31, 2023

1 Nature of security

The entire immovable and movable assets including current assets, both present and future, of the Company are mortgaged and hypothecated by way of first pari passu charge in favour of lenders for term loans of ₹ 6,194.75 Crore and non convertible debentures of ₹ 2,030.00 Crore along with lenders of cash credits and non-fund based credit facilities, except some assets which, in terms of respective financing documents (including Loan agreements, Debenture Trust deeds), are carved out of security provided to lenders.

2 The future annual repayment obligations on principal amount for the above long-term borrowings are as under:-

(₹ in Crore)

Financial year	Term loans	Non convertible debentures
2023-24	729.50	620.00
2024-25	482.77	325.00
2025-26	642.40	230.00
2026-27	770.04	235.00
2027-28	693.18	350.00
2028-29	692.25	50.00
2029-30	779.61	-
2030-31	677.65	-
2031-32	511.43	50.00
2032-33	225.09	350.00

3 Undrawn term loans from banks, based on approved facilities, were ₹ 300.00 Crore as at March 31, 2023.

4 Proceeds from term loans and debt instruments raised during the year have been utilized for the purposes for which it was obtained.

As at March 31, 2022

1 Nature of security

The entire immovable and movable assets including current assets, both present and future, of the Company are mortgaged and hypothecated by way of first pari passu charge in favour of lenders for term loans of ₹ 5,806.91 Crore and non convertible debentures of ₹ 1,098.37 Crore along with lenders of cash credits and non-fund based credit facilities, except some assets which, in terms of respective financing documents (including Loan agreements, Debenture Trust deeds), are carved out of security provided to lenders.

2 The future annual repayment obligations on principal amount for the above long-term borrowings are as under:-

(₹ in Crore)

Financial year	Term loans	Non convertible debentures
2022-23	488.98	558.37
2023-24	360.10	470.00
2024-25	477.56	175.00
2025-26	643.60	80.00
2026-27	755.81	85.00
2027-28	626.23	-
2028-29	625.30	-
2029-30	676.67	-
2030-31	547.70	-
2031-32	367.35	-
2032-33	250.60	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 25 : Non-Current Borrowings (Contd.)

3 Undrawn term loans from banks, based on approved facilities, were ₹ Nil as at March 31, 2022.

4 Proceeds from term loans and debt instruments raised during the previous year have been utilized for the purposes for which it was obtained. Out of the said debt instruments amount aggregating ₹ 30.60 Crore have remained unutilised as on March 31, 2022.

Note 26 : Non-Current Trade Payables

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Trade payables for goods and services		
Total outstanding dues of micro and small enterprises	-	-
Total outstanding dues other than micro and small enterprises	210.61	150.46
	210.61	**150.46**

Footnote:

1 Refer note 62 for ageing schedule of non-current trade payables.

Note 27 : Other Non-Current Financial Liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Financial guarantee obligation	9.54	10.36
Sundry payables	-	0.32
	9.54	**10.68**

Note 28 : Other Non-Current Liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Deferred revenue		
Contribution received from consumers [Refer note 43(b)]	1,300.44	1,189.80
Capital grant from government [Refer note 58(b)]	11.66	14.03
Sundry payables	57.79	55.30
	1,369.89	**1,259.13**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 29 : Current Borrowings

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Secured loans		
Working Capital from banks	-	350.00
Overdraft from banks	-	2.74
	-	**352.74**
Unsecured loans		
Commercial paper	-	350.00
	-	**350.00**
Current maturities of long-term debt [Refer note 25]	1,345.09	1,043.19
	1,345.09	**1,745.93**

Footnotes:

1 The entire immovable and movable assets including current assets, both present and future, of the Company are mortgaged and hypothecated by way of first pari passu charge in favour of lenders for working capital facilities and by way of second pari passu charge in favour of lenders for hedge facility.

2 Undrawn cash credit from banks, based on approved facilities, were ₹ 1,150.00 Crore (March 31, 2022 - ₹ 450.00 Crore).

3 During the current and previous year, the Company has used the loans for the purpose for which it was obtained.

4 The Company has borrowings from banks and financial institutions on the basis of security of current assets and quarterly returns or statements of current assets filed are in agreement with the books of accounts.

Net debt reconciliation :

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Cash and cash equivalents	138.08	161.79
Current investments	682.31	253.27
Current borrowings (excluding current maturities of long-term debt)	-	(702.74)
Non-current borrowings (including current maturities of long-term debt and interest accrued but not due)	(8,514.23)	(7,257.41)
Lease liabilities	(40.63)	(42.22)
	(7,734.47)	**(7,587.31)**

	Other assets		Liabilities from financing activities			Total
	Cash and cash equivalents	Current investments	Current borrowings	Non-current borrowings	Lease liabilities	
Net balance as at April 1, 2021	**95.55**	**241.63**	**-**	**(7,251.52)**	**(36.01)**	**(6,950.35)**
Cash flows (net)	66.24	(12.11)	(702.74)	(0.35)	9.38	(639.58)
New lease	-	-	-	-	(12.11)	(12.11)
Interest expense	-	-	(2.26)	(533.83)	(3.48)	(539.57)
Interest paid	-	-	2.26	528.29	-	530.55
Gain on sale of current investments	-	24.22	-	-	-	24.22
Fair value adjustment	-	(0.47)	-	-	-	(0.47)
Net balance as at March 31, 2022	**161.79**	**253.27**	**(702.74)**	**(7,257.41)**	**(42.22)**	**(7,587.31)**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 29 : Current Borrowings (Contd.)

	Other assets		Liabilities from financing activities			Total
	Cash and cash equivalents	Current investments	Current borrowings	Non-current borrowings	Lease liabilities	
Cash flows (net)	(23.71)	345.64	702.74	(1,225.65)	7.78	(193.20)
New lease	-	-	-	-	(4.17)	(4.17)
Transfer from non-current investments	-	26.28	-	-	-	26.28
Deletion relating to lease liability	-	-	-	-	1.55	1.55
Interest expense	-	-	(13.97)	(623.63)	(3.57)	(641.17)
Interest paid	-	-	13.97	592.46	-	606.43
Gain on sale of current investments	-	53.28	-	-	-	53.28
Fair value adjustment	-	3.84	-	-	-	3.84
Net balance as at March 31, 2023	**138.08**	**682.31**	**-**	**(8,514.23)**	**(40.63)**	**(7,734.47)**

Note 30 : Current Trade Payables

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Trade payables for goods and services		
Total outstanding dues of micro and small enterprises [Refer note 46]	60.67	50.27
Total outstanding dues other than micro and small enterprises	1,020.67	1,057.34
	1,081.34	**1,107.61**

Footnote:

1 Refer note 62 for ageing schedule of current trade payables.

Note 31 : Other Current Financial Liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Interest accrued but not due on loans and security deposits	100.31	69.14
Investor education and protection fund #		
Unpaid / Unclaimed dividend	11.21	10.52
Unclaimed fractional coupons	*	0.35
Book overdraft	0.07	1.30
Security deposits from consumers @	1,512.29	1,328.02
Other deposits	4.56	3.29
Payables for purchase of property, plant and equipment^	316.20	321.15
Financial guarantee obligation	6.61	5.57
Sundry payables (including for employees related payables) [Refer footnote 3 of note 9]	221.22	153.15
	2,172.47	**1,892.49**

There is no amount due and outstanding to be credited to investor education and protection fund as at March 31, 2023 and as at March 31, 2022.

@ Security deposits from consumers in the Company's business, which is in the nature of utility, are generally not repayable within a period of twelve months based on historical experience.

^ including dues to micro and small enterprises for ₹ 19.33 Crore (March 31, 2022 - ₹ 12.53 Crore) [Refer note 46]

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 32 : Other Current Liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Credit balances of consumers [Refer note 43(d)]	93.54	99.48
Service line deposits from consumers [Refer note 43(c)]	235.75	207.13
Deferred revenue		
Contribution received from consumers [Refer note 43(b)]	100.71	91.74
Capital grant from government [Refer note 58(b)]	2.37	2.37
Statutory dues	213.66	199.99
Sundry payables #	0.57	0.65
	646.60	**601.36**

including interest dues to micro and small enterprises for ₹ 0.02 Crore (March 31, 2022 - ₹ 0.02 Crore) [Refer note 46]

Note 33 : Current Provisions

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Provision for employee benefits		
Provision for gratuity [Refer note 48.2(d)]	-	12.23
Provision for compensated absences $	117.96	121.56
	117.96	**133.79**
Other provisions		
Provision for onerous contracts [Refer note 57]	124.94	135.76
	124.94	**135.76**
	242.90	**269.55**

$ Provision for compensated absences is disclosed under current provision as the entity does not have an unconditional right to defer settlement for at least twelve months however these are generally not repayable within a period of twelve months based on historical experience.

Movement in provision for onerous contracts:		
Opening balance as on April 01	135.76	162.80
Additional provision recognised	-	0.53
Reversal of provision	(10.82)	(27.57)
Closing balance as on March 31	**124.94**	**135.76**

Note 34 : Current Tax Liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Provision for taxation (net of tax paid)	160.77	121.38
	160.77	**121.38**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 35 : Revenue from Operations

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Revenue from contracts with customers [Refer footnotes below]		
Revenue from power supply	15,518.44	12,989.01
Revenue from trading of RLNG	3,068.65	547.94
	18,587.09	**13,536.95**
Less: Discount for prompt payment of bills	24.77	19.62
	18,562.32	**13,517.33**
Other operating income		
Provisions of earlier years written back	0.60	1.04
Amortisation of deferred revenue		
Contribution received from consumers [Refer note 43(b)(2)] #	97.32	87.41
Capital grant from government [Refer note 58(b)]	2.37	2.45
Income from Certified Emission Reduction (CERs)	12.34	3.30
Income from Generation Based Incentive	23.73	24.45
Insurance claim receipt	2.17	0.11
Incentive income under solar rooftop programme	55.14	9.81
Miscellaneous income	80.23	69.84
	273.90	**198.41**
	18,836.22	**13,715.74**

Amortisation of deferred revenue are recognised within the scope of Ind AS 115.

Footnotes:

1 Disclosure given above presents disaggregated revenue from contracts with customers. The Company believes that this disaggregation best depicts how the nature, amount, timing and uncertainty of revenue and cash flows are affected by market and other economic factors.

2 Timing of revenue recognition (from contract with customers) : Revenue from power supply is recognised over a period of time and others at a point in time.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 36 : Other Income

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Interest income from financial assets measured at amortised cost		
Deposits	16.59	16.53
Consumers	35.83	36.49
Contingency reserve investments	1.28	1.15
Loans to related parties [Refer note 55(b)]	108.59	89.33
Others	1.22	0.80
	163.51	**144.30**
Dividend income from non-current investments carried at cost	30.98	14.65
Rent income from investment property [Refer note 7]	1.16	1.16
Gain on disposal of property, plant and equipment / investment property	44.83	30.04
Gain on sale of current investments in mutual funds	53.28	24.22
Net gain arising on financial assets / liabilities measured at amortised cost	23.74	28.93
Net gain / (loss) arising on current investments in mutual funds measured at fair value through profit or loss	3.84	(0.47)
Financial guarantee commission (amortised)	6.52	5.00
Net gain on foreign currency transactions and translations	0.63	5.32
Discount on prompt payment of power purchase	49.36	19.00
Miscellaneous income	56.79	23.94
	434.64	**296.09**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 37 : Employee Benefits Expense

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Salaries, wages and bonus	644.89	617.34
Contribution to provident and other funds [Refer note 48.1]	43.77	42.94
Employees welfare expenses	25.28	29.13
Compensated absences	15.37	13.77
Gratuity [Refer note 48.2(e)(3)]	18.55	18.28
	747.86	**721.46**
Less: Allocated to capital works, repairs and other relevant revenue accounts #	234.01	207.39
	513.85	**514.07**

\# includes allocated to capital works of ₹ 135.82 Crore (previous year ₹ 109.36 Crore)

Note 38 : Finance Costs

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Interest expense for financial liabilities measured at amortised cost		
Term loans	433.24	411.60
Non convertible debentures	190.39	122.23
Working capital loans	13.97	2.26
Security deposits from consumers	56.91	51.81
Lease liabilities	3.57	3.48
Others	0.98	2.79
Other borrowing costs	10.03	9.46
Amortisation of borrowing costs	5.03	3.67
	714.12	**607.30**
Less: Allocated to capital works	45.78	25.74
	668.34	**581.56**

Note 39 : Depreciation and Amortisation Expense

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Depreciation expense on property, plant and equipment	1,038.52	1,212.43
Depreciation expense on right-of-use assets	11.26	11.44
Amortisation expense on intangible assets	9.30	10.02
	1,059.08	**1,233.89**
Less: Transfer from others	0.20	0.10
	1,058.88	**1,233.79**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 40 : Other Expenses

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Consumption of stores and spares	174.80	233.72
Rent and hire charges	22.35	17.47
Repairs to		
Buildings	9.55	13.12
Plant and machinery	422.12	417.29
Others	29.09	21.69
	460.76	**452.10**
Insurance	42.33	43.06
Rates and taxes	13.51	11.28
Vehicle running expenses	42.57	40.26
Electricity expenses	22.70	20.87
Security expenses	61.41	47.83
Water charges	24.24	22.59
Power transmission and scheduling charges	2.35	11.44
Corporate social responsibility expenses [Refer note 50]	32.62	28.60
Loss on sale / discarding of property, plant and equipment and capital work-in-progress	29.90	25.73
Commission to non-executive directors [Refer note 55(b)]	2.50	2.97
Directors sitting fees [Refer note 55(b)]	0.68	0.83
Auditors remuneration [Refer note 49]	2.03	1.69
Legal, professional and consultancy fees	64.03	39.95
Donations [Refer note 51]	43.03	58.30
Net loss on foreign currency transactions	11.34	0.12
Impairment for non-current investments	0.80	1.60
Bad debts written off (net of recovery)	3.89	47.00
Reversal of provision for onerous contracts [Refer note 57]	(10.82)	(27.57)
Provision for onerous contracts [Refer note 57]	-	0.53
Allowance for doubtful debts (net)	(21.04)	(40.90)
Miscellaneous expenses	112.54	91.34
	1,138.52	**1,130.81**
Less: Allocated to capital works, repairs and other relevant revenue accounts	88.48	88.56
	1,050.04	**1,042.25**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 41 : Impairment Assessment

1 DGEN Power Plant

Net carrying value of Property, Plant & Equipment ("PPE") and Right-of-use assets ("ROU") as at March 31, 2023 includes ₹ 1,315.05 Crore pertaining to 1,200 MW DGEN Mega Power Project located at Dahej, Gujarat ("DGEN"). DGEN started commercial operations with effect from November 2014 and thereafter has operated only intermittently / partially due to various factors such as unavailability of domestic gas, high prices of imported gas and non-availability of power selling arrangement.

In view of the above and given the current economic environment, during the current year, the Company has carried out an impairment assessment of DGEN as at March 31, 2023 by considering the recoverable amount based on value-in-use of DGEN in accordance with Indian Accounting Standard 36 'Impairment of Assets'. Value-in-use is determined considering a discount rate of 15.00% (March 31, 2022 – 14.50%) and cash flow projections over a period of 17 years (March 31, 2022 - 18 years), being the balance useful life of DGEN in terms of Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2019 on the basis that the Company expects to supply power in the future, inter alia, under long term power selling agreements. Based on the assessment, recoverable value of PPE by using value-in-use is ₹ 1,368.00 Crore which is higher than the carrying amount of PPE of ₹ 1,315.05 Crore and accordingly no additional impairment loss is required as at March 31, 2023. The management has conducted sensitivity analysis on impairment test of the value in use of DGEN. The management believes that reasonable possible change in key assumptions would not materially impact the impairment assessment March 31, 2023.

During the earlier years, the Company had provided for impairment loss of ₹ 2,300.00 Crore (including ₹ 1,300.00 Crore during previous year) which has been disclosed as an Exceptional item in the Statement of Profit and Loss.

Assessment of 'value-in-use' involves several key assumptions including expected demand, future price of fuel, expected tariff rates for electricity, discount rate, exchange rate and electricity market scenario, based on past trends and the current and likely future state of the industry. Management reviews such assumptions periodically to factor updated information based on events or changes in circumstances in order to make fresh assessment of impairment, if any.

2 Investment in Torrent Pipavav Generation Limited

Torrent Pipavav Generation Limited ("TPGL"), a subsidiary of the Company and a joint venture between the Company and Gujarat Power Corporation Limited ("GPCL"), had made payments in nature of compensation for acquisition of private land as per the court orders in Amreli, Gujarat for the purpose of developing a coal-based power plant of 1,000+ MW. Due to non-availability of fuel linkage, Government of Gujarat ("GoG") vide its letter dated December 6, 2017, communicated that the said project may not be developed and accordingly, the joint venture is intended to be dissolved. Further, as per the said letter, the cost of land would be reimbursed after the disposal of land. With reference to this, in the month of March 2019, GPCL has written a letter to Collector, Amreli stating that the land is surrendered to the Government of Gujarat and requested Energy and Petroleum Department, GoG to take further action in the matter. It is learnt that the Government of Gujarat is exploring the possibility of usage of Land for industrial purpose. The management has made an impairment assessment of the amount recoverable from Government of Gujarat and concluded that there is no impairment in the carrying amount of the land. Considering the above facts, assets and liabilities are reflected at their net realisable values or cost whichever is lower and the financial results of TPGL for the year ended March 31, 2023 have been prepared on a non - going concern basis. The recovery of carrying amount of equity and loan ₹ 93.45 Crore is also dependent on the availability of buyer for above mentioned land. The Company has invested equity and loan aggregating to ₹ 111.80 Crore in TPGL and impairment in value of investment is of ₹ 18.35 Crore as at March 31, 2023.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 42 : Income Tax Expense

(a) Income tax expense recognised in statement of profit and loss

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Current tax		
Current tax on profits for the year	629.14	367.45
Adjustment for current tax of prior periods	5.31	-
	634.45	**367.45**
Deferred tax (other than that disclosed under OCI)		
Decrease / (increase) in deferred tax assets	18.53	12.27
(Decrease) / increase in deferred tax liabilities	174.59	(275.05)
	193.12	**(262.78)**
Income tax expense	**827.57**	**104.67**

(b) Reconciliation of income tax expense

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Profit before tax	2,931.29	514.38
Expected income tax expense calculated using tax rate at 34.944% (Previous year - 34.944%)	1,024.31	179.74
Adjustment to reconcile expected income tax expense to reported income tax expense:		
Effect of:		
Expenditure not deductible under Income Tax Act	20.98	28.52
Tax incentives / deductions	(216.21)	(207.31)
Impairment loss of DGEN unit	-	82.64
Other adjustments including relating to accumulated MAT credit	(6.82)	21.08
Total	**822.26**	**104.67**
Adjustment for current tax of prior periods	5.31	-
Total expense as per statement of profit and loss	**827.57**	**104.67**

The tax rate used for the reconciliations given above is the actual / enacted corporate tax rate payable by corporate entities in India on taxable profits under the Indian tax law.

(c) Income tax recognised in other comprehensive income

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Deferred tax		
Re-measurement of defined benefit obligation (Items that will not be reclassified to profit or loss)	11.21	3.03
Income tax expense / (income) recognised in other comprehensive income	3.92	1.06

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 42: Income Tax Expense (Contd.)

(d) Deferred tax balances

(1) The following is the analysis of deferred tax assets / (liabilities) presented in the balance sheet

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Deferred tax assets	1,452.57	1,603.65
Deferred tax liabilities	(2,096.03)	(1,921.44)
	(643.46)	**(317.79)**

(2) Movement of deferred tax assets / (liabilities)

Deferred tax assets / (liabilities) in relation to the year ended March 31, 2023

(₹ in Crore)

	Opening balance	Recognised in profit or loss	Utilisation	Recognised in OCI	Closing balance
Property, plant and equipment	(1,921.44)	(174.59)	-	-	(2,096.03)
Provision for compensated absences	40.40	(1.21)	-	-	39.19
Provision for onerous contracts	47.44	(3.78)	-	-	43.66
Allowance for doubtful debts	32.65	(5.54)	-	-	27.11
MAT credit entitlement	1,474.20	2.02	(128.63)	-	1,347.59
Others	8.96	(10.02)	-	(3.92)	(4.98)
	(317.79)	**(193.12)**	**(128.63)**	**(3.92)**	**(643.46)**

Deferred tax assets / (liabilities) in relation to the year ended March 31, 2022

(₹ in Crore)

	Opening balance	Recognised in profit or loss	Utilisation	Recognised in OCI	Closing balance
Property, plant and equipment	(2,196.49)	275.05	-	-	(1,921.44)
Provision for compensated absences	42.95	(2.55)	-	-	40.40
Provision for onerous contracts	56.89	(9.45)	-	-	47.44
Allowance for doubtful debts	46.21	(13.56)	-	-	32.65
MAT credit entitlement	1,530.00	5.56	(61.36)	-	1,474.20
Others	2.29	7.73	-	(1.06)	8.96
	(518.15)	**262.78**	**(61.36)**	**(1.06)**	**(317.79)**

(3) Unrecognised deferred tax assets

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Accumulated MAT credit entitlement	-	-
	-	**-**

Management has made an assessment of the amount of taxable income that would be available in future to offset the Accumulated MAT credit entitlement available to the Company.

The assessment of taxable income involved several key assumptions including expected demand, future price of fuel, expected tariff rate for electricity, exchange rate and electricity market scenario, which the management considered reasonable based on past trends, applicable tariff regulations / agreements and current and likely future state of the industry.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 43 : Revenue from Contracts with Customers

(a) Unbilled revenue

(1) Revenue from contracts with customers include unbilled revenue towards FPPPA claims and other true up adjustments which is recognised considering applicable tariff regulations / tariff orders, past trends of approval and management's probability estimate.

The Company has not recognized those true up adjustment claims which are subject of dispute and for which the Company is in appeal with regulatory authorities. These are recognised on receipt of final orders of respective regulatory authorities.

(2) Movement in unbilled revenue

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Opening balance	1,903.53	1,651.83
Add: Income accrued during the year as per tariff regulations / orders	3,929.94	2,616.45
Less: Amount billed during the year to the consumers as per tariff orders	(3,263.17)	(2,364.75)
Closing balance	**2,570.30**	**1,903.53**
Disclosed under		
Unbilled revenue [Refer note 21]	2,572.31	1,914.64
Sundry payables [Refer note 31]	(2.01)	(11.11)
	2,570.30	**1,903.53**

(b) Contribution received from consumers

(1) Nature of contribution received from consumers

Contributions received from consumers towards property, plant and equipment has been recognised as deferred revenue over its useful life.

(2) Movement of contribution received from consumers

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Opening balance	1,281.54	1,168.54
Add: Contribution received during the year	216.93	200.41
Less: Amortisation of contribution transferred to statement of profit and loss [Refer note 35]	(97.32)	(87.41)
Closing balance	**1,401.15**	**1,281.54**
Non-current portion [Refer note 28]	1,300.44	1,189.80
Current portion [Refer note 32]	100.71	91.74
	1,401.15	**1,281.54**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 43: Revenue from Contracts with Customers (Contd.)

(c) Service line deposit from consumers

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Opening balance	207.13	189.85
Add: Received during the year (net of refund)	245.55	217.69
Less: Transferred to contribution received from consumers	(216.93)	(200.41)
Closing balance [Refer note 32]	**235.75**	**207.13**

Footnote:

1 Service line deposits are collected against the cost of capital work to be carried out for new connection or load extension on application by consumers. On the completion of the work, such contribution is transferred to deferred revenue under the head "other current / non-current liabilities".

(d) Credit balance of consumers

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Opening balance	99.48	84.47
Add / (less) : Adjustment to current billing (net)	(5.94)	15.01
Closing balance [Refer note 32]	**93.54**	**99.48**

Note 44 : Contingent Liabilities, Contingent Assets and Capital Commitments

(a) Contingent liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Disputed income tax matters	23.21	26.46
Disputed sales tax matters	0.96	0.96
Disputed service tax matters	0.49	0.49
Disputed custom duty matters	18.50	18.50
Disputed excise duty matters	0.18	0.18
Disputed stamp duty matters	36.37	36.37
Disputed value added tax matters	2.94	2.94
Claims against the Company not acknowledged as debt [Refer footnote 3]	127.56	163.70

The Company has evaluated the impact of Supreme Court ("SC") judgement dated February 28, 2019 in the case of Regional Provident Fund Commissioner (II) West Bengal v/s Vivekananda Vidyamandir and Others, in relation to exclusion of certain allowances from the definition of "basic wages" of the relevant employees for the purposes of determining contribution to Provident Fund ("PF") under the Employees' Provident Fund & Miscellaneous Provisions Act, 1952. There are interpretation issues relating to the said SC judgement. Based on such evaluation, management has concluded that effect of the aforesaid judgement on the Company is not material and accordingly, no provision has been made in the financial statements.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 44: Contingent Liabilities, Contingent Assets and Capital Commitments (Contd.)

Footnotes :

1 Management believes that its position on the aforesaid direct and indirect tax demands and other claims against the company will likely be upheld in the appellate process and accordingly no provision has been made in the standalone financial statements for such demands.

2 In respect of the above, the expected outflow will be determined at the time of final resolution of the dispute / matters. No reimbursement is expected.

3 Break up of claims against the Company not acknowledged as debt as under:

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Claim of regulatory surcharge including interest in franchise distribution business	85.89	77.27
Penalty order issued by Directorate General of Foreign Trade (DGFT) in distribution business	-	50.53
Demand including interest for Tariff Indexation for excess energy withdrawn in franchise distribution business	21.83	18.31
Compensation payable for short lifting for material	8.46	8.46
Others	11.38	9.13
	127.56	**163.70**

(b) Contingent assets

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Claim for coal grade slippage	6.92	6.35
Claim of compensation for short lifting of material	8.46	8.46
	15.38	**14.81**

(c) Capital and other commitments

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
i) Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)		
Property, plant and equipment	464.35	642.28
ii) Other commitments		
(a) Guarantee given to lender of subsidiary company including interest thereon $	705.05	700.00
(b) Guarantees given in favour of the debenture trustee for NCD issued by subsidiary companies including interest thereon	616.20	616.62
(c) Guarantee given in favour of trustee for loan taken by subsidiary companies including interest thereon $$	480.10	-
(d) Guarantee given in favour of Lender for hedging facility taken by subsidiary companies	24.64	-

$ Utilised as at March 31, 2023 was ₹ 617.99 Crore (March 31, 2022 - ₹ 25.48 Crore).

$$ Utilised as at March 31, 2023 was ₹ 368.47 Crore (March 31, 2022 - ₹ Nil).

Footnote :

1 The guarantees given to lenders of subsidiaries are unlikely to be called, as subsidiaries are in a position to service the loans and interest, covered by such guarantees.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 45 : The Company has given Loans to its Subsidiary and Associate Companies as Under

(a) Disclosure under Regulation 34(3) read with para A of Schedule V of Securities and Exchange Board of India (SEBI) (Listing Obligations and Disclosure Requirements) Regulations, 2015

(₹ in Crore)

	Maximum amount outstanding during the year		Amount outstanding	
	Year ended March 31, 2023	Year ended March 31, 2022	As at March 31, 2023	As at March 31, 2022
Subsidiary Companies				
Torrent Pipavav Generation Limited	64.30	63.34	64.30	63.34
Torrent Solargen Limited	851.19	851.05	348.60	851.05
Jodhpur Wind Farms Private Limited	-	20.37	-	-
Latur Renewable Private Limited	-	20.43	-	-
TCL Cables Private Limited	295.87	270.95	288.13	231.22
Torrent Solar Power Private Limited	151.12	61.29	151.12	61.29
Torrent Saurya Urja 2 Private Limited	198.21	32.18	198.21	32.18
Surya Vidyut Limited	20.48	-	14.30	-
Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited)	179.27	-	128.24	-
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	357.16	-	-	-
Wind Two Renergy Private Limited	247.20	-	247.12	-
Torrent Saurya Urja 4 Private Limited	20.08		20.08	
Sunshakti Solar Power Projects Private Limited	274.56		152.62	
			1,612.72	**1,239.08**
Associate Company				
Wind Two Renergy Private Limited [Refer footnote 5 of note 9]	-	155.71	-	141.77
			-	**141.77**
			1,612.72	**1,380.85**

Footnotes:

1 The Company has not given any loans or advances in the nature of loan to any firms / companies, in which Directors are interested.

2 The above loans were given to the subsidiaries and associate for their normal business activities.

The Company is engaged in the business of providing infrastructural facilities as per Section 186 (11) of the Act. Accordingly, disclosure under Section 186 (4) of the Act, is not applicable to the Company.

(b) Details of Loans or Advances in the nature of loans are granted to promoters, Directors, KMPs and the related parties (as defined under Companies Act, 2013), either severally or jointly with any other person, that are:

(a) repayable on demand; or

(b) without specifying any terms or period of repayment

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 45: The Company has given Loans to its Subsidiary and Associate Companies as Under (Contd.)

(₹ in Crore)

Type of Borrower	As at March 31, 2023		As at March 31, 2022	
	Amount of Loan or advance in nature of loan outstanding	Percentage to total loans and advances in the nature of loans	Amount of Loan or advance in nature of loan outstanding	Percentage to total loans and advances in the nature of loans
Related Parties	1,324.59	82.13%	1,149.63	83.26%
	1,324.59		**1,149.63**	

(c) During the year ended March 31, 2023, the Company has not advanced or loaned or invested funds (either borrowed funds or share premium or kind of funds) to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding (whether recorded in writing or otherwise) that the Intermediary shall:

a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries) or

b) provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries.

Except as detailed below, during the previous year ended March 31, 2022, the Company has not advanced or loaned or invested funds (either borrowed funds or share premium or kind of funds) to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding (whether recorded in writing or otherwise) that the Intermediary shall:

a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries) or

b) provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries.

Year Ended March 31, 2022

(₹ in Crore)

Date of loan given to Intermediary	Amount of loan given	Name of Intermediary	Details of Intermediary	Date of fund further loaned by Intermediary to the Ultimate beneficiary	Amount further loaned by Intermediary to the Ultimate beneficiary	Name of Ultimate beneficiary	Details of Ultimate beneficiary
March 29, 2022	6.10	Torrent Solargen Limited	India - Subsidiary (U40102GJ2008PLC055000)	March 29, 2022	6.10	Surya Vidyut Limited	India - Subsidiary (U40108WB2010PLC150712)

above has been received back on April 2, 2022

In respect of the aforesaid loan, the Company has complied with the relevant provisions of the Companies Act, 2013. Further, the said transaction is not violative of the Prevention of Money-laundering Act, 2002.

During the year ended March 31, 2023 and March 31, 2022, the Company has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:

a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or

b) provide any guarantee, security, or the like on behalf of the ultimate beneficiaries.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 46 : Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006)

Micro and small enterprises under the Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act, 2006) have been determined based on the information available with the Company and the required disclosures are given below:

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
(a) Principal amount remaining unpaid [Refer notes 30 and 32]	80.00	62.80
(b) Interest due thereon	-	-
(c) The amount of interest paid along with the amounts of the payment made to the supplier beyond the appointed day during each accounting year		
(i) Principal amounts paid to the suppliers beyond the appointed day during the year	2.36	2.23
(ii) Interest paid under section 16 of the MSMED Act, to the suppliers, beyond the appointed day during the year	0.01	0.03
(d) The amount of interest due and payable for the year (where the principal has been paid but interest under the MSMED Act, 2006 not paid)	0.02	0.02
(e) The amount of interest accrued and remaining unpaid [b+d]	0.02	0.02
(f) The amount of further interest due and payable even in the succeeding years, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under section 23.	-	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 47 : Leases

This note provides information for leases where the Company is a lessee.

(i) Amounts recognised in balance sheet

The balance sheet shows the following amounts relating to leases:

Right-of-use assets

(₹ in Crore)

	Notes	As at March 31, 2023	As at March 31, 2022
Land	5	142.60	152.54
Buildings	5	22.94	25.68
Plant and machinery	5	0.18	0.23
Office equipment	5	-	0.02
Total		**165.72**	**178.47**

Lease liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Current	5.33	4.95
Non-current	35.30	37.27
Total	**40.63**	**42.22**

(ii) Amounts recognised in the statement of profit and loss

The statement of profit or loss shows the following amounts relating to leases:

(₹ in Crore)

	Notes	Year ended March 31, 2023	Year ended March 31, 2022
Depreciation charge of right-of-use assets	39	11.26	11.44
Interest expense (included in finance costs)	38	3.57	3.48
Expense relating to short-term leases (included in other expenses)	40	2.19	1.98
Expense relating to leases of low-value assets that are not shown above as short-term leases (included in other expenses)	40	0.58	0.59
Total		**17.60**	**17.49**

(iii) Maturities of lease liabilities

As at March 31, 2023:

(₹ in Crore)

	Non-current lease liabilities	Current lease liabilities
Less than 1 year	-	6.78
Between 1 year and 5 years	29.70	-
5 years and above	21.05	-
Total	**50.75**	**6.78**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 47: Leases (Contd.)

As at March 31, 2022:

(₹ in Crore)

	Non-current lease liabilities	Current lease liabilities
Less than 1 year	-	7.23
Between 1 year and 5 years	29.61	-
5 years and above	24.41	-
Total	**54.02**	**7.23**

(iv) The total cash outflow for leases :

(₹ in Crore)

	Notes	As at March 31, 2023	As at March 31, 2022
Principal elements of lease payments (disclosed in Cash flow statement)		7.78	9.38
Expense relating to short-term leases (included in other expenses)	40	2.19	1.98
Expense relating to leases of low-value assets that are not shown above as short-term leases (included in other expenses)	40	0.58	0.59
Total		**10.55**	**11.95**

(v) Lease asset of Shil, Mumbra and Kalwa (franchise area)

The Company has entered into a Distribution Franchise Agreement ("Agreement") dated February 11, 2019 with Maharashtra State Electricity Distribution Company Limited ("MSEDCL") whereby as per the Agreement the Company would distribute the electricity in the area of Shil, Mumbra and Kalwa in Thane District in Maharashtra ("Franchise area") for 20 years (effective from March 1, 2020).

As per the Agreement the Company would purchase electricity from MSEDCL at the rate which would be derived through mechanism as mentioned in the Agreement which is linked to the number of units purchased and would distribute electricity to the Consumers at the tariff which has been approved by Maharashtra Electricity Regulation Commission (MERC).

Further as per the Agreement the Company has right to use existing assets of MSEDCL in the Franchise area provided it shall perform all the obligations and accepts all liabilities of MSEDCL on behalf of distribution licensee in Franchise area and MSEDCL shall not charge any rent for the use of such assets.

Considering the facts of the arrangement, the Company has the right to obtain substantially all of the economic benefits from use of MSEDCL assets of the Franchise area and the right to direct the use of the said assets for 20 years and accordingly it would meet the definition of Lease as per Ind AS 116. Further, for distribution of electricity, the Company would purchase power from MSEDCL for which payment would be made as per the franchise agreement which is linked to the number of units purchased. Accordingly the payments by the Company to MSEDCL is variable in nature and there are no fixed payments in the form of minimum purchase commitments, take or pay or any sort of fixed charges is required to be made.

Considering the entire payment made by the Company for this arrangement is variable in nature and there would be no lease liability required to be recognised with a corresponding right of use assets on initial recognition in accordance with Ind AS 116 and considering non-availability of relevant observable information for lease payments, management estimates and cost benefit analysis, total consideration payable to MSEDCL towards purchase of electricity has been shown as 'Electrical energy purchased' in the Financial Statements.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 48 : Employee Benefits Plan

48.1 Defined contribution plan

The Company has defined contribution retirement benefit plans for its employees.

The Company's contributions to provident fund, pension scheme and employee state insurance scheme are made to the relevant government authorities as per the prescribed rules and regulations. The Company's superannuation scheme for qualifying employees is administered through its various superannuation trust funds. The Company's contributions to the above defined contribution plans are recognised as employee benefit expenses in the statement of profit and loss for the year in which they are due. The Company has no further obligation in respect of such plans beyond the contributions made.

The Company's contribution to provident, pension, superannuation funds and to employees state insurance scheme aggregating to ₹ 43.77 Crore (Previous year - ₹ 42.94 Crore) has been recognised in the statement of profit and loss under the head employee benefits expense [Refer note 37].

48.2 Defined benefit plans

(a) Gratuity

The Company operates through various gratuity trust, a plan, covering all its employees. The benefit payable is the greater of the amount calculated as per the Payment of Gratuity Act, 1972 or the Company scheme applicable to the employee. The benefit vests upon completion of five years of continuous service and once vested it is payable to employees on retirement or on termination of employment. The gratuity benefits payable to the employees are based on the tenure of employee's service and last drawn salary at the time of leaving. The employees do not contribute towards this plan and the full cost of providing these benefits are met by the Company. In case of death while in service, the gratuity is payable irrespective of vesting.

The Company makes annual contribution to the gratuity schemes administered by the Life Insurance Corporation of India through its various Gratuity Trust Funds. The liability in respect of plan is determined on the basis of an actuarial valuation.

(b) Risk exposure to defined benefit plans

The plans typically expose the Company to actuarial risks such as: asset volatility, interest rate risk, longevity risk and salary risk as described below:

Asset volatility

The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on Indian government securities; if the return on plan asset is below this rate, it will create a plan deficit.

Interest risk

A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's debt investments.

Longevity risk

The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary risk

The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

The most recent actuarial valuation of the plan assets and the present value of the defined benefit obligation was carried out at March 31, 2023. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the projected unit credit method.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 48 : Employee Benefits Plan (Contd.)

(c) Significant assumptions

The principal assumptions used for the purpose of the actuarial valuation were as follows.

	As at March 31, 2023	As at March 31, 2022
Discount rate (p.a.)	7.57%	7.17%
Salary escalation rate (p.a.)	8.50%	8.50%

(d) The amount included in the balance sheet arising from the Company's obligation in respect of its defined benefit plans is as follows:

Balances of defined benefit plan

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Present value of funded defined benefit obligation	267.75	275.91
Fair value of plan assets	269.39	263.68
Net (asset) / liability [Refer note 21 and 33]	**(1.64)**	**12.23**

(e) Expenses recognised for defined benefit plan and movement of plan assets and liabilities

Following are the amounts recognised in statement of profit and loss, other comprehensive income, movement in defined benefit liability and movement in plan assets:

(₹ in Crore)

	Funded plan- Gratuity	
	As at March 31, 2023	As at March 31, 2022
1. Movements in the present value of the defined benefit obligation:		
Obligation at the beginning of the year	275.91	280.38
Current service cost	17.67	17.48
Interest cost	19.78	19.85
Actuarial (gains) / losses from changes in demographic assumptions	-	0.11
Actuarial (gains) / losses arising changes in financial assumptions	(10.10)	(2.26)
Actuarial (gains) / losses from experience adjustments	0.38	(2.37)
Liability transferred in	4.27	2.39
Liability transferred out	(8.57)	(2.17)
Benefits paid directly by employer	(4.84)	(2.39)
Benefits paid	(26.75)	(35.11)
Obligation at the end of the year	**267.75**	**275.91**
2. Movements in the fair value of the plan assets:		
Plan assets at the beginning of the year, at fair value	263.68	268.92
Interest income	18.90	19.05
Return on plan assets (excluding interest income)	1.49	(1.49)
Contributions received	12.07	12.31
Benefits paid	(26.75)	(35.11)
Plan assets at the end of the year, at fair value	**269.39**	**263.68**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 48 : Employee Benefits Plan (Contd.)

(₹ in Crore)

	Funded plan- Gratuity	
	As at March 31, 2023	As at March 31, 2022
3. Gratuity cost recognized in the statement of profit and loss		
Current service cost	17.67	17.48
Interest cost, net	0.88	0.80
Net gratuity cost recognized in the statement of profit and loss [Refer note 37]	**18.55**	**18.28**
4. Gratuity cost recognized in the other comprehensive income (OCI)		
Return on plan assets (excluding interest income)	(1.49)	1.49
Actuarial (gains) / losses	(9.72)	(4.52)
Net (income) / expense for the period recognized in OCI	**(11.21)**	**(3.03)**

(f) Category wise plan assets

Contributions to fund the obligations under the gratuity plan are made to the Life Insurance Corporation of India.

(g) Sensitivity analysis

Significant actuarial assumptions for the determination of the defined obligation are discount rate and expected salary increase. The sensitivity analysis given below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

Change in assumptions

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Increase / (decrease) in defined benefit obligation of gratuity		
50 basis points increase in discount rate	(11.70)	(11.88)
50 basis points decrease in discount rate	12.74	12.95
50 basis points increase in salary escalation rate	12.56	12.72
50 basis points decrease in salary escalation rate	(11.66)	(11.79)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

(h) The weighted average duration of the gratuity plan based on average future service is 18 years (Previous year - 19 years).

(i) Expected contribution to the plan for the next annual reporting period is ₹ Nil (Previous year - ₹ 12.23 Crore).

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 48 : Employee Benefits Plan (Contd.)

(j) Cash flow projection from the fund

Projected benefits payable in future years from the date of reporting

(₹ in Crore)

	Funded plan- Gratuity	
	As at March 31, 2023	As at March 31, 2022
1st following year	30.05	32.51
2nd following year	17.54	16.77
3rd following year	27.57	28.74
4th following year	18.32	26.75
5th following year	19.59	17.48
sum of years 6th to 10th	98.03	93.46
more than 10 years	469.69	444.65

48.3 Other long-term employee benefit obligations

The leave obligation covers the Company's liability for sick and earned leave. Under these compensated absences plans, leave encashment is payable to all eligible employees on separation from the Company due to death, retirement or resignation; at the rate of daily last drawn salary, multiplied by leave days accumulated as at the end of relevant period. Refer notes 33 and 37 for the leave encashment provision / charge in the balance sheet and statement of profit and loss.

Note 49 : Auditors Remuneration (Including Taxes)

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
As audit fees	1.36	1.21
For other services	0.55	0.46
For reimbursement of expenses	0.12	0.02
	2.03	**1.69**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 50 : Corporate Social Responsibility (CSR) Expenditure

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
(a) Amount required to be spent by the company during the year	31.97	28.60
(b) Amount of expenditure incurred	32.62	28.60
(c) Shortfall at the end of the year	-	-
(d) Total of previous years shortfall	-	-
(e) Reason for shortfall	Not Applicable	Not Applicable
(f) Nature of CSR activities	1) Development and maintenance of public parks. 2) Education for urban and rural slum children. 3) Equestrian training facilities.	1) Pediatric health care activity 2) Development and maintenance of public parks. 3) Education for urban and rural slum children.
(g) Contribution to section 8 related companies, included in (b) above, in relation to CSR expenditure (i) UNM Foundation (formerly known as Tornascent Care Institute) [Refer Footnote 1]	32.45	28.48
	32.45	**28.48**

Footnote :

1 Unspent amount as at March 31, 2023 is ₹ 18.62 Crore (March 31, 2022 ₹ 16.91 Crore) has been transferred to special bank accounts u/s 135 (6) of the Companies Act, 2013 by UNM Foundation.

Note 51 : Donations Include Political Contributions as Under

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Electoral Bonds	23.00	27.50
Prudent Electoral Trust	-	3.50
Bhartiya Janta Party	0.11	-
	23.11	**31.00**

Note 52 : Earnings Per Share

	Year ended March 31, 2023	Year ended March 31, 2022
Basic earnings per share (₹)	43.77	8.52
Diluted earnings per share (₹)	43.77	8.52

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Basic and diluted earnings per share

The earnings and weighted average number of equity shares used in the calculation of basic earnings per share are as follows:

	Year ended March 31, 2023	Year ended March 31, 2022
Profit for the year used in calculation of basic earning per share (₹ in Crore)	2,103.72	409.71
Weighted average number of equity shares	48,06,16,784	48,06,16,784

The Company does not have any dilutive potential ordinary shares and therefore diluted earnings per share is the same as basic earnings per share.

Note 53 : Operating Segments

The Chief Operating Decision Maker (CODM) evaluates the Company's performance and applies the resources to whole of the Company's business viz. "Generation, Transmission and Distribution of Power" as an integrated utility. Hence the Company does not have any reportable segment as per Ind AS - 108 "Operating Segments".

The Company's operations are wholly confined within India and hence there is no reportable geographical information.

Note 54 : Certified Emission Reduction (CERS)

	As at March 31, 2023	As at March 31, 2022
No. of CERs inventory	49,97,674	-
No. of CERs under certification	-	71,71,099

Inventories of CERs are valued at cost or market price whichever is lower.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures

(a) Names of related parties and description of relationship:

1	**Parent Company**	Torrent Investments Private Limited
2	**Subsidiaries**	Torrent Power Grid Limited, Torrent Pipavav Generation Limited, Torrent Solargen Limited, Jodhpur Wind Farms Private Limited, Latur Renewable Private Limited, TCL Cables Private Limited, Torrent Solar Power Private Limited (w.e.f. July 28, 2020), Torrent Saurya Urja 2 Private Limited (w.e.f. February 5, 2021), Torrent Saurya Urja 3 Private Limited (w.e.f. February 17, 2021), Torrent Saurya Urja 4 Private Limited (w.e.f. July 20, 2021), Torrent Saurya Urja 5 Private Limited (w.e.f. July 16, 2021), Visual Percept Solar Projects Private Limited (w.e.f. February 15, 2022), Surya Vidyut Limited (w.e.f. March 11, 2022), Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited (w.e.f. March 15, 2022), Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV 1 Private Limited) (w.e.f. March 25, 2022), Sun Shakti Solar Power Projects Private Limited (w.e.f.June 13, 2022) and Wind Two Renergy Private Limited (w.e.f. July 30, 2022)
3	**Associates**	Wind Two Renergy Private Limited (upto July 29, 2022)
4	**Employee benefits plans***	TPL (Ahmedabad) Gratuity Trust, TPL (Ahmedabad) Superannuation Fund, TPL (Surat) Gratuity Trust, TPL (Surat) Superannuation Fund, TPL (SUGEN) Gratuity Trust, TPL (SUGEN) Superannuation Fund, TPL (DGEN) Gratuity Trust, TPL (DGEN) Superannuation Fund
5	**Key management personnel**	Samir Mehta Jinal Mehta Varun Mehta (w.e.f. August 8, 2022)
6	**Non-executive directors**	Sudhir Mehta Pankaj Patel Samir Barua (Upto September 30, 2022) Keki Mistry Usha Sangwan (w.e.f. May 21, 2021) Radhika Haribhakti (w.e.f. August 7, 2021) Mamta Verma (w.e.f. August 7, 2021) Bhavna Doshi (upto September 30, 2021) Dharmishta Raval (upto September 30, 2021) Sunaina Tomar (upto June 15, 2021) Ketan Dalal (w.e.f. May 11, 2022)
7	**Relatives of key management personnel***	Varun Mehta (upto August 7, 2022)
8	**Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/ Entities where the directors have significant influence***	UNM Foundation (formerly known as Tornascent Care Institute) #, Torrent Pharmaceuticals Limited, Torrent Power Services Private Limited, Torrent Gas Pune Limited, Torrent Gas Private Limited, Torrent Gas Chennai Private Limited, Torrent Gas Jaipur Private Limited, Torrent Gas Moradabad Limited, Torrent Fincorp Private Limited, Torrent Sports Ventures Private Limited, Torrent Diagnostics Private Limited, Torrent Hospitals Private Limited, Gujarat Lease Financing Limited ,School of Ultimate Leadership Foundation (w.e.f. October 15, 2022)

* where transactions have taken place during the year and / or previous year or where balances are outstanding at the year end

\# The National Company Law Tribunal (NCLT) has approved a Scheme of Arrangement ("Scheme") in the nature of Amalgamation of UNM Foundation with Tornascent Care Institute vide order dated March 23, 2021. The Scheme is effective from April 1, 2020 ("Appointed Date"). The name "Tornascent Care Institute" changed to "UNM Foundation" w.e.f. July 20, 2021.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(b) Related party transactions

(₹ in Crore)

	Subsidiaries		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Nature of transactions												
Sale of Inventory	**3.40**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**3.40**	**-**
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	3.40	-	-	-	-	-	-	-	-	-	3.40	-
Dividend income	**30.98**	**14.65**	**-**	**-**	**-**	**-**	**-**	-	**-**	**-**	**30.98**	**14.65**
Torrent Power Grid Limited	12.66	14.65	-	-	-	-	-	-	-	-	12.66	14.65
Visual Percept Solar Power Projects Limited	18.32	-	-	-	-	-	-	-	-	-	18.32	-
Interest income	**105.14**	**78.24**	**3.45**	**11.09**	**-**	**-**	**-**	**-**	**-**	**-**	**108.59**	**89.33**
Surya Vidyut Limited	0.65	-	-	-	-	-	-	-	-	-	0.65	-
Torrent Solargen Limited	28.70	59.31	-	-	-	-	-	-	-	-	28.70	59.31
Latur Renewable Private Limited	-	*	-	-	-	-	-	-	-	-	-	*
Jodhpur Wind Farms Private Limited	-	*	-	-	-	-	-	-	-	-	-	*
TCL Cables Private Limited	19.94	17.49	-	-	-	-	-	-	-	-	19.94	17.49
Torrent Solar Power Private Limited	7.58	0.77	-	-	-	-	-	-	-	-	7.58	0.77
Torrent Saurya Urja 2 Private Limited	5.85	0.56	-	-	-	-	-	-	-	-	5.85	0.56
Torrent Saurya Urja 4 Private Limited	0.12	-	-	-	-	-	-	-	-	-	0.12	-
Torrent Saurya Urja 6 Private Limited	10.65	0.11	-	-	-	-	-	-	-	-	10.65	0.11
Sunshakti Solar Power Projects Private Limited	15.44	-	-	-	-	-	-	-	-	-	15.44	-
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	8.28	-	-	-	-	-	-	-	-	-	8.28	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(b) Related party transactions

(₹ in Crore)

	Subsidiaries		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Wind Two Renergy Private Limited	7.93	-	3.45	11.09	-	-	-	-	-	-	11.38	11.09
Dividend paid	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**566.33**	**373.26**	**566.33**	**373.26**
Torrent Investments Private Limited	-	-	-	-	-	-	-	-	566.33	373.26	566.33	373.26
Services provided (rent income including tax)	**1.37**	**1.37**	**-**	**-**	**-**	**-**	**-**	**-**	**1.35**	**0.88**	**2.72**	**2.25**
Torrent Power Grid Limited	*	*	-	-	-	-	-	-	-	-	*	*
Torrent Pipavav Generation Limited	*	*	-	-	-	-	-	-	-	-	*	*
Torrent Solargen Limited	*	*	-	-	-	-	-	-	-	-	*	*
Latur Renewable Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
Jodhpur Wind Farms Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
Visual Percept Solar Power Projects Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Solar Power Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
TCL Cables Private Limited	1.37	1.37	-	-	-	-	-	-	-	-	1.37	1.37
Torrent Saurya Urja 2 Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
Torrent Saurya Urja 3 Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
Torrent Saurya Urja 4 Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
Torrent Saurya Urja 5 Private Limited	*	*	-	-	-	-	-	-	-	-	*	*
UNM Foundation	-	-	-	-	-	-	-	-	*	0.01	*	0.01
Torrent Investments Private Limited	-	-	-	-	-	-	-	-	*	*	*	*
Torrent Power Services Private Limited	-	-	-	-	-	-	-	-	*	*	*	*
Torrent Gas Private Limited	-	-	-	-	-	-	-	-	0.47	0.87	0.47	0.87

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(b) Related party transactions

(₹ in Crore)

	Subsidiaries		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Torrent Fincorp Private Limited	-	-	-	-	-	-	-	-	*	*	*	*
Torrent Sports Ventures Private Limited	-	-	-	-	-	-	-	-	*	*	*	*
Torrent Gas Chennai Private Limited	-	-	-	-	-	-	-	-	0.22	-	0.22	-
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	-	-	0.22	-	0.22	-
Torrent Gas Pune Limited	-	-	-	-	-	-	-	-	0.22	-	0.22	-
Torrent Gas Moradabad Limited	-	-	-	-	-	-	-	-	0.22	-	0.22	-
Torrent Hospitals Private Limited	-	-	-	-	-	-	-	-	*	-	*	-
School of Ultimate Leadership Foundation	-	-	-	-	-	-	-	-	*	-	*	-
Wind Two Renergy Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Diagnostics PrivateLtd	-	-	-	-	-	-	-	-	*	*	*	*
Services received / remuneration paid	**0.54**	**1.63**	**-**	**-**	**-**	**-**	**-**	**-**	**1.16**	**2.25**	**1.70**	**3.88**
TCL Cables Private Limited	0.54	1.63	-	-	-	-	-	-	-	-	0.54	1.63
Varun Mehta	-	-	-	-	-	-	-	-	1.16	2.25	1.16	2.25
Purchase of cables	**199.17**	**178.83**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**199.17**	**178.83**
TCL Cables Private Limited	199.17	178.83	-	-	-	-	-	-	-	-	199.17	178.83
Purchase of materials	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**0.63**	**-**	**0.63**
Torrent Gas Private Limited	-	-	-	-	-	-	-	-	-	0.63	-	0.63
Shared expenditure charged to	**1.91**	**1.56**	**0.11**	**0.31**	**-**	**-**	**-**	**-**	**-**	**0.02**	**2.02**	**1.89**
Torrent Saurya Urja 6 Private Limited	0.12	-	-	-	-	-	-	-	-	-	0.12	-
Torrent Pipavav Generation Limited	0.46	0.42	-	-	-	-	-	-	-	-	0.46	0.42

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(b) Related party transactions

(₹ in Crore)

	Subsidiaries		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Visual Percept Solar Power Projects Limited	0.10	-	-	-	-	-	-	-	-	-	0.10	-
Torrent Solargen Limited	0.39	0.61	-	-	-	-	-	-	-	-	0.39	0.61
Torrent Power Grid Limited	0.10	0.06	-	-	-	-	-	-	-	-	0.10	0.06
Latur Renewable Private Limited	0.15	0.16	-	-	-	-	-	-	-	-	0.15	0.16
Jodhpur Wind Farms Private Limited	0.31	0.31	-	-	-	-	-	-	-	-	0.31	0.31
Wind Two Renergy Private Limited	0.20	-	0.11	0.31	-	-	-	-	-	-	0.31	0.31
Surya Vidyut Limited	0.08	-	-	-	-	-	-	-	-	-	0.08	-
Gujarat Lease Financing Limited	-	-	-	-	-	-	-	-	-	0.02	-	0.02
Expenses incurred on behalf of	**1.64**	**2.16**	**-**	**-**	**-**	**-**	**-**	**-**	**0.13**	**0.07**	**1.77**	**2.23**
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	1.07	2.16	-	-	-	-	-	-	-	-	1.07	2.16
Torrent Solargen Limited	0.11	-	-	-	-	-	-	-	-	-	0.11	-
Jodhpur Wind Farms Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Latur Renewable Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
TCL Cables Private Limited	0.06	-	-	-	-	-	-	-	-	-	0.06	-
Torrent Solar Power Private Limited	0.24	-	-	-	-	-	-	-	-	-	0.24	-
Torrent Saurya Urja 2 Private Limited	0.16	-	-	-	-	-	-	-	-	-	0.16	-
Torrent Saurya Urja 6 Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Gas Private Limited	-	-	-	-	-	-	-	-	0.05	0.07	0.05	0.07
Torrent Gas Pune Limited	-	-	-	-	-	-	-	-	0.02	-	0.02	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(b) Related party transactions

(₹ in Crore)

	Subsidiaries		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Torrent Gas Chennai Private Limited	-	-	-	-	-	-	-	-	0.02	-	0.02	-
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	-	-	0.02	-	0.02	-
Torrent Gas Moradabad Limited	-	-	-	-	-	-	-	-	0.02	-	0.02	-
Impairment in value of investment	**0.80**	**1.60**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**0.80**	**1.60**
Torrent Pipavav Generation Limited	0.80	1.60	-	-	-	-	-	-	-	-	0.80	1.60
Transfer of gratuity/leave liability to / (from)	**5.61**	**0.08**	**-**	**-**	**-**	**-**	**-**	**-**	**0.18**	**(0.13)**	**5.79**	**(0.05)**
Torrent Pharmaceuticals Limited	-	-	-	-	-	-	-	-	-	(0.29)	-	(0.29)
Torrent Power Grid Limited	(0.21)	-	-	-	-	-	-	-	-	-	(0.21)	-
TCL Cables Private Limited	0.06	0.08	-	-	-	-	-	-	-	-	0.06	0.08
UNM Foundation	-	-	-	-	-	-	-	-	-	*	-	*
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	5.76	-	-	-	-	-	-	-	-	-	5.76	-
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	-	-	(0.04)	-	(0.04)	-
Torrent Gas Private Limited	-	-	-	-	-	-	-	-	0.22	0.16	0.22	0.16
Managerial remuneration @	**-**	**-**	**-**	**-**	**-**	**-**	**36.09**	**24.14**	**-**	**-**	**36.09**	**24.14**
Samir Mehta	-	-	-	-	-	-	15.00	10.00	-	-	15.00	10.00
Varun Mehta	-	-	-	-	-	-	3.00	-	-	-	3.00	-
Jinal Mehta	-	-	-	-	-	-	18.09	14.14	-	-	18.09	14.14
Commission to non-executive directors @@	**-**	**-**	**-**	**-**	**-**	**-**	**2.19**	**1.82**	**-**	**-**	**2.19**	**1.82**
Samir Barua	-	-	-	-	-	-	0.23	0.37	-	-	0.23	0.37

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(b) Related party transactions

(₹ in Crore)

	Subsidiaries		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Keki Mistry	-	-	-	-	-	-	0.27	0.30	-	-	0.27	0.30
Pankaj Patel	-	-	-	-	-	-	0.31	0.27	-	-	0.31	0.27
Bhavna Doshi	-	-	-	-	-	-	-	0.21	-	-	-	0.21
Dharmishta Raval	-	-	-	-	-	-	-	0.22	-	-	-	0.22
Sunaina Tomar #	-	-	-	-	-	-	-	0.05	-	-	-	0.05
Usha Sangwan	-	-	-	-	-	-	0.48	0.21	-	-	0.48	0.21
Radhika Haribhakti	-	-	-	-	-	-	0.48	0.14	-	-	0.48	0.14
Ketan Dalal	-	-	-	-	-	-	0.35	-	-	-	0.35	-
Mamta Verma #	-	-	-	-	-	-	0.07	0.05	-	-	0.07	0.05
Sitting fees to non-executive directors @@	**-**	**-**	**-**	**-**	**-**	**-**	**0.58**	**0.70**	**-**	**-**	**0.58**	**0.70**
Samir Barua	-	-	-	-	-	-	0.06	0.16	-	-	0.06	0.16
Keki Mistry	-	-	-	-	-	-	0.06	0.11	-	-	0.06	0.11
Pankaj Patel	-	-	-	-	-	-	0.07	0.09	-	-	0.07	0.09
Bhavna Doshi	-	-	-	-	-	-	-	0.08	-	-	-	0.08
Dharmishta Raval	-	-	-	-	-	-	-	0.09	-	-	-	0.09
Sunaina Tomar #	-	-	-	-	-	-	-	0.01	-	-	-	0.01
Usha Sangwan	-	-	-	-	-	-	0.14	0.09	-	-	0.14	0.09
Radhika Haribhakti	-	-	-	-	-	-	0.14	0.06	-	-	0.14	0.06
Mamta Verma #	-	-	-	-	-	-	0.01	0.01	-	-	0.01	0.01
Ketal Dalal	-	-	-	-	-	-	0.10	-	-	-	0.10	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(b) Related party transactions

(₹ in Crore)

	Subsidiaries		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Donation	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**9.55**	**11.36**	**9.55**	**11.36**
UNM Foundation	-	-	-	-	-	-	-	-	9.55	11.36	9.55	11.36
Contribution towards CSR	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**32.45**	**28.48**	**32.45**	**28.48**
UNM Foundation	-	-	-	-	-	-	-	-	32.45	28.48	32.45	28.48
Contribution to employee benefit plans (net)	**-**	**-**	**-**	**-**	**22.21**	**22.15**	**-**	**-**	**-**	**-**	**22.21**	**22.15**
TPL (Ahmedabad) Gratuity Trust	-	-	-	-	10.12	9.16	-	-	-	-	10.12	9.16
TPL (Ahmedabad) Superannuation Fund	-	-	-	-	7.91	7.54	-	-	-	-	7.91	7.54
TPL (Surat) Gratuity Trust	-	-	-	-	1.53	2.66	-	-	-	-	1.53	2.66
TPL (Surat) Superannuation Fund	-	-	-	-	1.45	1.51	-	-	-	-	1.45	1.51
TPL (SUGEN) Gratuity Trust	-	-	-	-	0.40	0.44	-	-	-	-	0.40	0.44
TPL (SUGEN) Superannuation Fund	-	-	-	-	0.52	0.52	-	-	-	-	0.52	0.52
TPL (DGEN) Gratuity Trust	-	-	-	-	0.03	0.05	-	-	-	-	0.03	0.05
TPL (DGEN) Superannuation Fund	-	-	-	-	0.25	0.27	-	-	-	-	0.25	0.27
Equity contribution	**-**	**40.10**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**40.10**
TCL Cables Private Limited	-	40.00	-	-	-	-	-	-	-	-	-	40.00
Torrent Saurya Urja 4 Private Limited	-	0.05	-	-	-	-	-	-	-	-	-	0.05
Torrent Saurya Urja 5 Private Limited	-	0.05	-	-	-	-	-	-	-	-	-	0.05
Payment against bank guarantee	**-**	**5.00**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**5.00**
Torrent Solargen Limited	-	5.00	-	-	-	-	-	-	-	-	-	5.00

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(b) Related party transactions

(₹ in Crore)

	Subsidiaries		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Conversion of Compulsorily Convertible Debentures into equity	**88.53**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**88.53**	**-**
Sunshakti Solar Power Projects Private Limited	36.69	-	-	-	-	-	-	-	-	-	36.69	-
Torrent Saurya Urja 6 Private Limited	51.84	-	-	-	-	-	-	-	-	-	51.84	-
Fractional shares payment	*	-	-	-	-	-	-	-	-	-	*	-
Sunshakti Solar Power Projects Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Refund by bank against bank guarantee	**-**	**4.50**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**4.50**
Torrent Solargen Limited	-	4.50	-	-	-	-	-	-	-	-	-	4.50
Redemption of Non-Convertible Debentures	**72.76**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**72.76**	**-**
Wind Two Renergy Private Limited	72.76	-	-	-	-	-	-	-	-	-	72.76	-
Premium on NCD	**4.66**	**-**	**2.62**	**7.45**	**-**	**-**	**-**	**-**	**-**	**-**	**7.28**	**7.45**
Wind Two Renergy Private Limited	4.66	-	2.62	7.45	-	-	-	-	-	-	7.28	7.45
Securities Given	**17.52**	**98.79**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**17.52**	**98.79**
Surya Vidyut Limited	17.52	-	-	-	-	-	-	-	-	-	17.52	-
Torrent Saurya Urja 6 Private Limited	-	98.79	-	-	-	-	-	-	-	-	-	98.79
Loans given	**5,166.64**	**461.45**	**3.50**	**7.95**	**-**	**-**	**-**	**-**	**-**	**-**	**5,170.14**	**469.40**
Torrent Pipavav Generation Limited ^	0.96	2.36	-	-	-	-	-	-	-	-	0.96	2.36
Torrent Solargen Limited	89.06	177.77	-	-	-	-	-	-	-	-	89.06	177.77
Latur Renewable Private Limited	-	20.43	-	-	-	-	-	-	-	-	-	20.43
Jodhpur Wind Farms Private Limited	-	20.37	-	-	-	-	-	-	-	-	-	20.37

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(b) Related party transactions

(₹ in Crore)

	Subsidiaries		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
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TCL Cables Private Limited	168.00	148.25	-	-	-	-	-	-	-	-	168.00	148.25
Torrent Solar Power Private Limited	83.01	60.60	-	-	-	-	-	-	-	-	83.01	60.60
Torrent Saurya Urja 2 Private Limited	163.32	31.67	-	-	-	-	-	-	-	-	163.32	31.67
Torrent Saurya Urja 4 Private Limited	19.97	-	-	-	-	-	-	-	-	-	19.97	-
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	4,008.50	-	-	-	-	-	-	-	-	-	4,008.50	-
Wind Two Renergy Private Limited	115.00	-	3.50	7.95	-	-	-	-	-	-	118.50	7.95
Surya Vidyut Limited	60.00	-	-	-	-	-	-	-	-	-	60.00	-
Sunshakti Solar Power Projects Private Limited	279.02	-	-	-	-	-	-	-	-	-	279.02	-
Torrent Saurya Urja 6 Private Limited	179.80	-	-	-	-	-	-	-	-	-	179.80	-
Receipt on repayment of loans	**4,944.21**	**255.34**	**11.25**	**21.30**	**-**	**-**	**-**	**-**	**-**	**-**	**4,955.46**	**276.64**
Torrent Saurya Urja 6 Private Limited	53.75	-	-	-	-	-	-	-	-	-	53.75	-
Torrent Saurya Urja 2 Private Limited	2.55	-	-	-	-	-	-	-	-	-	2.55	-
Torrent Solargen Limited	592.65	78.04	-	-	-	-	-	-	-	-	592.65	78.04
Latur Renewable Private Limited	-	20.43	-	-	-	-	-	-	-	-	-	20.43
Jodhpur Wind Farms Private Limited	-	20.37	-	-	-	-	-	-	-	-	-	20.37
TCL Cables Private Limited	112.00	136.50	-	-	-	-	-	-	-	-	112.00	136.50
Surya Vidyut Limited	45.70	-	-	-	-	-	-	-	-	-	45.70	-
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	4,008.50	-	-	-	-	-	-	-	-	-	4,008.50	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(b) Related party transactions

(₹ in Crore)

	Subsidiaries		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Sunshakti Solar Power Projects Private Limited	126.41	-	-	-	-	-	-	-	-	-	126.41	-
Wind Two Renergy Private Limited	2.65	-	11.25	21.30	-	-	-	-	-	-	13.90	21.30
Deposits given for nomination of directors	**0.01**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**0.01**	**-**
Torrent Power Grid Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Deposits received back on appointment of directors	**0.01**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**0.01**	**-**
Torrent Power Grid Limited	0.01	-	-	-	-	-	-	-	-	-	0.01	-
Deposits received	**-**	**0.10**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**0.10**
Visual Percept Solar Power Projects Limited	*	-	-	-	-	-	-	-	-	-	*	-
TCL Cables Private Limited	-	0.10	-	-	-	-	-	-	-	-	-	0.10
Torrent Saurya Urja 2 Private Limited	-	*	-	-	-	-	-	-	-	-	-	*
Torrent Saurya Urja 3 Private Limited	-	*	-	-	-	-	-	-	-	-	-	*
Torrent Saurya Urja 4 Private Limited	-	*	-	-	-	-	-	-	-	-	-	*
Torrent Saurya Urja 5 Private Limited	-	*	-	-	-	-	-	-	-	-	-	*
Torrent Sports Ventures Private Limited	-	-	-	-	-	-	-	-	-	*	-	*
School of Ultimate Leadership Foundation	-	-	-	-	-	-	-	-	*	-	*	-
Wind Two Renergy Private Limited	*	-	-	-	-	-	-	-	-	-	*	-
Torrent Diagnostics Private Ltd	-	-	-	-	-	-	-	-	-	*	-	*
Deposit Refunded	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	*****	**-**	*****
Torrent Power Grid Limited	-	*	-	-	-	-	-	-	-	-	-	*

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(b) Related party transactions

(₹ in Crore)

	Subsidiaries		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Torrent Pipavav Generation Limited	-	*	-	-	-	-	-	-	-	-	-	*
Torrent Solargen Limited	-	*	-	-	-	-	-	-	-	-	-	*
Jodhpur Wind Farms Private Limited	-	*	-	-	-	-	-	-	-	-	-	*
Latur Renewable Private Limited	-	*	-	-	-	-	-	-	-	-	-	*
Torrent Solar Power Private Limited	-	*	-	-	-	-	-	-	-	-	-	*
UNM Foundation	-	-	-	-	-	-	-	-	-	*	-	*
Torrent Investments Private Limited	-	-	-	-	-	-	-	-	-	*	-	*
Torrent Power Services Private Limited	-	-	-	-	-	-	-	-	-	*	-	*
Torrent Gas Private Limited	-	-	-	-	-	-	-	-	-	*	-	*
Torrent Fincorp Private Limited	-	-	-	-	-	-	-	-	-	*	-	*
Utilisation of non-fund based limit of the Company by	**198.98**	**449.54**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**198.98**	**449.54**
Torrent Solargen Limited	1.62	47.57	-	-	-	-	-	-	-	-	1.62	47.57
Jodhpur Wind Farms Private Limited	-	0.81	-	-	-	-	-	-	-	-	-	0.81
Latur Renewable Private Limited	-	0.81	-	-	-	-	-	-	-	-	-	0.81
Torrent Saurya Urja 2 Private Limited	58.25	-	-	-	-	-	-	-	-	-	58.25	-
Torrent Solar Power Private Limited	0.50	-	-	-	-	-	-	-	-	-	0.50	-
TCL Cables Private Limited	48.57	24.20	-	-	-	-	-	-	-	-	48.57	24.20
Torrent Saurya Urja 6 Private Limited	0.37	-	-	-	-	-	-	-	-	-	0.37	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(b) Related party transactions

(₹ in Crore)

	Subsidiaries		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	89.67	376.15	-	-	-	-	-	-	-	-	89.67	376.15
Guarantees given to lenders of subsidiaries	**503.91**	**700.00**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**503.91**	**700.00**
Torrent Solargen Limited	-	700.00	-	-	-	-	-	-	-	-	-	700.00
TCL Cables Private Limited $$$	23.91	-	-	-	-	-	-	-	-	-	23.91	-
Surya Vidyut Limited	480.00	-	-	-	-	-	-	-	-	-	480.00	-

@ excluding provision for gratuity and leave encashment, insurance premium for group personal accident and group mediclaim.
# Sitting fees and Commission of Sunaina Tomar and Mamta Verma (nominee of the Government of Gujarat) is paid / payable to the Government of Gujarat.
@@ excluding Goods and Services Tax.
^ Interest free loan has been provided.
$$$ Guarantee given for USD 0.30 Crore (March 31, 2022 -₹ Nil). It has been converted based on SBI reference rate as at transaction date i.e. ₹ 79.69.

The Company is a public utility, being engaged in distribution of electricity. Transactions entered with the above mentioned related party does not include sale of electricity since the tariff charged to the customers are determined by an independent rate-setting authority.

(c) Key management personnel compensation

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Short-term employee benefits	36.09	24.14
	36.09	**24.14**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(d) Related party balances

(₹ in Crore)

	Subsidiaries		Associates		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022
Balances at the end of the year										
Current liabilities	**31.62**	**49.09**	**-**	**-**	**22.97**	**14.32**	**0.40**	**0.16**	**54.99**	**63.57**
Visual Percept Solar Projects Private Limited	*	-	-	-	-	-	-	-	*	-
TCL Cables Private Limited	30.99	49.09	-	-	-	-	-	-	30.99	49.09
Torrent solar power private limited	*	-	-	-	-	-	-	-	*	-
Torrent Saurya Urja 2 Private Limited	*	*	-	-	-	-	-	-	*	*
Torrent Saurya Urja 3 Private Limited	*	*	-	-	-	-	-	-	*	*
Torrent Saurya Urja 4 Private Limited	*	*	-	-	-	-	-	-	*	*
Torrent Saurya Urja 5 Private Limited	*	*	-	-	-	-	-	-	*	*
Wind Two Renergy Private Limited	*	-	-	-	-	-	-	-	*	-
UNM Foundation	-	-	-	-	-	-	-	*	-	*
Torrent Gas Private Limited	-	-	-	-	-	-	0.38	0.16	0.38	0.16
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	0.02	-	0.02	-
Torrent Sports Ventures Private Limited	-	-	-	-	-	-	*	*	*	*
Torrent Hospitals Pvt Ltd	-	-	-	-	-	-	*	-	*	-
School of Ultimate Leadership Foundation	-	-	-	-	-	-	*	-	*	-
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	0.63	-	-	-	-	-	-	-	0.63	-
Torrent Diagnostics Private Limited	-	-	-	-	-	-	*	*	*	*
Samir Mehta	-	-	-	-	15.00	10.00	-	-	15.00	10.00

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related party disclosures (Contd.)

(d) Related party balances

(₹ in Crore)

	Subsidiaries		Associates		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022
Varun Mehta	-	-	-	-	1.00	-	-	-	1.00	-
Jinal Mehta	-	-	-	-	5.00	2.50	-	-	5.00	2.50
Samir Barua	-	-	-	-	0.21	0.37	-	-	0.21	0.37
Keki Mistry	-	-	-	-	0.24	0.30	-	-	0.24	0.30
Pankaj Patel	-	-	-	-	0.28	0.27	-	-	0.28	0.27
Bhavna Doshi	-	-	-	-	-	0.21	-	-	-	0.21
Dharmishta Raval	-	-	-	-	-	0.22	-	-	-	0.22
Sunaina Tomar #	-	-	-	-	-	0.05	-	-	-	0.05
Ketan Dalal	-	-	-	-	0.31	-	-	-	0.31	-
Usha Sangwan	-	-	-	-	0.43	0.21	-	-	0.43	0.21
Radhika Haribhakti	-	-	-	-	0.43	0.14	-	-	0.43	0.14
Mamta Verma #	-	-	-	-	0.07	0.05	-	-	0.07	0.05
Investment in equity	**1,813.64**	**993.88**	**-**	**-**	**-**	**-**	**0.05**	**0.05**	**1,813.69**	**993.93**
Torrent Power Grid Limited	66.60	66.60	-	-	-	-	-	-	66.60	66.60
Torrent Pipavav Generation Limited	47.50	47.50	-	-	-	-	-	-	47.50	47.50
Torrent Solargen Limited	88.86	88.86	-	-	-	-	-	-	88.86	88.86
Latur Renewable Private Limited	116.68	116.68	-	-	-	-	-	-	116.68	116.68
Jodhpur Wind Farms Private Limited	117.68	117.68	-	-	-	-	-	-	117.68	117.68
TCL Cables Private Limited	42.00	42.00	-	-	-	-	-	-	42.00	42.00
Torrent Solar Power Private Limited	0.05	0.05	-	-	-	-	-	-	0.05	0.05
Torrent Saurya Urja 2 Private Limited	0.05	0.05	-	-	-	-	-	-	0.05	0.05
Torrent Saurya Urja 3 Private Limited	0.05	0.05	-	-	-	-	-	-	0.05	0.05

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

(d) Related party balances

(₹ in Crore)

	Subsidiaries		Associates		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022
Torrent Saurya Urja 4 Private Limited	0.05	0.05	-	-	-	-	-	-	0.05	0.05
Torrent Saurya Urja 5 Private Limited	0.05	0.05	-	-	-	-	-	-	0.05	0.05
Visual Percept Solar Projects Private Limited	162.62	162.62	-	-	-	-	-	-	162.62	162.62
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	586.06	-	-	-	-	-	-	-	586.06	-
Surya Vidyut Limited	311.47	304.73	-	-	-	-	-	-	311.47	304.73
Torrent Saurya Urja 6 Private Limited	98.79	46.96	-	-	-	-	-	-	98.79	46.96
Sunshakti Solar Power Projects Private Limited	142.62	-	-	-	-	-	-	-	142.62	-
Wind Two Renergy Private Limited	32.51	-	-	-	-	-	-	-	32.51	-
UNM Foundation	-	-	-	-	-	-	0.05	0.05	0.05	0.05
Investment in compulsorily convertible debentures (including interest accrued)	**-**	**51.93**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**51.93**
Torrent Saurya Urja 6 Private Limited	-	51.93	-	-	-	-	-	-	-	51.93
Impairment in value of investment	**18.35**	**17.55**	**-**	**-**	**-**	**-**	**-**	**-**	**18.35**	**17.55**
Torrent Pipavav Generation Limited	18.35	17.55	-	-	-	-	-	-	18.35	17.55
Investment in non-convertible debentures (including amortised premium)	**24.35**	**-**	**-**	**116.89**	**-**	**-**	**-**	**-**	**24.35**	**116.89**
Wind Two Renergy Private Limited	24.35	-	-	116.89	-	-	-	-	24.35	116.89
Loans (including interest) (non-current)	**1,507.56**	**227.45**	**-**	**121.87**	**-**	**-**	**-**	**-**	**1,507.56**	**349.32**
Torrent Solargen Limited	332.06	-	-	-	-	-	-	-	332.06	-
TCL Cables Private Limited	283.45	227.45	-	-	-	-	-	-	283.45	227.45
Torrent Solar Power Private Limited	151.12	-	-	-	-	-	-	-	151.12	-
Torrent Saurya Urja 2 Private Limited	198.21	-	-	-	-	-	-	-	198.21	-
Torrent Saurya Urja4 Private Limited	20.08	-	-	-	-	-	-	-	20.08	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(d) Related party balances

(₹ in Crore)

	Subsidiaries		Associates		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022
Sunshakti Solar Power Projects Private Limited	152.62	-	-	-	-	-	-	-	152.62	-
Torrent Saurya Urja 6 Private Limited	126.05	-	-	-	-	-	-	-	126.05	-
Wind Two Renergy Private Limited	243.97	-	-	121.87	-	-	-	-	243.97	121.87
Loans (including interest) (current)	**105.16**	**1,011.63**	**-**	**19.90**	**-**	**-**	**-**	**-**	**105.16**	**1,031.53**
Torrent Pipavav Generation Limited ^	64.30	63.34	-	-	-	-	-	-	64.30	63.34
Torrent Solargen Limited	16.55	851.05	-	-	-	-	-	-	16.55	851.05
TCL Cables Private Limited	4.67	3.77	-	-	-	-	-	-	4.67	3.77
Torrent Solar Power Private Limited	-	61.29	-	-	-	-	-	-	-	61.29
Torrent Saurya Urja 2 Private Limited	-	32.18	-	-	-	-	-	-	-	32.18
Wind Two Renergy Private Limited	3.15	-	-	19.90	-	-	-	-	3.15	19.90
Surya Vidyut Limited	14.30	-	-	-	-	-	-	-	14.30	-
Torrent Saurya Urja 6 Private Limited	2.19	-	-	-	-	-	-	-	2.19	-
Trade and other receivables	**1.29**	**2.34**	**-**	**0.07**	**-**	**-**	**-**	**0.29**	**1.29**	**2.70**
Torrent Pipavav Generation Limited	0.04	-	-	-	-	-	-	-	0.04	-
Torrent Solargen Limited	0.37	0.07	-	-	-	-	-	-	0.37	0.07
Torrent Power Grid Limited	0.21	-	-	-	-	-	-	-	0.21	-
Visual Percept Solar Projects Private Limited	0.04	-	-	-	-	-	-	-	0.04	-
TCL Cables Private Limited	0.01	-	-	-	-	-	-	-	0.01	-
Torrent Solar Power Private Limited	0.24	-	-	-	-	-	-	-	0.24	-
Torrent Saurya Urja 2 Private Limited	0.12	-	-	-	-	-	-	-	0.12	-
Torrent Saurya Urja 6 Private Limited	0.05	-	-	-	-	-	-	-	0.05	-

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(d) Related party balances

(₹ in Crore)

	Subsidiaries		Associates		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022
Surya Vidyut Limited	0.03	-	-	-	-	-	-	-	0.03	-
Latur Renewable Private Limited	0.04	0.04	-	-	-	-	-	-	0.04	0.04
Jodhpur Wind Farms Private Limited	0.07	0.07	-	-	-	-	-	-	0.07	0.07
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	-	2.16	-	-	-	-	-	-	-	2.16
Wind Two Renergy Private Limited	0.07	-	-	0.07	-	-	-	-	0.07	0.07
Torrent Pharmaceuticals Limited	-	-	-	-	-	-	-	0.29	-	0.29
Utilisation of non-fund based limit of the Company by	**604.42**	**462.74**	**-**	**-**	**-**	**-**	**-**	**-**	**604.42**	**462.74**
Torrent Solargen Limited	24.90	24.88	-	-	-	-	-	-	24.90	24.88
Jodhpur Wind Farms Private Limited	0.26	1.07	-	-	-	-	-	-	0.26	1.07
Latur Renewable Private Limited	0.26	1.07	-	-	-	-	-	-	0.26	1.07
Torrent Solar Power Private Limited	9.94	9.44	-	-	-	-	-	-	9.94	9.44
TCL Cables Private Limited	67.20	50.13	-	-	-	-	-	-	67.20	50.13
Torrent Saurya Urja 6 Private Limited	0.37	-	-	-	-	-	-	-	0.37	-
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	461.71	376.15	-	-	-	-	-	-	461.71	376.15
Torrent Saurya Urja 2 Private Limited	39.78	-	-	-	-	-	-	-	39.78	-
Securities Given	**17.52**	**98.79**	**-**	**-**	**-**	**-**	**-**	**-**	**17.52**	**98.79**
Surya Vidyut Limited	17.52	-	-	-	-	-	-	-	17.52	-
Torrent Saurya Urja 6 Private Limited	-	98.79	-	-	-	-	-	-	-	98.79

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 55 : Related Party Disclosures (Contd.)

(d) Related party balances

(₹ in Crore)

	Subsidiaries		Associates		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022
Guarantees given in favour of the debenture trustee for NCD including interest thereon	**616.20**	**616.62**	**-**	**-**	**-**	**-**	**-**	**-**	**616.20**	**616.62**
Jodhpur Wind Farms Private Limited	308.32	308.54	-	-	-	-	-	-	308.32	308.54
Latur Renewable Private Limited	307.88	308.08	-	-	-	-	-	-	307.88	308.08
Guarantees given to lenders of subsidiaries (including interest , in any)	**1,209.79**	**700.00**	**-**	**-**	**-**	**-**	**-**	**-**	**1,209.79**	**700.00**
Torrent Solargen Limited $	705.05	700.00	-	-	-	-	-	-	705.05	700.00
Surya Vidyut Limited $$	480.10								480.10	-
TCL Cables Private Limited $$$	24.64	-	-	-	-	-	-	-	24.64	-

\# Sitting fees and Commission of Sunaina Tomar and Mamta Verma (nominee of the Government of Gujarat) is payable to the Government of Gujarat.

The Company is a public utility, being engaged in distribution of electricity. Transactions entered with the above mentioned related party does not include sale of electricity since the tariff charged to the customers are determined by an independent rate-setting authority.

^ Interest free loan has been provided.

$ Utilised as at March 31, 2023 was ₹ 617.99 Crore (March 31, 2022 - ₹ 25.48 Crore).

$$ Utilised as at March 31, 2023 was ₹ 368.47 Crore (March 31, 2022 - ₹ Nil).

$$$ Guarantee given for USD 0.30 Crore (March 31, 2022 - ₹ Nil). It has been converted based on SBI reference rate as at year end i.e. ₹ 82.14.

(e) Terms and conditions of outstanding balances

The transactions with related parties are made in the normal course of business on terms equivalent to those that prevail in arm's length transactions.

Outstanding balances at the year-end are unsecured.

Footnote:

1. Loans granted to related parties carries interest rate of 7.65% p.a. (Previous year 7.75% p.a.).

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 56 : Financial Instruments and Risk Management

(a) Capital management

The Company manages its capital structure in a manner to ensure that it will be able to continue as a going concern while optimising the return to stakeholders through the appropriate debt and equity balance.

The Company's capital structure is represented by equity (comprising equity shares, retained earnings and other reserves as detailed in notes 23,24) and debt (borrowings as detailed in note 25).

The Company's management reviews the capital structure of the Company on an annual basis. As part of this review, the management considers the cost of capital and the risks associated with each class of capital. The Company's plan is to ensure that the gearing ratio (debt equity ratio) is well within the limit of 2:1. No changes were made in the objectives, policies or process for managing its capital during the year ended March 31, 2023 and March 31, 2022. The Company reviews its Dividend policy from time to time.

Gearing ratio

The gearing ratio at end of the reporting period is as follows.

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Debt	10,016.58	7,830.37
Total equity	11,651.48	10,264.82
Debt to equity ratio	**0.86**	**0.76**

Footnotes :

1 Debt is defined as all long term debt outstanding (including unamortised expense) + contingent liability pertaining to corporate / financial guarantee given (to the extent utilised) + short term debt outstanding in lieu of long term debt.

2 Total equity is defined as equity share capital + all reserve (excluding revaluation reserve) + deferred tax liabilities – deferred tax assets – intangible assets – Intangible assets under development

Loan Covenants

The company has complied with financial covenants specified as per the terms of borrowing facilities.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 56 : Financial Instruments and Risk Management (Contd.)

(b) Categories of financial instruments

(₹ in Crore)

	As at March 31, 2023		As at March 31, 2022	
	Carrying value	Fair value	Carrying value	Fair value
Financial assets				
Measured at amortised cost				
Cash and cash equivalents	138.08	138.08	161.79	161.79
Bank balance other than cash and cash equivalents	143.50	143.50	45.14	45.14
Investment in bonds and debentures #	42.17	42.17	132.77	132.77
Trade receivables	1,516.04	1,516.04	1,363.63	1,363.63
Loans	1,612.72	1,612.72	1,380.85	1,380.85
Other financial assets	2,653.45	2,653.45	2,846.44	2,846.44
	6,105.96	**6,105.96**	**5,930.62**	**5,930.62**
Measured at fair value through profit and loss (FVTPL)				
Investment in mutual funds	656.03	656.03	253.27	253.27
Investment in equity instruments	0.05	0.05	0.05	0.05
	656.08	**656.08**	**253.32**	**253.32**
Financial liabilities				
Measured at amortised cost				
Borrowings	8,389.62	8,369.85	7,865.92	7,902.19
Trade payables	1,291.95	1,291.95	1,258.07	1,258.07
Other financial liabilities	2,182.01	2,182.01	1,903.17	1,903.17
	11,863.58	**11,843.81**	**11,027.16**	**11,063.43**

\# Other than equity investments in subsidiaries accounted at cost in accordance with Ind AS 27 - ‘Separate Financial Statements’.

Footnotes:

1 The carrying amounts of trade receivables, trade payables, capital creditors and cash and cash equivalents are considered to be the same as their fair values, due to their short-term nature.

2 Non current loan and Inter corporate Deposits carries the interest rates that are variable in nature and hence carrying value is considered as same as fair value.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 56 : Financial Instruments and Risk Management (Contd.)

(c) Fair value measurement

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

Level 1 : Inputs are Quoted (unadjusted) market prices in active markets for identical assets or liabilities. This includes quoted equity instruments, investments in mutual funds that have quoted price.

Level 2 : Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable. This includes unquoted floating and fixed rate borrowing.

Level 3 : Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable. This includes unquoted equity shares, loans, security deposits, investments in Debentures, floating rate borrowings.

The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets and liabilities that are not measured at fair value on a recurring basis (but fair value disclosures are required) :

(1) Financial assets at fair value through profit and loss (FVTPL)

(₹ in Crore)

	Fair value		Fair value hierarchy	Valuation technique(s) and key input(s)
	As at March 31, 2023	As at March 31, 2022		
Investment in mutual fund units	656.03	253.27	Level 1	Quoted bid prices in an active market

(2) Financial liabilities at amortised cost

(₹ in Crore)

	Fair value		Fair value hierarchy	Valuation technique(s) and key input(s)
	As at March 31, 2023	As at March 31, 2022		
Fixed rate borrowings (Non-convertible debentures)	2,190.23	1,404.64	Level 2	Inputs other than quoted prices that are observable based on yields provided by FIMMDA

(d) Financial risk management objectives

The Company's principal financial liabilities, comprise borrowings, employee payables, security deposits from consumers, trade and other payables. The main purpose of these financial liabilities is to finance the Company's operations and projects capital expenditure. The Company's principal financial assets include loans, advances, trade and other receivables and cash and cash equivalents that derive directly from its operations.

The Company's activities expose it to a variety of financial risks viz foreign currency risk, commodity price risk, interest rate risk, credit risk, liquidity risk etc. The Company's primary focus is to foresee the unpredictability of financial markets and seek to minimize potential adverse effects on its financial performance. The Company's senior management oversees the management of these risks. It advises on financial risks and the appropriate financial risk governance framework for the Company.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 56 : Financial Instruments and Risk Management (Contd.)

Foreign currency risk

The Company is exposed to foreign currency risks arising from various currency exposures, primarily with respect to the USD and EURO. Foreign currency risks arise from future commercial transactions and recognized assets and liabilities, when they are denominated in a currency other than Indian Rupee.

The Company's exposure with regards to foreign currency risk which are not hedged are given below.

Unhedged foreign currency exposures:

(₹ in Crore)

Nature of transactions	Currency	As at March 31, 2023	As at March 31, 2022
Financial liabilities			
Trade payable	EURO	175.32	138.80
Capital payable	EURO	0.06	0.06

Foreign currency sensitivity analysis

The following tables demonstrate the sensitivity to a reasonably possible change in EURO exchange rates, with all other variables held constant.

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Impact on Profit before Tax - Rupee depreciate by ₹ 1 against EURO	(1.96)	(1.64)
Impact on Profit before Tax - Rupee appreciate by ₹ 1 against EURO	1.96	1.64

Commodity price risk

The commodity exposure is mainly on account of fuel, a substantial part of which is a pass through cost and hence the commodity price exposure is not likely to have a material financial impact on the Company.

The Company has exposure to USD / INR exchange rate arising principally on account of import of LNG and import of coal. The extant tariff regulations do not permit the cost of hedging such exposure as a cost to be passed through to the off-takers / beneficiaries. As a result, the Company does not follow a policy of hedging such exposures and actual rupee costs of import of fuel are substantially passed on to the off-takers / consumers, because of which such commodity price exposure is not likely to have a material financial impact on the Company.

Interest rate risk

Most of the Company's borrowings are on a floating rate of interest. The Company has exposure to interest rate risk, arising principally on changes in Marginal Cost of Funds based Lending Rate (MCLR). The Company uses a mix of interest rate sensitive financial instruments to manage the liquidity and fund requirements for its day to day operations like non-convertible debentures and short term credit lines besides internal accruals.

The following table provides a break-up of the Company's fixed and floating rate borrowings:

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Fixed rate borrowings^	2,219.17	1,731.36
Floating rate borrowings^	6,194.75	6,159.65
	8,413.92	**7,891.01**

^Transactions cost reduced from the borrowing is excluded.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 56 : Financial Instruments and Risk Management (Contd.)

Interest rate risk sensitivity:

The below mentioned sensitivity analysis is based on the exposure to interest rates for floating rate borrowings. For this it is assumed that the amount of the floating rate liability outstanding at the end of the reporting period was outstanding for the whole year. If interest rates had been 50 basis points higher or lower, other variables being held constant, following is the impact on profit before tax.

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Impact on profit before tax - increase in 50 basis points	(30.97)	(30.80)
Impact on profit before tax - decrease in 50 basis points	30.97	30.80

Credit risk

Trade receivables:

(1) Exposures to credit risk

The Company is exposed to the counterparty credit risk arising from the possibility that counterparties might fail to comply with contractual obligations. This exposure may arise with regard to unsettled amounts.

(2) Credit risk management

Credit risk is managed and limited in accordance with the type of transaction and the creditworthiness of the counterparty. The Company has established criteria for admission, approval systems, authorisation levels, exposure measurement methodologies, etc. The concentration of credit risk is limited due to the fact that the customer base is large. None of the customers accounted for more than 10% of the receivables and revenue for the year ended March 31, 2023 and March 31, 2022. The Company is dependent on the domestic market for its business and revenues.

The Company's credit policies and practices with respect to distribution areas are designed to limit credit exposure by collecting security deposits prior to providing utility services or after utility service has commenced according to applicable regulatory requirements. In respect to generation business, Company generally has letter of credits / bank guarantees to limit its credit exposure.

(3) Other credit enhancements

The Company collects the security deposits in the form of Cash or Bank guarantee, considering the relevant electricity regulations under the relevant geographical area to cover its credit risks associated with its trade receivables.

(4) Age of receivables and expected credit loss

The Company has used a practical expedient by computing the expected credit loss allowance for trade receivables. The expected credit loss allowance is based on ageing of the days the receivables are due. Trade receivable balances mainly comprise of outstanding from consumers wherein the credit period provided to such consumers is less than 30 days. Based on the historical trend the same is collected well within the credit period.

The policy of the Company is to provide for credit loss takes into consideration of factors such as type of Consumers i.e. Government Consumers / Non Government consumers, Status of Consumers i.e. Live consumers/ Disconnected consumers and Security deposits provided by the Consumer.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 56 : Financial Instruments and Risk Management (Contd.)

The ageing of receivables and allowance for doubtful debt at the end of the reporting period is as follows.

As at March 31, 2023

(₹ in Crore)

	Gross trade receivables	Allowance for doubtful debt
Less than or equal to 6 months	1,423.36	30.65
More than 6 months but less than or equal to 1 year	52.18	20.33
More than one year	227.63	136.15
	1,703.17	**187.13**

As at March 31, 2022

(₹ in Crore)

	Gross trade receivables	Allowance for doubtful debt
Less than or equal to 6 months	1,282.57	43.83
More than 6 months but less than or equal to 1 year	73.17	29.76
More than one year	216.06	134.58
	1,571.80	**208.17**

(5) Movement in the expected credit loss allowance

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Opening balance	208.17	249.07
Movement in expected credit loss allowance on trade receivable, net [Refer note 40]	(21.04)	(40.90)
Closing balance [Refer note 17]	**187.13**	**208.17**

The concentration of credit risk is very limited due to the fact that the large customers are mainly government entities and remaining customer base is large and widely dispersed and secured with security deposit.

Other financial assets:

The Company is having balances in cash and cash equivalents, term deposits with banks, Inter corporate deposits, Loans to related parties, investments in government securities and investment in mutual funds. The Company is having balances in cash and cash equivalents, term deposits with scheduled banks with high credit rating and hence perceive low credit risk of default. With respect to investments, the Company limits its exposure to credit risk by investing in liquid securities with counterparties depending on their Composite Performance Rankings (CPR) published by CRISIL. The Company's investment policy lays down guidelines with respect to exposure per counterparty, rating, processes in terms of control and continuous monitoring. The Company therefore considers credit risks on such investments to be negligible. Loans receivable from related parties have negligible credit risk and hence no risk of default is perceived on them. The recoverable amount of unbilled revenue (including revenue gap/ surplus) perceives low credit risk of default considering applicable tariff regulations / tariff orders, management's probability estimate and the past trends of approval.

Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are required to be settled by delivering the cash or another financial asset. The Company manages liquidity risk by maintaining adequate reserves, banking facilities and unused borrowing facilities, by continuously monitoring projected / actual cash flows.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 56 : Financial Instruments and Risk Management (Contd.)

Maturities of financial liabilities:

The Company's remaining contractual maturity for its financial liabilities with agreed repayment periods is given below. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Company can be required to pay. The tables include both interest and principal cash flows. The contractual maturity is based on the earliest date on which the Company may be required to pay.

As at March 31, 2023

(₹ in Crore)

	Less than 1 year	Between 1 year and 5 years	5 years and above	Total
Financial liabilities				
Non current financial liabilities				
Borrowings (including interest on borrowings)^	-	5,523.76	4,019.38	9,543.14
Trade payables	-	187.79	87.40	275.19
Lease liabilities	-	29.70	21.05	50.75
Other financial liabilities	-	-	-	-
	-	**5,741.25**	**4,127.83**	**9,869.08**
Current financial liabilities				
Borrowings (including interest on borrowings)^	1,976.55	-	-	1,976.55
Trade payables	1,081.34	-	-	1,081.34
Lease liabilities	6.78	-	-	6.78
Other financial liabilities	2,172.47	-	-	2,172.47
	5,237.14	**-**	**-**	**5,237.14**
Total financial liabilities	**5,237.14**	**5,741.25**	**4,127.83**	**15,106.22**

As at March 31, 2022

(₹ in Crore)

	Less than 1 year	Between 1 year and 5 years	5 years and above	Total
Financial liabilities				
Non current financial liabilities				
Borrowings (including interest on borrowings)^	-	4,413.31	3,696.01	8,109.32
Trade payables	-	96.39	102.20	198.59
Lease liabilities	-	29.61	24.41	54.02
Other financial liabilities	-	10.68	-	10.68
	-	**4,549.99**	**3,822.62**	**8,372.61**
Current financial liabilities				
Borrowings (including interest on borrowings)^	2,248.37	-	-	2,248.37
Trade payables	1,107.61	-	-	1,107.61
Lease liabilities	7.23	-	-	7.23
Other financial liabilities	1,892.49	-	-	1,892.49
	5,255.70	**-**	**-**	**5,255.70**
Total financial liabilities	**5,255.70**	**4,549.99**	**3,822.62**	**13,628.31**

^ Transactions cost reduced from the borrowing is excluded

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 57 : Provision for Onerous Contracts

The Company has a provision of ₹ 124.94 Crore (March 31, 2022 - ₹ 135.76 Crore) in respect of certain onerous contracts towards potential damages and other project related costs, arising from expected delays or failure to set up certain wind power generation capacities, awarded to the Company in a prior period under a competitive bidding process. During the current year ₹ 10.82 Crore provision has been reversed due to writing off of pre-operative expenses (Previous year ₹ 27.57 Crore provision has been reversed due to discharge of bank guarantee). The expected outflow will be determined at the time of final resolution of the matter.

Note 58 : Government Grant

(a) Nature of government grant

Ministry of Power, Government of India (GoI), had introduced the Accelerated Power Development & Reforms Programme (APDRP) to achieve reduction in Aggregate Technical & Commercial losses, to strengthen the Transmission & Distribution network and to ensure reliable and quality power supply with adequate consumer satisfaction. The projects approved for financing under the programme are eligible for a grant and soft loan each equivalent to 25% of the project cost from the GoI. The Balance 50% was required to be funded by the Company. There are no unfulfilled conditions or other contingencies attached to these grants.

(b) Movement of government grant

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Opening balance	16.40	18.85
Add: Grants during the year	-	-
Less: Amortisation of grant transferred to statement of profit and loss [Refer note 35]	(2.37)	(2.45)
Closing balance	**14.03**	**16.40**
Non-current portion [Refer note 28]	11.66	14.03
Current portion [Refer note 32]	2.37	2.37
	14.03	**16.40**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 59 : Ageing Schedule for Capital Work-in-Progress (CWIP)

As at March 31, 2023

(₹ in Crore)

Particulars	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	982.02	305.25	245.11	76.47	1,608.85
Projects temporarily suspended	-	0.09	*	0.05	0.14
	982.02	**305.34**	**245.11**	**76.52**	**1,608.99**

As at March 31, 2022

(₹ in Crore)

Particulars	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	653.65	378.13	98.64	44.62	1,175.04
Projects temporarily suspended	0.10	1.06	1.19	8.68	11.03
	653.75	**379.19**	**99.83**	**53.30**	**1,186.07**

For capital-work-in progress, whose completion is overdue compared to its original plan:

As at March 31, 2023

(₹ in Crore)

Particulars	To be completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Distribution project	185.60	-	-	-	185.60
	185.60	**-**	**-**	**-**	**185.60**

There are no capital-work-in-progress, whose cost has exceeded compared to its original plan for the year ended March 31, 2023 and March 31, 2022.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 60 : Title Deeds of Immovable Property Not Held in the Name of the Company

As at March 31, 2023

(₹ in Crore)

Relevant line item in the Balance sheet	Description of item of property	Gross carrying value	Title deeds held in the name of	Title deed holder is a promoter, director or relative of promoter/ director or employee of promoter/ director	Period held - range	Reason for not being held in the name of the company
Property, plant and equipment	Freehold Land	3.39	SEC Limited	No	18 years	Amalgamated due to various court orders. Appeal filed against rate valuation.
Property, plant and equipment	Freehold Land	2.00	AEC Limited	No	18 years	
Property, plant and equipment	Freehold Land	1.30	SEC Limited	No	18 years	Amalgamated due to various court orders. Applications filed and under process of name change.
Property, plant and equipment	Freehold Land	0.06	AEC Limited	No	18 years	
Property, plant and equipment	Freehold Land	0.14	Torrent Power AEC Limited	No	18 years	
Property, plant and equipment	Freehold Land	0.03	Torrent Power SEC Limited	No	16 years	
Property, plant and equipment	Buildings	0.05	SEC Limited	No	18 years	
Right-of-use assets	Leasehold Land	4.10	AEC Limited	No	18 years	
Right-of-use assets	Leasehold Land	0.34	Torrent Power AEC Limited	No	18 years	
Right-of-use assets	Leasehold Land	5.94	SEC Limited	No	18 years	
Right-of-use assets	Leasehold Land	1.47	Torrent Power SEC Limited	No	18 years	

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 60 : Title Deeds of Immovable Property Not Held in the Name of the Company (Contd.)

As at March 31, 2022

(₹ in Crore)

Relevant line item in the Balance sheet	Description of item of property	Gross carrying value	Title deeds held in the name of	Title deed holder is a promoter, director or relative of promoter/ director or employee of promoter/ director	Period held - range	Reason for not being held in the name of the company
Property, plant and equipment	Freehold Land	3.39	SEC Limited	No	17 years	Amalgamated due to various court orders. Appeal filed against rate valuation.
Property, plant and equipment	Freehold Land	2.00	AEC Limited	No	17 years	
Property, plant and equipment	Freehold Land	1.30	SEC Limited	No	17 years	Amalgamated due to various court orders. Applications filed and under process of name change.
Property, plant and equipment	Freehold Land	0.11	AEC Limited	No	17 years	
Property, plant and equipment	Freehold Land	0.14	Torrent Power AEC Limited	No	17 years	
Property, plant and equipment	Freehold Land	0.03	Torrent Power SEC Limited	No	15 years	
Property, plant and equipment	Buildings	0.05	SEC Limited	No	17 years	
Right-of-use assets	Leasehold Land	4.81	AEC Limited	No	17 years	
Right-of-use assets	Leasehold Land	0.34	Torrent Power AEC Limited	No	17 years	
Right-of-use assets	Leasehold Land	5.94	SEC Limited	No	17 years	
Right-of-use assets	Leasehold Land	1.47	Torrent Power SEC Limited	No	17 years	

Note 61 : Ageing Schedule for Trade Receivables

Current trade receivables:

As at March 31, 2023

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Not due*	Less than 6 months	6 months -1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivables							
- Considered good	1,093.57	298.66	31.85	41.59	21.40	27.24	1,514.31
- Credit impaired	0.55	26.89	18.05	17.96	22.27	34.23	119.95
Disputed Trade receivables							
- Considered good	0.48	-	-	-	-	1.25	1.73
- Credit impaired	1.34	1.87	2.28	7.44	6.29	47.96	67.18
	1,095.94	**327.42**	**52.18**	**66.99**	**49.96**	**110.68**	**1,703.17**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 61 : Ageing Schedule for Trade Receivables (Contd.)

As at March 31, 2022

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Not due*	Less than 6 months	6 months -1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivables							
- Considered good	1,011.58	226.59	43.41	44.82	16.82	18.33	1,361.55
- Credit impaired	0.57	40.37	26.55	41.97	9.76	29.16	148.38
Disputed Trade receivables							
- Considered good	0.57	-	-	0.16	0.10	1.25	2.08
- Credit impaired	1.13	1.76	3.21	5.73	7.31	40.65	59.79
	1,013.85	**268.72**	**73.17**	**92.68**	**33.99**	**89.39**	**1,571.80**

* Includes ₹ 745.63 Crores (March 31, 2022 : ₹ 679.27 Crore) billed subsequent to year end.

Note 62 : Ageing Schedule for Trade Payables

(a) Non-current trade payables:

As at March 31, 2023

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	210.61	-	-	-	-	-	210.61
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	-	-	-
	210.61	**-**	**-**	**-**	**-**	**-**	**210.61**

As at March 31, 2022

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	150.46	-	-	-	-	-	150.46
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	-	-	-
	150.46	**-**	**-**	**-**	**-**	**-**	**150.46**

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 62 : Ageing Schedule for Trade Payables (Contd.)

(b) Current trade payables:

As at March 31, 2023

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	0.74	59.43	0.50	-	-	-	60.67
- Others	486.56	365.77	80.70	2.14	0.40	9.07	944.64
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	1.32	74.71	76.03
	487.30	**425.20**	**81.20**	**2.14**	**1.72**	**83.78**	**1,081.34**

As at March 31, 2022

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	1.10	49.09	0.08	-	-	-	50.27
- Others	450.74	418.98	92.57	5.80	0.21	9.49	977.79
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	0.02	1.57	5.34	72.62	79.55
	451.84	**468.07**	**92.67**	**7.37**	**5.55**	**82.11**	**1,107.61**

Note 63 : Relationship with Struck Off Companies

(₹ in Crore)

Name of struck off Company	Nature of transactions with struck-off Company	Balance outstanding as at March 31, 2023	Balance outstanding as at March 31, 2022	Relationship with the Struck off company
Unickon Fincap Private Limited	Investor	*	*	Shareholder
Vaishak Shares Limited	Investor	*	*	Shareholder
Dreams Broking Private Limited	Investor	*	*	Shareholder
Pandit Trading & Securities Limited	Investor	*	*	Shareholder
Jetees Securities (P) Limited	Investor	*	*	Shareholder
Solanki Solar Energy Private Limited	Payables	*	*	Vendor
Krish N Kelly Facility Services	Payables	*	*	Vendor
Scanstar Inspection Technology Private Limited	Payables	0.01	-	Vendor

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 64 : Financial Ratios

	Ratio	Numerator	Denominator	As at March 31, 2023	As at March 31, 2022	Variance (%)	Remarks for variation more than 25%
(a)	Current Ratio (in times)	Current assets	Current liabilities – Security deposits from consumers – Service line deposits from consumers – Deferred revenue	1.57	1.36	15.40%	Not Applicable
(b)	Debt-Equity Ratio (in times)	All long term debt outstanding (including unamortised expense) + contingent liability pertaining to corporate / financial guarantee given (to the extent utilised) + short term debt outstanding in lieu of long term debt	Equity share capital + Preference share capital + all reserves (excluding revaluation reserve) + deferred tax liabilities – deferred tax assets – Intangible assets – Intangible assets under development	0.86	0.76	12.70%	Not Applicable
(c)	Debt Service Coverage Ratio (in times)	Profit after tax + Deferred tax + Depreciation and amortisation + Interest on debt	Principal repayment of debt (excluding voluntary prepayments if any) + Interest on debt + Lease payment	2.33	1.96	18.97%	Not Applicable
(d)	Return on Equity (ROE) (in %)	Profit for the year	Average Shareholder's Equity i.e. (Share Capital +Reserves and surplus + Deferred Tax liability (net) - Deferred Tax assets (net))	19.17%	3.89%	392.56%	Due to increase in gain from sale of RLNG during the year and DGEN impairment in the previous year
(e)	Inventory turnover Ratio (in times)	Revenue from operations	Average inventories	34.76	33.29	4.44%	Not Applicable
(f)	Trade Receivables turnover Ratio (in times)	Revenue from operations	Average trade receivables	13.08	10.39	25.86%	Due to increase in sale of RLNG which has better collection terms
(g)	Trade Payables turnover Ratio (in times)	Fuel Cost + Electrical energy purchased + Cost of materials consumed + Purchase of stock-in-trade + Changes in inventories of finished goods and work-in-progress + Consumption of stores and spares	Average trade payables	10.37	7.73	34.22%	Due to increase in power purchase from exchange and increase in purchase of RLNG for trading

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

Note 64 : Financial Ratios (Contd.)

	Ratio	Numerator	Denominator	As at March 31, 2023	As at March 31, 2022	Variance (%)	Remarks for variation more than 25%
(h)	Net capital turnover Ratio (in times)	Revenue from operations	(Current assets- (Current Liabilities- Security deposits from consumers - Service line deposits from consumers- Deferred revenue))	8.64	9.18	(5.86%)	Not applicable
(i)	Net profit Ratio (in %)	Profit after tax	Revenue from operations	11.17%	2.99%	273.88%	Due to increase in gain from sale of RLNG during the year and DGEN impairment in the previous year
(j)	Return on Capital employed (ROCE) (in %)	Profit before exceptional items and tax + Finance costs	Share Capital + Reserves and surplus + Deferred Tax liability (net) - Deferred Tax assets (net) + All long term debt outstanding (including unamortised expense) + contingent liability pertaining to corporate / financial guarantee given	18.09%	13.06%	38.51%	Due to increase in gain due to sale of RLNG
(k)	Return on investment (in %)	Profit before exceptional items and tax + Finance costs	Average Total Assets	14.52%	10.33%	40.52%	Due to increase in gain due to sale of RLNG

Note 65 : Social Security Code

The Indian Parliament has approved the Code on Social Security, 2020 ("Code") which may likely impact the obligations of the Company for contribution to employees' provident fund and gratuity. The effective date from which the Code is applicable and the rules to be framed under the Code are yet to be notified. In view of this, impact if any, of the change will be assessed and accounted in the period in which the Code and the rules thereunder are notified.

Note 66 : Registration of Charges

Other than those mentioned below, there are no charges or satisfactions which are yet to be registered with the Registrar of Companies beyond the statutory period.

During the year ended March 31, 2023

(a) The Company has filed Form No. CHG-1 dated November 11, 2022 for modification of Charge with the Registrar of Companies, as detailed below, which was required to be filed on August 17, 2022 i.e. delay of 86 days. The reason for delay was technical error in filing the form on account of upgradation of MCA21 V2 filing portal to MCA21 V3 portal.

During the year ended March 31, 2022

(a) The Company has filed Form CHG-4 dated May 26, 2021 for satisfaction of charge with Registrar of Companies - Gujarat, pursuant to repayment of loan for Mahidad project which was required to be filed on October 29, 2019 i.e., delay of approximately 19 months. The reason for the delay was on account of late receipt of No Dues Certificate (NDC) due to restrictions and disruption of operations during COVID – 19 pandemic.

Notes

forming part of the standalone financial statements for the year ended March 31, 2023

(b) The Company has filed Form CHG-1 dated November 25, 2021 for creation of Charge with Registrar of Companies pursuant to fixed deposit overdraft facility which was required to be filed on November 20, 2021 i.e delay of 5 days. The reason for delay was on account of delay in receipt of fixed deposit overdraft letter from bank.

(c) The Company has filed Form CHG-1 dated November 26, 2021 for creation of Charge with Registrar of Companies pursuant to fixed deposit overdraft facility which was required to be filed on November 20, 2021 i.e delay of 6 days. The reason for delay was on account of delay in receipt of fixed deposit receipts from bank.

Note 67 : Additional Regulatory Information Required by Schedule III

(a) The Company is in compliance with number of layers of companies in accordance with clause 87 of Section 2 of the Act read with the Companies (Restriction on number of Layers) Rules, 2017 during the year ended March 31, 2023 and March 31, 2022.

(b) The Company has not invested or traded in Crypto Currency or Virtual Currency during the year ended March 31, 2023 and March 31, 2022.

(c) No proceedings have been initiated on or are pending against the Company for holding benami property under the Prohibition of Benami Property Transactions Act, 1988 (as amended in 2016) (formerly the Benami Transactions (Prohibition) Act, 1988 (45 of 1988)) and Rules made thereunder during the year ended March 31, 2023 and March 31, 2022.

(d) The Company has not been declared Wilful Defaulter by any bank or financial institution or government or any government authority during the year ended March 31, 2023 and March 31, 2022.

(e) During the year ended March 31, 2023 and March 31, 2022, the Company has not surrendered or disclosed as income any transactions not recorded in the books of accounts in the course of tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961).

Note 68 : Approval of Financial Statements

The financial statements were approved for issue by the board of directors on May 29, 2023.

Signature to Note 1 to 68

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N/N500016

Priyanshu Gundana
Partner
Membership No.: 109553

Ahmedabad, May 29, 2023

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 29, 2023

Independent Auditor's Report

To the Members of Torrent Power Limited

Report on the Audit of the Consolidated Financial Statements

Opinion

1. We have audited the accompanying consolidated financial statements of Torrent Power Limited (hereinafter referred to as the "Holding Company") and its subsidiaries (Holding Company and its subsidiaries together referred to as "the Group") (refer Note 43 to the attached consolidated financial statements), which comprise the consolidated Balance Sheet as at March 31, 2023, and the consolidated Statement of Profit and Loss (including Other Comprehensive Income), the consolidated Statement of Changes in Equity and the consolidated Statement of Cash Flows for the year then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as "the consolidated financial statements").

2. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the consolidated state of affairs of the Group as at March 31, 2023, and consolidated total comprehensive income (comprising of profit and other comprehensive income), consolidated changes in equity and its consolidated cash flows for the year then ended.

Basis for Opinion

3. We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those Standards are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements" section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in India in terms of the Code of Ethics issued by the Institute of Chartered Accountants of India and the relevant provisions of the Act, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in sub-paragraph 14 of the Other Matters section below, is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

4. Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

	Key audit matter	How our audit addressed the key audit matter
i.	**Impairment assessment for Power Plant located at Dahej (Refer to note 45(1) to the consolidated financial statements):**	
	The carrying amount of Property, Plant & Equipment ("PPE") and Right-of-use assets ("ROU") includes an amount of ₹ 1,315.05 crore pertaining to 1,200 MW DGEN Mega Power Project located at Dahej, India ("DGEN"). DGEN started its commercial operations from November 2014 ("COD") and thereafter has operated only intermittently. As a result of the above, and given the current economic environment, management has carried out an impairment assessment of DGEN in accordance with Ind AS 36 'Impairment of Assets' and with the help of an external valuer, has measured the recoverable amount based on 'value in use' which requires estimating the discounted cash flow projections over the estimated useful life of the DGEN. Such assessment involved several key assumptions including expected demand of electricity, future prices of fuel, foreign exchange rate, expected tariff rates of electricity and discount rate, which are considered by management based on past trends and current and likely future state of the industry. Based on such assessment, the value in use arrived at by the management is higher than the carrying amount of PPE and ROU pertaining to DGEN and accordingly, no additional impairment is considered necessary as at March 31, 2023. We considered this to be a key audit matter as the carrying value of DGEN at March 31, 2023 is significant to the Holding Company's balance sheet and there is significant judgement and estimation involved in the discounted cash flow (DCF) model used by the management to assess the value in use of DGEN.	Our procedures in relation to management's impairment assessment of DGEN included the following: • Assessed and tested the design and operating effectiveness of the Holding Company's controls over impairment assessment. • Perused the report issued by the external valuer engaged by the management and conducted enquiries with them to understand the assumptions considered by them. • Evaluated independence, competence, capability and objectivity of the external valuer. • Evaluated the reasonableness of cash flow projections used by the Holding Company and the key assumptions underlying the same. • With the involvement of auditor's experts, assessed the reasonableness of the assumptions considered in the discounted cash flow projections for determining value in use. • Enquired with senior management personnel, the justification for the key assumptions underlying the cashflow projections and performed sensitivity analysis on the same, within a reasonably foreseeable range. • Checked the arithmetic accuracy of the computations included in the discounted cash flow projections. • Assessed the adequacy of disclosure in the consolidated financial statements. Based on the above procedures performed, we considered management's assessment of impairment of DGEN to be reasonable.
ii.	**Assessment of recoverability of Deferred tax assets on unutilised tax credits (Refer to note 46 to the consolidated financial statements)**	
	The Holding Company has recognised deferred tax assets on the unutilised tax credits amounting to ₹ 1,347.59 crore as at March 31, 2023, representing Minimum Alternate Tax (MAT) paid on the accounting profit in the earlier years in which the Holding Company did not have normal taxable profit due to availment of tax holiday. The deferred tax asset has been recognised on the basis of Holding Company's assessment of availability of future taxable profits to offset the accumulated deferred tax assets on the unutilised tax credits. The future taxable profit projections involve several key assumptions including expected demand of electricity, future prices of fuel and expected tariff rates of electricity, covering the period over which MAT Credit can be claimed as per the Income-tax Act, 1961. In preparing the profit projections, management has considered past trends, applicable tariff regulations/ agreements and current and likely future state of the industry.	Our audit procedures in relation to management's assessment of recoverability of Deferred tax assets on unutilised tax credits included the following: • Assessed and tested the design and operating effectiveness of the Holding Company's controls over recognition and assessment of recoverability of deferred tax assets on unutilised tax credits. • Assessed the Holding Company's accounting policy in respect of recognizing deferred tax assets on unutilised tax credits. • Enquired with senior management personnel, the justification for the key assumptions underlying the projections and assessed the reasonableness of the assumptions underlying profit projections made by management, by verifying the past trends, available tariff orders and relevant economic and industry indicators. Further, performed sensitivity analysis over the assumptions used in determining the projected taxable profits, within a reasonable range.

Independent Auditor's Report (Contd.)

Key audit matter	How our audit addressed the key audit matter
We considered this a key audit matter as the amount of deferred tax assets on unutilised tax credits is material to the consolidated financial statements and significant management judgement is required in assessing the recoverability of accumulated deferred tax assets on unutilised tax credits based on significant assumptions underlying the forecast of future taxable profits. Further, recoverability of deferred tax assets depends on the achievement of Holding Company's future business plans.	• Evaluated whether the tax credit entitlements are legally available to the Holding Company for the forecast recoupment period, considering the provisions of Income-tax Act, 1961. • Checked the arithmetic accuracy of the underlying calculations of the profit projections. • Assessed the adequacy of disclosures made in the consolidated financial statements with regard to deferred taxes. Based on the above procedures performed by us, we considered the management's assessment of recoverability of deferred tax assets in respect of accumulated deferred tax assets on unutilised tax credits to be reasonable.
iii. Appropriateness of classification of Solar and Wind power projects acquired during the year and related purchase price allocation (Refer Note 44(b) to the consolidated financial statements)	
During the year, the Group acquired one operating solar and one wind power project, through Share Purchase Agreements (SPAs) entered into by it. The Group has assessed that these acquisitions do not meet the definition of 'business' in accordance with the principles laid down under Ind AS 103 - Business Combinations and hence have been considered to be 'asset acquisitions', considering the factors like the purchase consideration pertained to the fair value of the Solar and Wind assets, the only key activity for this acquisition is the maintenance of the Solar and Wind assets and there are no other substantive processes required for the generation of output. The management also engaged external valuers for identification of the individual identifiable assets acquired (including those assets that meet the definition of, and recognition criteria for, intangible assets in Ind AS 38, Intangible Assets) and liabilities assumed, in each of the acquisitions and allocation of the purchase price based on the fair values of the assets and liabilities. We considered this as a key audit matter, as the above assessment and allocation of the purchase consideration involves significant assumptions and management judgement in: • determination of whether the said acquisitions meet the definition of "Business"; • identification of the identifiable assets acquired and liabilities assumed; and measurement of their fair values using appropriate valuation methods, for allocation of the purchase price to the identifiable assets and liabilities assumed.	Our audit procedures in relation to appropriate classification of the acquisitions and the purchase price allocation included the following: • Assessed and tested the design and operating effectiveness of the Group's controls over acquisitions and purchase price allocation. • Read the share purchase agreements to understand the key terms and conditions of the acquisitions. • Evaluated the management's assessment for determining whether the acquisitions represent an 'asset acquisition' or a 'business combination'. • Perused the report issued by the external valuers engaged by the management and conducted enquiries with them to understand the assumptions considered by them. • Evaluated independence, competence, capability, and objectivity of the external valuers. • Assessed the appropriateness of identification of individual assets acquired and liabilities assumed. • With the involvement of auditor's experts, assessed the reasonableness of the assumptions underlying measurement of fair values of identified assets and liabilities. • Enquired with senior management personnel, the justification for the key assumptions used in determining the fair values of assets and liabilities as at the acquisition date. • Assessed the adequacy of disclosures made in the consolidated financial statements in accordance with the requirements of relevant Indian accounting standards. Based on the above procedures performed, we considered the management's assessment of the classification and allocation of the purchase price to be reasonable.

Key audit matter	How our audit addressed the key audit matter
iv. Appropriateness of accounting for acquisition of Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited (Refer Note 44(a) to the consolidated financial statements)	
Pursuant to the 'Dadra and Nagar Haveli and Daman and Diu Electricity (Reorganisation and Reforms) Transfer Scheme, 2022' (the 'transfer scheme'), the Holding Company acquired 51% controlling stake in Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited with effect from April 1, 2022 i.e., the effective date of transfer, as notified by the Union Territory Administrator, Union Territory of Dadra and Nagar Haveli and Daman and Diu for a total consideration transferred by the Holding Company was ₹ 586 crore. The said acquisition has been accounted for in accordance with Ind AS 103 'Business Combinations' by recognising the identifiable assets and liabilities and non-controlling interest at the respective fair values on the date of acquisition and recognising the excess of consideration paid over the fair values of identifiable assets and liabilities and non-controlling interest as Goodwill. The Group's management appointed an independent external valuer to perform the Fair valuation of the assets and liabilities and allocation of purchase price. We considered this as a key audit matter, as this is material acquisition for the group and above assessment and purchase price allocation involves significant assumptions and management judgement in respect of: • identification and measurement of the fair value of the assets and liabilities using appropriate valuation methods; • allocation of the purchase price to the identifiable assets (tangible and intangible) acquired and liabilities assumed and share of non-controlling interest and determination of goodwill; and • determination of an appropriate discount rate, and assumptions relating to revenue growth and terminal growth to determine the fair values of an identified intangible asset.	Our audit procedures in relation to accounting for the acquisition and the purchase price allocation included the following: • Assessed and tested the design and operating effectiveness of the Group's controls over accounting for business combinations. • Understood the process followed by the Company for assessment and determination of the effective date and the accounting treatment for the transfer scheme, including the identification of assets and liabilities and determination of their fair values. • Read the share purchase agreements and shareholders' agreement to understand the key terms and conditions of the acquisition of shares by the Holding Company. • Perused the report issued by the external valuer engaged by the management and conducted enquiries with them to understand the assumptions considered by them. • Evaluated independence, competence, capability, and objectivity of the external valuer. • Assessed the appropriateness of identification of individual assets acquired and liabilities assumed, share of non-controlling interest and recognition of Goodwill, in accordance with Ind AS 103. • With the involvement of auditor's experts, assessed the reasonableness of the assumptions underlying measurement of fair values of identified assets and liabilities including the assumption of discount rate, revenue growth and terminal growth, and allocation of the purchase price. • Enquired with senior management personnel, the justification for the key assumptions used in determining the fair values of assets (tangible and intangible) and liabilities as at the acquisition date. • Assessed the adequacy of disclosures made in the consolidated financial statements in accordance with the requirements of relevant Ind AS 103. Based on the above procedures performed, we considered the management's assessment of the identification of assets and allocation of the purchase price to be reasonable.

Other Information

5. The Holding Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Board Report, Management Discussion and Analysis, Business Responsibility and Sustainability Report, Report on Corporate Governance but does not include the consolidated financial statements and our auditor's report thereon.

   Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

Independent Auditor's Report (Contd.)

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed and the reports of the other auditors as furnished to us (Refer paragraph 14 below), we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

6. The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated financial statements in term of the requirements of the Act that give a true and fair view of the consolidated financial position, consolidated financial performance and consolidated cash flows, and changes in equity of the Group in accordance with the accounting principles generally accepted in India, including the Accounting Standards specified under Section 133 of the Act. The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring accuracy and completeness of the accounting records, relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Holding Company, as aforesaid.

7. In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

8. The respective Board of Directors of the companies included in the Group are responsible for overseeing the financial reporting process of the Group.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

9. Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

10. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

    - Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

    - Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Holding Company has adequate internal financial controls with reference to consolidated financial statements in place and the operating effectiveness of such controls.

    - Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of such entities included in the consolidated financial statements of which we are the independent auditors. For the other entities included in the consolidated financial statements, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

11. We communicate with those charged with governance of the Holding Company and such other entities included in the consolidated financial statements of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.
12. We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.
13. From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Other Matters

14. We did not audit the financial statements of one subsidiary (w.e.f. July 30, 2022) whose financial statements reflect total assets of ₹ 289.20 crore and net assets of ₹ 13.55 crore as at March 31, 2023, total revenue of ₹ 6.20 crore, total comprehensive income (comprising of loss and other comprehensive income) of (₹ 15.54) crore and net cash flows amounting to (₹ 0.17) crore for the period from July 30, 2022 to March 31, 2023, as considered in the consolidated financial statements. The consolidated financial statements also include the Group's share of total comprehensive income (comprising of loss and other comprehensive income) of ₹ Nil for the period April 1, 2022 to July 29, 2022 as considered in the consolidated financial statements, in respect of one associate company (up to July 29, 2022), whose financial statements have not been audited by us. This financial statements has been audited by other auditor whose report have been furnished to us by the Management, and our opinion on the consolidated financial statements in so far as it relates to the amounts and disclosures included in respect of this subsidiary (associate company up to July 29, 2022), and our report in terms of sub-section (3) of Section 143 of the Act including report on Other Information insofar as it relates to the aforesaid subsidiary, is based solely on the reports of the other auditors.

    Our opinion on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial statements.

Independent Auditor's Report (Contd.)

Report on Other Legal and Regulatory Requirements

15. As required by paragraph 3(xxi) of the Companies (Auditor's Report) Order, 2020 ("CARO 2020"), issued by the Central Government of India in terms of sub-section (11) of Section 143 of the Act, we report that there are no qualifications or adverse remarks included by the respective auditors in their CARO 2020 reports issued in respect of the standalone financial statements of the companies which are included in these Consolidated Financial Statements.

16. As required by Section 143(3) of the Act, we report, to the extent applicable, that:

    (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated financial statements.

    (b) In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books and the reports of the other auditors.

    (c) The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss (including other comprehensive income), the Consolidated Statement of Changes in Equity and the Consolidated Statement of Cash Flows dealt with by this Report are in agreement with the relevant books of account and records maintained for the purpose of preparation of the consolidated financial statements.

    (d) In our opinion, the aforesaid consolidated financial statements comply with the Accounting Standards specified under Section 133 of the Act.

    (e) On the basis of the written representations received from the directors of the Holding Company as on March 31, 2023 taken on record by the Board of Directors of the Holding Company and the reports of the statutory auditors of its subsidiary companies, none of the directors of the Group companies, is disqualified as on March 31, 2023 from being appointed as a director in terms of Section 164(2) of the Act.

    (f) With respect to the adequacy of internal financial controls with reference to consolidated financial statements of the Group and the operating effectiveness of such controls, refer to our separate report in Annexure A.

    (g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditor's) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

        i. The consolidated financial statements disclose the impact, if any, of pending litigations on the consolidated financial position of the Group– Refer Note 48 to the consolidated financial statements.

        ii. Provision has been made in the consolidated financial statements, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts as at March 31, 2023– Refer Note 33 to the consolidated financial statements in respect of such items as it relates to the Group.

        iii. There has been no delay in transferring amounts required to be transferred to the Investor Education and Protection Fund by the Holding Company and its subsidiary companies during the year.

iv. (a) The respective Managements of the Company and its subsidiaries whose financial statements have been audited under the Act have represented to us and the other auditor of such subsidiary respectively that, to the best of their knowledge and belief, as disclosed in the notes to the accounts, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company or any of such subsidiaries to or in any other persons or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company or any of such subsidiaries ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(b) The respective Managements of the Company and its subsidiaries whose financial statements have been audited under the Act have represented to us and the other auditor of such subsidiary that, to the best of their knowledge and belief, as disclosed in the notes to the accounts, no funds (which are material either individually or in the aggregate) have been received by the Company or any of such subsidiaries from any persons or entities, including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company or any of such subsidiaries shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

(c) Based on the audit procedures, that has been considered reasonable and appropriate in the circumstances, performed by us and those performed by the auditor of the subsidiary which is a company whose financial statements have been audited under the Act, nothing has come to our or other auditor's notice that has caused us or the other auditors to believe that the representations under sub-clause (i) and (ii) of Rule 11(e) contain any material misstatement.

v. The dividend declared and paid during the year by the Holding Company and its subsidiary companies, is in compliance with Section 123 of the Act.

17. The Group has paid/ provided for managerial remuneration in accordance with the requisite approvals mandated by the provisions of Section 197 read with Schedule V to the Act.

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number: 012754N / N500016

Priyanshu Gundana
Partner
Membership Number: 109553
UDIN: 23109553BGWNNG5480

Place: Ahmedabad
Date: May 29, 2023

Annexure A to Independent Auditor's Report

Referred to in paragraph 16(f) of the Independent Auditor's Report of even date to the members of Torrent Power Limited on the consolidated financial statements for the year ended March 31, 2023

Report on the Internal Financial Controls with reference to Consolidated Financial Statements under clause (i) of sub-section 3 of Section 143 of the Act

1. In conjunction with our audit of the consolidated financial statements of the Company as of and for the year ended March 31, 2023, we have audited the internal financial controls with reference to financial statements of Torrent Power Limited (hereinafter referred to as "the Holding Company") and its subsidiary companies as of that date.

Management's Responsibility for Internal Financial Controls

2. The respective Board of Directors of the Holding Company, its subsidiary companies, to whom reporting under clause (i) of sub section 3 of Section 143 of the Act in respect of the adequacy of the internal financial controls with reference to financial statements is applicable, are responsible for establishing and maintaining internal financial controls based on internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting ("the Guidance Note") issued by the Institute of Chartered Accountants of India ("ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to the respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

3. Our responsibility is to express an opinion on the Holding Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note issued by the ICAI and the Standards on Auditing deemed to be prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of internal financial controls and both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements was established and maintained and if such controls operated effectively in all material respects.

4. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

5. We believe that the audit evidence we have obtained and the audit evidence obtained by the other auditors in terms of their reports referred to in the Other Matter paragraph below is sufficient and appropriate to provide a basis for our audit opinion on the Holding Company's internal financial controls system with reference to consolidated financial statements.

Meaning of Internal Financial Controls with reference to financial statements

6. A company's internal financial control with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to financial statements includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to financial statements

7. Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial control with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

8. In our opinion, the Holding Company, its subsidiary companies, have, in all material respects, an adequate internal financial controls system with reference to financial statements and such internal financial controls with reference to financial statements were operating effectively as at March 31, 2023, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note issued by the ICAI.

Other Matter

9. Our aforesaid reports under Section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls with reference to financial statements insofar as it relates to one subsidiary company, is based on the corresponding report of the auditor of such company. Our opinion is not modified in respect of this matter.

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number: 012754N / N500016

Priyanshu Gundana
Partner
Membership Number: 109553
UDIN: 23109553BGWNNG5480

Place: Ahmedabad
Date: May 29, 2023

Consolidated Balance Sheet

as at March 31, 2023

(₹ in Crore)

	Notes	As at March 31, 2023	As at March 31, 2022
Assets			
Non-current assets			
Property, plant and equipment	**4**	18,115.94	16,759.39
Right-of-use assets	**5**	216.46	214.60
Capital work-in-progress	**6**	2,624.69	1,297.27
Investment property	**7**	9.39	-
Goodwill	**8**	171.07	-
Other intangible assets	**9**	756.33	123.29
Financial assets			
Investments	**10**	15.94	132.82
Loans	**11**	-	121.87
Other financial assets	**12**	135.38	101.55
Deferred tax assets (net)	**46**	38.65	35.12
Non-current tax assets (net)	**13**	12.50	10.56
Other non-current assets	**14**	361.04	1,000.47
		22,457.39	**19,796.94**
Current assets			
Inventories	**15**	820.28	537.57
Financial assets			
Investments	**16**	787.75	273.70
Trade receivables	**17**	2,246.33	1,602.70
Cash and cash equivalents	**18**	188.23	289.41
Bank balances other than cash and cash equivalents above	**19**	155.29	62.93
Loans	**20**	-	19.90
Other financial assets	**21**	3,111.40	2,298.81
Other current assets	**22**	143.51	140.74
		7,452.79	**5,225.76**
		29,910.18	**25,022.70**
Equity and liabilities			
Equity			
Equity share capital	**23**	480.62	480.62
Other equity	**24**	10,529.38	9,462.56
		11,010.00	**9,943.18**
Non-controlling interests		476.65	35.93
		11,486.65	**9,979.11**
Liabilities			
Non-current liabilities			
Financial liabilities			
Borrowings	**25**	8,902.32	7,099.15
Lease liabilities	**49**	39.32	39.10
Trade payables	**26**		
Total outstanding dues of micro and small enterprises		-	-
Total outstanding dues other than micro and small enterprises		210.61	150.46
Other financial liabilities	**27**	-	0.33
Deferred tax liabilities (net)	**46**	968.79	345.21
Other non-current liabilities	**28**	1,372.46	1,261.67
		11,493.50	**8,895.92**
Current liabilities			
Financial liabilities			
Borrowings	**29**	1,593.75	1,999.27
Lease liabilities	**49**	6.02	5.11
Trade payables	**30**		
Total outstanding dues of micro and small enterprises		68.99	54.02
Total outstanding dues other than micro and small enterprises		1,453.68	1,057.11
Other financial liabilities	**31**	2,687.72	2,021.51
Other current liabilities	**32**	677.24	613.56
Provisions	**33**	264.06	274.55
Current tax liabilities (net)	**34**	178.57	122.54
		6,930.03	**6,147.67**
		29,910.18	**25,022.70**

See accompanying notes forming part of the consolidated financial statements

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N/N500016

Priyanshu Gundana
Partner
Membership No.: 109553

Ahmedabad, May 29, 2023

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 29, 2023

Consolidated Statement of Profit and Loss

for the year ended March 31, 2023

(₹ in Crore)

	Notes	Year ended March 31, 2023	Year ended March 31, 2022
Income			
Revenue from operations	35	25,694.12	14,257.61
Other income	36	381.85	235.04
Total income		**26,075.97**	**14,492.65**
Expenses			
Electrical energy purchased		14,440.53	5,116.39
Fuel cost		2,508.23	3,403.40
Cost of materials consumed	37	334.81	262.64
Purchase of stock-in-trade		1,879.26	305.99
Changes in inventories of finished goods and work-in-progress	38	(29.19)	(11.11)
Employee benefits expense	39	578.25	533.54
Finance costs	40	818.20	628.21
Depreciation and amortisation expense	41	1,280.96	1,333.86
Other expenses	42	1,223.56	1,055.76
Total expenses		**23,034.61**	**12,628.68**
Profit before exceptional items and tax		3,041.36	1,863.97
Exceptional items	45	-	1,300.00
Profit before tax		**3,041.36**	**563.97**
Tax expense			
Current tax	46	672.82	372.48
Deferred tax	46	203.87	(267.21)
		876.69	**105.27**
Profit for the year		**2,164.67**	**458.70**
Other comprehensive income			
Items that will not be reclassified to profit or loss			
Remeasurement of the defined benefit plans	50	9.54	2.89
Tax relating to remeasurement of the defined benefit plans	46	3.50	1.04
Other comprehensive income for the year, net of tax		**6.04**	**1.85**
Total comprehensive income for the year		**2,170.71**	**460.55**
Profit for the year attributable to:			
Owners of the Company		2,117.43	453.98
Non-controlling interests		47.24	4.72
		2,164.67	**458.70**
Other comprehensive income for the year attributable to:			
Owners of the Company		6.75	1.85
Non-controlling interests		(0.71)	-
		6.04	**1.85**
Total comprehensive income for the year attributable to:			
Owners of the Company		2,124.18	455.83
Non-controlling interests		46.53	4.72
		2,170.71	**460.55**
Basic and diluted earnings per share of face value of ₹ 10 each (in ₹)	53	**44.06**	**9.45**

See accompanying notes forming part of the consolidated financial statements

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N/N500016

Priyanshu Gundana
Partner
Membership No.: 109553

Ahmedabad, May 29, 2023

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 29, 2023

Consolidated Statement of Cash Flows

for the year ended March 31, 2023

(₹ in Crore)

	Notes	Year ended March 31, 2023	Year ended March 31, 2022
Cash flow from operating activities			
Profit before tax		3,041.36	563.97
Adjustments for :			
Depreciation and amortisation expense	**41**	1,280.96	1,333.86
Amortisation of deferred revenue	**35**	(100.10)	(90.27)
Provision of earlier years written back	**35**	(0.80)	(1.04)
Loss on sale / discarding of property, plant and equipment and capital work-in-progress	**42**	29.91	23.66
Gain on disposal of property, plant and equipment / investment property	**36**	(44.84)	(30.05)
Bad debts written off (net of recovery)	**42**	4.02	46.83
Reversal of provision for onerous contracts	**42**	(10.82)	(55.07)
Provision for onerous contracts	**42**	9.44	0.53
Allowance for doubtful debts (net)	**42**	(13.21)	(32.71)
Exceptional items	**45**	-	1,300.00
Finance costs	**40**	818.20	628.21
Interest income from financial assets measured at amortised cost	**36**	(68.84)	(66.62)
Gain on sale of current investments in mutual funds	**36**	(55.64)	(27.84)
Net (gain) / loss arising on current investments in mutual funds measured at fair value through profit or loss	**36**	(7.23)	2.20
Net gain arising on financial assets / liabilities measured at amortised cost	**36**	(23.67)	(28.93)
Net unrealised loss / (gain) on foreign currency transactions		10.76	(5.34)
Operating profit before working capital changes		**4,869.50**	**3,561.39**
Movement in working capital:			
Adjustments for decrease / (increase) in operating assets:			
Inventories		(265.58)	(85.44)
Trade receivables		(148.96)	(119.78)
Other financial assets		(929.80)	(287.41)
Other assets		(22.13)	(43.68)
Adjustments for increase / (decrease) in operating liabilities:			
Trade payables		125.37	196.61
Other financial liabilities		260.20	118.13
Provisions		0.43	(3.92)
Other liabilities		56.84	62.33
Cash generated from operations		**3,945.87**	**3,398.23**
Taxes paid (net)		(490.09)	(231.05)
Net cash flow generated from operating activities		**3,455.78**	**3,167.18**
Cash flow from investing activities			
Payments for property, plant and equipment, intangible assets & investment property		(2,815.55)	(1,809.14)
Proceeds from sale of property, plant and equipment & intangible assets		65.74	49.44
Acquisition of subsidiaries net of cash and cash equivalents [Refer note 44]		28.05	(515.23)
Advance against equity investment		(3.00)	(555.00)
Purchase of non-current investments		(1.94)	(1.91)
Loans to related parties		(277.02)	(7.95)
Repayment of loans from related parties		11.25	21.30
(Investments) / redemption in bank deposits (net) (original maturity more than three months)		(115.43)	50.63
(Investments) / redemption in inter corporate deposits		266.84	113.40
Interest received		74.35	69.31
(Purchase of) / proceeds from current investments (net)		(449.25)	102.03
Net cash generated from / (used in) investing activities		**(3,215.96)**	**(2,483.12)**

(₹ in Crore)

	Notes	Year ended March 31, 2023	Year ended March 31, 2022
Cash flow from financing activities			
Proceeds from long-term borrowings		3,812.34	1,125.22
Proceeds from short-term borrowings		400.00	693.22
Repayment of long-term borrowings		(1,359.28)	(885.59)
Prepayment of long-term borrowings		(341.86)	(235.49)
Repayment of short-term borrowings		(1,113.74)	-
Repayment of Accelerated Power Development and Reform Programme (APDRP) loan		(3.82)	(3.82)
Receipt of contribution from consumers		217.04	200.41
Dividend paid		(1,061.81)	(702.04)
Principal elements of lease payments		(22.34)	(44.35)
Finance costs paid		(867.53)	(649.49)
Net cash generated from / (used) in financing activities		**(341.00)**	**(501.93)**
Net (decrease) / increase in cash and cash equivalents		(101.18)	182.13
Cash and cash equivalents as at beginning of the year		289.41	107.28
Cash and cash equivalents as at end of the year		**188.23**	**289.41**
Footnotes:			
1. Cash and cash equivalents as at end of the year:			
Balances with banks			
Balance in current accounts		187.33	288.10
Balance in fixed deposit accounts (original maturity for less than three months)		-	0.05
Cheques on hand		0.60	0.79
Cash on hand		0.30	0.47
		188.23	**289.41**
2. Non-cash investing and financing activities:			
Acquisition of Right-of-use assets		7.45	12.78
Refinancing of existing loan		374.62	-
		382.07	**12.78**

3. The consolidated statement of cash flow has been prepared under the 'Indirect Method' set out in Indian Accounting Standards (Ind AS) - 7 "Statement of Cash Flows".

See accompanying notes forming part of the standalone financial statements

In terms of our report attached

For and on behalf of the Board of Directors

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N/N500016

Samir Mehta
Chairperson
DIN:00061903

Priyanshu Gundana
Partner
Membership No.: 109553

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 29, 2023

Ahmedabad, May 29, 2023

Consolidated Statement of Changes in Equity

for the year ended March 31, 2023

A. Equity Share Capital [Refer note 23]

	(₹ in Crore)
Balance as at April 1, 2021	**480.62**
Changes in equity share capital during the year	-
Balance as at March 31, 2022	**480.62**
Changes in equity share capital during the year	-
Balance as at March 31, 2023	**480.62**

B. Other equity [Refer note 24]

(₹ in Crore)

	Reserves and surplus						Other equity attributable to equity holders of the Company	Non-controlling interests	Total
	Securities premium	Debenture redemption reserve	Contingency reserve	Special reserve	General reserve	Retained earnings			
Balance as at April 1, 2021	**0.03**	**187.26**	**13.46**	**78.07**	**3,583.89**	**5,840.91**	**9,703.62**	**36.36**	**9,739.98**
Profit for the year	-	-	-	-	-	453.98	453.98	4.72	458.70
Other comprehensive income for the year, net of tax	-	-	-	-	-	1.85	1.85	-	1.85
Total comprehensive income for the year	**-**	**-**	**-**	**-**	**-**	**455.83**	**455.83**	**4.72**	**460.55**
Transfer to debenture redemption reserve	-	(47.66)	-	-	-	47.66	-	-	-
Transfer to contingency reserve	-	-	1.91	-	-	(1.91)	-	-	-
Transaction with owners in their capacity as owners: Dividend (including interim dividend) paid	-	-	-	-	-	(696.89)	(696.89)	(5.15)	(702.04)
Balance as at March 31, 2022	**0.03**	**139.60**	**15.37**	**78.07**	**3,583.89**	**5,645.60**	**9,462.56**	**35.93**	**9,498.49**
Profit for the year	-	-	-	-	-	2,117.43	2,117.43	47.24	2,164.67
Other comprehensive income for the year, net of tax	-	-	-	-	-	6.75	6.75	(0.71)	6.04
Total comprehensive income for the year	**-**	**-**	**-**	**-**	**-**	**2,124.18**	**2,124.18**	**46.53**	**2,170.71**
Transfer to debenture redemption reserve	-	(78.39)	-	-	86.72	(8.33)	-	-	-
Transfer to contingency reserve	-	-	1.92	-	-	(1.92)	-	-	-
Transaction with owners in their capacity as owners: Dividend (including interim dividend) paid	-	-	-	-	-	(1,057.36)	(1,057.36)	(4.45)	(1,061.81)
Non-controlling interests on acquisition of subsidiary [Refer note 44]	-	-	-	-	-	-	-	398.64	398.64
Balance as at March 31, 2023	**0.03**	**61.21**	**17.29**	**78.07**	**3,670.61**	**6,702.17**	**10,529.38**	**476.65**	**11,006.03**

Footnote:

1 Retained earning includes (₹ 23.15) Crore [March 31, 2022 (₹ 29.19) Crore] related to re-measurement of defined benefit plans.

See accompanying notes forming part of the standalone financial statements

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N/N500016

Priyanshu Gundana
Partner
Membership No.: 109553

Ahmedabad, May 29, 2023

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 29, 2023

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 1a : General information

These financial statements comprise financial statements of Torrent Power Limited ("the Company") and its subsidiaries (hereinafter referred to as "the Group") and associate (upto July 29, 2022) for the year ended March 31, 2023.

The Company is a public company domiciled in India and is incorporated under the provisions of the Companies Act, applicable in India. Its equity shares are listed on BSE Ltd. and National Stock Exchange Ltd. in India. The registered office of the Company is located at "Samanvay", 600, Tapovan, Ambawadi, Ahmedabad – 380 015.

The Group is engaged in the business of generation, transmission and distribution of Electricity and of manufacture and sale of Cable. Information on the Group's structure is provided in note 43.

Note 1b : New standards or interpretations adopted by the Group

The Ministry of Corporate Affairs had vide notification dated March 23, 2022 notified Companies (Indian Accounting Standards) Amendment Rules, 2022 which amended certain accounting standards, and are effective April 1, 2022. These amendments did not have any impact on the amounts recognised in prior periods and are not expected to significantly affect the current or future periods.

Note 1c : New standards or interpretations issued but not yet effective

The Ministry of Corporate Affairs has vide notification dated March 31, 2023 notified Companies (Indian Accounting Standards) Amendment Rules, 2023 (the 'Rules') which amends certain accounting standards, and are effective April 1, 2023.

The Rules predominantly amend Ind AS 12, Income taxes, and Ind AS 1, Presentation of financial statements. The other amendments to Ind AS notified by these rules are primarily in the nature of clarifications.

These amendments are not expected to have a material impact on the group in the current or future reporting periods and on foreseeable future transactions.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 2 : Significant accounting policies

2.1 Basis of preparation:

Compliance with Ind AS

The financial statements are in compliance, in all material aspects, with Indian Accounting Standards (Ind AS) notified under Section 133 of the Companies Act, 2013 (the Act) read with the [Companies (Indian Accounting Standards) Rules, 2015] and other relevant provisions of the Act and rules made thereunder.

Historical cost convention

The financial statements have been prepared on an accrual basis under the historical cost convention except for following which have been measured at fair value;

- Defined benefit plan assets

All assets and liabilities have been classified as current or non-current as set out in the Schedule III (Division II) to the Companies Act, 2013.

2.2 Principles of consolidation:

Subsidiaries

The consolidated financial statements comprise the financial statements of Torrent Power Limited and its subsidiaries. Subsidiaries are all entities over which the Company has control. The Company controls an entity when the Company is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the relevant activities of the entity. Consolidation of an entity begins when the Company obtains control over the entity and ceases when the Company loses control of the entity. Specifically, income and expenses of an entity acquired or disposed of during the year are included in the consolidated statement of profit and loss from the date the Company gains control or until the date when the Company ceases to control the entity, respectively.

The Group combines the financial statements of the Parent and its subsidiaries line by line adding together like items of assets, liabilities, equity, income and expenses. Intercompany transactions, balances and unrealised gains on transactions between group companies are eliminated. Ind AS 12 “Income Taxes” applies to temporary differences that arise from the elimination of profits and losses resulting from intragroup transactions.

Consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances. If a member of the Group uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, appropriate adjustments are made to that Group member’s financial statements in preparing the consolidated financial statements to ensure conformity with the Group’s accounting policies. The financial statements of all entities used for the purpose of consolidation are drawn up to same reporting date as that of the Parent company, i.e., year ended on March 31.

Non-controlling interests in the results and equity of subsidiaries are shown separately in the consolidated balance sheet, consolidated statement of profit and loss and consolidated statement of changes in equity respectively.

Associates and joint ventures

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

A joint venture is a joint arrangement whereby the parties, that have joint control of the arrangement, have rights to the net assets of the joint arrangement. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 2 : Significant accounting policies (Contd.)

The results and assets and liabilities of associates or joint ventures are incorporated in the consolidated financial statements using the equity method of accounting, except when the investment, or a portion thereof, is classified as held for sale, in which case it is accounted for in accordance with Ind AS 105 "Non-current Assets Held for Sale and Discontinued Operations". Under the equity method, an investment in an associate or a joint venture is initially recognised in the consolidated balance sheet at cost and adjusted thereafter to recognise the Group's share of the profit or loss and other comprehensive income of the associate or joint venture. When the Group's share of losses of an associate or a joint venture exceeds the Group's interest in that associate or joint venture, the Group discontinues recognising its share of further losses. Additional losses are recognized to the extent that the Group has incurred legal or constructive obligation or made payment on behalf of the associate or joint venture.

2.3 Business combinations and Goodwill:

Business combination - acquisition

Acquisitions of businesses are accounted for using the acquisition method. In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs. The consideration transferred in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the assets transferred, liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group in exchange for control of the acquiree.

Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are, with limited exceptions, measured initially at their fair values at the acquisition date.

Acquisition-related costs are expensed as incurred.

The excess of the

- consideration transferred;
- amount of any non-controlling interest in the acquired entity, and
- acquisition-date fair value of any previous equity interest in the acquired entity

over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognised in other comprehensive income and accumulated in equity as capital reserve provided there is clear evidence of the underlying reasons for classifying the business combination as a bargain purchase. In other cases, the bargain purchase gain is recognised directly in equity as capital reserve.

Business combination – common control transaction

Business combinations involving entities that are controlled by the Group are accounted for using the pooling of interests method as follows:

- The assets and liabilities of the combining entities are reflected at their carrying amounts.
- No adjustments are made to reflect fair values, or recognise any new assets or liabilities. Adjustments are only made to harmonise accounting policies.
- The financial information in the financial statements in respect of prior periods is restated as if the business combination had occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination. However, where the business combination had occurred after that date, the prior period information is restated only from that date.
- The balance of the retained earnings appearing in the financial statements of the transferor is aggregated with the corresponding balance appearing in the financial statements of the transferee or is adjusted against general reserve.
- The identity of the reserves is preserved and the reserves of the transferor become the reserves of the transferee.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 2 : Significant accounting policies (Contd.)

- The difference, if any, between the amounts recorded as share capital issued plus any additional consideration in the form of cash or other assets and the amount of share capital of the transferor is transferred to capital reserve and is presented separately from other capital reserves.

Business combination-related costs are generally recognised in consolidated statement of profit and loss as incurred.

Goodwill

Goodwill on acquisitions of subsidiaries is included in intangible assets. Goodwill is not amortised but is tested for impairment annually, or more frequently if events or changes in circumstances indicate that it might be impaired, and is carried at cost less accumulated impairment losses. Gains and losses on the disposal of a business include the carrying amount of goodwill relating to such business.

Goodwill is allocated to cash-generating units for the purpose of impairment testing. The allocation is made to those cash-generating units or groups of cash-generating units that are expected to benefit from the business combination in which the goodwill arose.

Acquisition of an asset or a group of assets

In case of acquisition of an asset or a group of assets that does not constitute a business, the Group identifies and recognises individual identifiable assets acquired (including those assets that meet the definition of, and recognition criteria for, intangible assets under Ind AS 38, Intangible Assets) and liabilities assumed. The Purchase Consideration shall be allocated to the individual identifiable assets and liabilities on the basis of their relative fair values at the date of purchase. Such a transaction or event does not give rise to goodwill or gain on bargain purchase.

2.4 Government grants:

Grants from the government are recognised at their fair value where there is a reasonable assurance that the grant will be received and the Group will comply with all the attached conditions.

Government grants relating to income are recognised in profit or loss on a systematic basis over the periods in which the Group recognises as expenses the related costs for which the grants are intended to compensate. Government grants relating to purchase of property, plant and equipment whose primary condition is that the Group should purchase, construct or otherwise acquire property, plant and equipment are recognised as deferred revenue in the consolidated balance sheet and transferred to profit or loss on a systematic and rational basis over the useful lives of the related assets.

2.5 Property, plant and equipment:

Freehold land is carried at historical cost. All other items of property, plant and equipment held for use in the production or supply of goods or services, or for administrative purposes, are stated in the consolidated balance sheet at cost less accumulated depreciation and accumulated impairment losses, except that on adoption of Ind AS, property, plant and equipment had been measured at deemed cost, using the net carrying value as per previous GAAP as at April 1, 2015.

Capital work in progress in the course of construction for production, supply or administrative purposes is carried at cost, less any recognised impairment loss. Cost includes purchase price, taxes and duties, labour cost and other directly attributable costs incurred upto the date the asset is ready for its intended use. Such property, plant and equipment are classified to the appropriate categories when completed and ready for intended use.

Subsequent cost are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the group and the cost of the item can be measured reliably. Subsequent costs relating to day to day servicing of the item are not recognised in the carrying amount of an item of property, plant and equipment; rather, these costs are recognised in profit or loss as incurred.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 2 : Significant accounting policies (Contd.)

Depreciation methods, estimated useful lives and residual value

Depreciation commences when the assets are ready for their intended use. Depreciation for the year is provided on additions / deductions of the assets during the period from / up to the month in which the asset is added / deducted. Depreciation on property, plant and equipment which are governed as per the provisions of Part B of Schedule II of the Companies Act, 2013 is provided on straight line basis using the depreciation rates, the methodology and residual value as notified by the respective regulatory bodies in accordance with the Electricity Act, 2003. For other property, plant and equipment in non-regulated business, depreciation is provided on a straight line basis over the estimated useful lives.

The estimated useful life, residual values and depreciation method are reviewed at the end of each reporting period in respect of property, plant and equipment of non-regulated business. The effect of any such change in estimate in this regard is accounted for on a prospective basis.

The range of depreciation rates of property, plant and equipment are as follows:

Class of assets	Rate of depreciation		
	Regulated business $	Franchisee business @	Other business
Buildings	1.26% to 6.73%	3.34%	1.58% to 31.67%
Railway siding	1.80% to 5.28%	-	-
Leasehold improvement	-	6.86% to 23.08%	-
Plant and machinery	0.92% to 19.00%	5.28%	3.60% to 12.66%
Electrical fittings and apparatus	0.64% to 19.00%	6.33%	6.33% to 9.50%
Furniture and fixtures	0.91% to 15.00%	6.33%	6.33% to 9.91%
Vehicles	9.50% to 18.00%	9.50%	9.50% to 11.88%
Office equipment	0.91% to 31.67%	5.28% to 15.00%	6.33% to 19.00%

@ governed by the applicable regulations of Uttar Pradesh Electricity Regulatory Commission (UPERC) / Maharashtra Electricity Regulatory Commission (MERC) for this purpose.

$ For assets acquired on or after April 1, 2009 in case of Regulated generation and distribution business, remaining depreciable value as on 31st March of the year closing after a period of 12 years from date on which assets are ready for their intended use, shall be spread over the balance useful life of the assets as defined in GERC / CERC Multi Year Tariff (MYT) regulations.

2.6 Investment properties:

Property that is held for long-term rental yields or for capital appreciation or both, and that is not occupied by the Group, is classified as investment property. Investment property is measured initially at its cost, including related transaction costs and where applicable borrowing costs. Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the group and the cost of the item can be measured reliably.

An investment property is derecognised upon disposal or when the investment property is permanently withdrawn from its current use and no future economic benefits are expected from the disposal. Any gain or loss arising on derecognition of the property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period in which the property is derecognised.

Investment properties, other than free hold land, are depreciated using straight line method over their estimated useful lives.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 2 : Significant accounting policies (Contd.)

2.7 Intangible assets:

Intangible assets are carried at cost less accumulated amortisation and accumulated impairment losses, if any. Amortisation is recognised on a straight-line basis over its estimated useful life. The range of estimated useful lives of the intangible assets are as follows:

- Computer software – 3 years
- Customer contracts – 15 to 22 years
- Distribution license – 25 years

The estimated useful lives and amortisation method are reviewed at the end of each reporting period and the effect of any changes in such estimate is accounted for on a prospective basis.

Expenditure incurred on acquisition of intangible assets which are not ready to use at the reporting date is disclosed under "Intangible assets under development".

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from its use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

2.8 Impairment of assets :

Property, plant and equipment and intangible assets are reviewed for impairment losses whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognized for the amount by which the carrying amount of the assets exceeds its recoverable amount, which is the higher of an asset's fair value less costs of disposal and value in use. Value in use is the present value of the future cash flows expected to be derived from an asset or cash-generating unit. An impairment loss is recognised immediately in profit or loss.

For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows which are largely independent of the cash inflows from other assets or groups of assets (cash-generating units). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

2.9 Borrowing costs:

Borrowing costs that are directly attributable to the acquisition and construction of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use, such as new projects and / or specific assets created in the existing business, are capitalized up to the date of completion and ready for their intended use.

Income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

Other borrowing costs are charged to the consolidated statement of profit and loss in the period of their accrual.

2.10 Cash and cash equivalents:

For the purpose of presentation in the statement of cash flows, cash and cash equivalents includes cash on hand, cheques / drafts on hand, current account balances with banks and other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Bank overdrafts are shown within borrowings in current liabilities in the consolidated balance sheet.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 2 : Significant accounting policies (Contd.)

2.11 Inventories:

Raw materials, fuel, stores and spares, packing materials, loose tools, work in progress, traded and finished goods are stated at the lower of cost and net realisable value. Cost of inventories includes purchase price and all other costs incurred in bringing the inventories to their present location and condition. Costs are assigned to individual items of inventory on the weighted average basis except for inventory of Regasified Liquefied Natural Gas (RLNG) which is valued using specific identification method considering its procurement for beneficiary usage or others. Costs of purchased inventory are determined after deducting rebates and discounts.

Net realisable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

2.12 Revenue recognition:

Revenue towards satisfaction of a performance obligation is measured and recognized at transaction price recognized, when the control of the goods or services has been transferred to consumers, net of discounts and other similar allowances.

(i) Revenue from power supply and transmission charges is accounted for in accordance with the rates, terms and conditions laid down under the relevant Tariff Regulations / Tariff Orders notified by the Electricity Regulators / agreements entered with the customers / power exchange rates, as applicable. Revenue recognised includes amounts billed to consumers on the basis of recording of consumption of energy by installed meters based on the applicable tariff and adjustments in respect of unbilled amounts towards revenue gaps / unapproved Fuel and Power Purchase Price Adjustment (FPPPA) which are recognised considering applicable tariff regulations/ tariff orders, past trends of approval, management's probability estimate and, when no significant uncertainty exists in such determination. Revenue from power supply exclude taxes and duties.

These adjustments / accruals are carried forward as 'Unbilled revenue' under "Other current financial assets" in Note 21, which would be adjusted through future billing based on tariff determination by the regulator in accordance with the electricity regulations.

(ii) Sales of cables and trading of RLNG are recognised, net of returns and rebates, on transfer of control of ownership to the buyer. Sales exclude Goods and Services Tax.

(iii) Income from Generation Based Incentive is accounted on accrual basis considering eligibility of project for availing incentive.

(iv) Contributions by consumers towards items of property, plant and equipment, which require an obligation to provide electricity connectivity to the consumers, are recognised as a credit to deferred revenue. Similarly contribution by third party towards construction of overhead transmission lines are recognized as a credit to deferred revenue. Such revenue is recognised over the useful life of the property, plant and equipment.

2.13 Foreign currency translation:

Functional and presentation currency

The consolidated financial statements are prepared in Indian rupee (₹) which is functional as well as presentation currency of the Group.

Transactions and balances

In preparing the financial statements of each individual Group entity transactions in currencies other than the entity's functional currency (foreign currencies) are recognised at the rates of exchange prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 2 : Significant accounting policies (Contd.)

Foreign exchange differences arising on foreign currency borrowings are presented in the consolidated statement of profit and loss, within finance costs. All other foreign exchange differences arising on settlement of monetary items or on reporting the Group's monetary items at rates different from those at which they were initially recorded during the financial year are recognized as income or expense in the financial year in which they arise.

2.14 Employee benefits:

Defined contribution plans

Contributions retirement benefit plans in the form of provident fund, employee state insurance scheme, pension scheme and superannuation schemes as per regulations are charged as an expense on an accrual basis when employees have rendered the service. The Group has no further payment obligations once the contributions have been paid.

Defined benefits plans

The liability or asset recognised in the consolidated balance sheet in respect of the retirement benefit plan i.e. gratuity plan is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated by an actuary using projected unit credit method.

The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows by reference to market yields at the end of the reporting period on government bonds that have terms approximating to the terms of the related obligations.

The net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of the plan assets. This cost is included in the employee benefit expense in the consolidated statement of profit and loss.

Remeasurements, comprising actuarial gains and losses and the effect of the changes to the asset ceiling (if applicable), is reflected immediately in the consolidated balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur and consequently recognised in retained earnings and is not reclassified to profit or loss.

The retirement benefit recognised in the consolidated balance sheet represents the actual deficit or surplus in the Group's defined benefit plans. Any surplus resulting from this calculation is limited to the present value of any economic benefits available in the form of reductions in future contributions to the plans.

Other long-term employee benefit obligations

The liabilities for earned leave and sick leave are not expected to be settled wholly within 12 months after the end of the period in which the employees render the related service. They are therefore measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. The benefits are discounted using the market yields at the end of the reporting period that have terms approximating to the terms of the related obligation. Remeasurements as a result of experience adjustments and changes in actuarial assumptions are recognised in profit or loss.

The said obligations are presented as current liabilities in the consolidated balance sheet if the entity does not have an unconditional right to defer settlement for at least twelve months after the reporting period, regardless of when the actual settlement is expected to occur.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 2 : Significant accounting policies (Contd.)

2.15 Taxation:

Income tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on estimated taxable income for the year in accordance with the provisions of the Income Tax Act, 1961. Taxable profit differs from ‘profit before tax’ as reported in the consolidated statement of profit and loss because of items of income or expenses that are taxable or deductible in other years and items that are never taxable or deductible. Management periodically evaluates positions taken in the tax returns with respect to situations for which applicable tax regulations are subject to interpretation and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Group measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Advance taxes and provisions for current income taxes are offset with each other when there is a legally enforceable right to offset and balances arise with the same tax authority.

Deferred tax

Deferred tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the consolidated financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences.

Deferred tax assets are generally recognised for all deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority.

Deferred tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity.

2.16 Earnings per share:

Basic earnings per share is computed by dividing the profit / (loss) attributable to owners of the Company by the weighted average number of equity shares outstanding during the year.

Diluted earnings per share is computed by adjusting the figures used in the determination of basic EPS to take into account:

- After tax effect of interest and other financing costs associated with dilutive potential equity shares.
- The weighted average number of additional equity shares that would have been outstanding assuming the conversion of all dilutive potential equity shares.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 2 : Significant accounting policies (Contd.)

2.17 Provisions, contingent liabilities and contingent assets:

Provisions

A provision is recognized when the Group has a present obligation as a result of past events and it is probable that an outflow of resources will be required to settle the obligation in respect of which a reliable estimate can be made.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material).

Contingent liability

A possible obligation that arises from past events and the existence of which will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the enterprise are disclosed as contingent liability and not provided for. Such liability is not disclosed if the possibility of outflow of resources is remote.

Contingent assets

A contingent asset is a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity.

Contingent assets are not recognised but disclosed only when an inflow of economic benefits is probable.

2.18 Financial instruments:

Financial assets

i) Classification of financial assets (including debt instruments)

The Group classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value (either through other comprehensive income, or through profit or loss), and
- those measured at amortised cost.

The classification depends on the entity's business model for managing the financial assets and the contractual cash flow characteristics of the financial assets.

ii) Initial measurement

Financial assets (excluding trade receivables) are initially measured at fair value. Transaction costs that are directly attributable to the acquisition (other than financial assets at fair value through profit or loss) are added to the fair value of the financial assets, as appropriate, on initial recognition. Transaction costs that are directly attributable to the acquisition or issue of financial assets at fair value through profit or loss are recognised immediately in profit or loss. Trade receivables which do not contain a significant financing component are measured at transaction price.

iii) Subsequent measurement

There are three measurement categories into which the debt instruments can be classified:

- **Amortised cost**

  Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/(losses). Impairment losses are presented as separate line item in the statement of profit and loss.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 2 : Significant accounting policies (Contd.)

- **Fair value through other comprehensive income (FVOCI)**

  Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income (FVOCI). Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest revenue and foreign exchange gains and losses which are recognised in profit and loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains / (losses). Interest income from these financial assets is included in other income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains and losses and impairment expenses in other expenses. The Group currently does not have any debt instruments which are measured at FVOCI.

- **Fair value through profit or loss (FVTPL)**

  Assets that do not meet the criteria for amortised cost or FVOCI are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss is recognised in profit or loss and presented net in the consolidated statement of profit and loss within other gains / (losses) in the period in which it arises. Net gains / (losses) from these financial assets is included in other income.

iv) Impairment of financial assets

The Group assesses on a forward looking basis the expected credit losses associated with its financial assets carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

For trade receivables or any contractual right to receive cash or another financial asset that result from transactions that are within the scope of Ind AS 115 only, the Group follows 'simplified approach' for recognition of impairment loss and always measures the loss allowance at an amount equal to lifetime expected credit losses to measure the expected credit losses, trade receivables have been grouped based on days past due. The policy of the Group is to provide for credit loss takes into consideration of factors such as type of Consumers i.e. Government Consumers / Non Government consumers, Status of Consumers i.e. Live consumers / Disconnected consumers and Security deposits provided by the Consumer

v) Derecognition of financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognised (i.e., removed from the Group's consolidated balance sheet) when:

- The rights to receive cash flows from the asset have expired, or
- The Group has transferred its rights to receive cash flows from the asset

When the entity has transferred an asset, the Group evaluates whether it has transferred substantially all risks and rewards of ownership of the financial asset. In such cases, the financial asset is derecognised. Where the entity has not transferred substantially all risks and rewards of ownership of the financial asset, the financial asset is not derecognised.

Where the entity has neither transferred a financial asset nor retains substantially all risks and rewards of ownership of financial asset, the financial asset is derecognised if the Group has not retained control over the financial asset. Where the Group retains control of the financial asset, the asset is continued to be recognised to the extent of continuing involvement in the financial asset.

vi) Income recognition

Dividend is accounted when the right to receive payment is established.

Interest income on financial assets at amortised cost is calculated using the effective interest method is recognised in the statement of profit and loss as part of other income.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 2 : Significant accounting policies (Contd.)

Interest on overdue receivables of energy bills and claims including insurance claims, coal cost variation and other claims etc. are accounted when there is a certainty of recovery.

Financial liabilities

i) Classification

All the Group's financial liabilities are measured at amortized cost.

ii) Initial measurement

Financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the issue of financial liabilities are deducted from the fair value of the financial liabilities, as appropriate, on initial recognition.

iii) Subsequent measurement

Financial liabilities are subsequently measured at amortised cost using the Effective Interest Rate Method.

The Effective Interest Rate Method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments (including transaction costs and other premiums or discounts) through the expected life of the financial liability.

iv) Derecognition of financial liabilities

The Group derecognises financial liabilities when, and only when, the Group's obligations are discharged, cancelled or waived off or have expired. An exchange between the Group and the lender of debt instruments with substantially different terms is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in profit or loss.

2.19 Contributed equity:

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Transaction costs of an equity transaction shall be accounted for in other equity.

2.20 Leases:

The Group as a lessee:

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group. Contracts may contain both lease and non-lease components.

Lease liabilities:

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the lease payments.

The lease payments include fixed payments (including in substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses in the period in which the event or condition that triggers the payment occurs. Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

The lease payments are discounted using the lessee's incremental borrowing rate. Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 2 : Significant accounting policies (Contd.)

Right-of-use assets:

Right-of-use assets are measured at cost comprising the amount of the initial measurement of lease liability and lease payments made before the commencement date.

Right-of-use assets are depreciated over the lease term on a straight-line basis. Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, and lease payments made at or before the commencement date less any lease incentives received.

Right-of-use assets are depreciated over the asset's lease term on a straight-line basis.

Short term leases and leases of low value assets:

Payments associated with short-term leases of equipment and all leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprise small items of office equipment including IT equipment.

2.21 Exceptional Items:

When items of income or expense are of such nature, size and incidence that their disclosure is necessary to explain the performance of the Group for the year, the Group makes a disclosure of the nature and amount of such items separately under the head "Exceptional items."

2.22 Amount presented and rounding off:

All amounts in the financial statements and notes have been presented in ₹ Crore (except for share data) rounded to two decimals as per the requirement of Schedule III of the Companies Act, 2013, unless otherwise stated. Figures below ₹ 50,000 are denoted by '*'.

Note 3 : Critical accounting judgements and key sources of estimation uncertainty

In the course of applying the policies outlined in all notes under note 2 above, the management of the Company is required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

Such estimates and associated assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future period, if the revision affects current and future periods.

3.1 Revenue recognition:

The Group has recognised revenue (including the adjustment in respect of unapproved FPPPA claims and other true up adjustment claims) as per the applicable tariff regulations / tariff orders, management's probability estimate and the past trends of approval. The Group has not recognized those truing up adjustment claims which are disputed and for which the group is in appeal with regulatory authorities. These are recognised on receipt of final orders of respective regulatory authorities. [Refer note 35 & 47]

3.2 Property, plant and equipment:

(i) Service concession arrangements

The Group has assessed applicability of Appendix D of Ind AS 115 "Service Concession Arrangements" with respect to its Property, plant and equipment. In assessing the applicability, the Group has exercised judgment in relation to the provisions of the Electricity Act, 2003, conditions provided under transmission and distribution license and / or agreements. Further, the Group has ability to pledged the assets pursuant to which it has control and ability to direct the use of assets. Based on such assessment, it has concluded that Appendix D of Ind AS 115 is not applicable.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 3 : Critical accounting judgements and key sources of estimation uncertainty (Contd.)

(ii) Impairment of property, plant and equipment

Determining whether property, plant and equipment are impaired requires an estimation of the value in use of the relevant cash generating units. The value in use calculation is based on a Discounted Cash Flow model over the estimated useful life of the property, plant and equipment. Further, the cash flow projections are based on estimates and assumptions relating to expected demand, future price of fuel, expected tariff rates for electricity, discount rate, exchange rate and electricity market scenario, based on past trends and the current and likely future state of the industry etc. which are considered reasonable by the Management. Any reasonable possible change in the underlying assumptions would not lead to a material change to the amount of impairment. [Refer note 45(1)]

(iii) Fair value measurement of assets acquired

Significant management judgement is involved in determining whether assets acquired in a particular transaction constitute a 'business' in accordance with the principles laid down in Ind AS 103 – Business Combinations. Identification of the assets acquired and liabilities assumed; and measurement of their fair values using appropriate valuation methods to be adopted involves, key assumptions like the discount rate and expected demand. [Refer note 44]

3.3 Taxes:

Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies, including estimates of temporary differences reversing on account of available benefits from the Income Tax Act, 1961.

Deferred tax assets are recognised for unused tax credits to the extent that it is probable that taxable profit will be available against which the losses can be utilised. Management judgement is required to determine the amount of deferred tax assets for unused tax credits that can be recognised, based upon the likely timing and the level of future taxable profits. [Refer note 46(d)].

3.4 Contingencies:

Contingent liabilities

In the normal course of business, contingent liabilities may arise from litigation and other claims against the Group. Potential liabilities that are possible but not probable of crystallising or are very difficult to quantify reliably are treated as contingent liabilities. Such liabilities are disclosed in the notes but are not recognised. Potential liabilities that are remote are neither recognized nor disclosed as contingent liability. The management judgement is involved in classification under 'remote', 'possible' or 'probable' which is carried out based on expert advice, past judgements, experiences etc. [Refer note 48(a)]

3.5 Employee benefit plans:

Defined benefit plans and other long-term employee benefits

The present value of obligations under defined benefit plan and other long term employment benefits is determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual development in the future. These include the determination of the discount rate, future salary escalations, attrition rate and mortality rates. Due to the complexities involved in the valuation and its long term nature, these obligations are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Information about the various estimates and assumptions made in determining present value of defined benefit obligation are disclosed in note 50.2 and 50.3.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 4 : Property, Plant and Equipment

As at March 31, 2023

(₹ in Crore)

Particulars	Gross carrying amount						Accumulated depreciation and impairment loss					Net carrying amount
	As at April 1, 2022	Additions on acquisition of subsidiaries [Refer note 44]	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at April 1, 2022	For the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at March 31, 2023
Freehold land	514.18	84.66	131.02	-	(5.66)	724.20	-	-	-	-	-	724.20
Buildings	1,807.77	5.16	246.43	1.12	15.03	2,073.27	357.85	67.87	0.21	2.82	428.33	1,644.94
Leasehold improvement	4.05	-	0.52	-	-	4.57	0.67	0.68	-	-	1.35	3.22
Railway siding	1.86	-	-	-	-	1.86	0.35	0.05	-	-	0.40	1.46
Plant and machinery	24,434.44	858.49	1,211.12	56.24	5.00	26,452.81	9,859.13	1,131.93	30.02	(2.82)	10,958.22	15,494.59
Electrical fittings and apparatus	55.52	-	12.99	0.15	0.05	68.41	21.32	3.31	0.09	-	24.54	43.87
Furniture and fixtures	64.46	-	14.64	0.16	-	78.94	20.89	4.29	0.11	-	25.07	53.87
Vehicles	30.86	0.49	6.06	2.11	-	35.30	11.51	3.44	1.23	-	13.72	21.58
Office equipment	190.69	0.04	28.24	4.48	0.29	214.78	72.72	17.03	3.18	-	86.57	128.21
Total	**27,103.83**	**948.84**	**1,651.02**	**64.26**	**14.71**	**29,654.14**	**10,344.44**	**1,228.60**	**34.84**	**-**	**11,538.20**	**18,115.94**

As at March 31, 2022

(₹ in Crore)

Particulars	Gross carrying amount						Accumulated depreciation and impairment loss					Net carrying amount
	As at April 1, 2021	Additions on acquisition of subsidiaries [Refer note 44]	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2022	As at April 1, 2021	For the year		Deductions during the year	As at March 31, 2022	As at March 31, 2022
								Depreciation	Impairment			
Freehold land	441.74	46.31	30.98	4.85	-	514.18	-	-	-	-	-	514.18
Buildings	1,687.09	13.29	112.80	6.41	1.00	1,807.77	297.93	61.20	-	1.28	357.85	1,449.92
Leasehold improvement	-	-	0.58	-	3.47	4.05	-	0.67	-	-	0.67	3.38
Railway siding	1.86	-	-	-	-	1.86	0.30	0.05	-	-	0.35	1.51
Plant and machinery	22,458.33	918.32	1,115.10	58.97	1.66	24,434.44	7,360.29	1,226.45	1,300.00	27.61	9,859.13	14,575.31
Electrical fittings and apparatus	51.96	-	6.45	0.13	(2.76)	55.52	18.36	3.04	-	0.08	21.32	34.20
Furniture and fixtures	57.22	0.01	7.76	0.53	-	64.46	17.37	3.85	-	0.33	20.89	43.57
Vehicles	28.87	0.03	5.27	3.44	0.13	30.86	11.06	2.91	-	2.46	11.51	19.35
Office equipment	165.32	0.04	23.60	1.33	3.06	190.69	57.83	15.79	-	0.90	72.72	117.97
Total	**24,892.39**	**978.00**	**1,302.54**	**75.66**	**6.56**	**27,103.83**	**7,763.14**	**1,313.96**	**1,300.00**	**32.66**	**10,344.44**	**16,759.39**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 4 : Property, Plant and Equipment (Contd.)

Footnotes:

1 The above property, plant and equipment have been mortgaged and hypothecated to secure borrowings of the Group [Refer note 25].

2 Capital commitment:

Refer note 48 (c) for disclosure of contractual commitments for the acquisition of property, plant and equipment.

3 Adjustments during the year include capitalisation of borrowing costs of ₹ 27.61 Crore (Previous year - ₹ 7.17 Crore), which are directly attributable to purchase / construction of qualifying assets in accordance with Ind AS - 23 "Borrowing Costs" and in Previous year - ₹ 0.61 Crore pertaining to reversal of security deposit.

4 Adjustments during the year include change in nature of freehold land to Investment property of ₹ 12.90 Crore.

5 The weighted average rate for capitalisation of borrowing cost relating to general borrowing is in the range of 7.62% p.a. to 7.67% p.a. (Previous year 7.27% p.a. to 7.30% p.a.).

6 Additions to plant and machinery includes capitalisation of directly attributable costs incurred by the Group under various headings.

7 Refer note 45(1) for impairment loss in respect of DGEN power plant

8 The closing balance of accumulated depreciation and impairment consist impairment loss of ₹ 2,314.07 Crore (March 31, 2022 - ₹ 2,314.07 Crore).

9 The Group have not revalued its property, plant and equipment during the current or previous year.

10 Pro-rata cost of assets owned jointly with Torrent Pharmaceuticals Limited, a fellow subsidiary are as under:

(₹ in Crore)

Particulars	Proportion of holding	As at March 31, 2023	As at March 31, 2022
Freehold land	50%	23.58	23.58
Freehold land	70%	83.16	83.16
Building	70%	3.04	3.04

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 5 : Right-of-use Assets

As at March 31, 2023

(₹ in Crore)

Particulars	Gross carrying amount						Accumulated depreciation					Net carrying amount
	As at April 1, 2022	Additions on acquisition of subsidiaries [Refer note 44]	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at April 1, 2022	For the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at March 31, 2023
Land	210.13	0.48	17.52	0.39	(4.65)	223.09	21.46	9.04	-	(0.54)	29.96	193.13
Buildings	36.04	-	3.67	3.04	-	36.67	10.36	4.34	1.18	-	13.52	23.15
Plant and machinery	0.38	-	-	-	-	0.38	0.15	0.05	-	-	0.20	0.18
Office equipment	0.14	-	-	-	-	0.14	0.12	0.02	-	-	0.14	-
Total	**246.69**	**0.48**	**21.19**	**3.43**	**(4.65)**	**260.28**	**32.09**	**13.45**	**1.18**	**(0.54)**	**43.82**	**216.46**

As at March 31, 2022

(₹ in Crore)

Particulars	Gross carrying amount					Accumulated depreciation				Net carrying amount
	As at April 1, 2021	Additions on acquisition of subsidiaries [Refer note 44]	Additions during the year	Deductions during the year	As at March 31, 2022	As at April 1, 2021	For the year	Deductions during the year	As at March 31, 2022	As at March 31, 2022
Land	171.94	1.98	36.21	-	210.13	13.79	7.67	-	21.46	188.67
Buildings	27.70	-	10.77	2.43	36.04	7.84	4.40	1.88	10.36	25.68
Plant and machinery	0.38	-	-	-	0.38	0.10	0.05	-	0.15	0.23
Office equipment	0.14	-	-	-	0.14	0.08	0.04	-	0.12	0.02
Total	**200.16**	**1.98**	**46.98**	**2.43**	**246.69**	**21.81**	**12.16**	**1.88**	**32.09**	**214.60**

Footnotes:

1 The above right-of-use assets have been mortgaged and hypothecated to secure borrowings of the Group [Refer note 25].

2 Adjustments during the year include change in nature of land from Right-of-use assets to Investment property of ₹ 4.11 Crore (net).

3 Refer note 49 for disclosure relating to right-of-use assets.

4 The Group have not revalued its right-of-use assets during the current or previous year.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 6 : Capital Work-in-Progress

As at March 31, 2023

(₹ in Crore)

Particulars	As at April 1, 2022	Additions on acquisition of subsidiaries [Refer note 44]	Additions during the year	Capitalised during the year	Adjustment during the year	As at March 31, 2023
Capital work-in-progress	1,297.27	0.07	2,840.23	1,501.31	(11.57)	2,624.69
Total	**1,297.27**	**0.07**	**2,840.23**	**1,501.31**	**(11.57)**	**2,624.69**

As at March 31, 2022

(₹ in Crore)

Particulars	As at April 1, 2021	Additions on acquisition of subsidiaries	Additions during the year	Capitalised during the year	Adjustment during the year	As at March 31, 2022
Capital work-in-progress	837.73	-	1,639.16	1,181.30	1.68	1,297.27
Total	**837.73**	**-**	**1,639.16**	**1,181.30**	**1.68**	**1,297.27**

Footnotes:

1 The above Capital work-in-progress have been mortgaged and hypothecated to secure borrowings of the Group [Refer note 25].

2 Capital work-in-progress include borrowing costs of ₹ 83.00 Crore (March 31, 2022 - ₹ 35.81 Crore), which are directly attributable to purchase / construction of qualifying assets in accordance with Ind AS - 23 “Borrowing Costs”.

3 Adjustment during the year includes ₹ 11.57 Crore (including ₹ 1.49 Crore related to borrowing cost) (Previous year - ₹ 0.43 Crore) write off and Previous year - ₹ 2.11 Crore for reversal of inpairment provision.

4 Capital work-in-progress mainly comprises Plant and machinery, Buildings and Freehold land.

5 Refer note 60 for ageing schedule for capital work-in-progress.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 7 : Investment Property

As at March 31, 2023

(₹ in Crore)

Particulars	Gross carrying amount					Accumulated depreciation				Net carrying amount
	As at April 1, 2022	Additions during the year	Deductions during the year	Adjustments during the year	As at March 31, 2023	As at April 1, 2022	For the year	Deductions during the year	As at March 31, 2023	As at March 31, 2023
Freehold land	-	2.17	9.79	17.01	9.39	-	-	-	-	9.39
Total	**-**	**2.17**	**9.79**	**17.01**	**9.39**	**-**	**-**	**-**	**-**	**9.39**

Footnotes:

1 The above investment property have been mortgaged and hypothecated to secure borrowings of the Group [Refer note 25].

2 The fair value of the Group's investment property has been arrived based on a valuation report by external independent valuer. Valuation is based on government rates, market research, market trend and comparable values as considered appropriate.

3 Adjustments during the year is due to change in nature of leasehold land from Right-of-use assets / freehold land from Property plant and equipment of ₹ 17.01 Crore to Investment property.

4 Details of the Group's investment property and information about the fair value hierarchy are as follows:

Particulars	As at March 31, 2023
Fair value of investment property (₹ in Crore)	40.26
Fair value hierarchy	Level 2 [Refer note 57]

5 The Group has no restrictions on the realisability of its investment property and no contractual obligations to purchase, construct or develop such investment property or for repairs, maintenance and enhancements thereof.

6 The Group has not revalued its investment property during the current or previous year.

7 The title deeds of investment property are held in the name of the Group as at March 31, 2023 and March 31, 2022.

8 Amount recognised in statement of profit and loss for investment property:

(₹ in Crore)

Particulars	Year ended March 31, 2023
Rental income derived from investment property	-
Direct operating expenses arising from investment property that generated rental income	-
Direct operating expenses arising from investment property that did not generate rental income	-

Note 8 : Goodwill

(₹ in Crore)

Particulars	As at March 31, 2023	As at March 31, 2022
Balance at the beginning of the year	-	-
Addition on account of acquisition of subsidiary [Refer note 44]	171.07	-
Balance at the end of the year	**171.07**	**-**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 9 : Other Intangible Assets

As at March 31, 2023

(₹ in Crore)

Particulars	Gross carrying amount					Accumulated amortisation				Net carrying amount
	As at April 1, 2022	Additions on acquisition of subsidiaries [Refer note 44]	Additions during the year	Deductions during the year	As at March 31, 2023	As at April 1, 2022	For the year	Deductions during the year	As at March 31, 2023	As at March 31, 2023
Computer software	66.22	-	2.32	0.34	68.20	47.20	9.31	0.31	56.20	12.00
Customer contract	104.85	39.09	-	-	143.94	0.58	7.67	-	8.25	135.69
Distribution license	-	634.00	-	-	634.00	-	25.36	-	25.36	608.64
Total	**171.07**	**673.09**	**2.32**	**0.34**	**846.14**	**47.78**	**42.34**	**0.31**	**89.81**	**756.33**

As at March 31, 2022

(₹ in Crore)

Particulars	Gross carrying amount					Accumulated amortisation				Net carrying amount
	As at April 1, 2021	Additions on acquisition of subsidiaries [Refer note 44]	Additions during the year	Deductions during the year	As at March 31, 2022	As at April 1, 2021	For the year	Deductions during the year	As at March 31, 2022	As at March 31, 2022
Computer software	56.52	0.02	10.65	0.97	66.22	38.08	10.04	0.92	47.20	19.02
Customer contract	-	104.85	-	-	104.85	-	0.58	-	0.58	104.27
Total	**56.52**	**104.87**	**10.65**	**0.97**	**171.07**	**38.08**	**10.62**	**0.92**	**47.78**	**123.29**

Footnote:

1 The above computer software has been mortgaged and hypothecated to secure borrowings of the Group [Refer note 25].

2 The Group have not revalued its intangible assets during the current or previous year.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 10 : Non-Current Investments

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Investment in non-convertible debentures (unquoted) (at amortised cost)		
Wind Two Renergy Private Limited ^ Zero coupon secured, redeemable with premium, non-convertible debentures of ₹ 1,00,000 each (No. of debentures - March 31, 2023: Nil, March 31, 2022: 9,070)	-	116.89
	-	**116.89**
Investment in equity instruments (unquoted) (at fair value through profit or loss)		
AEC Cements & Constructions Limited Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 9,61,500, March 31, 2022: 9,61,500) [As at March 31, 2023 & March 31, 2022 Gross investment - ₹ 0.61 Cr, Impairment in value of investment - ₹ 0.61 Cr]	-	-
Tidong Hydro Power Limited Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 24,500, March 31, 2022: 24,500) [As at March 31, 2023 & March 31, 2022 Gross investment - ₹ 0.02 Cr, Impairment in value of investment - ₹ 0.02 Cr]	-	-
UNM Foundation (Formerly known as Tornascent Care Institute) @ Equity shares of ₹ 10 each fully paid up (No. of shares - March 31, 2023: 50,000, March 31, 2022: 50,000)	0.05	0.05
	0.05	**0.05**
Contingency reserve investments - statutory (quoted) (at amortised cost) $	15.89	15.88
	15.89	**15.88**
	15.94	**132.82**
Aggregate amount of quoted investments	15.89	15.88
Aggregate amount of unquoted investments	0.05	116.94
	15.94	**132.82**
Aggregate amount of provision for impairment in value of investments	0.63	0.63
Aggregate amount of market value of quoted investments	15.70	16.30

^ During the year 7,276 nos. of non-convertible debentures(NCDs) have been reedemed with premium.

@ The Company has, jointly with Torrent Pharmaceuticals Limited, promoted section 8 company, i.e. UNM Foundation (Formerly known as Tornascent Care Institute), under the Companies Act, 2013 for the purpose of carrying out charitable activities.

$ Investment in Government of India bonds have been made in terms of Gujarat Electricity Regulatory Commission (GERC) Multi-Year Tariff (MYT) Regulations, which can be utilised only for the purposes mentioned therein. [Refer note 24 - Contingency reserve]

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 11 : Non-Current Loans

Unsecured (considered good)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Loans to related parties (including interest accrued) [Refer note 56(d)]	-	121.87
	-	**121.87**

Note 12 : Other Non-Current Financial Assets

Unsecured (considered good)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Security deposits	58.59	20.36
Inter-corporate deposits #	-	80.00
Bank fixed deposits	24.40	1.02
Other advances / receivables [Refer footnote 1]	52.39	0.17
	135.38	**101.55**

a lien has been created in favour of lenders.

Footnote:

1 Ministry of Power vide Gazette Notification dated June 3, 2022, notified The Electricity (Late Payment Surcharge and Related Matters) Rules, 2022 (the "LPS Rules"). The LPS Rules provide a mechanism for settlement of outstanding dues as on June 3, 2022 into interest free Equated Monthly Instalments (EMI) which ranges from 12 to 48. In view of above, substantial modification and considering the principles of Ind AS 109 - Financial Instruments, the Group has derecognised the original trade receivables of ₹ 177.47 Crore as on June 3, 2022.

On derecognition of original trade receivable, the new receivable from customer under Late payment surcharge Scheme (based on modified terms) at its fair value is disclosed under the head Other non-current financial asset ₹ 52.28 Crore as at March 31, 2023 and other current financial asset ₹ 52.06 Crore as at March 31, 2023 [Refer note 21], and the loss due to substantial modification aggregating ₹ 15.10 Crore for FY 2022-23 under the head finance costs [Refer note 40].

Note 13 : Non-Current Tax Assets

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Advance income tax (net)	12.50	10.56
	12.50	**10.56**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 14 : Other Non-Current Assets

Unsecured (considered good)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Capital advances	153.66	230.78
Advances for goods and services	118.32	133.59
Balances with government authorities	68.69	62.25
Prepaid expenses	17.37	18.85
Advance against equity investment [Refer footnote 1 and note 44]	3.00	555.00
	361.04	**1,000.47**

Footnote:

1 On February 8, 2023, the Company had entered into a Binding term sheet with Powerica Limited and Vestas Wind Technology India Private Limited (the Sellers) for the acquisition of 100% share capital of Airpower Windfarms Private Limited, which holds leasehold revenue land situated in the state of Gujarat for the purpose of development of wind power project. Enterprise value estimated for this acquisition is approx. ₹ 21.74 Crore The acquisition is subject to Share Purchase Agreement and/or other allied agreements and customary conditions for transaction closure.

Accordingly, advance amount of ₹ 3.00 Crore given to the sellers as per binding term sheet is shown as "Advance against equity investment" as at March 31, 2023 in consolidated financial statement.

Note 15 : Inventories

(valued at lower of cost and net realizable value)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Stores and spares	351.49	272.98
Fuel	340.38	166.69
Raw materials	42.53	56.44
Work-in-progress	23.20	9.96
Finished goods	56.43	26.33
Packing materials	2.49	2.37
Loose tools	3.76	2.80
	820.28	**537.57**

Footnotes:

1 The cost of stores and spares inventories recognised as an expense includes ₹ 4.44 Crore (Previous year - ₹ 1.36 Crore) in respect of write-downs of inventory to net realisable value determined based on evaluation of slow and non-moving inventories.

2 The above carrying amount of inventories has been mortgaged and hypothecated to secure borrowings of the Group. [Refer note 25]

3 The above carrying amount includes goods in transit as under:

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Fuel	9.35	8.93
Raw materials	3.93	3.92
Finished goods	9.46	10.57
	22.74	**23.42**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 16 : Current Investments

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Investment in mutual funds (unquoted) (at fair value through profit or loss)	785.82	273.70
Contingency reserve investments - statutory (quoted) (at amortised cost) $	1.93	-
	787.75	**273.70**
Aggregate amount of quoted investments	1.93	-
Aggregate amount of unquoted investments	785.82	273.70
	787.75	**273.70**
Aggregate amount of impairment in value of investments	-	-
Aggregate amount of market value of quoted investments	1.98	-

$ Investment in Government of India bonds have been made in terms of Gujarat Electricity Regulatory Commission (GERC) Multi-Year Tariff (MYT) Regulations, which can be utilised only for the purposes mentioned therein. [Refer note 24 - Contingency reserve]

Note 17 : Trade Receivables

(₹ in Crore)

		As at March 31, 2023	As at March 31, 2022
Trade receivables			
Secured	- Considered good #	929.30	575.68
Unsecured	- Considered good	1,317.03	1,027.02
	- Credit impaired	204.50	217.71
		2,450.83	**1,820.41**
Less: Allowance for bad and doubtful debts		204.50	217.71
		2,246.33	**1,602.70**

Group holds security deposits in respect of electricity receivables.

Footnotes:

1 Refer note 25 for charge on current assets including trade receivables.

2 Refer note 57 for credit risk related disclosures.

3 Refer note 61 for ageing schedule of trade receivables.

Note 18 : Cash and Cash Equivalents

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Balances with banks		
Balance in current accounts	187.33	288.10
Balance in fixed deposit accounts (original maturity of less than three months)	-	0.05
	187.33	**288.15**
Cheques on hand	0.60	0.79
Cash on hand	0.30	0.47
	188.23	**289.41**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 19 : Bank Balances Other Than Cash and Cash Equivalents

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Unpaid dividend accounts	11.21	10.55
Unpaid fractional coupon accounts	*	0.35
Balance in fixed deposit accounts # (maturity of more than three months but less than twelve months)	144.08	52.03
	155.29	**62.93**

include ₹ 31.49 Crore (March 31, 2022 - ₹ 33.62 Crore) on which a lien has been created in favour of lenders.

Note 20 : Current Loans

Unsecured (considered good)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Loans to related parties [Refer note 56(d)]	-	19.90
	-	**19.90**

Note 21 : Other Current Financial Assets

Unsecured (considered good unless stated otherwise)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Security deposits	41.36	56.27
Inter-corporate deposits #	-	186.84
Interest accrued on non-current investments	0.24	0.24
Interest accrued on deposits	2.93	6.68
Unbilled revenue (including revenue gap / surplus) [Refer note 47(a)]	2,904.66	1,917.89
	2,949.19	**2,167.92**
Other advances / receivables [Refer footnote 1 of note 12]		
Considered good	162.21	130.89
Considered credit impaired	6.06	6.06
	168.27	**136.95**
Less : Allowance for doubtful advances	6.06	6.06
	162.21	**130.89**
	3,111.40	**2,298.81**

₹ 86.84 Crore as at March 31, 2022 on which a lien has been created in favour of lenders.

Note 22 : Other Current Assets

Unsecured (considered good)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Advances for goods and services	83.79	93.71
Balances with government authorities	6.03	6.93
Prepaid expenses	53.69	40.10
	143.51	**140.74**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 23 : Equity Share Capital

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Authorised		
4,37,00,00,000 (4,37,00,00,000 as at March 31, 2022) equity shares of ₹ 10 each	4,370.00	4,370.00
	4,370.00	**4,370.00**
Issued, subscribed and paid up		
48,06,16,784 (48,06,16,784 as at March 31, 2022) equity shares of ₹ 10 each	480.62	480.62
	480.62	**480.62**

1 Reconciliation of the shares outstanding at the beginning and at the end of the reporting year :

	No. of shares As at March 31, 2023	No. of shares As at March 31, 2022
At the beginning of the year	48,06,16,784	48,06,16,784
Issued during the year	-	-
Outstanding at the end of the year	**48,06,16,784**	**48,06,16,784**

2 25,74,22,311 equity shares (25,74,22,311 equity shares as at March 31, 2022) of ₹ 10 each fully paid up are held by the Parent Company - Torrent Investments Private Limited.

3 Terms / Rights attached to equity shares :

The Company has only one class of equity shares having par value of ₹ 10 per share. Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividends in Indian rupees. The dividend, if any, proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting, except in case of interim dividend.

In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

4 Details of shareholders holding more than 5% shares in the Company :

Name of the Shareholder	As at March 31, 2023		As at March 31, 2022	
	No. of shares	% holding	No. of shares	% holding
Torrent Investments Private Limited	25,74,22,311	53.56%	25,74,22,311	53.56%
Gujarat State Financial Services Limited	4,68,71,621	9.75%	4,68,71,621	9.75%
Axis Mutual Fund Trustee Limited	4,16,57,977	8.67%	4,08,34,428	8.50%
SBI Focused Equity Fund	2,52,86,083	5.26%	1,73,90,291	@

@ less than 5%

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 23 : Equity Share Capital (Contd.)

5 Details of shareholding of Promoters in the Company :

Promoter name	As at March 31, 2023			As at March 31, 2022		
	No. of shares	% of total shares	% changes during the year	No. of shares	% of total shares	% changes during the year
Torrent Investments Private Limited	25,74,22,311	53.56%	-	25,74,22,311	53.56%	-
Sudhir Mehta	6,882	0.00%	-	6,882	0.00%	-
Samir Mehta	6,125	0.00%	-	6,125	0.00%	-
Jinal Mehta	8,000	0.00%	-	8,000	0.00%	-

6 Distributions made:

Interim dividend for FY 2022-23 of ₹ 22.00 per equity share (including ₹ 13.00 per equity share as a special dividend) [Previous year - ₹ 9.00 per equity share] aggregating to ₹ 1,057.36 Crore [Previous year - ₹ 432.56 Crore] was paid in the month of March 2023.

The Board of Directors at its meeting held on May 29, 2023 has recommended a final dividend of 40% (₹ 4.00 per equity share of par value ₹ 10 each). The proposal is subject to the approval of shareholders at the ensuing Annual General Meeting and if approved, would result in a cash outflow of ₹ 192.25 Crore.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 24 : Other Equity

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Reserves and surplus		
Securities premium	0.03	0.03
Debenture redemption reserve	61.21	139.60
Contingency reserve	17.29	15.37
Special reserve	78.07	78.07
General reserve	3,670.61	3,583.89
Retained earnings	6,702.17	5,645.60
	10,529.38	**9,462.56**

Refer "Consolidated Statement of Changes in Equity" for movement in each reserve.

Footnotes:

1 Securities premium:

Securities premium reflects issuance of the shares by the Company at a premium, whether for cash or otherwise i.e. a sum equal to the aggregate amount of the premium received on shares is transferred to a "securities premium account" as per the provisions of the Companies Act, 2013. The reserve can be utilised in accordance with the provisions of the Act.

2 Debenture redemption reserve:

The Group was required to create a Debenture Redemption Reserve (DRR) out of the profits which are available for payment of dividend for the purpose of redemption of debentures. Pursuant to Companies (Share Capital and Debentures) Amendment Rules, 2019 dated August 16, 2019, the Company is not required to create DRR. Accordingly, the Company has not created DRR during the year and DRR created till previous years will be transferred to general reserve on redemption of debentures.

3 Contingency reserve:

As per the provisions of GERC MYT Regulations read with Tariff orders passed by GERC, the Company being a Distribution Licensee makes an appropriation to the contingency reserve to meet with certain exigencies. Investments in Bonds issued by Government of India have been made against such reserve.

4 Special reserve:

As per MYT Regulations (2007), the Company has created a reserve in FY 2011-12 and FY 2012-13, which represents one third amount of controllable gain shall be retained in a special reserve by the Generating Company or Licensee for the purpose of absorbing the impact of any future losses on account of controllable factors.

5 General reserve:

General reserve is used from time to time to transfer profits from retained earnings for appropriation purposes. The general reserve is created by a transfer from one component of equity to another and is not an item of other comprehensive income.

6 Retained earnings:

The retained earnings reflect the profit of the Group earned till date net of appropriations. The amount that can be distributed by the Company as dividends to its equity shareholders is determined based on the balance in this reserve, after considering the requirements of the Companies Act, 2013.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 25 : Non-Current Borrowings

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Non-current borrowings		
Secured loans - at amortised cost		
Non convertible debentures &		
8.95% Series 3A, 3B & 3C	-	80.00
7.30% Series 6	-	300.00
6.50%,6.90%,7.25% Series 7A, 7B & 7C	248.54	248.05
6.20%,6.70%,7.10%,7.45% Series 8A, 8B, 8C & 8D	450.00	-
7.45%, 8.05% Series 9A & 9B	599.36	-
8.30%,8.35%,8.55%,8.65% Series 10A, 10B, 10C & 10D	200.00	-
8.20% Series 1 (In respect of Torrent Solargen Limited)	503.26	-
	2,001.16	**628.05**
Term loans @		
From banks	5,793.74	5,659.78
	5,793.74	**5,659.78**
Supplier's credit	612.94	25.22
	8,407.84	**6,313.05**
Unsecured loans - at amortised cost		
Non convertible debentures #		
10.25% Series 4A, 4B & 4C	89.99	179.93
7.00% Series 1 (In respect of Jodhpur Wind Farms Private Limited)	199.57	298.50
7.00% Series 1 (In respect of Latur Renewable Private Limited)	199.57	298.50
	489.13	**776.93**
Term loans		
From Government of India under Accelerated Power Development and Reform Programme (APDRP)	5.35	9.17
	5.35	**9.17**
	494.48	**786.10**
	8,902.32	**7,099.15**

@ After considering unamortised expense of ₹ 18.72 Crore as at March 31, 2023 and ₹ 19.63 Crore as at March 31, 2022.

& After considering unamortised expense of ₹ 3.19 Crore as at March 31, 2023 and ₹ 1.95 Crore as at March 31, 2022.

After considering unamortised expense of ₹ 0.87 Crore as at March 31, 2023 and ₹ 3.07 Crore as at March 31, 2022.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 25 : Non-Current Borrowings (Contd.)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Current maturities		
Secured loans - at amortised cost		
Non convertible debentures^		
10.35% Series 1	-	183.37
10.35% Series 2A, 2B & 2C	-	100.00
8.95% Series 3A, 3B & 3C	80.00	85.00
7.65% Series 5	-	100.00
7.30% Series 6	300.00	-
6.20%,6.70%,7.10%,7.45% Series 8A, 8B, 8C & 8D	150.00	-
8.20% Series 1 (In respect of Torrent Solargen Limited)	21.32	-
	551.32	**468.37**
Term loans $		
From banks	746.17	719.96
	746.17	**719.96**
Unsecured loans - at amortised cost		
Non convertible debentures*		
10.25% Series 4A, 4B & 4C	89.94	89.88
7.00% Series 1 (In respect of Jodhpur Wind Farms Private Limited)	99.50	-
7.00% Series 1 (In respect of Latur Renewable Private Limited)	99.50	-
	288.94	**89.88**
Term loans		
From Government of India under Accelerated Power Development and Reform Programme (APDRP)	3.82	3.82
	3.82	**3.82**
	1,590.25	**1,282.03**
Amount disclosed under the head 'Current borrowings' [Refer note 29]	**(1,590.25)**	**(1,282.03)**
	-	**-**

$ After considering unamortised expense of ₹ 4.49 Crore as at March 31, 2023 and ₹ 7.70 Crore as at March 31, 2022.

^ After considering unamortised expense of ₹ 0.13 Crore as at March 31, 2023 and ₹ Nil as at March 31, 2022.

* After considering unamortised expense of ₹ 1.06 Crore as at March 31, 2023 and ₹ 0.12 Crore as at March 31, 2022.

Footnotes:

As at March 31, 2023

1 Nature of security

(i) The entire immovable and movable assets including current assets, both present and future, of the Company are mortgaged and hypothecated by way of first pari passu charge in favour of lenders for term loans of ₹ 6,194.75 Crore and non convertible debentures of ₹ 2,030.00 Crore along with lenders of cash credits and non-fund based credit facilities, except some assets which, in terms of respective financing documents (including Loan agreements, Debenture Trust deeds), are carved out of security provided to lenders.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 25 : Non-Current Borrowings (Contd.)

(ii) Torrent Solargen Limited:

Capex LC facility (LC issued of ₹ 693.27 Crore and LC discounted of ₹ 612.94 Crore as at March 31, 2023) is secured by way of hypothecation of all the project assets, project receivables and project accounts.

Project means ~115 MW of wind power project being implemented in Gujarat by Torrent Solargen Limited, subsidiary of the Company.

Non-convertible debentures of ₹ 525.80 Crore outstanding as at March 31, 2023, is secured by first pari passu charge on all projects' immovable and movable properties, intangible assets, current assets, receivable and bank accounts.

Project means ~126 MW of wind power project being implemented in Maharashtra by Torrent Solargen Limited, subsidiary of the Company.

(iii) Surya Vidyut Limited:

Term loans ₹ 368.37 Crore are secured by a first pari-passu charge (i) by way of mortgage / hypothecation in respect of the property, plant and equipment including its land (excluding revenue / government land), building, plant & machinery, etc. of subsidiary company, Surya Vidyut Limited (SVL), (ii) by way of hypothecation of movable assets and current assets, rights under the project documents of SVL.

2 The future annual repayment obligations on principal amount for the above long-term borrowings are as under:

(₹ in Crore)

Financial year	Term loans	Non convertible debentures	Others
2023-24	754.48	841.45	-
2024-25	507.74	547.55	612.94
2025-26	667.37	453.65	-
2026-27	795.01	259.75	-
2027-28	718.15	376.13	-
2028-29	717.22	77.50	-
2029-30	804.58	27.50	-
2030-31	702.62	30.25	-
2031-32	536.40	81.90	-
2032-33	250.05	383.55	-
2033-34	24.97	33.55	-
2034-35	24.97	35.20	-
2035-36	24.97	37.40	-
2036-37	24.97	39.05	-
2037-38	18.79	41.25	-
2038-39	-	38.50	-
2039-40	-	31.62	-

3 Undrawn term loans from banks, based on approved facilities, were ₹ 306.73 Crore as at March 31, 2023.

4 During the year, the Group has used the borrowings from banks and financial institutions for the specific purpose for which it was obtained.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 25 : Non-Current Borrowings (Contd.)

As at March 31, 2022

1 Nature of security

(i) The entire immovable and movable assets including current assets, both present and future, of the Company are mortgaged and hypothecated by way of first pari passu charge in favour of lenders for term loans of ₹ 5,806.91 Crore and non convertible debentures of ₹ 1,098.37 Crore along with lenders of cash credits and non-fund based credit facilities, except some assets which, in terms of respective financing documents (including Loan agreements, Debenture Trust deeds), are carved out of security provided to lenders.

(ii) Torrent Power Grid Limited:

Term loan ₹ 5.20 Crore is secured by way of first pari passu charge created on the entire movable properties including transmission towers, insulators and other movable assets, book debts, operating cash flows, revenues, intangibles, trust and retention account, charge over all the rights, titles in the Project Documents of subsidiary company, Torrent Power Grid Limited (TPGL). Term loan is also secured by pledge of 30% of equity shares issued by TPGL, held by the Company.

(iii) Torrent Solargen Limited:

Capex LC facility (LC issued of ₹ 693.27 Crore and LC discounted of ₹ 25.22 Crore as at March 31, 2022) is secured by way of hypothecation of all the project assets, project receivables and project accounts.

Project means ~115 MW of wind power project being implemented in Gujarat by Torrent Solargen Limited, subsidiary of the Company.

(iv) Surya Vidyut Limited:

Term loans ₹ 415.03 Crore are secured by an exclusive charge (i) by way of mortgage / hypothecation in respect of the fixed assets including its land, building, plant & machinery, etc. of subsidiary company, Surya Vidyut Limited (SVL), (ii) by way of hypothecation of movable assets and current assets, rights under the project documents of SVL and (iii) pledge of 5.60% of equity shares issued by SVL, held by the Company (to be pledged).

(v) Torrent Saurya Urja 6 Private Limited (Formerly known as LREHL Renewables India SPV1 Private Limited):

Term loan ₹ 179.93 Crore is secured by way of charge on (i) entire immovable properties, movable properties including current assets, intangible assets, accounts and rights under the project documents of the subsidiary company Torrent Saurya Urja 6 Private Limited (TSU 6) and (ii) Pledge of 100% of equity shares and CCD issued by TSU 6, held by the Company.

2 The future annual repayment obligations on principal amount for the above long-term borrowings are as under:

(₹ in Crore)

Financial year	Term loans	Non convertible debentures	Others
2022-23	731.48	558.37	-
2023-24	420.52	670.00	-
2024-25	524.12	375.00	25.22
2025-26	691.13	280.00	-
2026-27	802.93	85.00	-
2027-28	675.97	-	-
2028-29	666.42	-	-
2029-30	715.98	-	-
2030-31	562.24	-	-
2031-32	374.80	-	-
2032-33	254.47	-	-

3 Undrawn term loans from banks, based on approved facilities, were ₹ 6.73 Crore as at March 31, 2022.

4 During the previous year, the Group has used the borrowings from banks and financial institutions for the specific purpose for which it was obtained.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 26 : Non-Current Trade Payables

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Trade payables for goods and services		
Total outstanding dues of micro and small enterprises	-	-
Total outstanding dues other than micro and small enterprises	210.61	150.46
	210.61	**150.46**

Footnote:

1 Refer note 62 for ageing schedule of trade payables.

Note 27 : Other Non-Current Financial Liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Sundry payables	-	0.33
	-	**0.33**

Note 28 : Other Non-Current Liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Deferred revenue		
Contribution received from consumers [Refer note 47(b)]	1,303.00	1,192.34
Capital grant from government [Refer note 59(b)]	11.66	14.03
Sundry payables	57.80	55.30
	1,372.46	**1,261.67**

Note 29 : Current Borrowings

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Secured loans		
Working Capital loan from banks	-	350.00
Overdraft from banks	-	2.74
	-	**352.74**
Unsecured loans		
Commercial paper	-	350.00
Other loans [Refer footnote 5]	3.50	14.50
	3.50	**364.50**
Current maturities of long-term debt [Refer note 25]	1,590.25	1,282.03
	1,593.75	**1,999.27**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 29 : Current Borrowings (Contd.)

Footnotes:

1 The entire immovable and movable assets including current assets, both present and future, of the Company are mortgaged and hypothecated by way of first pari passu charge in favour of lenders for working capital facilities and by way of second pari passu charge in favour of lenders for hedge facility.

2 Working capital facility of ₹ 50.00 Crore is secured by a first pari-passu charge (i) by way of mortgage / hypothecation in respect of the property, plant and equipment including its land (excluding revenue / government land), building, plant & machinery, etc. of subsidiary company, Surya Vidyut Limited (SVL) , (ii) by way of hypothecation of movable assets and current assets, rights under the project documents of SVL.

3 Undrawn cash credit from banks, based on approved facilities, were ₹ 1,200.00 Crore (March 31, 2022 - 460.00 Crore).

4 During the current and previous year, the Group has used the borrowings from banks and financial institutions for the specific purpose for which it was obtained.

5 Loan is interest free and repayable on demand.

Net debt reconciliation :

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Cash and cash equivalents	188.23	289.41
Current investments	787.75	273.70
Current borrowings (excluding current maturities of long-term debt)	(3.50)	(717.24)
Non-current borrowings (including current maturities of long-term debt and interest accrued but not due)	(10,642.80)	(8,531.52)
Lease liabilities	(45.34)	(44.21)
	(9,715.66)	**(8,729.86)**

	Other assets		Liabilities from financing activities			Total
	Cash and cash equivalents	Current investments	Current borrowings	Non-current borrowings	Lease liabilities	
Net balance as at April 1, 2021	**107.28**	**341.58**	**-**	**(7,887.70)**	**(36.01)**	**(7,474.85)**
Cash flows (net)	182.13	(102.03)	(693.22)	(0.32)	44.35	(569.09)
New lease	-	-	-	-	(46.98)	(46.98)
Interest expense	-	-	(2.26)	(578.21)	(3.59)	(584.06)
Interest paid	-	-	2.26	539.54	-	541.80
Gain on sale of current investments	-	27.84	-	-	-	27.84
Fair value adjustment	-	(2.20)	-	-	-	(2.20)
On account of acquisition of subsidiaries	-	8.51	(24.02)	(604.83)	(1.98)	(622.32)
Net balance as at March 31, 2022	**289.41**	**273.70**	**(717.24)**	**(8,531.52)**	**(44.21)**	**(8,729.86)**
Cash flows (net)	(101.18)	449.25	713.74	(2,107.38)	22.34	(1,023.23)
New lease	-	-	-	-	(21.19)	(21.19)
Transfer from non-current investments	-	1.93	-	-	-	1.93
Deletion relating to lease liability	-	-	-	-	2.25	2.25
Interest expense	-	-	(13.97)	(769.73)	(3.95)	(787.65)
Interest paid	-	-	13.97	765.83	-	779.80
Gain on sale of current investments	-	55.64	-	-	-	55.64
Fair value adjustment	-	7.23	-	-	-	7.23
On account of acquisition of subsidiaries	-	-	-	-	(0.58)	(0.58)
Net balance as at March 31, 2023	**188.23**	**787.75**	**(3.50)**	**(10,642.80)**	**(45.34)**	**(9,715.66)**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 30 : Current Trade Payables

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Trade payables for goods and services		
Total outstanding dues of micro and small enterprises #	68.99	54.02
Total outstanding dues other than micro and small enterprises	1,453.68	1,057.11
	1,522.67	**1,111.13**

\# Amount due to micro and small enterprises under Micro, Small and Medium Enterprises Development Act, 2006 (MSMED Act,2006) have been determined based on the information available with the Group.

Footnote:

1 Refer note 62 for ageing schedule of trade payables.

Note 31 : Other Current Financial Liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Interest accrued but not due on loans and security deposits	121.77	117.87
Investor education and protection fund #		
Unpaid / Unclaimed dividend	11.21	10.55
Unclaimed fractional coupons	*	0.35
Book overdraft	0.07	1.30
Security deposits from consumers @	1,702.55	1,328.02
Other deposits	6.86	5.13
Payables for purchase of property, plant and equipment ^	451.62	395.89
Sundry payables (including for employees related payables)	393.64	162.40
	2,687.72	**2,021.51**

\# There is no amount due and outstanding to be credited to investor education and protection fund as at March 31, 2023 and as at March 31, 2022.

@ Security deposits from consumers in the Group's business, which is in the nature of utility, are generally not repayable within a period of twelve months based on historical experience.

^ including dues to micro and small enterprises for ₹ 42.04 Crore (March 31, 2022 - ₹ 12.53 Crore)

Note 32 : Other Current Liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Credit balances of consumers [Refer note 47(d)]	106.28	105.17
Service line deposits from consumers [Refer note 47(c)]	236.41	207.13
Deferred revenue		
Contribution received from consumers [Refer note 47(b)]	100.80	92.15
Capital grant from government [Refer note 59(b)]	2.37	2.37
Statutory dues	223.93	205.22
Sundry payables ^	7.45	1.52
	677.24	**613.56**

^ including dues to micro and small enterprises for ₹ 0.07 Crore (March 31, 2022 - ₹ 0.02 Crore)

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 33 : Current Provisions

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Provision for employee benefits		
Provision for gratuity [Refer note 50.2(d)]	2.54	14.02
Provision for compensated absences $	124.68	124.52
Provision for pension [Refer note 50.3(d)]	1.95	-
	129.17	**138.54**
Other provisions		
Provision for indirect taxes	0.25	0.25
Provision for onerous contracts [Refer note 58]	134.38	135.76
Others	0.26	-
	134.89	**136.01**
	264.06	**274.55**

$ Provision for compensated absences is disclosed under current provision as the Group does not have an unconditional right to defer settlement for at least twelve months however these are generally not repayable within a period of twelve months based on historical experience.

Movement in Provision

(₹ in Crore)

	Provision for indirect taxes	Provision for onerous contracts	Others
Balance as at April 1, 2021	**0.25**	**190.80**	**-**
Additional provision recognised	-	0.53	-
Reversal of provision	-	(55.07)	-
Amount utilised during the year	-	(0.50)	-
Balance as at March 31, 2022	**0.25**	**135.76**	**-**
Additional provision recognised	-	9.44	-
Addition on account of acquisition of subsidiary	-	-	0.26
Reversal of provision	-	(10.82)	-
Balance as at March 31, 2023	**0.25**	**134.38**	**0.26**

Note 34 : Current Tax Liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Provision for taxation (net of tax paid)	178.57	122.54
	178.57	**122.54**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 35 : Revenue from Operations

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Revenue from contracts with customers [Refer footnotes below]		
Revenue from power supply	22,006.77	13,238.39
Revenue from sale of cable products		
Manufactured goods	358.67	289.72
Revenue from trading of RLNG	3,068.65	547.94
	25,434.09	**14,076.05**
Less: Discount for prompt payment of bills	31.25	20.79
	25,402.84	**14,055.26**
Other operating income		
Provisions of earlier years written back	0.80	1.04
Amortisation of deferred revenue		
Contribution received from consumers [Refer note 47(b)(2)] #	97.73	87.82
Capital grant from government [Refer note 59(b)]	2.37	2.45
Income from Certified Emission Reduction (CERs)	12.43	3.30
Income from Generation Based Incentive	33.91	24.98
Hire of meters	2.46	-
Insurance claim receipt	2.23	0.14
Incentive income under solar rooftop programme	55.14	9.81
Miscellaneous income	84.21	72.81
	291.28	**202.35**
	25,694.12	**14,257.61**

Amortisation of deferred revenue are recognised within the scope of Ind AS 115.

Footnotes:

1 Disclosure given above presents disaggregated revenue from contracts with customers. The Group believes that this disaggregation best depicts how the nature, amount, timing and uncertainty of revenue and cash flows are affected by market and other economic factors.

2 Timing of revenue recognition (from contract with customers) : Revenue from power supply is recognised over a period of time and others at a point in time.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 36 : Other Income

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Interest income from financial assets measured at amortised cost		
Deposits	19.53	16.66
Consumers	43.12	36.49
Contingency reserve investments	1.28	1.15
Loans to related parties [Refer note 56(b)]	3.45	11.09
Others	1.46	1.23
	68.84	**66.62**
Gain on disposal of property, plant and equipment / investment property	44.84	30.05
Gain on sale of current investments in mutual funds	55.64	27.84
Net gain arising on financial assets / liabilities measured at amortised cost	23.67	28.93
Net gain / (loss) arising on current investments in mutual funds measured at fair value through profit or loss	7.23	(2.20)
Net gain on foreign currency transactions and translations	0.63	5.46
Discount on prompt payment of power purchase	115.60	19.00
Miscellaneous income [Refer footnote 1]	65.40	59.34
	381.85	**235.04**

Footnote:

1 During previous year, pursuant to settlement agreement with EPC contractor, the Subsidiary Company has received compensation claim of ₹ 33.50 Crore from EPC contractor in respect of revenue loss due to delays and disputes/ claims/disagreements relating to Energy Yielding Report.

Note 37 : Cost of Materials Consumed

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Cost of materials consumed	504.17	394.04
Less: Allocated to capital works	169.36	131.40
	334.81	**262.64**

Note 38 : Changes in Inventories of Finished Goods and Work-In-Progress

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Inventory of finished goods		
Opening stock	26.33	18.09
Less: Closing stock	56.43	26.33
	(30.10)	**(8.24)**
Inventory of work-in-progress		
Opening stock	9.96	6.36
Less: Closing stock	23.20	9.96
	(13.24)	**(3.60)**
Less: Allocated to capital works	(14.15)	(0.73)
	(29.19)	**(11.11)**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 39 : Employee Benefits Expense

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Salaries, wages and bonus	708.70	640.03
Contribution to provident and other funds [Refer note 50.1]	48.88	45.02
Employees welfare expenses	28.94	30.56
Compensated absences	18.32	14.29
Gratuity [Refer note 50.2(e)(3)]	20.17	19.01
	825.01	**748.91**
Less: Allocated to capital works, repairs and other relevant revenue accounts #	246.76	215.37
	578.25	**533.54**

includes allocated to capital works of ₹ 148.49 Crore (previous year ₹ 117.34 Crore)

Note 40 : Finance Costs

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Interest expense for financial liabilities measured at amortised cost		
Term loans	473.90	414.15
Non convertible debentures	267.95	164.06
Working capital loans	13.97	2.26
Security deposits from consumers	64.56	51.81
Lease liabilities	3.95	3.59
Others (including for supplier's credit)	29.38	3.56
Other borrowing costs	15.00	14.29
Amortisation of borrowing costs	10.68	5.10
Unwinding of discount [Refer footnote 1 of note 12]	15.10	-
	894.49	**658.82**
Less: Allocated to capital works	76.29	30.61
	818.20	**628.21**

Note 41 : Depreciation and Amortisation Expense

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Depreciation expense on property, plant and equipment	1,228.60	1,313.96
Depreciation expense on right-of-use assets	13.45	12.16
Amortisation expense on intangible assets	42.34	10.62
	1,284.39	**1,336.74**
Less: Transfer from others	0.20	0.10
Less: Allocated to capital works	3.23	2.78
	1,280.96	**1,333.86**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 42 : Other Expenses

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Consumption of stores and spares	195.80	236.76
Rent and hire charges	23.08	17.55
Repairs to		
Buildings	12.44	13.29
Plant and machinery	499.74	421.89
Others	33.01	21.96
	545.19	**457.14**
Insurance	50.53	46.46
Rates and taxes	14.71	14.06
Vehicle running expenses	45.05	40.84
Electricity expenses	36.14	30.06
Security expenses	63.69	49.87
Water charges	24.24	22.59
Power transmission and scheduling charges	6.21	13.08
Corporate social responsibility expenses [Refer note 50]	34.43	29.33
Loss on sale / discarding of property, plant and equipment and capital work-in-progress	29.91	23.66
Commission to non-executive directors [Refer note 56(b)]	2.50	2.97
Directors sitting fees	0.75	0.91
Auditors remuneration [Refer note 51]	2.74	2.20
Legal, professional and consultancy fees	79.68	48.83
Donations [Refer note 52]	43.03	58.30
Net loss on foreign currency transactions	11.40	0.12
Bad debts written off (net of recovery)	4.02	46.83
Reversal of provision for onerous contracts [Refer note 58]	(10.82)	(55.07)
Provision for onerous contracts [Refer note 58]	9.44	0.53
Allowance for doubtful debts (net)	(13.21)	(32.71)
Miscellaneous expenses	143.44	104.88
	1,341.95	**1,159.19**
Less: Allocated to capital works, repairs and other relevant revenue accounts ^	118.39	103.43
	1,223.56	**1,055.76**

^ includes allocated to capital works of ₹ 15.33 crore (previous year ₹ 9.75 crore)

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 43 : Composition of the Group

(a) Subsidiaries

(1) Details of the Company's subsidiaries are as follows:

Name of subsidiary	Principal activity	Place of incorporation and operation	Proportion of ownership interest and voting power held by the Company	
			As at March 31, 2023	As at March 31, 2022
Torrent Solargen Limited	Power Generation	India	100%	100%
Torrent Pipavav Generation Limited	Power Generation	India	95%	95%
Torrent Power Grid Limited	Transmission of Power	India	74%	74%
Latur Renewable Private Limited	Power Generation	India	100%	100%
Jodhpur Wind Farms Private Limited	Power Generation	India	100%	100%
TCL Cables Private Limited	Manufacturing of Cables	India	100%	100%
Torrent Solar Power Private Limited	Power Generation	India	100%	100%
Torrent Saurya Urja 2 Private Limited	Power Generation	India	100%	100%
Torrent Saurya Urja 3 Private Limited	Power Generation	India	100%	100%
Torrent Saurya Urja 4 Private Limited (w.e.f. July 20, 2021)	Power Generation	India	100%	100%
Torrent Saurya Urja 5 Private Limited (w.e.f. July 16, 2021)	Power Generation	India	100%	100%
Visual Percept Solar Projects Private Limited (w.e.f. February 15, 2022)	Power Generation	India	100%	100%
Surya Vidyut Limited (w.e.f. March 11, 2022)	Power Generation	India	100%	100%
Torrent Saurya Urja 6 Private Limited (w.e.f. March 25, 2022) (Formerly known as LREHL Renewables India SPV 1 Private Limited)	Power Generation	India	100%	100%
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited (w.e.f. April 1, 2022)	Power Distribution	India	51%	-
Wind Two Renergy Private Limited (w.e.f. July 30, 2022)	Power Generation	India	100%	-
Sun Shakti Solar Power Projects Private Limited (w.e.f. June 13, 2022)	Power Generation	India	100%	-

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 43 : Composition of the Group (Contd.)

(2) Disclosure of additional information pertaining to the Parent Company and its Subsidiaries as per Schedule III of Companies Act, 2013 as at and for the year ended March 31, 2023:

Name of the entity in the Group	Consolidated share in net assets i.e total assets minus total liabilities		Consolidated share in profit or loss		Consolidated share in other comprehensive income		Consolidated share in total comprehensive income	
	As % of consolidated net assets	Amount (₹ in Crore)	As % of consolidated profit	Amount (₹ in Crore)	As % of consolidated other comprehensive income	Amount (₹ in Crore)	As % of consolidated total comprehensive income	Amount (₹ in Crore)
Torrent Power Limited - Parent Company	95.93%	11,019.67	97.18%	2,103.72	120.74%	7.29	97.25%	2,111.01
Torrent Solargen Limited	0.11%	13.16	(0.22%)	(4.83)	-	-	(0.22%)	(4.83)
Torrent Pipavav Generation Limited	0.25%	29.14	(0.04%)	(0.81)	-	-	(0.04%)	(0.81)
Torrent Power Grid Limited	0.88%	100.80	0.73%	15.72	1.02%	0.06	0.73%	15.78
Latur Renewable Private Limited	1.15%	132.40	0.49%	10.62	-	-	0.49%	10.62
Jodhpur Wind Farms Private Limited	1.12%	128.23	0.34%	7.31	-	-	0.34%	7.31
TCL Cables Private Limited	0.02%	1.98	(0.22%)	(4.77)	3.23%	0.19	(0.21%)	(4.58)
Torrent Solar Power Private Limited	(0.13%)	(15.16)	(0.67%)	(14.53)	-	-	(0.67%)	(14.53)
Torrent Saurya Urja 2 Private Limited	(0.05%)	(5.38)	(0.23%)	(4.95)	-	-	(0.23%)	(4.95)
Torrent Saurya Urja 3 Private Limited	0.00%	-	0.00%	(0.02)	-	-	0.00%	(0.02)
Torrent Saurya Urja 4 Private Limited	0.00%	(0.08)	(0.01%)	(0.12)	-	-	(0.01%)	(0.12)
Torrent Saurya Urja 5 Private Limited	0.00%	0.02	0.00%	(0.01)	-	-	0.00%	(0.01)
Visual Percept Solar Projects Private Limited	1.53%	175.55	1.26%	27.36	(0.03%)	(0.00)	1.26%	27.36
Surya Vidyut Limited	2.76%	316.87	(0.51%)	(10.94)	(0.53%)	(0.03)	(0.51%)	(10.97)
Torrent Saurya Urja 6 Private Limited (formerly known as LREHL Renewables India SPV 1 Private Limited)	0.69%	78.98	0.11%	2.43	-	-	0.11%	2.43
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	1.98%	227.63	2.45%	53.04	(12.64%)	(0.76)	2.41%	52.28
Sunshakti Solar Power Projects Private Limited	1.12%	128.21	0.92%	19.88	-	-	0.92%	19.88
Wind Two Renergy Private Limited	0.12%	13.55	(0.72%)	(15.54)	-	-	(0.72%)	(15.54)
Non-controlling interests	4.15%	476.64	2.18%	47.24	(11.79%)	(0.71)	2.14%	46.53
Consolidation adjustments	(11.63%)	(1,335.56)	(3.04%)	(66.13)	-	-	(3.04%)	(66.13)
Total	**100.00%**	**11,486.65**	**100.00%**	**2,164.67**	**100.00%**	**6.04**	**100.00%**	**2,170.71**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 43 : Composition of the Group (Contd.)

(b) Associates

Details of the Company's associates are as follows:

Name of Associate	Principal activity	Place of incorporation and operation	Proportion of ownership interest and voting power held by the Company		Quoted fair value	Carrying amount as at March 31, 2023
			As at March 31, 2023	As at March 31, 2022		
Wind Two Renergy Private Limited (Upto July 29, 2022)	Power Generation	India	NA	0.00% #	Unlisted	NA

\# As at March 31, 2022 the Company had made investments in the one entity in the form of secured redeemable (with premium) non-convertible debentures and does not hold any equity investments. To protect the investment aggregating to ₹ 90.70 Crore as at March 31, 2022 made by the Company, the Company has acquired certain rights which include the right to nominate directors on the board. Considering the above facts and based on the requirements of Ind AS, the investments in aforesaid entities have been classified as Investments in associates. As the Company does not have any equity interest, the Company does not have any share in the profit/ loss or comprehensive income of the entities and accordingly, there is no impact on the consolidated statement of profit and loss and the aforesaid investments in redeemable debentures of ₹ 90.70 Crore as at March 31, 2022 have been carried at amortized cost.

(c) Summarised Financial Information of Material Non Controlling Interests

Financial Information of Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited that have material non-controlling interest is provided below:

Proportion of equity interest held by non-controlling interests:

Name of subsidiary	Place of incorporation and operation	Proportion of ownership interest by non controlling interest
		As at March 31, 2023
Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	India	49%

(i) Summarised Balance Sheet:

(₹ in Crore)

	As at March 31, 2023
Non-current Assets	387.11
Current Assets	929.77
Non-current Liabilities	(18.37)
Current Liabilities	(852.18)
	446.33
Attributable to:	
Owners of the company	227.63
Non-controlling interest	218.70

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 43 : Composition of the Group (Contd.)

(ii) Summarised Statement of Profit and Loss:

(₹ in Crore)

	Year ended March 31, 2023
Revenue from operations	5,985.40
Other income	74.58
Electrical energy purchased	(5,779.56)
Employee benefits expense	(42.78)
Finance costs	(17.67)
Depreciation and amortisation expense	(14.48)
Other expenses	(64.27)
Profit before tax	**141.22**
Tax expense	(37.21)
Profit for the Period	**104.01**
Other Comprehensive Income for the year	(1.49)
Total Comprehensive Income for the year	**102.52**
Attributable to:	
Owners of the company	52.28
Non-controlling interest	50.24

(iii) Summarised Cash Flow information:

(₹ in Crore)

	Year ended March 31, 2023
Operating Activities	(32.70)
Investing Activities	(68.96)
Financing Activities	(17.93)
Net (Decrease) / Increase in Cash and Cash Equivalents	**(119.59)**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 44 : Business Acquisition / Asset Acquisitions

A Acquisitions during the year (FY 2022-23)

(a) Details of business combination

(i) Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited' (the 'DNHDDPDCL')

On March 15, 2022, the Company had entered into a Share Purchase Agreement (SPA) and Shareholders Agreement (SHA) with 'The Hon'ble Administrator of the Union Territory of Dadra and Nagar Haveli and Daman and Diu' (the 'Holding Entity') and 'Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited' (the 'DNHDDPDCL') for purchase of 51% shares of the DNHDDPDCL from the Holding Entity for a consideration of ₹ 555.00 Crore plus consideration adjustment of ₹ 31.06 Crore as per terms of SPA, on account of notified balance sheet of the DNHDDPDCL as at April 1, 2022 i.e. total consideration of ₹ 586.06 crore.

Basis the Share Purchase Agreement read with The Dadra and Nagar Haveli and Daman and Diu Electricity (Reorganisation and Reforms) Transfer Scheme, 2022 (the "transfer scheme"), the effective date of transfer has been notified by the UT Administrator, Union Territory of Dadra and Nagar Haveli and Daman and Diu as April 1, 2022 ('Acquisition date') for the purpose of implementing the transfer scheme.

DNHDDPDCL shall be the licensee to carry out the function of distribution and retail supply of electricity in the Dadra and Nagar Haveli District of the Union Territory of Dadra and Nagar Haveli and Daman and Diu for a period of 25 years effective from the acquisition date."

The Group has accounted the said acquisition in accordance with Ind AS 103 'Business Combination'. The details are as follows:

Consideration Transferred and computation of Goodwill

(₹ in Crore)

Particulars	
Total consideration*	586.06
Consideration Transferred	**586.06**
Less: Fair Value of identifiable net assets acquired	(813.63)
Add: Non-Controlling Interest (49%)	398.64
Goodwill on acquisition	**171.07**

* Out of the above ₹ 31.06 crore, included in Note 31 Sundry Payables under "Other current financial liabilities" has been paid subsequent to year end on April 29, 2023.Further there are no contingent considerations.

Goodwill comprises the value of expected higher profitability on account of the acquisition. Non-controlling interest has been initially measured at proportionate share of DNHDDPDCL's Fair Value of identifiable net assets acquired. Further pursuant to the transfer scheme there are no contingent liability transferred as on the acquisition date. Acquisition related costs of ₹ 4.30 Crores have been excluded from the consideration transferred and have been recognised as an expense in Consolidated Statement of Profit and Loss in the Current year and Previous year under the head "Other expenses".

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 44 : Business Acquisition / Asset Acquisitions (Contd.)

Details of assets acquired and liabilities recognised at the date of acquisition

(₹ in Crore)

Particulars	
Non-current assets	
Property, plant and equipment	397.84
Intangible assets- Distribution License	634.00
Current assets	
Inventories	17.13
Financial assets	
Trade receivables	409.42
Cash and cash equivalents	140.64
Other financial assets	160.75
Total Assets Acquired	**1,759.78**
Liabilities	
Non-current liabilities	
Financial liabilities	
Other financial liabilities	181.72
Deferred tax liabilities (net)	263.96
Current liabilities	
Financial liabilities	
Trade payables	336.80
Other financial liabilities	163.67
Total Liabilities Assumed	946.15
Net Assets Acquired at fair value	**813.63**

Revenue and profit of the DNHDDPDCL since the acquisition date included in the consolidated statement of profit and loss of the Group:

(₹ in Crore)

Particulars	
Revenue from Operations	5,985.40
Profit for the Period	104.01

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 44 : Business Acquisition / Asset Acquisitions (Contd.)

(b) Details of asset acquisitions

(i) Sunshakti Solar Power Projects Private Limited

On April 23, 2022, the Company had entered into a Securities Purchase Agreement (SPA) with SkyPower Southeast Asia Ill Investments Limited, SkyPower Southeast Asia Holdings 2 Limited (the Sellers) for the acquisition of 100% of the share capital of Sunshakti Solar Power Projects Private Limited (SSPPPL), which operates 50 MW solar power plant, situated in the state of Telangana. On completion of the conditions precedent to SPA, SSPPPL had become wholly owned subsidiary of the Company w.e.f. June 13, 2022.

(ii) Wind Two Renergy Private Limited

On July 30, 2022, the Company had acquired 100% of paid-up capital of Wind Two Renergy Private Limited (WTRPL) from Inox Green Energy Services Limited (formerly known as Inox Wind Infrastructure Services Limited). WTRPL operates 50 MW Wind power plant, situated in the state of Gujarat. On acquisition of shares, WTRPL had become wholly owned subsidiary of the Company w.e.f. July 30, 2022 which was Associate of the Company till that date.

Based on guidance on definition of business under Ind AS, Management has classified above acquisitions as asset acquisitions. The management has assessed that above acquisitions does not meet the definition of 'business' in accordance with the principles laid down under Ind AS 103 - Business Combinations and hence have been considered to be 'asset acquisition', considering the factors like the purchase consideration pertains to the fair value of the Solar / Wind assets, the only key activity for this acquisition is the maintenance of the Solar / Wind assets and there are no other substantive processes required for the generation of output.

Consideration Transferred

(₹ in Crore)

Particulars	Sunshakti Solar Power Projects Private Limited	Wind Two Renergy Private Limited
Consideration paid in cash for purchase of Equity shares	105.93	32.51
Consideration paid in cash for purchase of Compulsory Convertible Debentures	36.69	-
	142.62	**32.51**

Net amount of Assets and Liabilities

(₹ in Crore)

Particulars	Sunshakti Solar Power Projects Private Limited	Wind Two Renergy Private Limited
Assets		
Property, plant and equipment (including CWIP) and Right-of-use assets	279.60	271.95
Intangible Asset - Customer contract	18.87	20.22
Other non-current assets	-	2.31
Other current assets	148.77	2.34
Total Assets Acquired	**447.24**	**296.82**
Liabilities		
Non current Borrowings	273.52	-
Other non-current liabilities	22.34	-
Current Borrowings	-	251.76
Other current liabilities	8.76	12.54
Total Liabilities Assumed	**304.62**	**264.31**
Net Assets Acquired	**142.62**	**32.51**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 44 : Business Acquisition / Asset Acquisitions (Contd.)

B Acquisitions during the previous year (FY 2021-22)

(a) Details of asset acquisitions

(i) Visual Percept Solar Projects Private Limited

On February 10, 2022, the Company had signed a Share Purchase Agreement (SPA) with Blue Daimond Properties Private Limited and Balrampur Chini Mills Limited, (the Sellers) for acquisition of 100% of Shares of Visual Percept Solar Projects Private Limited (VPSPPL) having 25 MW operating solar assets. VPSPPL is engaged in the business of Generation of Electricity using Renewable Energy and having assets located in Gujarat having long term Power Purchase Agreements (PPAs) with Gujarat Urja Vikas Nigam Limited. On completion of the conditions precedent to SPA, VPSPPL had become wholly owned subsidiary of the Company w.e.f. February 15, 2022.

(ii) Surya Vidyut Limited

On September 20, 2021, the Company had signed a Share Purchase Agreement (SPA) with CESC Limited, Haldia Energy Limited and other Nominal Shareholders, (the Sellers) for acquisition of 100% of Shares of Surya Vidyut Limited (SVL) having 156 MW operating wind assets. SVL is engaged in the business of Generation of Electricity using Renewable Energy and having assets located in Gujarat, Rajasthan and Madhya Pradesh having long term Power Purchase Agreements (PPAs) with Gujarat Urja Vikas Nigam Limited, Ajmer Vidyut Vitran Nigam Limited, Jaipur Vidyut Vitran Nigam Limited and Madhya Pradesh Power Management Company Limited. On completion of the conditions precedent to SPA, SVL had become wholly owned subsidiary of the Company w.e.f. March 11, 2022.

(iii) Torrent Saurya Urja 6 Private Limited (formerly known as LREHL Renewables India SPV 1 Private Limited)

On July 30, 2021, the Company had signed a Securities Purchase Agreement (SPA) with Lightsource India Limited and Lightsource Renewable Energy (India) Limited, (the Seller) for acquisition of 100% of Shares of Torrent Saurya Urja 6 Private Limited (formerly known as LREHL Renewables India SPV 1 Private Limited) (LREHL) having 50 MW operating solar assets. LREHL is engaged in the business of Generation of Electricity using Renewable Energy and having assets located in Maharashtra having long term Power Purchase Agreements (PPAs) with Solar Energy Corporation of India Limited. On completion of the conditions precedent to SPA, LREHL had become wholly owned subsidiary of the Company w.e.f. March 25, 2022.

Based on guidance on definition of business under Ind AS, Management has classified above acquisitions as asset acquisitions. The management has assessed that above acquisitions does not meet the definition of 'business' in accordance with the principles laid down under Ind AS 103 - Business Combinations and hence have been considered to be 'asset acquisition', considering the factors like the purchase consideration pertains to the fair value of the Solar / Wind assets, the only key activity for this acquisition is the maintenance of the Solar / Wind assets and there are no other substantive processes required for the generation of output.

Consideration Transferred

(₹ in Crore)

Particulars	Visual Percept Solar Projects Private Limited	Surya Vidyut Limited	Torrent Saurya Urja 6 Private Limited
Consideration paid in cash for purchase of Equity shares	162.62	304.73	46.95
Consideration paid in cash for purchase of Compulsory Convertible Debentures	-	-	51.84
	162.62	**304.73**	**98.79**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 44 : Business Acquisition / Asset Acquisitions (Contd.)

Net amount of Assets and Liabilities

(₹ in Crore)

Particulars	Visual Percept Solar Projects Private Limited	Surya Vidyut Limited	Torrent Saurya Urja 6 Private Limited
Assets			
Property, plant and equipment and Right-of-use assets	84.06	683.00	212.92
Intangible Asset including Customer contract	68.82	-	36.05
Other non-current assets	0.03	0.48	0.42
Other current assets	16.97	71.31	67.17
Total Assets Acquired	**169.88**	**754.79**	**316.56**
Liabilities			
Non current Borrowings	-	367.76	-
Other non-current liabilities	7.00	0.03	36.87
Current Borrowings	-	80.19	176.52
Other current liabilities	0.26	2.08	4.38
Total Liabilities Assumed	**7.26**	**450.06**	**217.77**
Net Assets Acquired	**162.62**	**304.73**	**98.79**

Note 45 : Impairment Assessment

(1) DGEN Power Plant

Net carrying value of Property, Plant & Equipment ("PPE") and Right-of-use assets ("ROU") as at March 31, 2023 includes ₹ 1,315.05 Crore pertaining to 1,200 MW DGEN Mega Power Project located at Dahej, Gujarat ("DGEN"). DGEN started commercial operations with effect from November 2014 and thereafter has operated only intermittently / partially due to various factors such as unavailability of domestic gas, high prices of imported gas and non-availability of power selling arrangement.

In view of the above and given the current economic environment, during the current year, the Company has carried out an impairment assessment of DGEN as at March 31, 2023 by considering the recoverable amount based on value-in-use of DGEN in accordance with Indian Accounting Standard 36 'Impairment of Assets'. Value-in-use is determined considering a discount rate of 15.00% (March 31, 2022 – 14.50%) and cash flow projections over a period of 17 years (March 31, 2022 - 18 years), being the balance useful life of DGEN in terms of Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2019 on the basis that the Company expects to supply power in the future, inter alia, under long term power selling agreements. Based on the assessment, recoverable value of PPE by using value-in-use is ₹ 1,368.00 Crore which is higher than the carrying amount of PPE of ₹ 1,315.05 Crore and accordingly no additional impairment loss is required as at March 31, 2023. The management has conducted sensitivity analysis on impairment test of the value in use of DGEN. The management believes that reasonable possible change in key assumptions would not materially impact the impairment assessment as at March 31,2023.

During the earlier years, the Company had provided for impairment loss of ₹ 2,300.00 Crore (including ₹ 1,300.00 Crore during previous year) which has been disclosed as an Exceptional item in the Statement of Profit and Loss.

Assessment of 'value-in-use' involves several key assumptions including expected demand, future price of fuel, expected tariff rates for electricity, discount rate, exchange rate and electricity market scenario, based on past trends and the current and likely future state of the industry. Management reviews such assumptions periodically to factor updated information based on events or changes in circumstances in order to make fresh assessment of impairment, if any.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 45 : Impairment Assessment (Contd.)

(2) Investment in Torrent Pipavav Generation Limited

Torrent Pipavav Generation Limited ("TPGL"), a subsidiary of the Company and a joint venture between the Company and Gujarat Power Corporation Limited ("GPCL"), had made payments in nature of compensation for acquisition of private land as per the court orders in Amreli, Gujarat for the purpose of developing a coal-based power plant of 1,000+ MW. Due to non-availability of fuel linkage, Government of Gujarat ("GoG") vide its letter dated December 6, 2017, communicated that the said project may not be developed and accordingly, the joint venture is intended to be dissolved. Further, as per the said letter, the cost of land would be reimbursed after the disposal of land. With reference to this, in the month of March 2019, GPCL has written a letter to Collector, Amreli stating that the land is surrendered to the Government of Gujarat and requested Energy and Petroleum Department, GoG to take further action in the matter. It is learnt that the Government of Gujarat is exploring the possibility of usage of Land for industrial purpose. The management has made an impairment assessment of the amount recoverable from Government of Gujarat and concluded that there is no impairment in the carrying amount of the land.The timing of the recoverability of the amounts invested in land would depend upon the availability of the buyer.Considering the above facts, assets and liabilities are reflected at their net realisable values or cost whichever is lower and the financial results of TPGL for the year ended March 31, 2023 have been prepared on a non - going concern basis.

Note 46 : Income Tax Expense

(a) Income tax expense recognised in statement of profit and loss

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Current tax		
Current tax on profits for the year	669.53	372.48
Adjustment for current tax of prior periods	3.29	-
	672.82	**372.48**
Deferred tax (other than that disclosed under OCI)		
Decrease / (increase) in deferred tax assets	5.85	(94.06)
(Decrease) / increase in deferred tax liabilities	198.02	(173.15)
	203.87	**(267.21)**
Income tax expense	**876.69**	**105.27**

(b) Reconciliation of income tax expense

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Profit before tax	3,041.36	563.97
Expected income tax expense calculated using tax rate at 34.944% (Previous year - 34.944%)	1,062.77	197.07
Adjustment to reconcile expected income tax expense to reported income tax expense:		
Effect of:		
Expenditure not deductible under Income Tax Act	13.47	28.54
Tax incentives / deductions	(237.16)	(214.02)
change in tax rates		
Impairment loss of DGEN unit	-	82.64
Unabsorbed depreciation / tax credits and other items	34.32	11.03
Total	**873.40**	**105.27**
Adjustment for current tax of prior periods	3.29	-
Total expense as per statement of profit and loss	**876.69**	**105.27**

The tax rate used for the reconciliations given above is the actual / enacted corporate tax rate payable by corporate entities in India on taxable profits under the Indian tax law.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 46 : Income Tax Expense (Contd.)

(c) Income tax recognised in other comprehensive income

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Deferred tax		
Re-measurement of defined benefit obligation (Items that will not be reclassified to profit or loss)	9.54	2.89
Income tax expense / (income) recognised in other comprehensive income	3.50	1.04

(d) Deferred tax balances

(1) The following is the analysis of deferred tax assets / (liabilities) presented in the balance sheet

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Deferred tax assets	1,829.29	1,888.73
Deferred tax liabilities	(2,759.43)	(2,198.82)
	(930.14)	**(310.09)**
Disclosed as deferred tax assets (net)	38.65	35.12
Disclosed as deferred tax liabilities (net)	(968.79)	(345.21)
	(930.14)	**(310.09)**

(2) Movement of deferred tax assets / (liabilities)

Deferred tax assets / (liabilities) in relation to the year ended March 31, 2023

(₹ in Crore)

	Opening balance	Recognised in profit or loss	Transfer on acquisition	Utilisation	Recognised in OCI	Closing balance
Property, plant and equipment	(2,198.82)	(198.03)	(151.14)	-	-	(2,547.98)
Intangible Assets	-	10.09	(221.54)	-	-	(211.45)
Provision for compensated absences	41.11	(0.66)	-	-	-	40.45
Provision for onerous contracts	47.44	(1.88)	-	-	-	45.56
Allowance for doubtful debts	32.65	(5.54)	-	-	-	27.11
Unabsorbed depreciation / MAT credit entitlement	1,730.68	4.89	81.29	(128.63)	-	1,688.23
Others	36.85	(12.75)	7.34	-	(3.50)	27.94
	(310.09)	**(203.87)**	**(284.05)**	**(128.63)**	**(3.50)**	**(930.14)**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 46 : Income Tax Expense (Contd.)

Deferred tax assets / (liabilities) in relation to the year ended March 31, 2022

(₹ in Crore)

	Opening balance	Recognised in profit or loss	Transfer on acquisition	Utilisation	Recognised in OCI	Closing balance
Property, plant and equipment	(2,337.74)	173.15	(34.23)	-	-	(2,198.82)
Provision for compensated absences	43.66	(2.55)	-	-	-	41.11
Provision for onerous contracts	56.89	(9.45)	-	-	-	47.44
Allowance for doubtful debts	46.21	(13.56)	-	-	-	32.65
Unabsorbed depreciation / MAT credit entitlement	1,687.30	82.40	22.34	(61.36)	-	1,730.68
Others	0.67	37.22	-	-	(1.04)	36.85
	(503.01)	**267.21**	**(11.89)**	**(61.36)**	**(1.04)**	**(310.09)**

(3) Unrecognised deferred tax assets

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Accumulated MAT credit entitlement	20.32	14.86
	20.32	**14.86**

As at March 31, 2023, unused tax credit that shall expire as follows:

(₹ in Crore)

Financial year	Year ended March 31, 2023	Year ended March 31, 2022
2022-23	-	1.29
2023-24	4.21	4.21
2024-25	4.61	4.61
2025-26	4.47	4.47
2026-27	2.21	0.28
2027-28	1.92	-
2028-29	1.74	-
2029-30	1.16	-
	20.32	**14.86**

Management has made an assessment of the amount of taxable income that would be available in future to offset the Accumulated MAT credit entitlement available to the Company.

The assessment of taxable income involved several key assumptions including expected demand, future price of fuel, expected tariff rate for electricity, exchange rate and electricity market scenario, which the management considered reasonable based on past trends, applicable tariff regulations / agreements and current and likely future state of the industry.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 47 : Revenue from Contracts with Customers

(a) Unbilled revenue

(1) Revenue from contracts with customers include unbilled revenue towards FPPPA claims and other true up adjustments which is recognised considering applicable tariff regulations / tariff orders, past trends of approval and management's probability estimate.

The Group has not recognized those true up adjustment claims which are subject of dispute and for which the Group is in appeal with regulatory authorities. These are recognised on receipt of final orders of respective regulatory authorities.

(2) Movement in unbilled revenue

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Opening balance	1,905.06	1,642.33
Add: Balance received pursuant to 'Transfer Scheme'[Refer note 44 A]	160.75	-
Add: Income accrued during the year as per tariff regulations / orders	4,916.99	2,658.13
Less: Amount billed during the year to the consumers as per tariff orders	(4,082.84)	(2,395.40)
Closing balance	**2,899.96**	**1,905.06**
Disclosed under		
Unbilled revenue [Refer note 21]	2,904.66	1,917.89
Sundry payables [Refer note 31]	(4.70)	(12.83)
	2,899.96	**1,905.06**

(b) Contribution received from consumers

(1) Nature of contribution received from consumers

Contributions received from consumers towards property, plant and equipment has been recognised as deferred revenue over its useful life.

(2) Movement of contribution received from consumers

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Opening balance	1,284.49	1,171.90
Add: Contribution received during the year	217.04	200.41
Less: Amortisation of contribution transferred to statement of profit and loss [Refer note 35]	(97.73)	(87.82)
Closing balance	**1,403.80**	**1,284.49**
Non-current portion [Refer note 28]	1,303.00	1,192.34
Current portion [Refer note 32]	100.80	92.15
	1,403.80	**1,284.49**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 47 : Revenue from Contracts with Customers (Contd.)

(c) Service line deposit from consumers

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Opening balance	207.13	189.85
Add: Received during the year (net of refund)	246.32	217.69
Less: Transferred to contribution received from consumers	(217.04)	(200.41)
Closing balance [Refer note 32]	**236.41**	**207.13**

Footnote:

1 Service line deposits are collected against the cost of capital work to be carried out for new connection or load extension on application by consumers. On the completion of the work, such contribution is transferred to deferred revenue under the head "other current / non-current liabilities".

(d) Credit balance of consumers

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Opening balance	105.17	85.71
Add / (less) : Adjustment to current billing (net)	1.11	19.46
Closing balance [Refer note 32]	**106.28**	**105.17**

Note 48 : Contingent Liabilities, Contingent Assets and Capital Commitments

(a) Contingent liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Disputed income tax matters	23.21	26.46
Disputed sales tax matters	5.25	5.25
Disputed service tax matters	0.49	0.49
Disputed custom duty matters	18.50	18.50
Disputed excise duty matters	2.88	2.88
Disputed stamp duty matters	36.37	36.37
Disputed value added tax matters	3.36	3.36
Disputed central sales tax matters	4.09	4.09
Claims against the Group not acknowledged as debt [Refer footnote 3]	127.93	164.04

The Group has evaluated the impact of Supreme Court ("SC") judgement dated February 28, 2019 in the case of Regional Provident Fund Commissioner (II) West Bengal v/s Vivekananda Vidyamandir and Others, in relation to exclusion of certain allowances from the definition of "basic wages" of the relevant employees for the purposes of determining contribution to Provident Fund ("PF") under the Employees' Provident Fund & Miscellaneous Provisions Act, 1952. There are interpretation issues relating to the said SC judgement. Based on such evaluation, management has concluded that effect of the aforesaid judgement on the Group is not material and accordingly, no provision has been made in the financial statements.

Footnotes :

1 Management believes that its position on the aforesaid direct and indirect tax demands and other claims against the Group will likely be upheld in the appellate process and accordingly no provision has been made in the consolidated financial statements for such demands.

2 In respect of the above, the expected outflow will be determined at the time of final resolution of the dispute / matters. No reimbursement is expected.

3 Break up of claims against the Group not acknowledged as debt:

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 48 : Contingent Liabilities, Contingent Assets and Capital Commitments (Contd.)

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Claim of regulatory surcharge including interest in franchise distribution business	85.89	77.27
Penalty order issued by Directorate General of Foreign Trade (DGFT) in distribution business	-	50.53
Demand including interest for Tariff Indexation for excess energy withdrawn in franchise distribution business	21.83	18.31
Compensation payable for short lifting for material	8.46	8.46
Others	11.75	9.47
	127.93	**164.04**

(b) Contingent assets

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Claim for coal grade slippage	6.92	6.35
Claim of compensation for short lifting of material	8.46	8.46
	15.38	**14.81**

(c) Capital and other commitments

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)		
Property, plant and equipment	761.39	1,317.92

Note 49 : Leases

This note provides information for leases where the group is a lessee.

(i) Amounts recognised in balance sheet

The balance sheet shows the following amounts relating to leases:

(₹ in Crore)

	Notes	As at March 31, 2023	As at March 31, 2022
Land	5	193.13	188.67
Buildings	5	23.15	25.68
Plant and machinery	5	0.18	0.23
Office equipment	5	-	0.02
Total		**216.46**	**214.60**

Lease liabilities

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Current	6.02	5.11
Non-current	39.32	39.10
Total	**45.34**	**44.21**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 49 : Leases (Contd.)

(ii) Amounts recognised in the statement of profit and loss

The statement of profit or loss shows the following amounts relating to leases:

(₹ in Crore)

	Notes	Year ended March 31, 2023	Year ended March 31, 2022
Depreciation charge of right-of-use assets	41	13.45	12.16
Interest expense (included in finance costs)	40	3.95	3.59
Expense relating to short-term leases (included in other expenses)	42	2.29	1.98
Expense relating to leases of low-value assets that are not shown above as short-term leases (included in other expenses)	42	1.15	0.88
Total		**20.84**	**18.61**

(iii) Maturities of lease liabilities:

As at March 31, 2023

(₹ in Crore)

	Non-current lease liabilities	Current lease liabilities
Less than 1 year	-	7.60
Between 1 year and 5 years	32.17	-
5 years and above	27.25	-
Total	**59.42**	**7.60**

As at March 31, 2022

(₹ in Crore)

	Non-current lease liabilities	Current lease liabilities
Less than 1 year	-	8.69
Between 1 year and 5 years	30.44	-
5 years and above	29.22	-
Total	**59.66**	**8.69**

(iv) The total cash outflow for leases :

(₹ in Crore)

	Notes	Year ended March 31, 2023	Year ended March 31, 2022
Principal elements of lease payments (disclosed in Cash flow statement)		22.34	44.35
Expense relating to leases of low-value assets that are not shown above as short-term leases (included in other expenses)	42	2.29	1.98
Expense relating to variable lease payments not included in lease liabilities	42	1.15	0.88
Total		**25.78**	**47.21**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 49 : Leases (Contd.)

(v) Lease asset of Shil, Mumbra and Kalwa (franchise area)

The Company has entered into a Distribution Franchise Agreement ("Agreement") dated February 11, 2019 with Maharashtra State Electricity Distribution Group Limited ("MSEDCL") whereby as per the Agreement the Company would distribute the electricity in the area of Shil, Mumbra and Kalwa in Thane District in Maharashtra ("Franchise area") for 20 years (effective from March 1, 2020).

As per the Agreement the Company would purchase electricity from MSEDCL at the rate which would be derived through mechanism as mentioned in the Agreement which is linked to the number of units purchased and would distribute electricity to the Consumers at the tariff which has been approved by Maharashtra Electricity Regulation Commission (MERC).

Further as per the Agreement the Company has right to use existing assets of MSEDCL in the Franchise area provided it shall perform all the obligations and accepts all liabilities of MSEDCL on behalf of distribution licensee in Franchise area and MSEDCL shall not charge any rent for the use of such assets.

Considering the facts of the arrangement, the Company has the right to obtain substantially all of the economic benefits from use of MSEDCL assets of the Franchise area and the right to direct the use of the said assets for 20 years and accordingly it would meet the definition of Lease as per Ind AS 116. Further, for distribution of electricity, the Company would purchase power from MSEDCL for which payment would be made as per the franchise agreement which is linked to the number of units purchased. Accordingly the payments by the Company to MSEDCL is variable in nature and there are no fixed payments in the form of minimum purchase commitments, take or pay or any sort of fixed charges is required to be made.

Considering the entire payment made by the Company for this arrangement is variable in nature and there would be no lease liability required to be recognised with a corresponding right of use assets on initial recognition in accordance with Ind AS 116 and considering non-availability of relevant observable information for lease payments, management estimates and cost benefit analysis, total consideration payable to MSEDCL towards purchase of electricity has been shown as 'Electrical energy purchased' in the Financial Statements.

Note 50 : Employee Benefit Plans

50.1 Defined contribution plan

The Group has defined contribution retirement benefit plans for its employees.

The Group's contributions to provident fund, pension scheme and employee state insurance scheme are made to the relevant government authorities as per the prescribed rules and regulations. The Group's superannuation scheme for qualifying employees is administered through its various superannuation trust funds. The Group's contributions to the above defined contribution plans are recognised as employee benefit expenses in the statement of profit and loss for the year in which they are due. The Group has no further obligation in respect of such plans beyond the contributions made.

The Group's contribution to provident, pension, superannuation funds and to employees state insurance scheme aggregating to ₹ 48.88 Crore (Previous year - ₹ 45.02 Crore) has been recognised in the statement of profit and loss under the head employee benefits expense [Refer note 39].

50.2 Defined benefit plans - Gratuity

(a) Gratuity

The Group operates through various gratuity trust, a plan, covering all its employees. The benefit payable is the greater of the amount calculated as per the Payment of Gratuity Act, 1972 or the Group scheme applicable to the employee. The benefit vests upon completion of five years of continuous service and once vested it is payable to employees on retirement or on termination of employment. The gratuity benefits payable to the employees are based on the tenure of employee's service and last drawn salary at the time of leaving. The employees do not contribute towards this plan and the full cost of providing these benefits are met by the Group. In case of death while in service, the gratuity is payable irrespective of vesting.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 50 : Employee Benefit Plans (Contd.)

The Group makes annual contribution to the gratuity schemes administered by the Life Insurance Corporation of India through its various Gratuity Trust Funds. The liability in respect of plan is determined on the basis of an actuarial valuation.

(b) Risk exposure to defined benefit plans

The plans typically expose the Group to actuarial risks such as: asset volatility, interest rate risk, longevity risk and salary risk as described below :

Asset volatility

The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on Indian government securities; if the return on plan asset is below this rate, it will create a plan deficit.

Interest risk

A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's debt investments.

Longevity risk

The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary risk

The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

The most recent actuarial valuation of the plan assets and the present value of the defined benefit obligation was carried out at March 31, 2023. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the projected unit credit method.

(c) Significant assumptions

The principal assumptions used for the purpose of the actuarial valuation were as follows.

	As at March 31, 2023	As at March 31, 2022
Discount rate (p.a.)	7.57%	7.17%
Salary escalation rate (p.a.)	8.50%	8.50%

(d) The amount included in the balance sheet arising from the Group's obligation in respect of its defined benefit plans is as follows:

Balances of defined benefit plan

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Present value of funded defined benefit obligation	297.31	285.67
Fair value of plan assets	296.61	271.65
Net (asset) / liability [Refer note 33]*	**0.70**	**14.02**

* after netting off ₹ 1.84 Crore disclosed in "Other advances / receivables" [Refer note 21]

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 50 : Employee Benefit Plans (Contd.)

(e) Expenses recognised for defined benefit plan and movement of plan assets and liabilities

Following are the amounts recognised in statement of profit and loss, other comprehensive income, movement in defined benefit liability and movement in plan assets:

(₹ in Crore)

		Funded plan- Gratuity	
		As at March 31, 2023	As at March 31, 2022
(1)	**Movements in the present value of the defined benefit obligation:**		
	Obligation at the beginning of the year	285.67	288.99
	Current service cost	19.18	18.04
	Past service cost	-	0.02
	Interest cost	21.91	20.54
	Actuarial (gains) / losses from changes in demographic assumptions	0.01	0.10
	Actuarial (gains) / losses arising changes in financial assumptions	(9.14)	(2.25)
	Actuarial (gains) / losses from experience adjustments	(1.46)	(2.34)
	Liability transferred in of employees / due to acqusition of entities*	23.69	2.84
	Liability transferred out of employees	(8.95)	(2.17)
	Benefits paid directly by employer	(5.69)	(2.71)
	Benefits paid	(27.91)	(35.39)
	Obligation at the end of the year **	**297.31**	**285.67**
*	Includes ₹ 19.21 Crore (March 31, 2022 ₹ 0.23 Crore) related to acquired entities during the year.		
**	Includes ₹ 0.27 Crore (March 31, 2022 ₹ 0.23 Crore) of subsidiaries which are unfunded.		
(2)	**Movements in the fair value of the plan assets:**		
	Plan assets at the beginning of the year, at fair value	271.65	276.74
	Interest income	20.92	19.59
	Return on plan assets (excluding interest income)	0.65	(1.60)
	Contributions received	12.09	12.31
	Assets Transferred out / Disinvestments $	19.21	-
	Benefits paid	(27.91)	(35.39)
	Plan assets at the end of the year, at fair value	**296.61**	**271.65**
$	Includes ₹ 19.21 Crore (March 31, 2022- ₹ Nil) related to newly acquired entities during the year.		
(3)	**Gratuity cost recognized in the statement of profit and loss**		
	Current service cost	19.18	18.04
	Interest cost, net	0.99	0.95
	Past service cost	-	0.02
	Net gratuity cost recognized in the statement of profit and loss [Refer note 39]	**20.17**	**19.01**
(4)	**Gratuity cost recognized in the other comprehensive income (OCI)**		
	Return on plan assets (excluding interest income)	(0.65)	1.60
	Actuarial (gains) / losses	(10.59)	(4.49)
	Net (income) / expense for the year recognized in OCI	**(11.24)**	**(2.89)**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 50 : Employee Benefit Plans (Contd.)

(f) Category wise plan assets

Contributions to fund the obligations under the gratuity plan are made to the Life Insurance Corporation of India.

(g) Sensitivity analysis

Significant actuarial assumptions for the determination of the defined obligation are discount rate and expected salary increase. The sensitivity analysis below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

Change in assumptions

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Increase / (decrease) in defined benefit obligation of gratuity		
50 basis points increase in discount rate	(13.01)	(12.42)
50 basis points decrease in discount rate	14.15	13.55
50 basis points increase in salary escalation rate	13.81	13.29
50 basis points decrease in salary escalation rate	(12.85)	(12.30)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

(h) The weighted average duration of the gratuity plan based on average future service is 18 years (March 31,2022 - 19 years).

(i) Expected contribution to the plan for the next annual reporting period is ₹ 2.54 Crore (March 31, 2022 ₹ 14.02 Crore).

(j) Cash flow projection from the fund

Projected benefits payable in future years from the date of reporting

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
1st following year	32.31	33.15
2nd following year	18.36	17.44
3rd following year	29.10	29.39
4th following year	20.35	27.41
5th following year	23.08	18.40
sum of years 6th to 10th	112.59	99.45
more then 10 years	513.96	454.96

50.3 Defined benefit plans - Pension

(a) Pension

The Group operates defined benefit pension plan, covering eligible employees transferred-in pursuant to transfer scheme. The plan provides benefits to members in the form of a guaranteed pension payable for life. The benefits provided depends on members' length of service and their last drawn salary in the final years leading up to retirement.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 50 : Employee Benefit Plans (Contd.)

The Group funds the pension liability through trustee-administered funds. The employees do not contribute towards this plan and the full cost of providing these benefits are met by the Group. The Group makes contribution to the pension schemes administered by the Life Insurance Corporation of India through Pension Trust Funds for employees joined on or before December 31, 2003. In case of certain employees transferred, which were hired on or after January 1, 2004 are eligible for the Pension benefit only on account of death or disability while in service.The liability in respect of plan is determined on the basis of an actuarial valuation and it is funded.

(b) Risk exposure to defined benefit plans

The plans typically expose the Group to actuarial risks such as: asset volatility, interest rate risk, longevity risk and salary risk as described below :

Asset volatility

The present value of the defined benefit plan liability is calculated using a discount rate which is determined by reference to market yields at the end of the reporting period on Indian government securities; if the return on plan asset is below this rate, it will create a plan deficit.

Interest risk

A decrease in the bond interest rate will increase the plan liability; however, this will be partially offset by an increase in the return on the plan's debt investments.

Longevity risk

The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.

Salary risk

The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in the salary of the plan participants will increase the plan's liability.

The most recent actuarial valuation of the plan assets and the present value of the defined benefit obligation was carried out at March 31, 2023. The present value of the defined benefit obligation, and the related current service cost and past service cost, were measured using the projected unit credit method.

(c) Significant assumptions

The principal assumptions used for the purpose of the actuarial valuation were as follows.

	As at March 31, 2023
Discount rate (p.a.)	7.53%
Salary escalation rate (p.a.)	7.50%

(d) The amount included in the balance sheet arising from the Group's obligation in respect of its defined benefit plans is as follows:

Balances of defined benefit plan

(₹ in Crore)

	As at March 31, 2023
Present value of funded defined benefit obligation	27.81
Fair value of plan assets	25.86
Net (asset) / liability [Refer note 33]	**1.95**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 50 : Employee Benefit Plans (Contd.)

(e) Expenses recognised for defined benefit plan and movement of plan assets and liabilities

Following are the amounts recognised in statement of profit and loss, other comprehensive income, movement in defined benefit liability and movement in plan assets:

(₹ in Crore)

		Funded plan - Pension
		As at March 31, 2023
(1)	**Movements in the present value of the defined benefit obligation:**	
	Obligation at the beginning of the year	-
	Current service cost	0.25
	Interest cost	1.87
	Actuarial (gains) / losses arising changes in financial assumptions	1.40
	Actuarial (gains) / losses from experience adjustments	(0.65)
	Liability transferred in of employees / due to acquisition of entities	24.94
	Obligation at the end of the year *	**27.81**
	* Includes ₹ 24.94 Crore related to 'Transfer Scheme' during the year.	
(2)	**Movements in the fair value of the plan assets:**	
	Plan assets at the beginning of the year, at fair value	-
	Balance received pursuant to 'Transfer Scheme'	24.94
	Interest income	1.87
	Return on plan assets (excluding interest income)	(0.95)
	Plan assets at the end of the year, at fair value	**25.86**
(3)	**Pension cost recognized in the statement of profit and loss**	
	Current service cost	0.25
	Net Pension cost recognized in the statement of profit and loss	**0.25**
(4)	**Pension cost recognized in the other comprehensive income (OCI)**	
	Return on plan assets (excluding interest income)	0.95
	Actuarial (gains) / losses	0.75
	Net (income) / expense for the year recognized in OCI	**1.70**

(f) Category wise plan assets

Contributions to fund the obligations under the Pension plan are made to the Life Insurance Corporation of India.

(g) Sensitivity analysis

Significant actuarial assumptions for the determination of the defined obligation are discount rate and expected salary increase. The sensitivity analysis below have been determined based on reasonably possible changes of the respective assumptions occurring at the end of the reporting period, while holding all other assumptions constant.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 50 : Employee Benefit Plans (Contd.)

Change in assumptions

(₹ in Crore)

	As at March 31, 2023
Increase / (decrease) in defined benefit obligation of Pension	
50 basis points increase in discount rate	(1.23)
50 basis points decrease in discount rate	1.46
50 basis points increase in salary escalation rate	1.22
50 basis points decrease in salary escalation rate	(0.81)

The sensitivity analysis presented above may not be representative of the actual change in the defined benefit obligation as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

Furthermore, in presenting the above sensitivity analysis, the present value of the defined benefit obligation has been calculated using the projected unit credit method at the end of the reporting period, which is the same as that applied in calculating the defined benefit obligation liability recognised in the balance sheet.

(h) The weighted average duration of the pension plan based on average future service is 30 years .

(i) Expected contribution to the plan for the next annual reporting period is ₹ 1.32 Crore.

(j) Cash flow projection from the fund

Projected benefits payable in future years from the date of reporting

(₹ in Crore)

	Funded plan - Pension
	As at March 31, 2023
1st following year	2.38
2nd following year	0.23
3rd following year	2.26
4th following year	2.78
5th following year	3.60
sum of years 6th to 10th	13.65

50.4 Other long-term employee benefit obligations

The leave obligation covers the Group's liability for sick and earned leave. Under these compensated absences plans, leave encashment is payable to all eligible employees on separation from the Group due to death, retirement or resignation; at the rate of daily last drawn salary, multiplied by leave days accumulated as at the end of relevant period. Refer notes 33 and 39, for the leave encashment provision / charge in the balance sheet and statement of profit and loss.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 51 : Auditors Remuneration (Including Taxes)

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
As audit fees	2.03	1.64
For other services	0.59	0.54
For reimbursement of expenses	0.12	0.02
	2.74	**2.20**

Note 52 : Donations Include Political Contributions as Under

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Electoral Bonds	23.00	27.50
Prudent Electoral Trust	-	3.50
Bhartiya Janta Party	0.11	-
	23.11	**31.00**

Note 53 : Earnings Per Share

	Year ended March 31, 2023	Year ended March 31, 2022
Basic earnings per share (₹)	44.06	9.45
Diluted earnings per share (₹)	44.06	9.45

Basic and diluted earnings per share

The earnings and weighted average number of equity shares used in the calculation of basic earnings per share are as follows:

	Year ended March 31, 2023	Year ended March 31, 2022
Profit for the year attributable to the Company used in calculation of basic earnings per share (₹ in Crore)	2,117.43	453.98
Weighted average number of equity shares	48,06,16,784	48,06,16,784

The Company does not have any dilutive potential ordinary shares and therefore diluted earnings per share is the same as basic earnings per share.

Note 54 : Operating Segment

The Chief Operating Decision Maker (CODM) evaluates the Group's performance and applies the resources to whole of the Group's business viz. "Generation, Transmission and Distribution of Power" as an integrated utility. Further, the Group's cable business is not a reportable segment in terms of revenue, profit, assets and liabilities. Hence the Group does not have any reportable segment as per Ind AS - 108 "Operating Segments".

The Group's operations are wholly confined within India and hence there is no reportable geographical information.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 55 : Certified Emission Reduction (CERS)

	As at March 31, 2023	As at March 31, 2022
No. of CERs inventory	49,97,674	-
No. of CERs under certification	-	71,71,099

Inventories of CERs are valued at cost or market price whichever is lower.

Note 56 : Related Party Disclosures

(a) Names of related parties and description of relationship:

1	**Parent Company**	Torrent Investments Private Limited (formerly known as Torrent Private Limited)
2	**Associates**	Wind Two Renergy Private Limited (upto July 29, 2022)
3	**Employee benefits plans***	TPL (Ahmedabad) Gratuity Trust, TPL (Ahmedabad) Superannuation Fund, TPL (Surat) Gratuity Trust, TPL (Surat) Superannuation Fund, TPL (SUGEN) Gratuity Trust, TPL (SUGEN) Superannuation Fund, TPL (DGEN) Gratuity Trust, TPL (DGEN) Superannuation Fund, TPG Gratuity Trust, TPG Superannuation Fund , DNHDD PDCL Employees' Group Gratuity Trust
4	**Key management personnel**	Samir Mehta Jinal Mehta Varun Mehta (w.e.f. August 8, 2022)
5	**Non-executive directors**	Sudhir Mehta Pankaj Patel Samir Barua (Upto September 30, 2022) Keki Mistry Usha Sangwan (w.e.f. May 21, 2021) Sunaina Tomar (upto June 15, 2021) Radhika Haribhakti (w.e.f. August 7, 2021) Mamta Verma (w.e.f. August 7, 2021) Bhavna Doshi (upto September 30, 2021) Dharmishta Raval (upto September 30, 2021) Ketan Dalal (w.e.f. May 11, 2022)
6	**Relatives of key management personnel***	Varun Mehta (upto August 7, 2022)
7	**Other entities where the company has 50% voting right / enterprises controlled by the Parent Company / Associate of Parent Company/ Entities where the directors have significant influence***	UNM Foundation (formerly known as Tornascent Care Institute)#, Torrent Pharmaceuticals Limited, Torrent Power Services Private Limited, Torrent Gas Pune Limited , Torrent Gas Private Limited, Torrent Gas Chennai Private Limited,Torrent Gas Moradabad Limited, Torrent Gas Jaipur Private Limited, Torrent Fincorp Private Limited, Torrent Sports Ventures Private Limited,Torrent Hospitals Private Limited, Torrent Diagnostics Private Limited, Gujarat Lease Financing Limited,School of Ultimate Leadership Foundation (w.e.f. October 15, 2022).

* where transactions have taken place during the year and / or previous year or where balances are outstanding at the year end

\# The National Company Law Tribunal (NCLT) has approved a Scheme of Arrangement ("Scheme") in the nature of Amalgamation of UNM Foundation with Tornascent Care Institute vide order dated March 23, 2021. The Scheme is effective from April 1, 2020 ("Appointed Date"). The name "Tornascent Care Institute" changed to "UNM Foundation" w.e.f. July 20, 2021.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 56 : Related Party Disclosures (Contd.)

B. Related party transactions

(₹ in Crore)

	Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Nature of transactions										
Interest income	**3.45**	**11.09**	**-**	**-**	**-**	**-**	**-**	**-**	**3.45**	**11.09**
Wind Two Renergy Private Limited	3.45	11.09	-	-	-	-	-	-	3.45	11.09
Dividend paid	-	-	-	-	-	-	**566.33**	**373.26**	**566.33**	**373.26**
Torrent Investments Private Limited	-	-	-	-	-	-	566.33	373.26	566.33	373.26
Services provided (rent income including tax)	-	-	-	-	-	-	**1.35**	**0.88**	**1.35**	**0.88**
UNM Foundation	-	-	-	-	-	-	*	0.01	*	0.01
Torrent Investments Private Limited	-	-	-	-	-	-	*	*	*	*
Torrent Power Services Private Limited	-	-	-	-	-	-	*	-	*	-
Torrent Gas Private Limited	-	-	-	-	-	-	0.47	0.87	0.47	0.87
Torrent Fincorp Private Limited	-	-	-	-	-	-	*	*	*	*
Torrent Sports Ventures Private Limited	-	-	-	-	-	-	*	*	*	*
Torrent Gas Chennai Private Limited	-	-	-	-	-	-	0.22	-	0.22	-
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	0.22	-	0.22	-
Torrent Gas Pune Limited	-	-	-	-	-	-	0.22	-	0.22	-
Torrent Gas Moradabad Limited	-	-	-	-	-	-	0.22	-	0.22	-
Torrent Hospitals Private Limited	-	-	-	-	-	-	*	-	*	-
School of Ultimate Leadership Foundation	-	-	-	-	-	-	*	-	*	-
Torrent Diagnostics Private Limited	-	-	-	-	-	-	*	*	*	*
Services received / remuneration paid	-	-	-	-	-	-	**1.16**	**2.25**	**1.16**	**2.25**
Varun Mehta	-	-	-	-	-	-	1.16	2.25	1.16	2.25

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 56 : Related Party Disclosures (Contd.)

B. Related party transactions

(₹ in Crore)

	Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Purchase of material	-	-	-	-	-	-	-	**0.63**	-	**0.63**
Torrent Gas Private Limited	-	-	-	-	-	-	-	0.63	-	0.63
Shared expenditure charged to	**0.11**	**0.31**	-	-	-	-	-	**0.02**	**0.11**	**0.33**
Wind Two Renergy Private Limited	0.11	0.31	-	-	-	-	-	-	0.11	0.31
Gujarat Lease Financing Limited	-	-	-	-	-	-	-	0.02	-	0.02
Expenses incurred on behalf of	-	-	-	-	-	-	**0.13**	**0.07**	**0.13**	**0.07**
Torrent Gas Private Limited	-	-	-	-	-	-	0.05	0.07	0.05	0.07
Torrent Gas Pune Limited	-	-	-	-	-	-	0.02	-	0.02	-
Torrent Gas Chennai Private Lmited	-	-	-	-	-	-	0.02	-	0.02	-
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	0.02	-	0.02	-
Torrent Gas Moradabad Limited	-	-	-	-	-	-	0.02	-	0.02	-
Transfer of gratuity / leave liability to / (from)	-	-	-	-	-	-	**0.18**	**(0.13)**	**0.18**	**(0.13)**
Torrent Pharmaceuticals Limited	-	-	-	-	-	-	-	(0.29)	-	(0.29)
UNM Foundation	-	-	-	-	-	-	-	*	-	*
Torrent Gas Jaipur Private Limited	-	-	-	-	-	-	(0.04)	-	(0.04)	-
Torrent Gas Private Limited	-	-	-	-	-	-	0.22	0.16	0.22	0.16
Managerial remuneration @	-	-	-	-	**36.09**	**24.14**	-	-	**36.09**	**24.14**
Samir Mehta	-	-	-	-	15.00	10.00	-	-	15.00	10.00
Varun Mehta	-	-	-	-	3.00	-	-	-	3.00	-
Jinal Mehta	-	-	-	-	18.09	14.14	-	-	18.09	14.14
Commission to non-executive directors @@	-	-	-	-	**2.19**	**1.82**	-	-	**2.19**	**1.82**
Samir Barua	-	-	-	-	0.23	0.37	-	-	0.23	0.37
Keki Mistry	-	-	-	-	0.27	0.30	-	-	0.27	0.30
Pankaj Patel	-	-	-	-	0.31	0.27	-	-	0.31	0.27
Bhavna Doshi	-	-	-	-	-	0.21	-	-	-	0.21

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 56 : Related Party Disclosures (Contd.)

B. Related party transactions

(₹ in Crore)

	Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Dharmishta Raval	-	-	-	-	-	0.22	-	-	-	0.22
Sunaina Tomar#	-	-	-	-	-	0.05	-	-	-	0.05
Usha Sangwan	-	-	-	-	0.48	0.21	-	-	0.48	0.21
Radhika Haribhakti	-	-	-	-	0.48	0.14	-	-	0.48	0.14
Ketal Dalal	-	-	-	-	0.35	-	-	-	0.35	-
Mamta Verma #	-	-	-	-	0.07	0.05	-	-	0.07	0.05
Sitting fees to non-executive directors @@	**-**	**-**	**-**	**-**	**0.59**	**0.72**	**-**	**-**	**0.59**	**0.72**
Samir Barua	-	-	-	-	0.07	0.18	-	-	0.07	0.18
Keki Mistry	-	-	-	-	0.06	0.11	-	-	0.06	0.11
Pankaj Patel	-	-	-	-	0.07	0.09	-	-	0.07	0.09
Bhavna Doshi	-	-	-	-	-	0.08	-	-	-	0.08
Dharmishta Raval	-	-	-	-	-	0.09	-	-	-	0.09
Sunaina Tomar #	-	-	-	-	-	0.01	-	-	-	0.01
Usha Sangwan	-	-	-	-	0.14	0.09	-	-	0.14	0.09
Radhika Haribhakti	-	-	-	-	0.14	0.06	-	-	0.14	0.06
Mamta Verma #	-	-	-	-	0.01	0.01	-	-	0.01	0.01
Ketal Dalal	-	-	-	-	0.10	-	-	-	0.10	-
Donation	**-**	**-**	**-**	**-**	**-**	**-**	**9.55**	**11.36**	**9.55**	**11.36**
UNM Foundation	-	-	-	-	-	-	9.55	11.36	9.55	11.36
Contribution towards CSR	**-**	**-**	**-**	**-**	**-**	**-**	**34.33**	**29.51**	**34.33**	**29.51**
UNM Foundation	-	-	-	-	-	-	34.33	29.51	34.33	29.51

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 56 : Related Party Disclosures (Contd.)

B. Related party transactions

(₹ in Crore)

	Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Contribution to employee benefit plans (net)	**-**	**-**	**25.32**	**22.20**	**-**	**-**	**-**	**-**	**25.32**	**22.20**
TPL (Ahmedabad) Gratuity Trust	-	-	10.12	9.16	-	-	-	-	10.12	9.16
TPL (Ahmedabad) Superannuation Fund	-	-	7.91	7.54	-	-	-	-	7.91	7.54
TPL (Surat) Gratuity Trust	-	-	1.53	2.66	-	-	-	-	1.53	2.66
TPL (Surat) Superannuation Fund	-	-	1.45	1.51	-	-	-	-	1.45	1.51
TPL (SUGEN) Gratuity Trust	-	-	0.40	0.44	-	-	-	-	0.40	0.44
TPL (SUGEN) Superannuation Fund	-	-	0.52	0.52	-	-	-	-	0.52	0.52
TPL (DGEN) Gratuity Trust	-	-	0.03	0.05	-	-	-	-	0.03	0.05
TPL (DGEN) Superannuation Fund	-	-	0.25	0.27	-	-	-	-	0.25	0.27
TPG Gratuity Trust	-	-	0.01	-	-	-	-	-	0.01	-
TPG Superannuation Fund	-	-	0.04	0.05	-	-	-	-	0.04	0.05
DNHDD PDCL Employees' Group Gratuity Trust	-	-	3.06	-	-	-	-	-	3.06	-
Redemption of non-convertible debentures	**26.33**	**-**	**-**	**-**	**-**	**-**	**-**	**-**	**26.33**	**-**
Wind Two Renergy Private Limited	26.33	-	-	-	-	-	-	-	26.33	-
Premium on NCD	**2.62**	**7.45**	**-**	**-**	**-**	**-**	**-**	**-**	**2.62**	**7.45**
Wind Two Renergy Private Limited	2.62	7.45	-	-	-	-	-	-	2.62	7.45
Loan Given	**3.50**	**7.95**	**-**	**-**	**-**	**-**	**-**	**-**	**3.50**	**7.95**
Wind Two Renergy Private Limited	3.50	7.95	-	-	-	-	-	-	3.50	7.95
Receipt on repayment of loans	**11.25**	**21.30**	**-**	**-**	**-**	**-**	**-**	**-**	**11.25**	**21.30**
Wind Two Renergy Private Limited	11.25	21.30	-	-	-	-	-	-	11.25	21.30
Deposits received	-	-	-	-	-	-	*	*	*	*
Torrent Sports Ventures Private Limited	-	-	-	-	-	-	-	*	-	*
School of Ultimate Leadership Foundation	-	-	-	-	-	-	*	-	*	-
Torrent Diagnostics Private Limited	-	-	-	-	-	-	-	*	-	*

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 56 : Related Party Disclosures (Contd.)

B. Related party transactions

(₹ in Crore)

	Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022	Year ended March 31, 2023	Year ended March 31, 2022
Deposit Refunded	**-**	**-**	**-**	**-**	**-**	**-**	**-**	*****	**-**	*****
UNM Foundation	-	-	-	-	-	-	-	*	-	*
Torrent Investment Private Limited	-	-	-	-	-	-	-	*	-	*
Torrent Power Serivces Private Limited	-	-	-	-	-	-	-	*	-	*
Torrrent Gas Private Limited	-	-	-	-	-	-	-	*	-	*
Torrent Fincorp Private Limited	-	-	-	-	-	-	-	*	-	*

@@ excluding Goods and Services Tax.

@ excluding provision for gratuity and leave encashment, insurance premium for group personal accident and group mediclaim.

Sitting fees and Commission of Sunaina Tomar and Mamta Verma (nominee of the Government of Gujarat) is paid / payable to the Government of Gujarat.

The Group is a public utility, being engaged in distribution of electricity. Transactions entered with the above mentioned related party does not include sale of electricity since the tariff charged to the customers are determined by an independent rate-setting authority.

C. Key management personnel compensation

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Short-term employee benefits	36.09	24.14
	36.09	**24.14**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 56 : Related Party Disclosures (Contd.)

D. Related party balances

(₹ in Crore)

	Parent Company		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022
Balances at the end of the year												
Current liabilities	**-**	**-**	**-**	**-**	**-**	**-**	**22.97**	**14.32**	**0.40**	**0.16**	**23.37**	**14.48**
UNM Foundation	-	-	-	-	-	-	-	-	-	*	-	*
Torrent Gas Private Limited			-	-	-	-	-	-	0.38	0.16	0.38	0.16
Torrent Gas Jaipur Private Limited			-	-	-	-	-	-	0.02	-	0.02	-
Torrent Sports Ventures Private Limited			-	-	-	-	-	-	-	*	-	*
Torrent Hospitals Pvt Ltd			-	-	-	-	-	-	*	-	*	-
School of Ultimate Leadership Foundation			-	-	-	-	-	-	*	-	*	-
Torrent Diagnostics Private Limited			-	-	-	-	-	-	-	*	-	*
Samir Mehta	-	-	-	-	-	-	15.00	10.00	-	-	15.00	10.00
Varun Mehta	-	-	-	-	-	-	1.00	-	-	-	1.00	-
Jinal Mehta	-	-	-	-	-	-	5.00	2.50	-	-	5.00	2.50
Samir Barua	-	-	-	-	-	-	0.21	0.37	-	-	0.21	0.37
Keki Mistry	-	-	-	-	-	-	0.24	0.30	-	-	0.24	0.30
Pankaj Patel	-	-	-	-	-	-	0.28	0.27	-	-	0.28	0.27
Bhavna Doshi	-	-	-	-	-	-	-	0.21	-	-	-	0.21
Dharmishta Raval	-	-	-	-	-	-	-	0.22	-	-	-	0.22
Sunaina Tomar[#]	-	-	-	-	-	-	-	0.05	-	-	-	0.05
Ketal Dalal	-	-	-	-	-	-	0.31	-	-	-	0.31	-
Usha Sangwan	-	-	-	-	-	-	0.43	0.21	-	-	0.43	0.21
Radhika Haribhakti	-	-	-	-	-	-	0.43	0.14	-	-	0.43	0.14

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 56 : Related Party Disclosures (Contd.)

D. Related party balances

(₹ in Crore)

	Parent Company		Associates		Employee benefits plans		Key management personnel / non-executive directors		Parent Company / enterprises controlled by the Parent Company / Relatives of key management personnel / enterprises controlled by relatives of key management personnel / entity where the company has 50% voting right/Entities where the directors have significant influence		Total	
	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022	As at March 31, 2023	As at March 31, 2022
Mamta Verma #	-	-	-	-	-	-	0.07	0.05	-	-	0.07	0.05
Investment in equity	-	-	-	-	-	-	-	-	**0.05**	**0.05**	**0.05**	**0.05**
UNM Foundation	-	-	-	-	-	-	-	-	0.05	0.05	0.05	0.05
Investment in non-convertible debentures (including amortise premium)	-	-	-	**116.89**	-	-	-	-	-	-	-	**116.89**
Wind Two Renergy Private Limited	-	-	-	116.89	-	-	-	-	-	-	-	116.89
Loans (including interest) (non-current)	-	-	-	**121.87**	-	-	-	-	-	-	-	**121.87**
Wind Two Renergy Private Limited			-	121.87	-	-	-	-	-	-	-	121.87
Loans (including interest) (current)	-	-	-	**19.90**	-	-	-	-	-	-	-	**19.90**
Wind Two Renergy Private Limited			-	19.90	-	-	-	-	-	-	-	19.90
Trade and other receivables	-	-	-	**0.07**	-	-	-	-	-	**0.29**	-	**0.36**
Wind Two Renergy Private Limited			-	0.07	-	-	-	-	-	-	-	0.07
Torrent Pharmaceuticals Limited	-	-	-	-	-	-	-	-	-	0.29	-	0.29

\# Sitting fees and Commission of Sunaina Tomar and Mamta Verma (nominee of the Government of Gujarat) is payable to the Government of Gujarat.

The Group is a public utility, being engaged in distribution of electricity. Transactions entered with the above mentioned related party does not include sale of electricity since the tariff charged to the customers are determined by an independent rate-setting authority.

E. Terms and conditions of outstanding balances

The transactions with related parties are made in the normal course of business on terms equivalent to those that prevail in arm's length transactions.

Outstanding balances at the year-end are unsecured.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 57 : Financial Instruments and Risk Management

(a) Capital management

The Group manages its capital structure in a manner to ensure that it will be able to continue as a going concern while optimising the return to stakeholders through the appropriate debt and equity balance.

The Group's capital structure is represented by equity (comprising issued capital, retained earnings and other reserves as detailed in notes 23, 24) and debt (borrowings as detailed in note 25).

The Group's management reviews the capital structure of the Group on an annual basis. As part of this review, the management considers the cost of capital and the risks associated with each class of capital. The Group's plan is to ensure that the gearing ratio (debt equity ratio) is well within the limit of 2:1. No changes were made in the objectives, policies or process for managing its capital during the year ended March 31, 2023 and March 31, 2022. The Group reviews its dividend policy from time to time.

Gearing ratio

The gearing ratio at end of the reporting year is as follows.

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Debt	10,521.03	8,413.65
Total equity	11,489.39	10,165.91
Debt to equity ratio	**0.92**	**0.83**

Footnotes:

1 Debt is defined as all long term debt outstanding (including unamortised expense) + contingent liability pertaining to corporate / financial guarantee given + short term debt outstanding in lieu of long term debt.

2 Total equity is defined as equity share capital + all reserve (excluding revaluation reserve) + deferred tax liabilities – deferred tax assets – Goodwill – Other intangible assets – Intangible assets under development

Loan Covenants

The Company has complied with financial covenants specified as per the terms of borrowing facilities.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 57 : Financial Instruments and Risk Management (Contd.)

(b) Categories of financial instruments

(₹ in Crore)

	As at March 31, 2023		As at March 31, 2022	
	Carrying value	Fair value	Carrying value	Fair value
Financial assets				
Measured at amortised cost				
Cash and cash equivalents	188.23	188.23	289.41	289.41
Bank balance other than cash and cash equivalents	155.29	155.29	62.93	62.93
Investment in bonds and debentures	17.82	17.82	132.77	132.77
Trade receivables	2,246.33	2,246.33	1,602.70	1,602.70
Loans	-	-	141.77	141.77
Other financial assets	3,246.78	3,246.78	2,400.36	2,400.36
	5,854.45	**5,854.45**	**4,629.94**	**4,629.94**
Measured at fair value through profit and loss (FVTPL)				
Investment in mutual funds	785.82	785.82	273.70	273.70
Investment in equity instruments	0.05	0.05	0.05	0.05
	785.87	**785.87**	**273.75**	**273.75**
Financial liabilities				
Measured at amortised cost				
Borrowings	10,496.07	13,273.51	9,098.42	9,138.90
Trade payables	1,733.28	1,733.28	1,261.59	1,261.59
Other financial liabilities	2,687.72	2,687.72	2,021.84	2,021.84
	14,917.07	**17,694.51**	**12,381.85**	**12,422.33**

Footnotes:

1 The carrying amounts of trade receivables, trade payables, capital creditors and cash and cash equivalents are considered to be the same as their fair values, due to their short-term nature.

2 Non current loan and Inter corporate Deposits carries the interest rates that are variable in nature and hence carrying value is considered as same as fair value.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 57 : Financial Instruments and Risk Management (Contd.)

(c) Fair value measurement

The fair value hierarchy is based on inputs to valuation techniques that are used to measure fair value that are either observable or unobservable and consists of the following three levels:

Level 1 : Inputs are Quoted (unadjusted) market prices in active markets for identical assets or liabilities. This includes quoted equity instruments, investments in mutual funds that have quoted price.

Level 2 : Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable. This includes unquoted floating and fixed rate borrowing.

Level 3 : Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable. This includes unquoted equity shares, loans, security deposits, investments in Debentures, floating rate borrowings.

The following table summarises financial assets and liabilities measured at fair value on a recurring basis and financial assets and liabilities that are not measured at fair value on a recurring basis (but fair value disclosures are required) :

(1) Financial assets at fair value through profit and loss (FVTPL)

(₹ in Crore)

	Fair value		Fair value hierarchy	Valuation technique(s) and key input(s)
	As at March 31, 2023	As at March 31, 2022		
Investment in mutual fund units	785.82	273.70	Level 1	Quoted bid prices in an active market

(2) Financial liabilities at amortised cost

(₹ in Crore)

	Fair value		Fair value hierarchy	Valuation technique(s) and key input(s)
	As at March 31, 2023	As at March 31, 2022		
Fixed rate borrowings (Non-convertible debentures)	2,777.44	2,008.84	Level 2	Inputs other than quoted prices that are observable based on yields provided by FIMMDA

(d) Financial risk management objectives

The Group's principal financial liabilities, comprise borrowings, employee payables, security deposit from customer, trade and other payables. The main purpose of these financial liabilities is to finance the Group's operations and projects capital expenditure. The Group's principal financial assets include loans, advances, trade and other receivables and cash and cash equivalents that derive directly from its operations.

The Group's activities expose it to a variety of financial risks viz foreign currency risk, commodity price risk, interest rate risk, credit risk, liquidity risk etc. The Group's primary focus is to foresee the unpredictability of financial markets and seek to minimize potential adverse effects on its financial performance. The Group's senior management oversees the management of these risks. It advises on financial risks and the appropriate financial risk governance framework for the Group.

Foreign currency risk

The Group is exposed to foreign currency risks arising from various currency exposures, primarily with respect to the USD and EURO. Foreign currency risks arise from future commercial transactions and recognized assets and liabilities, when they are denominated in a currency other than Indian Rupee.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 57 : Financial Instruments and Risk Management (Contd.)

The Group's exposure with regards to foreign exchange risk which are not hedged are given below.

Unhedged foreign currency exposures:

(₹ in Crore)

Nature of transactions	Currency	As at March 31, 2023	As at March 31, 2022
Financial liabilities			
Trade payable	USD	3.58	4.37
Trade payable	EURO	175.32	138.80
Capital payable	EURO	0.06	0.06

Foreign currency sensitivity analysis

The following tables demonstrate the sensitivity to a reasonably possible change in EURO exchange rates, with all other variables held constant.

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Impact on Profit before Tax - Rupee depreciate by ₹ 1 against EURO	(1.96)	(1.64)
Impact on Profit before Tax - Rupee appreciate by ₹ 1 against EURO	1.96	1.64

The USD currency risk is not significant to the Group's operation and accordingly sensitivity analysis is not given.

Commodity price risk

The commodity exposure is mainly on account of fuel, a substantial part of which is a pass through cost and hence the commodity price exposure is not likely to have a material financial impact on the Group.

The Group has exposure to USD / INR exchange rate arising principally on account of import of LNG and import of coal. The extant tariff regulations do not permit the cost of hedging such exposure as a cost to be passed through to the off-takers / beneficiaries. As a result, the Group does not follow a policy of hedging such exposures and actual rupee costs of import of fuel are substantially passed on to the off-takers / consumers, because of which such commodity price exposure is not likely to have a material financial impact on the Group.

Interest rate risk

Most of the Group's borrowings are on a floating rate of interest. The Group has exposure to interest rate risk, arising principally on changes in Marginal Cost of Funds based Lending Rate (MCLR). The Group uses a mix of interest rate sensitive financial instruments to manage the liquidity and fund requirements for its day to day operations like non-convertible debentures and short term credit lines besides internal accruals.

The following table provides a break-up of the Group's fixed and floating rate borrowings:

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Fixed rate borrowings^	3,348.47	2,345.86
Floating rate borrowings^	7,176.06	6,785.03
	10,524.53	**9,130.89**

^ Transactions cost reduced from the borrowing is excluded.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 57 : Financial Instruments and Risk Management (Contd.)

Interest rate risk sensitivity:

The below mentioned sensitivity analysis is based on the exposure to interest rates for floating rate borrowings. For this it is assumed that the amount of the floating rate liability outstanding at the end of the reporting period was outstanding for the whole year. If interest rates had been 50 basis points higher or lower, other variables being held constant, following is the impact on profit.

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Impact on profit before tax - increase in 50 basis points	(35.88)	(33.93)
Impact on profit before tax - decrease in 50 basis points	35.88	33.93

Credit risk

Trade receivables:

(1) Exposures to credit risk

The Group is exposed to the counterparty credit risk arising from the possibility that counterparties might fail to comply with contractual obligations. This exposure may arise with regard to unsettled amounts.

(2) Credit risk management

Credit risk is managed and limited in accordance with the type of transaction and the creditworthiness of the counterparty. The Group has established criteria for admission, approval systems, authorisation levels, exposure measurement methodologies, etc. The concentration of credit risk is limited due to the fact that the customer base is large. None of the customers accounted for more than 10% of the receivables and revenue for the year ended March 31, 2023 and March 31, 2022. The Group is dependent on the domestic market for its business and revenues.

The Group's credit policies and practices with respect to distribution areas are designed to limit credit exposure by collecting security deposits prior to providing utility services or after utility service has commenced according to applicable regulatory requirements. In respect to generation business, Group generally has letter of credits / bank guarantees to limit its credit exposure.

(3) Other credit enhancements

The Group collects the security deposits in the form of Cash or Bank guarantee, considering the relevant electricity regulations under the relevant geographical area to cover its credit risks associated with its trade receivables.

(4) Age of receivables and expected credit loss

The Group has used a practical expedient by computing the expected credit loss allowance for trade receivables. The expected credit loss allowance is based on ageing of the days the receivables are due. Trade receivable balances mainly comprise of outstanding from consumers wherein the credit period provided to such consumers is less than 30 days. Based on the historical trend the same is collected well within the credit period.

The policy of the Group is to provide for credit loss takes into consideration of factors such as type of Consumers i.e. Government Consumers / Non Government consumers, Status of Consumers i.e. Live consumers / Disconnected consumers and Security deposits provided by the Consumer.

The ageing of receivables and allowance for doubtful debt at the end of the reporting period is as follows.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 57 : Financial Instruments and Risk Management (Contd.)

As at March 31, 2023

(₹ in Crore)

	Gross trade receivables	Allowance for doubtful debt
Less than or equal to 6 months	2,148.01	35.33
More than 6 months but less than or equal to 1 year	58.79	23.20
More than one year	244.03	145.97
	2,450.83	**204.50**

As at March 31, 2022

(₹ in Crore)

	Gross trade receivables	Allowance for doubtful debt
Less than or equal to 6 months	1,428.07	43.83
More than 6 months but less than or equal to 1 year	138.88	29.78
More than one year	253.46	144.10
	1,820.41	**217.71**

(5) Movement in the expected credit loss allowance

(₹ in Crore)

	Year ended March 31, 2023	Year ended March 31, 2022
Opening balance	217.71	250.42
Movement in expected credit loss allowance on trade receivable, net [Refer note 42]	(13.21)	(32.71)
Closing balance [Refer note 17]	**204.50**	**217.71**

The concentration of credit risk is very limited due to the fact that the large customers are mainly government entities and remaining customer base is large and widely dispersed and secured with security deposit.

Other financial assets:

The Group is having balances in cash and cash equivalents, term deposits with banks, Inter corporate deposits, Loans to related parties, investments in government securities and investment in mutual funds. The Group is having balances in cash and cash equivalents, term deposits with scheduled banks with high credit rating and hence perceive low credit risk of default. With respect to investments, the Group limits its exposure to credit risk by investing in liquid securities with counterparties depending on their Composite Performance Rankings (CPR) published by CRISIL. The Group's investment policy lays down guidelines with respect to exposure per counterparty, rating, processes in terms of control and continuous monitoring. The Group therefore considers credit risks on such investments to be negligible. Loans receivable from related parties have negligible credit risk and hence no risk of default is perceived on them. The recoverable amount of unbilled revenue (includingrevenue gap/surplus) perceives low credit risk of default considering applicable tariff regulations / tariff orders, management's probability estimate and the past trends of approval.

Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are required to be settled by delivering the cash or another financial asset. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and unused borrowing facilities, by continuously monitoring projected / actual cash flows.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 57 : Financial Instruments and Risk Management (Contd.)

Maturities of financial liabilities:

The Group's remaining contractual maturity for its financial liabilities with agreed repayment periods is given below. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Group can be required to pay. The tables include both interest and principal cash flows. The contractual maturity is based on the earliest date on which the Group may be required to pay.

As at March 31, 2023

(₹ in Crore)

	Less than 1 year	Between 1 year and 5 years	5 years and above	Total
Financial liabilities				
Non current financial liabilities				
Borrowings (including interest on borrowings)^	-	7,050.68	5,001.06	12,051.74
Trade payables	-	187.79	87.40	275.19
Lease liabilities	-	32.17	27.25	59.42
	-	**7,270.64**	**5,115.71**	**12,386.35**
Current financial liabilities				
Borrowings (including interest on borrowings)^	2,387.60	-	-	2,387.60
Trade payables	1,522.67	-	-	1,522.67
Lease liabilities	7.60	-	-	7.60
Other financial liabilities	2,687.72	-	-	2,687.72
	6,605.59	**-**	**-**	**6,605.59**
Total financial liabilities	**6,605.59**	**7,270.64**	**5,115.71**	**18,991.94**

As at March 31, 2022

(₹ in Crore)

	Less than 1 year	Between 1 year and 5 years	5 years and above	Total
Financial liabilities				
Non current financial liabilities				
Borrowings (including interest on borrowings)^	-	5,388.40	3,876.52	9,264.92
Trade payables	-	96.39	102.20	198.59
Lease liabilities	-	30.44	29.22	59.66
Other financial liabilities	-	0.33	-	0.33
	-	**5,515.56**	**4,007.94**	**9,523.50**
Current financial liabilities				
Borrowings (including interest on borrowings)^	2,590.14	-	-	2,590.14
Trade payables	1,111.13	-	-	1,111.13
Lease liabilities	8.69	-	-	8.69
Other financial liabilities	2,021.51	-	-	2,021.51
	5,731.47	**-**	**-**	**5,731.47**
Total financial liabilities	**5,731.47**	**5,515.56**	**4,007.94**	**15,254.97**

^ Transactions cost reduced from the borrowing is excluded.

Note 58 : Provision for Onerous Contracts

The Group has a provision of ₹ 134.38 Crore (March 31, 2022 - ₹ 135.76 Crore) in respect of certain onerous contracts towards potential damages and other project related costs, arising from expected delays or failure to set up certain wind and solar power generation capacities, awarded to the Group in a prior period under a competitive bidding process. During the current year, ₹ 9.44 Crore provision has been created related to Bank guarantee (Previous year ₹ 0.53 Crore) and ₹ 10.82 Crore provision has been reversed due to writing off of pre-operative expenses (Previous year ₹ 55.07 Crore provision has been reversed due to discharge of bank guarantee). The expected outflow will be determined at the time of final resolution of the matter.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 59 : Government Grant

(a) Nature of government grant

Ministry of Power, Government of India (GoI), had introduced the Accelerated Power Development & Reforms Programme (APDRP) to achieve reduction in Aggregate Technical & Commercial losses, to strengthen the Transmission & Distribution network and to ensure reliable and quality power supply with adequate consumer satisfaction. The projects approved for financing under the programme are eligible for a grant and soft loan each equivalent to 25% of the project cost from the GoI. The Balance 50% was required to be funded by the Group. There are no unfulfilled conditions or other contingencies attached to these grants.

(b) Movement of government grant

(₹ in Crore)

	As at March 31, 2023	As at March 31, 2022
Opening balance	16.40	18.85
Less: Amortisation of grant transferred to statement of profit and loss [Refer note 35]	(2.37)	(2.45)
Closing balance	**14.03**	**16.40**
Non-current portion [Refer note 28]	11.66	14.03
Current portion [Refer note 32]	2.37	2.37
	14.03	**16.40**

Note 60 : Ageing Schedule for Capital Work-in-Progress (CWIP)

As at March 31, 2023

(₹ in Crore)

Particulars	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	1,883.30	417.56	245.11	78.58	2,624.55
Projects temporarily suspended	-	0.09	-	0.05	0.14
	1,883.30	**417.65**	**245.11**	**78.63**	**2,624.69**

As at March 31, 2022

(₹ in Crore)

Particulars	Amount in CWIP for a period of				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Projects in progress	762.74	378.13	100.75	44.62	1,286.24
Projects temporarily suspended	0.10	1.06	1.19	8.68	11.03
	762.84	**379.19**	**101.94**	**53.30**	**1,297.27**

For capital-work-in progress, whose completion is overdue compared to its original plan:

As at March 31, 2023

(₹ in Crore)

Particulars	To be completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
115 MW wind power project	832.64	-	-	-	832.64
Distribution Project	185.60	-	-	-	185.60
	1,018.24	**-**	**-**	**-**	**1,018.24**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 60 : Ageing Schedule for Capital Work-in-Progress (CWIP) (Contd.)

As at March 31, 2022

(₹ in Crore)

Particulars	To be completed in				Total
	Less than 1 year	1-2 years	2-3 years	More than 3 years	
115 MW wind power project	64.87	-	-	-	64.87
	64.87	**-**	**-**	**-**	**64.87**

There are no capital-work-in progress, whose cost has exceeded compared to its original plan for year ended March 31, 2023 and March 31, 2022.

Note 61 : Ageing Schedule for Trade Receivables

Current trade receivables:

As at March 31, 2023

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Not due*	Less than 6 months	6 months -1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivables							
- Considered good	1,768.21	343.98	35.59	43.60	21.45	28.17	2,241.00
- Credit impaired	0.55	31.57	20.92	17.96	23.22	43.10	137.32
Disputed Trade receivables							
- Considered good	0.49	-	-	3.59	-	1.25	5.33
- Credit impaired	1.34	1.87	2.28	7.44	6.29	47.96	67.18
	1,770.59	**377.42**	**58.79**	**72.59**	**50.96**	**120.48**	**2,450.83**

As at March 31, 2022

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Not due*	Less than 6 months	6 months -1 year	1-2 years	2-3 years	More than 3 years	
Undisputed Trade receivables							
- Considered good	1,109.74	273.93	109.10	70.13	18.68	19.04	1,600.62
- Credit impaired	0.57	40.37	26.57	42.89	11.89	35.63	157.92
Disputed Trade receivables							
- Considered good	0.57	-	-	0.16	0.10	1.25	2.08
- Credit impaired	1.13	1.76	3.21	5.73	7.31	40.65	59.79
	1,112.01	**316.06**	**138.88**	**118.91**	**37.98**	**96.57**	**1,820.41**

* Includes ₹ 1,288.06 Crore (March 31, 2022: ₹ 1,029.04 Crore) billed subsequent to year end.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 62 : Ageing Schedule for Trade Payables

(a) Non-current trade payables:

As at March 31, 2023

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	210.61	-	-	-	-	-	210.61
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	-	-	-
	210.61	**-**	**-**	**-**	**-**	**-**	**210.61**

As at March 31, 2022

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	150.46	-	-	-	-	-	150.46
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	-	-	-
	150.46	**-**	**-**	**-**	**-**	**-**	**150.46**

(b) Current trade payables:

As at March 31, 2023

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	1.43	67.06	0.50	-	-	-	68.99
- Others	500.47	549.44	316.11	2.14	0.41	9.07	1,377.64
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	-	-	1.32	74.71	76.03
	501.90	**616.50**	**316.61**	**2.14**	**1.73**	**83.78**	**1,522.66**

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 62 : Ageing Schedule for Trade Payables (Contd.)

As at March 31, 2022

(₹ in Crore)

Particulars	Outstanding for following periods from due date of payment						Total
	Unbilled	Not due	Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed dues							
- Micro and small enterprises	1.23	52.60	0.19	-	-	-	54.02
- Others	427.93	439.81	94.24	5.80	0.24	9.54	977.56
Disputed dues							
- Micro and small enterprises	-	-	-	-	-	-	-
- Others	-	-	0.02	1.57	5.34	72.62	79.55
	429.16	**492.41**	**94.45**	**7.37**	**5.58**	**82.16**	**1,111.13**

Note 63 : Details of Loans and Advances

Details of Loans or Advances in the nature of loans are granted to promoters, Directors, KMPs and the related parties (as defined under Companies Act, 2013), either severally or jointly with any other person, that are:

(a) repayable on demand; or

(b) without specifying any terms or period of repayment

(₹ in Crore)

Type of Borrower	As at March 31, 2023		As at March 31, 2022	
	Amount of Loan or advance in nature of loan outstanding	Percentage to total loans and advances in the nature of loans	Amount of Loan or advance in nature of loan outstanding	Percentage to total loans and advances in the nature of loans
Related Parties	-	-	141.77	100.00%
	-		**141.77**	

Note 64 : Relationship with Struck off Companies

(₹ in Crore)

Name of struck off Company	Nature of transactions with struck-off Company	Balance outstanding as on 31.03.2023	Balance outstanding as on 31.03.2022	Relationship with the Struck off company
Unickon Fincap Private Limited	Investor	*	*	Shareholder
Vaishak Shares Limited	Investor	*	*	Shareholder
Dreams Broking Private Limited	Investor	*	*	Shareholder
Pandit Trading & Securities Limited	Investor	*	*	Shareholder
Jetees Securities (P) Limited	Investor	*	*	Shareholder
Solanki Solar Energy Private Limited	Payables	*	*	Vendor
Krish N Kelly Facility Services	Payables	*	*	Vendor
Scanstar Inspection Technology Private Limited	Payables	0.01	-	Vendor

Note 65 : Social Security Code

The Indian Parliament has approved the Code on Social Security, 2020 (“Code”) which may likely impact the obligations of the Group for contribution to employees’ provident fund and gratuity. The effective date from which the Code is applicable and the rules to be framed under the Code are yet to be notified. In view of this, impact if any, of the change will be assessed and accounted in the period in which the Code and the rules thereunder are notified.

Notes

forming part of the consolidated financial statements for the year ended March 31, 2023

Note 66 : Additional Regulatory Information Required by Schedule III

(a) The Group is in compliance with number of layers of companies in accordance with clause 87 of Section 2 of the Act read with the Companies (Restriction on number of Layers) Rules, 2017 during the year ended March 31, 2023 and March 31, 2022.

(b) The Group has not invested or traded in Crypto Currency or Virtual Currency during the year ended March 31, 2023 and March 31, 2022.

(c) No proceedings have been initiated on or are pending against the Group for holding benami property under the Prohibition of Benami Property Transactions Act, 1988 (as amended in 2016) (formerly the Benami Transactions (Prohibition) Act, 1988 (45 of 1988)) and Rules made thereunder during the year ended March 31, 2023 and March 31, 2022.

(d) The Group has not been declared Wilful Defaulter by any bank or financial institution or government or any government authority during the year ended March 31, 2023 and March 31, 2022.

(e) During the year ended March 31, 2023 and March 31, 2022, the Group has not surrendered or disclosed as income any transactions not recorded in the books of accounts in the course of tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961).

(f) During the year ended March 31, 2023 and March 31, 2022, the Group has not advanced or loaned or invested funds (either borrowed funds or share premium or kind of funds) to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding (whether recorded in writing or otherwise) that the Intermediary shall:

   a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Group (Ultimate Beneficiaries) or

   b) provide any guarantee, security or the like to or on behalf of the ultimate beneficiaries.

   During the year ended March 31, 2023 and March 31, 2022, the Group has not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Group shall:

   a) directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or

   b) provide any guarantee, security, or the like on behalf of the ultimate beneficiaries.

Note 67 : Approval of Financial Statements

The financial statements were approved for issue by the board of directors on May 29, 2023.

Signature to Note 1 to 67

In terms of our report attached

For **Price Waterhouse Chartered Accountants LLP**
Firm Registration Number : 012754N/N500016

Priyanshu Gundana
Partner
Membership No.: 109553

Ahmedabad, May 29, 2023

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN:00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 29, 2023

Form AOC - 1

Statement pursuant to first proviso to sub section (3) of section 129 of Companies Act, 2013, read with rule 5 of Companies (Accounts) Rules, 2014 :

A Statement containing salient features of the financial statement of subsidiaries

(₹ in Crore)

1.	Name of Subsidiary Company	Torrent Power Grid Limited	Torrent Pipavav Generation Limited	Torrent Solargen Limited	Jodhpur Wind Farms Private Limited	Latur Renewable Private Limited	TCL Cables Private Limited	Torrent Saurya Urja 2 Private Limited	Torrent Saurya Urja 3 Private Limited	Torrent Saurya Urja 4 Private Limited	Torrent Saurya Urja 5 Private Limited	Torrent Solar Power Private Limited	Surya Vidyut Limited	Torrent Saurya Urja 6 Private Limited	Visual Percept Solar Projects Private Limited	Dadra and Nagar Haveli and Daman and Diu Power Distribution Corporation Limited	Wind Two Renergy Private Limited	Sunshakti Solar Power Projects Private Limited
2.	Date of becoming Subsidiary	October 19, 2006	September 25, 2007	September, 2008	January 29, 2018	January 29, 2018	November 5, 2019	February 5, 2021	February 17, 2021	July 20, 2021	July 16, 2021	July 28, 2020	March 11, 2022	March 25, 2022	February 15, 2022	March 15, 2022	July 30, 2022	June 13, 2022
3.	Financial year ended on	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023	March 31, 2023
4.	Share capital (including share capital suspense)	90.00	50.00	80.05	111.00	110.00	42.00	0.05	0.05	0.05	0.05	0.05	251.91	23.43	17.45	0.10	32.51	0.06
5.	Reserves & Surplus	46.21	(19.29)	(66.89)	17.23	22.40	(40.02)	(5.43)	(0.05)	(0.13)	(0.03)	(15.21)	64.96	55.55	158.10	446.23	(18.96)	128.15
6.	Total assets	146.14	95.13	1,680.52	458.05	462.87	343.09	203.40	0.01	35.77	0.03	149.60	714.47	237.32	184.02	1,316.88	289.20	306.68
7.	Total liabilities (excluding share capital and reserves and surplus)	9.93	64.42	1,667.36	329.82	330.47	341.11	208.78	0.01	35.85	0.01	164.76	397.60	158.34	8.47	870.55	275.65	178.47
8.	Investments	22.71	-	6.44	32.86	25.98	-	-	-	-	-	-	-	-	41.80	-	-	-
9.	Turnover (Revenue from operations)	39.11	-	95.75	58.56	61.01	545.34	-	-	-	-	-	117.59	41.02	52.38	5,985.40	22.95	51.50
10.	Profit / (loss) before taxation	19.27	(0.85)	(5.91)	9.76	14.21	(6.28)	(5.93)	(0.02)	(0.14)	(0.01)	(17.48)	11.27	3.16	32.70	141.22	(22.50)	10.39
11.	Provision for taxation (including deferred tax)	(1.97)	-	(1.08)	2.45	3.59	(1.51)	(0.98)	-	(0.02)	-	(2.95)	22.21	0.73	5.34	37.21	(5.68)	(6.98)
12.	Profit / (loss) after taxation	21.24	(0.85)	(4.83)	7.31	10.62	(4.77)	(4.95)	(0.02)	(0.12)	(0.01)	(14.53)	(10.94)	2.43	27.36	104.01	(16.82)	17.37
13.	Other comprehensive income (net of tax)	0.08	-	-	-	-	0.20	-	-	-	-	-	(0.03)	-	*	(1.49)	-	-
14.	Total comprehensive income	21.32	(0.85)	(4.83)	7.31	10.62	(4.57)	(4.95)	(0.02)	(0.12)	(0.01)	(14.53)	(10.97)	2.43	27.36	102.52	(16.82)	17.37
15.	Proposed dividend (in ₹ per equity share)	0.90	-	-	-	-	-	-	-	-	-	-	-	-	6.30	-	-	-
16.	Extent of shareholding (in percentage)	74.00%	95.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	51.00%	100.00%	100.00%

Footnote :

1 Torrent Pipavav Generation Limited, Torrent Saurya Urja 2 Private Limited, Torrent Saurya Urja 3 Private Limited, Torrent Saurya Urja 4 Private Limited, Torrent Saurya Urja 5 Private Limited and Torrent Solar Power Private Limited are yet to commence its operations.

* figures below ₹ 50,000

B Statement pursuant to Section 129 (3) of the Companies Act, 2013 related to associate Company

Name of Associate	Wind Two Renergy Private Limited (upto July 29, 2022)

Footnote :

1 During the year, Wind Two Renergy Private Limited has ceased to be associate of the Company and become subsidiary w.e.f. July 30, 2022. As the Company does not have equity interest in the above associate company, Total Comprehensive Income of (₹ 1.28) crore for the period April 1, 2022 to July 29, 2022 has not been considered in the consolidated financial statements.

For and on behalf of the Board of Directors

Samir Mehta
Chairperson
DIN: 00061903

Saurabh Mashruwala
Chief Financial Officer

Rahul Shah
Company Secretary

Ahmedabad, May 29, 2023

5 Years' Highlights - Consolidated

Particulars	UoM	2022-23	2021-22	2020-21	2019-20	2018-19
TECHNICAL DATA						
Generation Capacity	MW	4,160	4,110	3,879	3,879	3,703
Units Billed by Generating Stations	MUs	6,239	9,634	11,649	12,168	10,004
Units Purchased	MUs	25,161	9,370	6,611	7,219	8,125
Units Sold	MUs	29,589	18,055	16,608	18,310	16,678
No. of Consumers	Mn	4.03	3.79	3.71	3.65	3.32
KEY FINANCIALS						
Revenue From Operations	₹ in Crore	25,694	14,258	12,173	13,641	13,151
EBITDA	₹ in Crore	5,141	3,826	3,607	3,734	3,389
Profit Before Exceptional Items and Tax	₹ in Crore	3,041	1,864	1,552	1,475	1,264
Total Comprehensive Income (after Non-controlling interests)	₹ in Crore	2,124	456	1,295	1,145	893
Equity Share Capital	₹ in Crore	481	481	481	481	481
Other Equity (Reserves and Surplus)	₹ in Crore	10,529	9,463	9,704	8,673	8,490
Loan Funds (Gross)	₹ in Crore	10,525	9,131	7,809	8,901	9,755
Tangible and Intangible Assets	₹ in Crore	21,894	18,395	18,164	18,137	18,373
KEY FINANCIAL RATIOS						
EBITDA Margin	%	18.52%	25.19%	28.47%	26.07%	24.33%
Net Profit Margin	%	8.42	9.73 @	10.65	8.65 @	6.87
Return on Net Worth*	%	19.07	13.20 @	12.68	11.63 @	8.84
Return on Capital Employed*	%	18.22	13.13 @	12.53	12.48 @	10.94
Long Term Debt Equity Ratio*		0.92	0.83	0.73	0.92	0.90
Earnings Per Share	₹	44.06	9.45	26.86	24.43	18.70

* Deferred Tax balance is included as a part of Equity

@ Excluding Exceptional Items

Corporate Information

Board of Directors

Sudhir Mehta, Chairman Emeritus
Samir Mehta, Chairperson
Pankaj Patel
Samir Barua (upto September 30, 2022)
Keki Mistry
Usha Sangwan
Radhika Haribhakti
Mamta Verma, IAS
Ketan Dalal (w.e.f. May 11, 2022)
Jinal Mehta, Managing Director
Varun Mehta, Wholetime Director (w.e.f. August 8, 2022)

Audit Committee

Samir Barua, Chairperson (upto September 30, 2022)
Ketan Dalal, Chairperson (w.e.f. November 10, 2022)
Keki Mistry
Usha Sangwan
Radhika Haribhakti

Stakeholders Relationship Committee

Pankaj Patel, Chairperson
Samir Mehta
Jinal Mehta

Nomination and Remuneration Committee

Pankaj Patel, Chairperson
Sudhir Mehta (upto April 13, 2023)
Radhika Haribhakti
Ketan Dalal (w.e.f. April 13, 2023)

Corporate Social Responsibility and Sustainability Committee

Usha Sangwan, Chairperson
Samir Barua (upto September 30, 2022)
Radhika Haribhakti (w.e.f. May 11, 2022)
Jinal Mehta (upto January 19, 2023)
Ketan Dalal (w.e.f. January 19, 2023)

Risk Management Committee

Samir Barua, Chairperson (upto September 30, 2022)
Ketan Dalal, Chairperson (w.e.f. January 10, 2023)
Usha Sangwan
Radhika Haribhakti
Lalit Malik (upto April 13, 2023)
Saurabh Mashruwala (w.e.f. April 13, 2023)

Committee of Directors

Samir Mehta, Chairperson
Jinal Mehta

Chief Financial Officer

Lalit Malik (upto April 13, 2023)
Saurabh Mashruwala (w.e.f. April 14, 2023)

Company Secretary

Rahul Shah

Statutory Auditors

Price Waterhouse Chartered Accountants LLP, Chartered Accountants

Registered Office

"Samanvay",
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CORPORATE IDENTITY NUMBER

L31200GJ2004PLC044068

Website

www.torrentpower.com

INVESTOR SERVICES EMAIL ID

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Registrar and Share Transfer Agent

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